Triveni Turbine Ltd. (TRITURBINE)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

Call: May 2023

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Date : May 23, 202 3

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STOCK COD E: TRITURBINE
Sub: Transcript of Analysts/ Investor's Conference Call

Dear Sirs,

Further to our letter dated May 17, 202 3, we enclose herewith a copy of t he transcript of Analysts/ Investor's call held on 17th May, 2023 on the financial results for the Q4 & FY 23 ended on 3 1st March , 2023. The same is being made avail able on the Company's website at: https.www.triveniturbines.com .

Kindly take the same on record.

Thanking You,

For Triveni Turbine Limited

Rajiv Sawhney
Company S ecretary
Membership No A 8047
Encl : As above
RAJIV
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RAJIV SAWHNEY Date: 2023.05.23 17:56:36 +05'30'

Triveni Turbine Limited
Q4 & FY 23 Earnings Conference Call Transcript
May 17 , 2023

Moderator : Ladies and gentlemen, good day and welcome to Q 4 and FY 23 Earnings Conference Call of Tr iveni Turbine Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rishab Bara r from CDR India.

Rishab Barar: Good day everyone and a warm welcome to all of you participating in the Q 4 and FY 23 earning s conference call of Triveni Turbine Limited. We have with us today on the call, Mr. Nikhil Sawhney , Vice Chairman and Managing Director ; Mr. Arun Mote, Executive Director ; Mr. Lalit Agarwal , Chief Financial Officer; Mr . S. N. Prasad , President - Global Sales Products; Mr. Sachin Parab, President - Global Sales Aftermarket; Ms. Surabhi Chandna, Investor Relations , and Value Creation along with other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement to this effect has been included in the invite , which was mailed to everybody earlier. I would also like to emphasize that while this call is open to all invitees, it may not be broadcast ed or reproduced in any form or manner. We will start this call with opening remarks from the management following which we will have an interactive question -and-answer session.

I now request Mr. Nikhil Sawhney to share some perspectives with you with reg ard to the operations and outlook for the business. Over to you sir.

Nikhil Sawhney: Thank you very much , Rishab. A very good afternoon to all people participating on this call and welcome to the Q 4 & FY 23 investor call for Triveni Turbine Limited. We're very happy to have you here today

because it's been a record year for us and a record quarter as well. We've had the highest -ev

er annual revenue , EBITDA and order booking along with a record closing order book position for FY 23. This all augurs very well for FY 24 as well.

The record revenues of ■12. 48 billion in FY 23 was an increase of 46.4% year -over -year, while EBITDA for the year stood at ■2.76 billion, which was higher by 43.9% year -on-year with a margin of 22.2%. The profit after -tax for the year was at ■1.93 billion, an increase of 57.7% year -on-year after adjusting for the exceptional income in the previous year.

We also had the highest ever annual order booking of ■16.05 billion during the financial year, an increase of 35.6% year -over -year , which led to a record outstanding carry forwa rd order book on the 31 March , 2023 of ■13.28 billion, an increase of 36.9% , which again as I said , augurs very well for the financial year FY 24.

The Company has also during the course of the year had two schemes by which it has paid back capita l and equity to shareholders. One was through a buyback and the other was through a dividend. The buyback was to the extent of ■190 crore during the year, which including taxes and other charges, totaled about ■240 crore . Including a dividend of ■50 cr ore, the total payout to shareholders was in the extent of about ■290 crore for the financial year.

The return on capital employed was 32%, and the return on invested capital excluding cash on book was over 250%. The Company has a stable cash portfo lio of ■6.71 billion, which is down by 11.5% based on the outflows that we've had during the year. But the cash accumulations for the year have been fantastic. We again have had a higher free cash flow than our net profit. We've had a negative working capital again for the year ended as of 31 March 2023 .

Coming to the order booking. T he product order booking for the financial year increased by 22% year -over -year to ■11. 43 billion, the highest in the Company's history. The finalizations of orders happen ed from all segments of industrial customers, followed by power producers as well as API drive turbine. The Company received orders from over 27 countries as compared to 22 countries in the previous financial year, and a majority of the order booking continues to be from non-fossil or renewable energy -based solutions , solidifying our market position in this rising segment.

We also witnessed strong contribution in the domestic market from sectors such as Sugar, Distillery, Food Proce ssing , Paper & Pulp,

Chemicals , and Waste Heat Recovery coming from segments such as steel and cement. In the international market, the Company was able to close key milestone orders in both small as well as large power ranges of turbines from regions li ke Europe, Africa, Central and South America, as well as North America.

The overall enquiry generation for the year increased by over 41% year -over -year in FY 23 to over 9 GW. In FY 23, the aftermarket segment experienced an extremely st rong growth owing to a significant influx of new orders. We also, as I pointed out during the course of the year , received major orders from the SADC region, which we have alluded to in the costs of other expenses, which are part of the no tes of accounts.

To reinforce its customer centric philosophy, the Company has strategically located service offices throughout India and international offices in Europe, West Asia, Southeast Asia, as well as Africa. The success of the aftermarket busine ss is evident in the order booking and sales growth in FY 23, which saw increases of 88% and 82% year -over -year. The aftermarket contributed to 29% of order booking for the year, up from 21% in FY 22, and the Company is confident that this segment will continue to provide a significant share of its overall growth in the coming years.

During the year, the Company continued its growth both in the domestic and export sales. However,

export sales reported a relatively higher increase of 121% in the current year, and the export sales, as you would know, would be based on the order booking that we had in FY 22 as well as the book and bill that we had in part of Q 1 as well as part of Q 2 of FY 23. And as a result, the contribution of exports in total turno ver has increased to 45% in FY 23 versus 30% in FY 22.

Exports are a core focus for the company, as we believe a significant part of our long -term growth will be derived from our initiatives in the international market. In FY 23, the aftermarket seg ment experienced strong growth owing to an influx of new orders and this has strengthened the segment already. But I have to admit that there's more work that we have to do on the internationalization of our efforts as well as especially our workforce .

On the R &D and engineering efforts , the Company's global focus and outreach are evident in its constant efforts to file for patents and industrial design registrations in various international jurisdictions, while simultaneously expanding its intellectual p roperty portfolio in India.

The Company has filed for IP protection in all geographies, and currently it has over 338 unique Intellectual Property Rights (IPRs), which it has filed for, up from 316 IPRs in the previ ous year.

As far as the market update goes, and I'm sure a lot of you would be interested, we saw a degrowth in the total international market in excess of 12 GW to about 8.8 GW. This was due to a significant reduction in the size of the Chinese market and orders that were placed in the Chinese market for this last year as well as the segment of gas turbine combined cycle. Both of these segments are markets that Triveni Turbine does not participate in. In fact, for the marke ts in which we do participate in , we have seen a growth in the market, and we believe that if we look at next year's data, which is calendar year 2023 , we should see a reversion to the long -term mean of a growth in this entire market of in dustrial heat and power, as well as renewable energy solutions.

The enquiry generation as I said for the company increased to 41% to in excess of 9 GW. This was led by 82% increase in the export enquiry book, while the domestic enquiry book declined by about 16% year - over -year . We are not perturbed by this number of a decline in the domestic enquiry book as, in terms of the growth that we are seeing in the domestic market, it still seems to be quite robust. Our data for enquiry book in the domestic market does not include tender -based data, which is based on Government procurement, which has been quite good in the last several quarters and we believe will be very strong in this current year. Give n that fact, there will be an overall growth in the domestic market as well as enquiry books , if we do include Government tender data .

For Triveni T urbines , we are extremely optimistic on the result ant end order booking at the end of FY 23, wh ich gives us very clear visibility on the revenue that we would be able to achieve in FY 24, which would be a substantial growth over FY 23. With our expansion already completed, we have the capacity now to produce in excess of 300 turbines, and I'd be h appy to talk more about our capacity during the Q&A.

But beyond physical investment s, the Company has also added 20% to its workforce. We've increased our workforce by 20% and we believe that we will be investing further into people and increasing our workforce again quite substantially in FY 24 as well.

The rise of the Company's exported aftermarket order booking as well as a strong carry forward order book and robust order pipeline gives us visibility to a very solid year ahead and both in the domestic and export market seem to be giving us great confidence in being able to deliver these results.

Wi

th that, I'm happy to take questions. I'll hand it back to you.

Moderator: Than k you very much. We will now begin the question -and-answer session.

We have our first question from the line of Himanshu Upadhyay from o3 PMS.

Himanshu Upadhyay: Congrats on great set of numbers. One question I had was if we look at the breakup of revenue and also order booking the aftermarket has grown at a very fast rate and even faster than the product business. Is there any amount of cyclicality in the aft ermarket business ?

Nikhil Sawhney: If I may break the question to two , three parts . Our aftermarket comprises of two distinct segments. One is parts and service for our own turbines and the other is refurbishment , which is for third -party turbine users. The parts and sales for our own turbines will grow based on the offerings that we have as well as the installed base. And so, this will grow, we would see at a rate of whic h is commensurate with the product sales growth. The outperformance really happens in the refurbishment segment , which is I won't say cyclical or countercyclical, but it's a little bit more opportunistic at this point in time.

We are trying to establi sh a localized presence in certain markets so that we can build confidence with the general market so that we can get less cyclicality in these refurbishment orders. Having said that and I'll have Sachin come in here , we're very optimistic that this segment of refurbishment will grow very rapidly in the years to come. Will it be to the same extent of 80% plus growth? I don't know. But this is a segment that will always be high growth and we will try to not look at this in a cycli cal manner. But Sachin, would you like to provide some visibility around the aftermarket business?

Sachin Parab: Yes. As rightly mentioned by our Vice Chairman , the refurb business is seeing better growth than the part s sales and service business. The parts sales and service business is very consistent and our aggressive marketing efforts for the refurbishment business have started bearing fruit. And as we are expanding our presence in the international markets the trend will be good. It will be a good g rowth rate. So, the

cyclic factor is not going to be a big factor , so it's going to be more or less consistent. Maybe not such high rates of growth , but reasonably robust double -digit growth will be there.

Himanshu Upadhyay: One was on this , we are incorporating a subsidiary , where we will be investing ■5 crore or more to make Triveni brand more visible. So , is that organization or a company would be 100% owned by Triveni Turbine only or it would be also jointly owned by Triveni Enterprises?

Nikhil Sawhney: Right now , the proposal really hasn't gone up to the Triveni Engineering & Industries Limited Board as yet, the point is that when we look at the export market for Triveni Turbine and let's look at Triveni Turbine only, the question is that we need to improve the recall to customers.

We need to i mprove the branding profile of Triveni being a technological leader and we find that missing. So , we need to support our sales and marketing efforts on the product side with general branding investments. To the extent that the brand is generic and can be leveraged across more companies, just makes it a little bit cheaper for Triveni Turbine to enter .

This is a marketing effort. It's a branding communication effort. I think that we'd be able to provide you more data, more disclosures as and whe n things get finalized. It was more of an enabling resolution that was passed by the Board to allow for this investment, but we provide you more visibility in the months to come.

Himanshu Upadhyay: See, one small suggestion here. Such a similar effort wa s also done by another engineering company where 3-4 group companies were trying to make a brand through all the other comp

anies means everybody unitedly, a family -owned organization. Again, they were listed companies, but then over a period , disputes came, and then the disputes came. Everybody is now fighting for the brand . And I had a bad experience.

Nikhil Sawhney: Thank you. We'll take that as positive feedback and we try to develop systems, systems already exist, but I think we'll provide you some visibility as to how this is something that may not be an issue for Triveni Turbines in the future.

Moderator: The next question is from the line of Amit Mahawar from UBS.

Amit Mahawar: Congratulations on great results. It's heartening to see aftersales team delivering some great numbers in 2023. I just have two quick questions.

First is in the global installed base of smaller turbines , what is our current share? That's question number one.

Nikhil Sawhney: It has been a very good year, wha t we've decided, because the split in the market that we had of below 30 MW and above 30 MW was a little bit artificial. It was done at a point in time when we had a joint venture with another party. So, it was a distinction that we could create. I think from now we'll talk about it more in terms of small turbines and large turbines. But the market share that we have in the Indian market has been consistent at about 50 odd percent. And that's something that we're quite confident of retaini ng. The industries that we're getting orders from seem to be reasonably robust. And our enquiry book seems to suggest that we'll be able to maintain that market share. On a global basis, excluding India, of course, our market share is going to be quite sma ll, but the Indian market does contribute quite significantly to the extent of approximately 20 -25% of the global market.

So, if we include the Indian market in our total global overall market share, it would still be in the region of and look at it from two basis, if you look at the overall market, including markets in which we don't currently operate, which may be China, Japan and certain niche industrial markets, in terms of applications, our market share should be in the region of approximately 12 -13%. But in the markets in which we do participate, market share will be somewhere about 22 -24%.

Moderator: The next question is from the line of Harshit Patel from Equirus Securities.

Harshit Patel: My first question is on the domestic cement market. We have seen a lot of companies increasingly opting for W aste Heat Recovery (WHR) solution and I think we have also benefited from the same. So, in your assessment, what proportion of cement capacity in India has already installed WHR turbines by now? And if you could highlight the same for steel industry as well, it will be very helpful.

Nikhil Sawhney: I think we've answered this question in the past as well. In steel, companies set up their waste heat recovery at the time of setting up the plant itself. In cement, it's an add on. And I think at the last point we said approximately less than 20% had installed this.

But to come to the question that Amit had earlier, maybe he has joined back whi ch sort of answers your question as well as to what is driving this demand. So , Triveni Turbine is a manufacturer of industrial heat and power solutions as well as decentralized renewable energy

solutions. And it's important to remember when we talk about industrial heat and power that this cannot be generated through photovoltaic or wind. Electricity is a very inefficient means by which to generate heat. And so , the relevance of our solution is something that the market needs and the market data supports it in the fact that the global market in this range of turbines below 100 MW has been growing year -over -year. It's been growing more so from a clear renewable energy focus. And the renewable energy focus for segments such as cement al

so highlights the need for investments into energy efficiency. Based on National Green Tribunal (NGT) mandates, which restricted certain types of fuels such as pet coke, the cost of energy for all producers, including cement has gone up, which valid ates the investment into energy enhancement initiatives such as waste heat recovery, which ends up leading to just a lower cost of energy for the firms. Energy efficiency is a key driver of growth in these segments, just based on high energy costs for companies.

Harshit Patel: Okay, understood. My second question is on, we had received large orders from South Korea last year, these were for higher MW turbines, so just wanted to check on the execution status of the same . So, have we already delivered those turbines? And if yes, then are there any follow -on orders from the same customer or from the same region?

Nikhil Sawhney: I'll first ask Arun to answer the question the status of the or ders. But yes, Korea is a repeating region where we get orders from, so Prasad can add in there. But Arun, if you could just give some visibility on the orders that we had from Korea?

Arun Mote: We have had orders from Korea typically coming between singl e-digit orders but at various ratings. As you know, what we have declared earlier is we have a very prestigious order from a leading s teel manufacturer, which is under execution, which will be completed over next year 's time. By and large, we are a preferred brand in Korea , and we command a strong market image there.

As regards to our order status as on date, we have sufficient orders to carry on and we are well within the plans of growth that we have which we have indicated to you earlier. Also, as regards the manufacturing capacity, in the current year we will be manufacturing over 200 turbines , and this is also backed by sufficient subcontract capacity that we have, and our complete expansion is done now.

We have no CapEx in the current ye ar policy. It will only be a regular CapEx that is for maintenance. That's how we are positioned on the supply chain and the support for our order executions.

Moderator: The next question is from the line of Amit Anwani from Prabhudas Lilladher.

Amit Anwani: Just harping on the global market, which y ou mentioned, which declined by from, I think 12 GW you mentioned to 8.8 GW. And you said largely also because of the reduction in Chinese market , could you elaborate more. Are we talking about up to 100 MW ? And if y ou can just throw more colour?

Nikhil Sawhney: It's up to 100 MW and for the calendar year 2022.

Amit Anwani: So, what do you mean by Chinese reduction?

Nikhil Sawhney: There was just lower demand and fewer orders that were placed in the Chinese market. You can guess the reason as much as I can.

Amit Anwani: Right, so the second thing, so you mentioned about the 9 GW market. What are we talking about here ?

Nikhil Sawhney: That is our enqu iry book.

Amit Anwani: That again is up to 100 MW , right?

Nikhil Sawhney: Yes.

Amit Anwani: Okay, so second question on the aftermarket, I just wanted to understand how much of SADC order is still pending. Are we in pi peline for more orders to be received of that? And how much is the percentage contribution of this in the aftermarket?

Nikhil Sawhney: The percentage contribution of this, I would say it'll be about 15 -20% in terms of this current order for the full year . But as we pointed out earlier, we have a unique opportunity to overhaul large utility turbines. And we thought that this is a great opportunity for us to expand the breadth of our services, but also to establish a presence in a region which ha s very poor offerings for this type of solution.

More than that, it allows us to move up the value chain over a period to move from what are relatively poorer margin services to a higher margin spa res type order. So , I think the fact is th at you will see more of these orders coming up in the next quarters as well. I think that what you should take away from it is the fact that this is allowing us to be more locally present with our customers.

To the extent that even though exports as a per centage of sales increased as well as aftermarket as a percentage of sales increased but our margins were largely flat was a consequence of some decisions that we took to ex pand turnover more rapidly than we did from the bottom line to be conscious of that. But as we've always said, we anticipate our PBT to be always over 20%, and our efforts is always going to be in that regard. In fact, in this current year our pressure on margins is a little bit less. We have more exports as a percentage of sales which we will execute in FY 24. We have good orders on the refurbishment and aftermarket side as well. And so , we're quite confident of good margins in this current financial year.

Amit Anwani: Sure. And sir about the market sha re which you talked about 50% in domestic market, how much GW we are factoring in the domestic market size and is it up to 100 MW or 0 to 30 MW , what is it exactly?

Nikhil Sawhney: No, I was talking about the small market whe re we have a market share of about 50% on the overall market, Prasad, could you give some visibility on the overall market in India? What may our market share be?

S. N. Prasad: Yes. Sir, domestic market wise, we are closer to around 2 200 MW and similar way the market where we are operating globally, that is around 4500 MW is the size of the market. In domestic, as our Vice Chairman mentioned, our market share is around 50 %.

Amit Anwani: Right. So , this is 0 to 30 MW ?

S. N. Prasad: This is 0 to 100 MW ; this is covering up to 100 MW .

Moderator: The next question is a follow up from the li ne of Amit Mahawar from UBS.

Amit Mahawar: So assuming that globally the investments towards biomass , district heating, process team keeps going on, are we having enough capacity both from supply chain manufacturing to ramp up our market share , because we have certain advantages on cost side on after sales ramp up.

Nikhil Sawhney: Our expansions of that we needed to do in our factory in Sompura are complete. We will be producing quite a bit in excess of 200 turbines in FY 24. And b ased on our current capacities in -house as well as with our vendors and subcontractors, we don't believe any capac ity constraint is an issue for us.

As we've seen, we can expand our capacity within eight to nine months and for the next couple of years at least, we have no issue in terms of capacity both on the manufacturing end . We consistently work with our supply c hain to ensure that there's ample capacity that they have for products that are required from a balance of plant perspective. And all of it needs to be taken into consideration while executing an order. So, we don't believe that capaci ty is a constraint in our supply chain.

Amit Mahawar: Sure. And the last one quick on the API drive turbines . How have we performed and how do you see that market for us in the next two, three years especially the acceptance of vendors for Triveni?

Nikhil Sawhney: Yes, the main question on acceptance is over. Prasad, can I ask you to provide some visibility on Amit's question?

S. N. Prasad: Yes, so API drive turbine m arket , in previous meetings, what we have shared, yes, our acceptability is quite good. We are on the approved vendor list in major OEMs and EPCs and the consultants approved us as approved vendors for that . On market share , we are in low singl e-digits , but we do see this a s a big opportunity available for us going forward.

But it is a time consuming process because API finalization approval process took time. Now, what we see going forward, we'

ll be seeing
the benefits o f these registrations. But as of today, our market share is quite small in that but we see good potential .

Nikhil Sawhney: Our order booking is good i n this segment as well, Amit. And we believe that this will be a driver of growth in the yea rs to come. More than that , one is the API drive turbine market, but we see the API power gen eration market also it's something which is quite robust, especially in countries like India. Government expenditure in the API segment is ver y good, which includes fertilizer as well as upstream, downstream, oil and gas.

Moderator: The next question is from the line of Ashwani Sharma from IC ICI Securities .

Ashwani Sharma: Congratulations on a good set of numbers sir . First question is on the growth. If you can just give us breakup in terms of volume growth and price growth for the quarter?

Nikhil Sawhney: Unfortunately, we don't do volume and price. We just give it in terms of rupees only.

Ashwani Sharma: Okay. The second question is, if you can, these expenses, which were there subcontracting expenses in the S ADC market, so will these expenses continue in F Y 24 as well?

Nikhil Sawhney: Yes. The point was, these expenses are literally subcontracting charges for personnel. When you over haul turbines, you need to have people. These contracts we believe are something that's quite remunerative for the Company. And so they will contin ue. There'll be growth in them as well because we anticipate growth and turnover in these distinct segments also.

The alternative here would be to take these subcontracting charges and put them above the line, and then we'd have a m ore diluted gross margin. So, I think it would be better to put it here because it reflects the business more appropriately. These are not raw material costs, and these are charges which are paid for subcontracting personnel, and it reflects the co st better. The fact that it has to be highlighted through a note is the governance of it only . But it's routine business , you could imagine. It's a fact that we have to highlight because of significance of the value.

Ashwani Sharma: Yeah. Sir, third i s on the guidance. If you can just give us some guidance in terms of top -line growth for FY 24 and margin guidance , that would be helpful.

Nikhil Sawhney: Actually, I think we did a little bit of mistake last year w hen we said that we would be growing by about 35% CAGR for FY 23 and FY 24. As you've seen with that, our growth was significantly higher by over 45% in FY 23. I think FY 24 is starting off in an extremely robust picture. We have an opening order book, which is over 35% higher than what it was on 1st of April 2022.

And so we're in a much better position. The growth in the order book gives you an indication of where the market will be. We have, of course, whole of Q1 in terms of prod uct book and bill as long as they are smaller turbines and part of Q2 also. And for the aftermarket, we can go little up to Q3 in terms of book and bill. And the enquiry book was quite robust. So we're quite confident in the growth.

In terms of p inning me down on a specific number, I think I would be suffice to say that the growth will be quite robust. Our earlier guidance is something that I'm not going to retract it will be that at least. So that's something that we look at. Margins are something that really, like I said, there's no pressure on margins. There's always a need for us to better it, I agree. But at this point in time, what we would rather do

is take market share, get more presence locally. We need to get more manpower, which doesn't pay off immediately. So that will be adding to our overhead s. There are certain costs that will go up also, but margin is not really a concern based on the fact that we know what the margins that we've taken our o rders on

, we've locked in a lot of our costs. And we're quite confident for the year to come.

Moderator: The next is question from the line of Rakesh Roy from Omkara Capital.

Rakesh Roy : Regarding the aftermarket, you have mentioned two parts like a par ts sales and refurbishment. Sir, can you highlight on refurbishment market, how much on the market side, domestic is normally and where we are?

Nikhil Sawhney: Yeah. You don’t see the point of refurbishment is that it's a very large market, both on the sector of scope, scale , and value. So, when we look at refurbishment, it is a refurbishment of rotating equipments, including steam turbines, which is where we are an OEM. An d it would move anywhere from lower value addition works such as overhaul all the way up to upgradation and energy enhancement.

So, the value chain is quite large, and it's usually undefined. What we can say is that approximately 50% of the market is ca tered to by OEMs and 50% of the market is catered to by non -OEMs. So, there is significant growth possible . And India it is really an undefined , as to how large the market is for third -party services. We don't have any companies out there offering in ter ms of third -party basis. But this market exists in many other places, and it's a very robust market, especially in the gas turbine space. So, if you look at the gas turbine space offering this on a third -party basis, it's quite a large market, and that's largely centered around the more developed economies.

Rakesh Roy: Okay sir. Sir, my next question is, can you give you the break -up of the order book in this sector ?

Nikhil Sawhney : Yeah, unfortunately w e don 't give that degree of data because it's not relevant, I think. You know the industry that we get it from. And I think that's reflective of the fixed capital formation in the economy. Sectors such as distilleries continue to outperform. We see good growth there. There's a good demand, which i s backed by the Government push. You have certain commodity -based industries , which have a commodity pricing upswing, which are doing well, including paper.

You have markets on the recycling side of recycling paper as well as plastic, which is doing w ell. You have a few orders which we're very

happy about, which are coming through in the municipal solid waste incineration space , it is something that is quite encouraging that local municipalities are taking this problem seriously. We have waste heat recovery orders which come from both cement and steel. And you have orders on the chemical space as well, which is reflective of demand. In general, we also have some food processing orders also.

Rakesh Roy : Right sir. Last cou ple of questions. I'm just t rying to understand, your aftermarket sales increased from 27% to 33% of revenue ?

Nikhil Sawhney : Yes.

Rakesh Roy : Yeah. So, year -on-year. But sir, the margin is flat. EBITDA margin. So what am I missing here ?

Nikhil Sawhney : Like I just explained, so one of the reasons is that this large order that we have from the SADC region is something that is, I think, overall margin dilutive to the aftermarket business. But if you look a s a company overall it's a strategic area that I think that we would like to be into , that allows us to move up the value chain once we are locally present in a certain area. Through this current offering we have over a thousand people who ar e subcontracted through us. And so, we have a very large local presence without much liability, but a large local presence, which allows us to gain the confidence of local customers, and that will pay off in many different ways.

Moderator: The next question is from the line of Prolin Nandu from GMO.

Prolin Nandu : A couple of questions from my side. In the past calls, when we had a very robust order book, we had a visibility in terms of revenue for more than a y

ear, right? Because our enquiry pipeline was also strong. Now in this quarter, you have mentioned that the enquiry pipeline attrition in the domestic market is seeing some weakness. So h ow important is it for our overall consolidated business for the enquiry pipeline in the domestic business to again see some growth, right? Can you give a little bit more colo ur?

Nikhil Sawhney : Even though we've seen a degrowth in the domestic enquiry inflow that is from private sector. When you include Government tenders or PSU tenders, the market is much, much higher. The fact is that it's just because those are binary events of winning and lo sing, we don't need to include them in our enquiry book. But if you include that, actually, the Indian market is actually quite robust. You definitely see growth in the market going forward.

Our end order book, as I suggested, ha s nearly 90% of the orders will be executed in FY 24, 10% will go on to FY 25. But that's normal for any year. More than anything else, the enquiry, the order booking that we've had in Q1 till date , because it's already a late Board meeting that we're having, is very robust which gives us full confidence for the growth in this financial year.

Prolin Nandu: Sure. And have we in the past participated in Government tenders? And what could be our c onversion rate for these tenders? And would this be at a similar margin compared to the private sector?

Nikhil Sawhney: The margins are not dilutive. We don't price on a differential basis, maybe slightly higher than regular margins, I think, in the domes tic market. But I think we have a very good percentage of winning Government tenders, but they aren't very often. We may bid one every couple of years or tw o-three years. Prasad, would you like to add any colour on this?

S. N. Prasad: Yes, sir. In the Government tenders, yes, these are large scope tenders. So yes, the margin wise, there's no different strategy we adopt. The margins are quite good. And these are on a time -bound projects, sometimes we see sudden delays in finalization . That is the reason we are not considering in this 9 GW enquiry pipeline. But as and when this comes into finalization phase, again, based on the competition and all, winning or losing that time we take. But based on the historic data, whenever we participated in the se tender s, we have got good success.

So, we are hoping towards that.

Nikhil Sawhney: I think Prasad is saying that, usually, we win if we participate.

Prolin Nandu: That's very encouraging. And one last question would be, again, on th e international , where you are saying that our visibility is slightly lower, and that's why we want to probably form a subsidiary which can probably help us increase our brand prese nce. So is there any niche segment where our visibility is lower because what I would have thought is that in typically your B2B business, you would have to probably execute a few orders, prove our mettle and then probably we will get visib ility.

Nikhil Sawhney: Visibility is a different problem than branding and perception. Visibility is the issue of being able to be close to the customer to make sure that they're able to get an enquiry out of them. That is a physical sales -led effort, which is backed by agents to be able to provide that visibility. The intangible of being able to have a better perception is something that we need to work on from a branding perspective. But we need to

do it at a low cost and something that we think w ill be manageable and controllable by the company.

Moderator: The next quest ion is from the line of Devang Patel from Sameeksha Capital.

Devang Patel: On the overseas business that we have, could you give some more colour on what is the contribution we get from different regions or continents or maybe de veloped markets versus others ?

Nikhil S

awhney: The nature of the product is that it is customized. Because it's customized from a performance perspective, it's customized from an order scope perspective also. So , the scope can include and exclude certain things based on how the customer is looking at it. In general, the more developed the markets , the higher the specifications , and the higher the specifications, the higher the margins. In less develop ed market, lower the specifications and lower the margins. This is the generic, not only into our business but to every business. And so , you can see from orders to orders that certain industry is also different.

So, for example, a high -tech industry in India would give you the same margins, but a low technology industry in India would give you low er margins. Would it be different from a low technology business internationally? It's more comparable industry to industry in terms of the technology deployment than it would be from geography to geography. But geography also gives us a good estimation. The fact is that in Europe, we see demand coming from areas such as solid municipal waste incineration and renewable energy, where the end demand from the customer is our pr oduction. And so , when efficiency matters to such a large degree, I think you have greater flexibility in pricing. When the turbine requirement is more from a perspective of just providing steam to a process in a low -tech industry, the price is a very impo rtant factor in consideration. So therefore, margins are lower.

Devang Patel: I was also trying to get a sense of what is the revenue contribution we get from Europe, North America versus Africa, South America developed versus less developed countries?

Nikhil Sawhney: Unfortunately, we don't give that breakup because it changes so consistently every year. Like I told you, we sold to 27 markets last year and 22 the year before. We have a total installed base in over 75 -plus countries , and we've sold turbines in over 80 -plus countries. So very frankly, it's difficult for us to ascertain anything out of it. And so , we are sort of reluctant to give that information because we don't think it could be meaningful.

Devang Patel : Okay. And generally, when you say we have a lot of headroom for growth in our export business , from which continent will this come from?

Nikhil Sawhney: In general, where the size of the economy has determined, the capacity for fixed capit al formation and our product fits into the fixed capital formation part of an economic growth. So , the larger the economy, the larger the contribution to our enquiry . But the confidence we get is because our enquiry book is somewhere in excess of 9 GW, this provides us ample opportunity for us to approach it, and a significant portion of it, of course, as you would imagine is from the export market. And so that's how our confidence that we get for growth.

Moderator: The next question is from the line of Bimal Sampat , an Individual Investor.

Bimal Sampat : Yeah, a few months back, we were talking about supercritical turbines. And we were looking at another similar or adjacent product line. Now that I'm seeing that we are doing very we ll in refurbishment and API turbines, which is a very vast market, and it is very profitable. So , are we now going to concentrate on these two markets before looking at anything else for the next 2-3 years?

Nikhil Sawhney: You're right on one aspect, the fact that we're seeing good growth. And so, our priority is to capture that first . Are these developments and product developments that we talked about, are they put on the back burner? No, not at all. T hese are something that we continue to invest in. They just don't take prominence because I think much more immediate efforts that would reflect on results more in the short one, two, three -year time frame. These product developments w il

l go into the market. They are already being piloted in different ways. Some technologies have somewhat of a cost opposition .

But those are things that will get sorted out over a period with volume. But in ge neral, they're not dropped off the list. It's just a question from a priority perspective, they just don't make it to highlights of talking on these calls.

Bimal Sampat : Okay, and next two, three years , no major CapEx will be there because I mean, your capacity is sufficient for this ?

Nikhil Sawhney: You see, the thing is that like we've always said, and I alluded to in my opening remarks that I think our internationalization is not as quick ly as it should be. We are getting international orders, but the internationalization of the Company is a little slower than what we had expected. And so , to that extent that we can be closer to customers, we are going to continue to push for that. Would that require CapEx ? Possibly . How much of what we look for ? We will get back to you after taking it to the Board. But as you could see from our investment in South Africa, these are not significant investments and pay back quite quic kly.

Bimal Sampat : You have a very good market and a very good sector . Congratulations and all the best.

Moderator: The next question is from the line of Amit Anwani from Prabhudas Lilladher.

Amit Anwani: Just small question on exports. Obviously, you highlighted about a lot about it. What is our target for contribution from export? And second thing, you mentioned about penetrating to new geographies. So , if you could just throw some more colo ur on which geographies and what kind of industries you are looking into these geographies, or something on that?

Nikhil Sawhney: So, let me take your second question first the way I understood it. The geographies that I think are very attractive to us are the geographies that are growing, which is essentially North America and Southeast Asia. For our segment of growth, we see something like the Inflation Reduction Act being a real propellant for growth in the renewable energy space, something that we would like to have a good share in terms of the products that a re sold and the demand. Similarly, with Southeast Asia, the demand would be driven not only in terms of the renewable energy, but also for industrial CapEx and we think that we'd like to be part of that.

Amit Anwani: And target for export s.

Nikhil Sawhney: Target export. If you look at it, that over 70% of our enquiry book is from the export market that gives you an indication as to where our growth will be going forward. Of course, from a margin perspe ctive, it's much better. We think that it's important for us to have a high market share in India, and we'll always take that so as to ensure that we have good control over that supply chain and cost structure and keeps us getting grounded in terms of pricing and it allows our engineering to continuously value engineer to take costs out.

So, from the export market as a percentage, I think we had 45 -odd percent in our turnover. I would think that that was pushed significantl y by the ove rhaul order that we had from Southern Africa. But going forward, we would anticipate more than 50% in the short to the medium term and in the longer term, significantly higher than 50% coming from the international market.

Amit Anwani: If you could just also mention how much number of turbines, we did in FY 23 versus FY 22 if it is possible for you to share?

Nikhil Sawhney: Arun, would you have that data?

Arun Mote: Yeah. We have produced about 190 turbines. And some of them were recognized as revenue s, others were in transit.

Nikhil Sawhney: We have a lot of inventory, which is in transit.

Arun Mote: Yes. That's right.

Amit Anwani: Sure , and th is is how much versus FY 22, percentage -wise

?

Arun Mote: It would be roughly about 70 -80% more. In FY 22, we made 116 turbines.

Moderator: Thank you. Ladies and gentlemen . As there are no further questions, I now hand the conference over to management for closing comments. Over to you, sir.

Nikhil Sawhney: Thank you, ladies and gentlemen for participating in our conf erence call. We've had a record year in every manner. The team has worked very hard, and we anticipate another record year in FY 24. And we look forward to engaging again with you at the Q1 results. Goodbye.

Call: Aug 2023

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Triveni Turbine Limited
Q1 FY 24 Earnings Conference Call Transcript
August 2, 2023

Moderator : Ladies and gentlemen, good day, and welcome to the Triveni Turbine Limited Q1 FY 24 Earnings Conference Call. As a reminder, all participant lines will b e in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Pleas e note that this conference is being recorded.

I would now like to hand the conference over to Mr. Rishab Bara r from CDR India. Thank you and over to you , sir.

Rishab Barar: Good day, everyone, and a warm welcome to all of you participating in the Q1 FY 24 earnings conference call of Triveni Turbine Limited. We have with us today on the call, Mr. Nikhil Sawhney, Vice Chairman and Managing Director; Mr. Arun Mote, Executive Director; Mr. Lalit Agarwal, Chief Financial Officer; Mr. S.N. Prasad, President, Global Sales - Products; Mr. Sachin Parab, President, Global Sales - Aftermarket; Ms. Surabhi Chandna, Investor Relations and Value Creation, along with other members of the senior management team.

Before we begin, I would like to mention that some statem ents made in today's discussion may be forward -looking in nature, and a statement to this effect has been included in the invite, which was mailed to everybody earlier. I would also like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner.

We will start this call with opening remarks from the management, following which we will have an interactive question -and-answer session.

I now request Mr. Nikhil Sawhney to share some perspectives wi th you with regard to the operations and outlook for the business. Over to you, Sir.

Nikhil Sawhney: Thank you very much , Rishab. And a very good afternoon to all our participants on this call . It with great pleasure that I have to share w ith you the results for Q1 FY 24 and as you may have seen from the releases to the Stock Exchange s that we have had another record quarter.

In the first quarter of this financial year, Triveni Turbine s has delivered not only a record turnov er, but also record profitability, both at EBITDA as well as PBT levels, but also a record closing order book. The momentum in the revenue growth has remained strong during the quarter with a 45% growth in turnover over the previous year in the corresponding period.

The Company has made a concerted effort over the last few years to expand its international presence , as well as enhance its aftermarket portfolio, which you could see is already paying fruit in our execution. The efforts continued to yield results and the same was witnessed during the quarter with EBITDA and profit after tax registering higher growth of 50% and 59% respectively as compared to the previous corresponding period.

Robust order booking of ■ 4.53 billion was our order booking in the first quarter of financial year FY 24 , an increase of 26% y-o-y and that led to a record outstanding carry -forward order book on June 30, 2023 of ■ 14.05 billion, an increase o f 31.4% y-o-y.

Investments , including cash at the end of the quarter were at ■ 7.47 billion, an increase of 11.3% from March 31 , 2023 .

On the ordering and order book , we are enthused by the order booking in the international markets during the quarter. The team has done a fantastic job in terms of reaching out to newer customers and newer geographies, and in terms of being able to penetrate into newer markets , as well as get more orders from existing customers , which already en hances our already high repeat customer base.

The international market during the quarter grew by 128% and contributed to more than

half, actually 53% of the overall order
booking . The progressive improvement bodes well for future sales, and

a health y mix uplifts the profitability along with creating more future business opportunities for the Company .

The product demand remains robust in both the domestic and global markets. Our wide geographic reach is captured in our order booking in the quarter, where we received orders from Europe, Southeast Asia, Africa and the Americas. Both industrial and API drive turbines contributed to these orders.

The product order booking for the first quarter increased by 20% y-o-y to ■ 3.08 billion, with demand from a diverse set of industries such as sugar , distilleries, steel, independent power producers, oil and gas, to name a few.

And despite the macroeconomic concerns, the Company boasts of a robust enquiry pipeline , which increased on a global level by 22% y-o-y in the first quarter, with a noticeable improvement in the domestic enquiries as well, which improved by over 56% in the current quarter .

Coupled with contribution from orde rs in the SADC region was servicing utility turbines , order booking for the aftermarket segment grew by 43% y-o-y to ■ 1.46 billion during the first quarter of FY 24 . At the end of the quarter, the Company had a record closing order book, as I had already said of ■ 14.05 billion, an increase of 31%.

Export sales grew at 88% during the first quarter and the contribution to overall sales inched up to 48% as compared to 37% in the previous corresponding quarter.

Our aftermarket business has been expanding its horizons through a wider array of customer solutions, going beyond industrial steam turbines to o ther rotating equipment while expanding its global footprint. As a result, during Q 1 FY 24 , aftermarket sales grew at a remarkable 91% over the previous corresponding period and contributed to 34% of total sales, up from 26% at the same time last year. The segment has been focusing on driving growth in the higher value -added components such as refurbishment and garnered good success in upgradation and efficiency enhancement orders in the quarter under review.

As far as technology and R &D goes, Triveni Turbine s prides itself as being a technology -focused and a technology -first company, and in that regard, the Company 's global focus and outreach are evident in its constant effort to file for patents and industrial design registrations in

various international jurisdictions, while simultaneously expanding its intellectual property portfolio in India.

The Company has filed in excess of 330 Intellectual Property Rights (IPRs), and it continues to enhance its product portfolio an d research efforts on a quarterly basis. As a forward -thinking organization, Triveni Turbine s remains committed to spearheading this energy transition through research and development, and we believe these efforts will continue to drive sustainable growth for the years to come.

This includes research not only on our current range of products to enhance efficiency and to cater to niche applications, but also in newer areas , which we've talked about in the past, such as our research into carbon dioxid e (CO_2) based applications . As we look forward , as I've already indicated, our enquiry book remains robust, which gives us visibility into order booking in the next several quarters. The team remains committed to continuing the growth path t hat we had in the previous year. But this is all backed by the market segment in which we play.

If we look at it from the perspective of industrial heat and power solutions and decentralized renewable energy solutions, this is the name of the game as we speak today . Of the total global primary energy demand over 50% of demand comes from the requirement of heating and cooling and we believe that 25% of that of heating and co

oling requirements comes from industrial uses, which is exactly t he space , in which T riveni Turbines provides its solutions.

So, with that, ladies and gentlemen, I'm happy to take questions.

Moderator: Thank you very much. Ladies and gentleman, we will now begin the question -and-answer session. We have our first question from the line of Ravi Swaminathan from Avendus Spark . Please go ahead.

Ravi Swaminathan: Very good afternoon, Sir. Congrats on a very good set of numbers. My first question is wi th respect to the API business, what is the progress there in terms of reach, in terms of customer addition, in terms of that as a proportion of the overall business? Where do you see it over the next two to three years, if you can give more clarity on tha t would be great.

Nikhil Sawhney: So, ■rstly, thank you. Thank you, Ravi. Yes. We've had a very good quarter and we aim to sustain that for the year, as well as in the future. On the question of API, I'm going to ask my colleague, Mr. S.N. Prasad, to give some visibility. But as you know, we don't provide numbers

around our visibility. Suffice it to say that, as you know, capital investment is lumpy on a quarterly basis. But when we look at it on an annual spread, there is going to be su■cient and substant ial growth. As we've indicated in the past, that we had a negligible market share and we aim to improve that going forward.

Our efforts and endeavo ur in the API market are not only for drive turbines, which have direct applications in terms of driving equ ipment, such as pumps, blowers, compressors, etc, but it's also to provide power solutions with API requirements. So, Prasad, can you provide a little bit of visibility as to both how we see the API market developing in the domestic and internatio nal market, and our reach, and what constraints you may face?

S.N. Prasad: So, API market -wise, today, we have a very strong enquiry pipeline. we are quite positive the way how the enquiry pipeline is growing. And today, acceptab ility-wise, we are accepted as an approved vendor, across the globe, and from many regions, we are participating. As our Vice Chairman mentioned, it is not only Drive turbines. So, we have an enquiry pipeline even on the Power turbines, that’s the power - generating API machines. So, that way, based on enquiry pipeline, we are quite con■dent that things are moving as we anticipated, and we are on the right track.

Ravi Swaminathan: My second question is, with respect to the size of that margin any rough sense sir as to how much could it be from domestic, how mu ch could it be domestic, export or Middle East or something of that sort? Any rough sense?

S.N. Prasad: So, the market size estimates, right now, we are into the market where it is a Drive and Power turbine. So, that's probably, o■ine we'll be able to share that thing , still some of those data points, we feel that a re a little con■dential at this point of time.

Ravi Swaminathan: Okay, Sir. Not an issue. And my third question is with respect to the order booki ng, the domestic order booking had been kind of slightly on a soft er side, is it something that kind of an aberration and the overall trend in the domestic CapEx environment is still strong and this might get common in the subsequent quarters ? Any sense on that?

Nikhil Sawhney: Yes. On your question on the volatility on domestic order booking, as I was suggesting before I got cut off that quarter -on-quarter, you will see certain variations, but the general t rend of both the size of the market, the domestic market , as well as our order booking in the domestic market will improve. So , we are quite confident of our participation

and our market share in the domestic market , as well as the growth of the domestic market. In Q1, the total domestic order booking was in excess of ■ 200 crore , and we

believe that Q2 will present a much better figure.

Moderator: Thank you. The next question is from the li ne of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel : So, just continuing from the previous participant's question, so I think a couple of quarters back , you have mentioned that the meta ls segment has been a bit soft and now in this quarter's domestic order intake, we see that there was a decline at least on the product order intake. So, could you give a sense on how the metal s segment is performing? So , is it that the CapEx has slowed do wn a bit and therefore there is a little bit softness in the demand?

Nikhil Sawhney: No, actually I think it's both from an order booking and enquiry book perspectives. And as we look at Q2, the metal s segment seems to be quite robust. I'll ask Mr. Prasad to give a little bit more visibility around it. But you see large integrated steel manufacturers are really not doing much green■eld, brown■eld expansion. It's more of the smaller rolling mills, sponge iron units, etc., and the smaller integrated facilities that are expanding. So, Prasad, if you can provide some visibility, please.

S.N. Prasad: So, coming to the metal segment, especially our presence is there in sponge iron and pig iron rerolling segment, where again , waste he at recovery is one of the increasing trend s in that segment. So that's why enquiry pipeline , as well as order booking from th is segment. Now , we have not seen any decline in that, and the enquiry pipeline is quite strong , because as these expansions happening in the sponge iron and ferroalloy plants, we are getting attraction of these waste he at recovery opportunities .

Harshit Patel: Understood. Sir, just a follow -up to that, what percentage of steel or cement capacity in India has already got WHR installed? And where do you think that number could reach, let's say in the next three to five years?

Nikhil Sawhney: As we've said in previous calls, typically when cement capacity is established, waste heat recovery capacity is not ordered at the same time. While for steel, usually it is. So, when you have an expansion of capacity on the steel side, you do actually then ha ve incremental demand on waste heat recovery. And so therefore, the growth of the waste heat recovery market for the steel segment is directly

proportionate to the growth of capacity in that industry in terms of output.

At the same time, from the cement s ide, we would imagine that approximately 15% odd to 20% of the cement capacity currently has waste heat recovery installed. But as you would know, the push towards being more energy e■cient and being more aligned towards decarbonization is spurring people to install waste heat reco very in all sectors. That coupled by higher energy prices, makes it very economic for companies to go into these investments.

Harshit Patel: Sure. Sir, my second question is on our South Africa region. I believe last year, we had achieved almost 15% to 20 % of our overall aftermarket orders from this particular segment, from those large utility level customers. So, could you give a sense of, has there been any further progress on that? Any more customers we have been able to capture? Any incremental order f rom the same customer?

Nikhil Sawhney: I don't want to get speci■c about our particular order. But yes, we did report it as a separate item just because it was material enough to be reported in that manner. Also, the cost of that particular order was put in a separate line item and the P&L so as to give better visibility around the overall raw material consumption of the business and also to provide a little bit of focus on how we are controlling costs for this particular order itself.

But as you rightly said, the segment is large in terms of utility turbines, and it provides us with capabilities and refer

ences for us to use in many
different geographies. Sachin Parab is our President of Aftermarket; I'll just ask him to give a little b it of visibility without being too speci■c in terms of which are the orders he is looking at.

Sachin Parab: Yes. To answer your question, the particular market that you mentioned, we are having consistent business growth in that market. So, we are seeing good level of enquiry pipeline, there are increased customers also from the same geography. Besides, this has helped us create references for other geographies and we see a healthy enquiry pipeline build up in other geographies with similar nature of busin ess.

Moderator: Thank you. The next question from the line of Amit Anwani from Prabhudas Lilladher . Please go ahead.

Amit Anwani: My ■rst question is on the exports market, you did mention that there is a robust opportunity, and we are also foc using on increasing orders from existing customers and penetrating into new markets. Just

wanted to understand broadly, and generality, if you can highlight which markets we are targeting to penetrate and which set of segments, customers or products we are looking for better potential in the coming quarters.

Nikhil Sawhney: Okay. As you know, we've always said that our internationalization effort has not been complete or something that we need to put a lot more focus on. But despite that, where we do see enquiries and visibility of orders coming from is in segments around renewable energy power generation, both in terms of feedstock of biomass or solid municipal waste incineration, but also waste heat recovery. And so, segments like this are very pronounced in areas like Europe, which has a very strong capital outlay towards its energy transition. Areas such as Southeast Asia are also a big focus to us, given the growth that is happening in fixed capital formation there, and that is more from trad itional industries, as well as certain renewable energy power generation based on biomass. But for us, a great focus is going to be in America over the next several quarters, just because our penetration level in that market has been limited.

And as we lo ok forward, the U .S. market and North America, which has , in excess of $25 -26 trillion of economic output, has a huge requirement in all segments of growth. Their own push towards the In■ation Reduction Act seems to be spurring fresh capacity ordering for renewable energy power generation, which is really the product that we supp ly. So, from a global perspective, the climate change mandate seems to be bene■ting us in our segment of operation.

Amit Anwani: Right. I also wanted to understand on the other end, you did highlight a strong enquiry pipeline across sugar, distilleries , steel, cement, so any trend you are witnessing, any particular, pockets where we are seeing very strong relative enquiries and any pockets, where we are witnessing orders or something like that?

Nikhil Sawhney: In the domestic market, what we can say is that there hasn't been a sudden spurt in ordering. And so there hasn't been a sudden growth, meaning multiple times ordering, which we may have seen in the past. And so, we see the growth in ■xed capital formation to be much more sustainable going forward. Large industry has not really been ordering to as large an extent, it's been more focused on small, medium enterprises.

And so, we see as India has to add basic capacity from everythi ng from steel, cement, paper, any commodity in the near future that we'll be able to sustain this growth. And I think that it's a much better thing for

the industry in general, both the capital goods industry , as well as the end-user industries, because th ey will have a more gradual capacity enhancement. So , when we look at it, of course, in specific industries, they change from quarter to quarter . But in general, all

sectors need to be represented in our enquiry book.

Amit Anwani: Great. So, is it fair to assume that we'll continue with 25% plus growt h for the next two years, three years and similar margins, or there's any scope of sustainable improvement?

Nikhil Sawhney: I hesitate to give numbers. A couple of years ago, we were asked and hesitantly, we gave a number of growing at over 35% f or FY 23 and FY 24. As our results for FY 23 were already significantly better than that in Q1 FY 24 is already significantly better than that as well. So, we're quite confident about growth. The main thing is that the growth shouldn't come at the cost of our margins. Our margins are somet hing that we have consistently said that we'd like to have a PBT margin in excess of 20%, which is something that we will maintain. And while maintaining those margins, we want to actually drive growth as much as possible. And that will come from all segme nts, new product growth, new product sales, after market segments, both from expanding our traditional s pares and servicing offerings, but also our refurbishment offerings to new areas and new er growth markets, and then establishing newer products marke ts such as API, etc.

So, all in all, I think that we seem quite confident, given our enquiry book, that we will be able to sustain order booking, and our order booking ultimately reflects on our revenue. And as you know, our order book giv es us approximately nine months to ten months of revenue, and so we do have a significant amount of book and bill within the current year. Pretty much all of Q1 comes into billing of a current financial year, and s pares go all the way up to possibly Q3 even, part of Q3. So, there's a lot of book and bill which can come into a revenue of a financial year, which is over and above the order book at the beginning of a financial year.

Amit Anwani: All right, sir. Lastly, on t his SADC, just need more clarification. Last year, we booked about ■ 87 odd crore as a subcontracting expense for SADC, and that impacted our margins by 140 -150 bps. Will this be a recurring expense in coming year, and any ballpark number for FY 24 you would like to indicate ?

Nikhil Sawhney: Yeah. I don't know if we actually gave a definitive cost or number on what we would incur , but we did say this is a large value order, and we were representing it separately, because it not only al lowed us to

enhance our service offering, but also expanded our reach into a specific market. We will continue with this order. And hopefully, we will be expanding the scope of it also, which should have impact on margins positively. But all -in-all, if you look at this particular order in its entirety, and the way that it impacts Triveni Turbine s' margins, we're still comfortable with it. It's a very comfortable margin and something that we feel that allows us to participate with our mandate of ensuring that we have PBT in excess of 20%.

But having said that, our order book, as you know, for the previous year has a higher percentage of aftermarket , as well as international orders as part of it, which both lend to a certain degree of confidence that we will be able to sustain margins if not improve them.

Moderator: Thank you. The next question is from the line of Bhavin Vithlani from SBI Mutual Fund. Please go ahead.

Bhavin Vithlani: I joined a little late, pardon me if this was asked. So, on a trailing 12 - month basis, wha t was the size of market in domestic and international or if you could share what has been our market share numbers domestic as well as international?

Nikhil Sawhney: So, our market share numbers are quite good. They still are maintain ed. Our intern ational market share has gone up obviously, because of our increased order booking. But I did allude to the fact that the market in India has grown somewhere in the region of about 30 - 35% in Q1.

But that really shouldn't be looked at from an annual basis. We think that the annual market growth for Indian steam turbines will be somewhere in the region of about 25 % odd this year.

At the same time, our enquiry book has increased by about 56% for the domestic market in the ■rst qu arter. So , the international market and overall, our enquiry book has grown in excess of 22% that's driven by the fact that the international market is of course , a much larger percentage and a much larger size of our enquiry base . And so, we're quite comforted by the fact that both enquiry books have grown . And so, as you know, it is the international market that provides us with visibility into where we would be able to quote and our percentage of winning orders is muc h better once we actually have that visibility. So , I think that without answe ring a question in terms of speci■c numbers, we do have growth in the market, and we do have our participation at a high level.

Bhavin Vithlani: Sure. So, for just, I mean , I know you mentioned, but indicatively what could be our market share in t he international, not this quarter but if you take on a one -year basis?

Nikhil Sawhney: We have to look at the constraints of the fact that we don't participate in the Chinese market or the Japanese markets, which are both large markets, of course, China being very large. We have limited presence in the United States. And so, when we do look at market share with all the constraints put out, as well as the fact that there's no formal reporting of orders, and so we're reporting it based on the orders that we are seeing, we would probably have a market share somewhere in the region of about 25 % odd. But that's again, with the constraint of the fact that these are the orders that we are seeing. We may not be seeing a lot of the market as well. And this is exc luding China.

Bhavin Vithlani: I understand. Could you give us some color on headway into greater than 30 (MW) order wins?

Nikhil Sawhney: Of course, we've stopped distinguishing below 30 and above 30, as you would have noticed in our calls . Bu t we have good headway. I'll ask Prasad to give you some direct visibility on where we're seeing this, both in the domestic and international markets and the succe ss that Triveni Turbine s has had . Prasad?

S.N. Prasad: So, 30-100 MW , as our VCM D mentioned that there is no separate treatment we are giving. But anyhow, since the question is speci■c, yes, 30-100 MW , we have a good enquiry pipeline from domestic , as well as international pipelines . So, these 30-100 MW in a speci■c are a, sometimes what happens is a 29 MW enquiry suddenly will shift to 30.1 MW or vice versa. So, that is the reason we don't track. But otherwise, the enquiry pipeline is good and there is an order booking number s also got added into the base.

Nikhil Sawhney: And we are getting orders , Prasad. You should mention that we are getting orders in this case both in the higher ranges of that segment that you talked about Bhavin , and we are con■dent that we will be gettin g more in this space as we go forward.

Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from O3 PMS. Please go ahead.

Himanshu Upadhyay : Hi. Congratulations on great set of numbers. I had a question, which is we've stated last time also that our market share is around 24 -25% in the markets, where we are present or what we are seeing currently also. And we are not present in China and Japan, okay? Wh y Japan?

What are the challenges in the Japan market and its size? Can you elaborate on that?

Nikhil Sawhney: Historically, the fact is that the Japanese have bought Japanese equipment . It's been both a questio n of speci■cation and standardization on documentation , as well as other standards that they have. And i t's something that

we believe is not completely necessary for us to go into for the market itself, but they are Japanese E PCs (Engineering, Procurement , and Construction) that operate around the world , who we do partner with. The Chinese market itself is very insular and the standards that they use our speci■c to standards that only Chinese domestic manufacturers can comply with.

Himanshu Upadhyay : Okay . And see, this refurbishment business and aftermarkets has been growing and we had a thought that once we establish ourselves in refurbishment and aftermarket, we would also start getting more new product orders also with presence in those markets. Is the strategy working? How successful are we with that thought process and what is the way forward? Because 24 -25%, can it be 33 -34% or you need to add some, any more thoughts on that of how to increase the market share?

Nikhil Sawhney: So, our attempt is to win every order. Don't get me wrong. The fact is that our ■rst attempt is to grow our visibility into the market. And so you're partly right about the fact that our refurbishment initiatives have led to greater visibility, which is also most de■nitely leading to product orders. But the product orders are also coming because, over the last couple of years, the market has also expanded, both from a perspective of ■xed capital formation in the industry, but also renewable energy powe r solutions. So , both have led to growth. And our market share is something that, well, there is a time lag, as you would always imagine, between getting orders and refurbishment , executing them, building credibility and trust in a speci■c region, and then getting product orders. This is not a quarter -by-quarter type of con■dence that you can give. It happens over a longer period of time. Suffice to say that, yes, the strategy is working. But, we need to do more. So, there is more to do. There is more that we need to do to internationalize . There is more that we need to do to be closer to customers . There is more that we need to do to enhance our product platform and technology . And so, we ar e enhancing our capabilities on the manpower side in terms of adding more people to aid in this endeavo ur.

Himanshu Upadhyay: Okay. This refurbishment market would be multiple of what the new product market would be overall?

Nikhil Sawhney: A refurbishment as a business, it means third party services and for us that's third -party rotating equipment services. It's sort of like a very, it's a very unde■nable market, which is massive, you coul d consider everything from utility turbines to compressors to gas turbines, which may technically be under the mandate of our business.

So, a market share in this space is meaningless for us to consider. What is more important is the capabilit y that you have to execute these orders, how close you are in terms of both proximity as well as technological alignment with customers to be able for them to have the con■dence to place these orders on you. And so, we have to enhance our capabilities, which is not always in the physical asset side, which on the refurbishment side. It has a play in terms of having people physically present , as well as technology and other aspects of branding as well.

Himanshu Upadhyay: No, see, my question was, is the refurbishment product or the size of the business opportunity signi■cantly larger than the new pro duct sales also globally ?

Nikhil Sawhney: Yes. That's what I'm trying to say. The fact is, it may be thousands of times larger, hundreds of times larger.

Moderator: Thank you. The next question is from the line of Bimal Sampat , an Individual Investor. Please go ahead.

Bimal Sampat : Yeah. Good afternoon. I joined a little late. So, two things I want to understand. One is we are talking about future focus in USA . So, is it for product also or only for refurbishment? And

s econd thing, like South Africa, we are very successful. Do we ha ve in the immediate future, say next one year, have we ■nali sed any other location for establishing a setup?

Nikhil Sawhney: Very good question. Very frankly, the Board has not taken any decision on any speci■c capital investment anywhere . But as manag ement and as a Board , we do continuously look at the routes for international expansion for the Company . And internationali sation of our efforts is something that is paramount in all management within Triveni Turbine s. The U .S., as well as other markets, are focus for us. I just pointed out that the U .S. in speci■c, because it's a very, very large market, and it has many good things going for it in this current point in time. As you would imagine, as I said, our install ed base in the U .S. is really not very large. And so therefore any entry strategy like we did in South Africa would base itself on refurbishment. But the premise

would be that product sales would follow very quickly also. Does that answer your question?

Bimal Sampat : Yeah. And I mean, other than USA , which other, Europe we are concentrating or we are concentrating on Africa, or, Asia?

Nikhil Sawhney: The global market is very large as you imagine and there are many areas that you've already spoken of, which are priority areas for us. Given the grow th that we have as a company of 45% odd on a quarterly basis, there is a limit to what the management can do. And so, we have to be more focused. And so right now, we evaluate many different markets. The question is, how quickly will those tr anslate into results is what is most paramount.

Bimal Sampat : Right. As a shareholder, I'm very happy with the decisions you are taking, very conservative and very focused. And just one last question that now, again, our cash reserves are building up, so any guidance?

Nikhil Sawhney: Yes, let me put this in perspective for you, last time we did a buyback and that was something that w as appreciated by shareholders, we did receive comments on that. Currently, as I pointed out our cash reserve is somewhere in the region of ■ 747 crore , but as a Company that operates on negative working capital, we have about ■ 400 crore of customer advances as well.

We take a prudent view that right now really cash isn't a problem, we have a payback policy to shareholders , which we aim to maintain to ensure that we are giving a percentage of our pro■tability back, and we aim to maintain that, there is no change in policy. Whether it is buyback or how , the Board will have to decide what is the route.

Moderator: The next question is from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: Yeah. Hi. Nikhil, I just have two questions . Firstly, did you say, in FY 24 we expect around 25% growth in above 1 MW market domestically?

Nikhil Sawhney: Well, ■rstly, hi, Amit. No . I said that we are looking at the Indian market growing over 25%. Our order book is out there for you to see. So, how it will be executed.

Amit Mahawar: Sure . Fair, fair. And secondly, the aftersales, it's really heartening to see after a couple of years, the run rate has changed to almost double quarterly aftersales orders. What is the current market share we would

be having in the global aftersales market and what percentage of total business is non-Triveni turbine s?

Nikhil Sawhney: Well, as you know, global aftermarket is not a market that we track from a competitive viewpoint , because very frankly, from our own installed base of spares and ser vice, we do tend to provide solutions on the aftermarket side, to a majority of these customers, and nearly all of them. So that is not a concept of market share, but it has been growing given the fact that you do have an increased installed base. So, as our installed base grow

s, the spares and servicing grows by itself. Refurbishment, which is our third -party service offering as a percentage of total aftermarket sales has also been growing, as you would imagine.

Certain orders, such as what we took in the South African development region, et c., have spurred on the refurbishment business, which we always felt was a growth area for the Company , because of a really unde■ned and a very, very large end market. So , we aim to cont inue that strategy of increasing refurbishment as a percentage of aftermarket. At this point in time, we really don't split the data to give it to you, but it is substantial, and we aim for that to grow very rapidly. Does that answer your question, Amit?

Amit Mahawar: Yeah. That’s helpful. I mean maybe, so what's the sales force and the employee base outside India for us, including the service network?

Nikhil Sawhne y: We don't actually give that , something that is what we will be growing quite substantially going forward. That is our focus, both in terms of having Indian personnel and Indian citizens , but also ex pats.

Moderator: Thank you. The next question is from the line of Mahesh Bendre from LIC Mutual Fund . Please go ahead.

Mahesh Bendre : Hi, Sir. Thank you so much for oppo rtunity. Most of my questions have been answered. Just one question. So, what kind of growth we are anticipating in the international market for this year?

Nikhil Sawhney: Unfortunately, we don't give speci■c data . But as you see, the track record of what we have for Q1 is something that we would aim to maintain. We see the international market adding substantially to our growth going forward. But having said that, with one month of Q2 having gone by, our product ordering and aftermarket ordering in the domestic market has also been very good.

So, both seem to have a market , which is acceptable to our product offering and service offering. Just to put it in a little bit of an idea as to why the market exists, and it's really understanding that the concept of industrial heat and power is a distinct segment , which really cannot be disrupted by wind and solar, because to produce heat through electricity is a very expensive form.

And so, we tend to look at primary energy consumption on a basis of exajoules, and if you look at it from a global basis of about 600 exajoules of primary energy demand, India currently has a demand of somewhere in the region of about 36 o dd exajoules as of 2022. And i f we see that going to about 50 exajoules in the next ■ve years, what you ■nd is that , remaining 14 GW, approximately 60% of that is going to be in the need for heating and cooling.

And so, electricity really isn't the correct form of doing it. We ■nd that we're in the right space to be able to provide this solution to both domestic and international clients. And this is only reinforc ed with the push towards energy transition and climate change.

Mahesh Bendre: So, on a qualitative perspective, is it fair to assume that growth in international business could be faster than the domestic?

Nikhil Sawhney: Yes. We believe that would be the long -term trend for sure. Quarter - to-quarter, it will depend on where orders come from, but the lo nger - term tra jectory is de■nitely that international as a percentage of sales and order book would be higher for Triveni Turbine s. But this is not to take away from the fact that we aim to mai ntain our market share in India. We are just being conservative and we think that the Indian market will grow at a steady pace rather than growing very quickly as happened in the 2008 -2011 time.

Moderator: Thank you. The next question is from the line of Mythili Balakrishnan from Alchemy Capital . Please go ahead.

Mythili Balakrishnan: Thank you for the opportunity. A couple of questions here. I wanted to check with you on your market share

in India and also, like, what are you seeing in terms of the competition in this particular market?

Nikhil Sawhney: So, our market share historically has been very good. We've re■ected this as a duopoly market in a majority of customer requirements and applications. There are a number of players in the market.

The competitive intensity is something that is the same. We haven't seen a change for a number of years. So, we're quite comfortable with

where the comp etition sits. There is intense competition, don't get me wrong. The fact is that price competition directly as the market expands becomes a little bit less. But I think, for full year ■nancial year FY 23, we ha d a market share somewhere in the region of about 45 - 50% for the entire market up to 100 MW . Historically, in the market below 30 MW , we had a much higher market share and we aim to continue with that trend. We don't see things changing fundamentally.

Mythili Balakrishnan: Okay. And also, in terms of this API business across both the ones that you mentioned, Power and Drive, could you just help us understand how much percentage of your order book is sort of coming from this kind of a business and also some of the newer products that you had mentioned earlier, which is your carbon dioxide cooled turbines, et c.?

Nikhil Sawhney: No. The carbon dioxide is more research right now. We will have to provide some more visibility in the next several quarters as to where that business sits, and how we see our strategy playing out there . We are very con■dent that it will have a distinct value proposition and something that can be taken to market quickly.

On the API demand as a percentage of sales, unfortunately we don't break that up, but su■ce to say that it is a large market and it's a market that we have a dedicated focus on. We think that this is a market of high speci■cations . And so therefore it's a market that us allows us to exhibit our true characteristics as a technology provider. And it is, of course, therefore, a high er-margin product. So, we're quite happy with that space and something that Prasad answered a little while ago, when another participant did ask the same question.

Mythili Balakrishnan: But, would it be, say, 5 -6% of our sales currently ?

Nikhil Sawhney: Yeah. It would probably be single digit .

Mythili Balakrishnan: Single -digit. Got it. And my last question was on the CapEx, which is that we added one bay, I believe, at our Sompura plant. But given the kind of demand that you're seeing, etc., are there plans to sort of add more or look at increasing capacity further?

Nikhil Sawhney: Let me ask Arun Mote, our CEO and Executive Director to answer that question. Arun?

Arun Mote: Yeah. You're right. We added one extra bay at our new facility at Sompura. It is fully operational, and we can cater to about 300 -plus turbines very easily, and that is also more ■exible, so as far as the assembly capacity is concerned, we don't expect any issues, and we

have our other subcontractors and associates , which are also augmenting their capacity in line with this. So, capacity will not be an issue for many coming years, at least fo ur, ■ve years.

Mythili Balakrishnan: Correct. And in terms of then this year and the years, at least for the next three, four years, we can expect only to have maintenance CapEx on as far as the Company is concerned?

Arun Mote: Yeah. There will be no major CapEx on this unless we get into some new product line, which we really can't say today, there would be no major CapEx.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I would now like to hand the conference back to the management for their closing comments. Thank you and over to you all.

Nikhil Sawhney: Thank you very much. Thank you, ladies and gentlemen for attending the Q1 FY 24 c

all for Triveni Turbine s. We've had a very good quarter and we aim to sustain this growth. Thank you.

Moderator: Thank you. On behalf of Triveni Turbine Limited, we conc lude today’s conference. Thank you all for joining us . You may now disconnect your lines.

Call: Nov 2023

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Thru: NEAPS
STOCK CODE: 533655
STOCK CODE: TRITURBINE
Sub: Transcript of Analysts/ Investor's Conference Call

Dear Sirs,

Pursuant to Regulation 46 of SEBI (LODR) Regulations, 2015, please find enclosed transcript of the Analyst/ Investor Conference Call held on 2nd November, 2023 post ann ouncement of unaudited financial results of the Company for the Q2 & H1 FY24 ended on September 30 , 2023. The transcript is also available on the website of the Company at: https.www.triveniturbines.com .

You are requested to kindly take the same in your r ecord.

Thanking You,

For Triveni Turbine Limited

Rajiv Sawhney
Company Secretary
Membership No A 8047
Encl : As above
RAJIV SAWHNEYDigitally signed by RAJIV
SAWHNEY
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Triveni Turbine Limited
Q2 & H1 FY 24 Earnings Conference Call Transcript
November 02, 2023

Moderator: Ladies and gentlemen, good day and welcome to Q2 and H1 FY 24 Earnings Conference Call of Triveni Turbine Limited. I now hand over the call to Mr. Rishab Barar from CDR India. Thank you, and over to you.

Rishab Barar: Good day, everyone and a warm welcome to all of you participating in the Q2 and H1 FY 24 Earnings Conference Call of Triveni Turbine Limited.

We have with us today on the call , Mr. Nikhil Sawhney, Vice Chairman and Managing Director; Mr. Arun Mote, Executive Director; Mr. Lalit Agarwal, Chief Financial Officer; Mr. S. N. Prasad, President, Global Sales - Products; Mr. Sachin Parab, President, Global Sales - Aftermarket; M s. Sura bhi Chandna, Investor Relations & Value Creation, along with other members of the senior management team.

Before we begin, I woul d like to mention that some statements made in today's discussion may be forward -looking in nature, and a statement to this ef fect has been included in the invite, which was mailed to everybody earlier. I would like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner.

We will start this call with opening remark s from the management, following which, we will have an interactive question -and-answer session. I now request Mr. Nikhil Sawhney to share some perspectives with you , with regard to the operations and outlook for the business. Over to you, sir.

Nikhil Saw hney: Thank you very much, Rishab. A very good afternoon to all the ladies and gentlemen joining this call. It is my privilege to be talking to you today for the Q2 & H1 FY 24 results for Triveni Turbine Limited. It is a very good day. The quarter and half -year ending September 30, Triveni Turbine has reported yet another strong set of results across all key metrics of revenue, profitability as well as order booking

.

Again, we have our highest ever quarterly revenue a nd EBITDA, along with a record closing order book, keeping the growth momentum over the last 2-3 years. We had a revenue of ■ 3.88 billion in the second quarter, an increase of 32% y-o-y. And we also had the highest ever EBITDA at ■ 889 million in Q2, up 34% with a margin of 22.9%, an increase of 25 bps y-o-y.

PAT for the quarter at ■ 640 million was an increase of 38% y-o-y with a margin of 16.5%, an increase of 70 bps y-o-y. We also had a robust order booking of ■ 4.59 billion in the second quarter, an increase of 27%. For the half year, again, we had a record revenue of ■ 7.64 billion, an increase of 38% , as well as our highest ever EBITDA of ■ 1.73 billion, which was up 41% with a margin again, of 22.7%.

PAT for the half year was at ■ 1.25 billion, which is an increase of 48%. And the order booking for the half year was at ■ 9.12 billion, which was a 27% increase y-o-y.

The record outstanding carry forward order book as of the 30th of September was ■ 14.76 billion, an increase of 30% y-o-y, which positions us very favorably for the coming quarters , as well as for the next year.

Our robust cash generation, as you would have seen from the balance sheet, which has been circulated to SEBI and to the stock exchanges, has now an investment portfolio at ■ 8.32 billion, an increase of 24% on the 31st of March 2023. And our reserves now are the same as what they were at the sam e time last year, which is prior to ■ 240 crore buyback (including taxes) .

We are sustaining on our long -term growth strategy, which is to expand our presence in international geographic markets , while at the same time, expanding our product as well as service portfolios. The strategy seems to be working out consistently for us and we see a good visibility to sustain our growth momentum.

Beyond the growth that I've already talked about, some of the key highlights are tha t exports as a contribution of sales has increased to 47% from 41% in the H1 FY 24 versus H1 FY 23 . And aftermarket as a percentage of sales has contributed 33% in H1 FY 24 as compared to 25% in the same corresponding period of last year.

Speaking about order booking, our order booking for Product segment grew by 12% to ■ 3.06 billion in Q2 FY 24 . And for the half year, it stood at ■ 6.13 billion. Demand from secto rs such as sugar, distillery, steel, oil

and gas, have also contributed to this growth. Both industrial as well as API drive turbines are contributing to these orders.

Despite the global turmoil, we remain positive on our growth prospects in the medium te rm and have good visibility of underlying demand through our robust enquiry book, which has increased 33% y-o-y in the first half of FY 24 , with a healthy contribution from both the domestic , as well as international enquiries .

In the Aftermarket Segment , order booking grew also very impressively at 73% for the quarter to reach ■ 1.53 billion, translating to a 57% growth to ■ 2.99 billion in the first half. There has been a strong performance both in the domestic and international orders coming from efficiency upgrades , as well as automation. The Aftermarket business has been expanding its horizon s through a wide array of customer refurbishment solutions, going beyond industrial steam turbines to other rotating equipment while expanding its global footprint. We are progressing well on this front, and we will keep enhancing the addressable market for this lucrative and niche segment .

Combining the two segments, overall, the order booking for the quarter and the half -year period registered growth of 27% to reach ■ 4.59 billion and ■ 9.12 billion, respectively. Contribution of exports to order booking was considerably higher at 49% in the first half of FY 24 versus 40% during the same period last year, which bodes well for the future, both

in terms of our product mix , as well as margins.

During the quarter under review , revenue from operations grew by 32% as compared to the previous year to ■ 3.88 billion, which is the highest ever achieved in a quarter. The growth is well balanced between both domestic , as well as international revenues. Domestic sales increased 29% to ■ 2.12 billion while export turnover increased by 36% to ■ 1.76 billion. This is, of course, a consequence of the order booking of the previous year. The mix of domestic and export sales was at 55 :45 for the quarter , broadly similar at 56 :44 in the previous corresponding quarter.

The Product segment turnove r was ■ 2.68 billion during the quarter, an increase of 20% over the previous year, and the Aftermarket segment grew handsomely at 71% to ■ 1.2 billion during the quarter. For the half year, revenue from operations grew 38% y-o-y to ■ 7.64 billion, which is a record for the company and domestic sales increased 25% to ■ 4.07 billion. While export turnover increased by 59% to ■ 3.57 billion . As mentioned earlier, for the first half, the mix of domestic and export sales improved consider ably in favor of exports.

The Product segment turnover was ■ 5.15 billion during the first half, an increase of 24% over the previous year. The Aftermarket turnover came in at ■ 2.49 billion during the first half, registering a strong growth of 81% over the previous year and contributing to 33% of total turnover in H1 FY 24 versus 25% in H1 FY 23 .

On other aspects of the Company, we continue to focus on R&D and technology developments. It's very important for a company like us to continue to focus and spend money on research and development, not only on our current product lines , but in terms of other enhanced product lines that may help enhance the value that we bring to our customers. This is both from our Product business , as w ell as our Aftermarket business.

We continue to invest with global institutions as well as academic institutions. But also, internally, we have a very strong recruitment pipeline, and we aim to become a best -in-class in terms of engineering research in the rotating equipment field in the country.

As far as the market update, we remain confident of the growth drivers of the Company's Product and Aftermarket solutions with a robust enquiry book. Positive custom er demand and overall acceptance of our offering has expanded our presence worldwide across segments. But as I pointed out, our enquiry book, which has grown by about 33%, gives us good visibility in terms of enhancing our order book ing in the quarters to come, which bodes very well not only for this current financial year in terms of order booking, but also order bookings going into FY 25, which then bodes well for revenue in FY 26.

With a formidable Product and Aftermarket portfo lio, underlying demand drivers are in place, and continued focus on innovation and sustainability allows us to focus on people, which is really the center of what our focus is for the next several quarters in terms of being able to build and enhance the ca pacity and capability of our workforce not only within the country, but internationally as well. And we are also focusing on internationalization of our efforts to continue with the growth that we had in our export order booking, both on Product as well as Aftermarket.

So, with that, ladies and gentlemen, I'm happy to take questions.

Question -and-Answer Session

Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first question from the line of Abhijeet Singh from YES Securities. Please go ahead.

Abhijeet Singh: Sir, my first question is on the Aftermarket business. Out of the Aftermarket revenue , what is the proportion of the revenues coming from our own machines and versus the machine coming from other companies that are installed?

Nikhil Sawhney: Are you asking the split of the revenue in aftermarket between servicing and s pares of our own product versus refurbishment or third -party services?

Abhijeet Singh: Yes.

Nikhil Sawhney: Unfortunately, we don't give that split. But what you can imagine is that a significant amount of growth has over the period come from Refurbishment, which is a very key growth driver to our business. As you can imagine, the growth in sales of our s pares and service is commensurate with our installed base, and the growth of that installed base over some lag. But let me ask Mr . Sachin Parab, who is our President - Aftermarket , to provide some more clarity. Unfortunately, this exact split, I'm not going to be able to give you. But Sachin, maybe you could provide some more clarity around the question that Abhij eet asked.

Sachin Parab : So, we are seeing good growth in both our revenue streams. That's the Parts Sales and Service business , as well as in the Refurb business. As our Vice Chairman has mentioned, the growth of the Refurbishment business has been extremely good. And that's gaining in terms of part of the overall share, the Refurbishment business is growing much more than the Part Sales and Service business. But as our Product business is also growing , after a lag the Part Sales and Service business will also be growing at the same rate. We are seeing good traction in international markets and that is helping us to provide these good numbers.

Nikhil Sawhney: But also, our offerings in the Aftermarket space have also expanded. So , when we look at offerings such as upgradation and automation, these are not the services that we were providing earlier. So , there's an enhancement on our service offering also, which is also aiding the growth of this business.

Abhijeet Singh: Sir, my question is that, so one is the upgradation part from a service offering point of view. You talked about automation . So, that is one part.

But the other part is like servicing of third -party product. So , I think we talked about that we are also aggressive in terms of gaining share in that category. So , what is our strategy? Why do our customers would opt for our serv ices versus the services of the OEMs of those products? That is my other question .

Nikhil Sawhney: That's exactly the barrier that we need to break with the customers. The fact is that you have a competitive scenario , where you have a lot of OEMs that have left the market . So, you don't have OEMs , which provide service to certain customers.

Secondly, there are many OEMs who have not been able to keep pace with technological enhancements . And so , they're not able to effectively provide solutions for newer technological upgradations. But more importantly , is the proximity to customers to be able to provide a value addition , where the customer needs it. So that's a break that we need to make and that is an issue that we do deal with.

Of course, as you rightly point out, the market is enormous. And there's no concept of market share here , because very frankly, we are negligible in the broader scheme of things. But it all depends on what degree of value addition we talk about. You have lower value addition of services that you may do for third -party turbines, which may be items such as overhaul, and you have higher value addition items such as upgradation. Now , it all depends on not only the appropriateness of our solution to the client , but the confidence that we're able to build with him , so that we may be able to provide the solution better than the OEM. But the alternatives here for customers are largely OEMs and what I would say is local repair shops. And so , we sit somewhere in between being OEM ourselves with capabilities of technological development, but not exactly a local workshop.

So, we si

t somewhere in between as a value proposition. We aim to be able to enhance that in front of the customer to be able to provide returns. Yes . So, that's our strategy. And I think that by focusing on geographic expansion and being able to build confid ence with our customers on a localized basis wherever we do operate, we aim to bridge those uncertainties that a customer may have into the placing orders on us.

Abhijeet Singh: Right. So , Sir, are we targeting a certain capacity of turbines? Or I mean, in this kind of strategy you're talking about, that you are somewhere between the OEMs and the local shops. So , is there a certain category of turbines in terms of capacity that we're targeting here? Or is it like across

25 megawatt and above?

Nikhil Saw hney: No, there is no restriction as such. Ultimately, the fact is that to cover overhead is a minimum value of order that obviously that we took at. But very frankly, the market is open. It's not limited directly to turbines only. We do it for ot her rotating equipment , including gas turbines and compressors and other rotating equipment. So , it's a question of being able to, again, take that whole value proposition in front of our industrial customers.

Mod erator : We have our next question from the line of Amar Kedia from Ambit Capital.

Amar Kedia: Congratulations on continued momentum on your strong performance. So, my question is also related to Aftermarket business. And you have been looking at some very strong numbers in this business for some time now, this quarter also over 70% growth in new orders. Last year, if I recall, a part of this outperformance was led by our South African acquisition and some uti lity aftermarket orders in that part of the business. What is driving the growth right now?

Nikhil Sawhney: Yes. So , very frankly, our South African Development Community (SADC) orders are something that we are continuing with. But Sachin, could you provide a little bit more visibility as to what segment of growth came in the last quarter?

Sachin Parab : We are seeing good success in other geographies also outside of Africa, in Asia and Europe also, we are seeing good growth. So that is helping us show the good numbers that we are able to demonstrate. Also, the market in India is also giving us good traction. We mentioned about upgrades and automation, that is also a big chunk of the India business. So, this is contributing to the growth.

Nikhil Sawhney: The fact is that we are expanding our product offering in the service space as well. So , there's a routine for the supply of w ork that we do in terms of spares. Bu t as we move that along with greater technological offerings, which ultimately have to deliver value to the customer, this is reflecting itself in terms of order booking and therefore, ultimately turnover.

Amar Kedia: Right. I understand that. Sir, the perspective was that SADC orders were perhaps margin dilutive compared to your regular aftermarket business. But now , that you're mentioning that the current set of orders are coming in from regions beyond Africa and perh aps more related to your normal offering in the aftermarket business, I would assume that the margins here would be more or less al igned with the regular margins here then. Is that how one should look at it?

Nikhil Sawhney: Well, Amar, I think that what w e have said in a number of quarters in the past is that Triveni Turbine , in the way that we calculate it , aims to benchmark a minimum profitability of 20% P rofit Before Tax (PBT) at any given point in time. And so obviously, we aim to be above that. What we want to drive more is growth. So , we're not really going to be margin dilutive. Yes, all the facts of exports as a higher percentage of sales, Aftermarket has a hig her percentage of sales are positive to margins, and which is somewhat reflecte

d in this quarter and you see it in next several quarters also.

But in general, the fact is we want to drive greater growth and adoption. Refurbishment as a market segment has multiple different value propositions. So , you have low value addition, which is lower in margins, then you have higher value addition. So , it's difficult to say quarter -to-quarter where you aim. But what we try to make sure is that on a blended basis, wh at we're pushing more than anything else is growth. Because we need to be able to demonstrate our services in many different geographies. As we can do that and gain customer confidence, that's of more value to our business in the long term than any short -term margin expansion.

Amar Kedia: Sure. All right. And also related to SADC acquisition, I think at that point of time, you had highlighted that there were similar acquisitions or, at least, plans of maybe similar ventures in two or three other geographie s. So, is that plan still on? Any work in progress over there?

Nikhil Sawhney: Well, Amar, as you know, the fact is that this is obviously a very material subject that you bring out. And if we say anything, we'd have to take it first to shareholders and inform SEBI and the stock exchanges. But let me give you our experience that we had with our South African acquisition, which is that we acquired a significant stake in a company, took control of it. And at the same time, we also did establish a local subsidiary to be able to garner orders by itself. That allowed us to actually get an extremely good return on equity and capital for our efforts in that region.

Not only has it been accepted very well by customers, but it’s also becoming a little bit of a regional support hub for our efforts , both on the Product as well as the Aftermarket side. So , the concept is something that we do agree with. As far as acquisitions go, we don't have the capacity, the capability to do any large acquisitions. We don't actually have the bandwidth for that even. But in this small service space, it's something that we have looked at and something that we will aim to discover. At this point in time, we have nothing to take forward to the Board, and so the Board hasn't considered anything. But I should point

out that this does not stop our organic growth endeavors that we will do in markets , where we are seeing demand.

Amar Kedia: Right. Just one last question from me is that Siemens Energy at a global level is facing troubles, and it is a major competitor volume in the global market. So , while India perhaps will continue as it is. But do you think this presents you at least a temporary opportunity to expand your presence more aggressively for the time being?

Nikhil Sawhney: Obviously, I can't comment on Siemens. We respect our competition. We think that they are the benchmark from a perspective of market share and technology in this space. We are not seeing any lightening of competition. So that's all I can say. I don't know if they're particularly in trouble. It doesn't seem like that.

Moderator: We'll take the next from the line of Mahesh Bendre from LIC Mutual Fund.

Mahesh Bendre : Sir, last 2-3 years, we have been growing with a very rapid pace. Now , we are at the fag end of this calendar year. So, just if we are to look for the next 18 to 24 months, what kind of growth we anticipate in domestic and international market?

Nikhil Sawhney: Thank you for your question . Of course, this is not a question that I'll be able to answer directly , because we don't provide guidance. But let me give you the fundamentals as to what drives our growth and to give you an idea as to how we are seeing it. Orders for this financial year are already captured within our order book.

For the next finan cial year, for the first quarter at least, we have orders in hand, probably for Q2 of next financial year as we

ll. The enquiry book that we have right now is what is suggestive of the order that we will take in the next several quarters. Not only for Q3, Q4 but also Q1 FY 25, which all seem quite robust for us to continue on the growth momentum of order intake that we've had in the past. So , what that means is that the order book is what provides us visibility in terms of revenue.

So, as we sit today, both in terms of the order booking that has happened from the Aftermarket and Product segments have been robust. But that is also backed by investments that we are making in technology and people , as well as in terms of having a more local presence. So , we're trying to allocate capital in ways that will allow us to risk mitigate any slowdown that we may see , because of geopolitical pressures or other aspects.

Though I have to say that a lot of growth that we are seeing is coming indirectly from energy transition, where companies are looking to enhance the efficiency both internally , as well as more maybe directly, generate power from renewable sources. So , we're in the right space right now, both from the Product and Aftermarket segm ents. And I think that growth visibility seems to be quite adequate from the management perspective.

Mahesh Bendre: And Sir, outlook for both domestic and international segment?

Nikhil Sawhney: So actually, I don't want to go into a l ot of detail on this, but our domestic enquiry book has grown in the first half by about 100%. And that ’s providing a degree of comfort on the domestic market picking up, which wasn ’t so in the first half, which we pointed out in the last conference call. The international market in terms of its enquiry book is of course , a very large enquiry book for us. And so, for us, it ’s a question of conversion of that. But it i s also continuing to grow at a healthy pace. So all in all, we have the enquiry book . It is for us to go out and convert those orders.

Moderator: Thank you. We have our next question from the line of Ravi Swaminathan from Spark Capital.

Ravi Swaminathan: Congrats on a good set of numbers. My question is kind of an extension to the previous participant's question . In terms of enquiry pipeline, we have s een good growth, I think overall almost 30% kind of good growth that we have seen , which geographies and w hich sectors are driving this enquiry pipeline growth? If you can do more granular detail, it will be great. Because why I'm asking this questi on is some of the larger capital goods companies over the past 2-3 quarters have talked about a bit of, say, moderation in terms of growth especially , in the domestic market with elections coming up in the next six months and globally , things also muting a bit. So , if you can give you a broad thought process as to where we are seeing a delta , which other capital goods companies are seeing some moderation.

Nikhil Sawhney: Well, I want to ask Mr. S.N. Prasad, President – Product, to talk about that. But before he does, of course, it's very difficult to get into granular details , because every quarter, the visibility sort of gets enhanced with other geographies and other customers. But if you look at the quarter gone by vs. Q1, Q1, we've already reflected that puts in the domestic market, the enquiry generation was muted, sort of reflecting what you were saying. But in Q2, we've seen a very different perspective actually with specifically , segments such as cement comi ng back in a much stronger form. Steel has already been reasonably resilient in demand cycles both in Q1 and Q2. This is from a domestic perspective. And you

continue to see a certain degree of demand from the distillery segment, even though there seems to be a little bit of slowdown due to lack of visibility on raw material availability. But Prasad, can provide some visibility to Ravi?

S.N. Prasad

: Yes. On the enquiry pipeline -wise, yes, domestic market is almost 100 % plus percent growth is ther e, especially coming from steel is one of the interesting segments . Steel, cement and process co -generation, the se are the segments. Coming to international markets, yes, we have a strong growth in Americas, that is covering complete Central, South and North America region. And Europe and Turkey is another area where we are seeing good traction, good growth in enquiry pipeline, followed by Southeast Asia. These are the regions contributing. Even in international, again, we are into process co -generation, independent power plants, biomass and solid waste . These are the segments which are giving that sort of a growth traction .

Ravi Swaminathan: Got it. And are these in the higher range of turbines? Or is it the regular range that we are seeing an increase in?

Nikhil Sawhney: It's all spread through the spectrum.

Ravi Swaminathan: Okay. So , why I'm asking this, Sir, so our EBITDA margin seems to be locked in that 19 - 20% kind of range for a very long period of time. And in spite of the very strong growth that we have seen, usually, companies see some operating lev erage kicking in and that leading to margins expanding. So , I'm thinking is there the possibility of margins to expand from say, 19-20% ?

Nikhil Sawhney: See the possibility is always there. But you have to tell you what we said this in the last several quarters, and I think you were on those calls as well, Ravi, is that we are going to be spending much more on manpower. We're going to be spending much more R&D. And these are investments in the future actually. They pay off in the longer term. We added over 15% to our workforce last year, and we continue to add in numbers like that.

So, they have an implication, which comes down to where the operating leverage does get minimized. Yes . This is all building towards our capabilities for the future. We don't seem to think that margin is really the biggest problem for Triveni. Our focus is on growth , to sustain the margins that we have at a minimum of this 20% PBT margin that we said. But like we ended up this quarter at 22 %+. We think that, that is somewhat sustainable for the Company.

Moderator: Thank you. We have our next question from the line of Jonas Bhutta from Birla Mutual Fund. Please go ahead.

Jonas Bhutta: Nikhil, congratulations on a great set of numbers. Two question s, Sir. Firstly, can you talk about the API turbine -based market , your comments in the investor note do highlight that, that segment along with the industrial segment has sort of seen growth, but slight more understanding from a product positioning perspective , market share gains have you seen in the last 12 -18 mont hs. And is that becoming a larger part of our enquiry pipeline, maybe from what it was about two years ago? Some perspective on that will be helpful. And then I'll come back for my second question .

Nikhil Sawhney: Yes. As you rightly point out, there is a spurt in investment in the oil & gas segment. But us in specific , we had to make a lot of headway in terms of getting registration with the end users and consultants in this manner, which we have largel y overcome. There's still some work that has to be done on that front. But if you look at from a perspective of enquiries and order bookings, we started from a position of having negligible orders this segment, and we've enhanced that quite rapidl y. And we continue to believe that our offering here is very appropriate for us to capture some market share that's meaningful. We have to work towards getting a meaningful market share of over 25 -30%. That's a long -term vision . But as we look at it rig ht now, you have API requirements , which happen for drive turbines, which is driving process equipment such as pumps, compressors, blowers, etc. But you also have power generating requirements from the API segment as they are growing. We have requirement s for API both in the domestic market as well as international market, and we are participating in both and performing quite well in both. I am going to ask S.N. Prasad to provide a little bit of visibility on this API. And Prasad, if you coul d just give an idea as to where you see it.

S.N. Prasad : Yes. So , API enquiry pipeline, as our Vice Chairman mentioned that, yes, there's a strong growth in the enquiry pipeline we have seen, over almost around 20% growth we are seeing y-o-y sort of growth. And our registration process, also a majority of the international EPCs and consultants, we are there on their A pproved Vendor List (AVL) . And going forward, I think this pipeline further, we are hoping that this will increase and maintain the same sort of growth level. And today, our acceptability in domestic as well as the international markets is quite positive. And we see this segme nt will grow quite steep ly compared to Industrial Power Generation (IPG) segment.

Jonas Bhutta: So, just a follow -up here, Sir, what we've seen is some massive ordering by the Middle East ern oil majors, particularly on gas processing fields

etc. So, would we be beneficiaries of anything that happens on the gas processing side? Or we are largely currently from a product positioning perspective like downstream, refinery -based?

Nikhil Sawhney: No. We're largely on downstream refinery. But very frankly, anywhere that there is a bottoming cycle heat requirement , we participate. And so, in gas processing like, for example, if you're looking at LNG terminals, there will be limited use for a steam turbine apart from maybe possibly driving equip ment. But very frankly, there's steam turbines requirements in every oil and gas establishment, and th ese happen at the small MW range, small horsepower range to drive equipment. And I mean, you're pointing out one or two investments, but it's actually global investment that is happening in oil and gas.

Jonas Bhutta: Understood. And my second question was circling back to this entire growth that you're seeing in Aftermarket , because this is the third straig ht quarter , where we've seen ■ 1.5 billion worth of inflows consistently in that segment. While you and your colleagues have sort of highlighted that both refurb and spares seem to be driving it. But the question is more on the implications on margins.

Because if we remember that when we did take on this SADC order . We did mention that it may ha ve an margin implication, given that it was more like an entry pricing. But at least, could you give us some visibility on whether with progressive orders, th at strategy is being folded back into your steady -state margins? Or we should sort of see it more as a two to three -year process where not just in South Africa, but with every incremental country, with that same client, you sort of go through the same process? That's my final question .

Nikhil Sawhney: Yes. But you see the margins, even though we may have taken one order at low margins have not impacted the overall margins either of that segment or at the company. You could see that it's partly driven by operating leverage, it's partly driven by a segment of exports versus domestic. In fact, we've had margin expansi on in those contracts. Those contracts are largely over but though, there are some continuing kind of contracts that we'll get in. But very frankly, now this is becoming part of routine operations where we think that certain low value -added servi ces, be it overhaul, will continue to have a certain margin profile.

But they'll be supported by high -margin orders in different offerings that we will have for upgrades etc. So, on a blended basis, both for the Aftermarket segment as a specific , as well as for the Company

overall,
we really don't think margin is a problem, especially given our growth

possibilities. We're not really going to go for orders which are low margin specifically. Even the SADC order was not entry pricing. It was just lower

than our normal margins. But on a blended basis, we cautioned investors that we may see something fall. But ultimately, the team was able to deliver very strong margins even on those low -margin orders.

Jonas Bhutta: That's well appreciated . But just wanted to flag off that even in the worst of times, like, say, 2015 through 2020 or 20 21, our other expenses as a percentage of sales were in the average of about 14 -15%, which on a substantially higher revenue base, we are clocking closer to 18-19% and which is where I think one more participant was sort of asking on the operating leverage bit. And so the R&D, the manpower investments, again, would be function more in the employee cost? Or should one think of the more steady -state operating expenses?

Nikhil Sawhney: So, operating expenses, if you notice that in the last several quart ers, we had a note to accounts, which talked about a contracting charge that we had, which related to the other expenses based on this SADC order. Now , this SADC order has gotten extended to an extent which is becoming a little bit more routine. And so , we don't feel the need to actually giving the breakup in the notes to accounts. But to give you visibility in other expenses , because that's a very legitimate question that you've asked in terms of the growth from the half year perspective, especia lly, but also as a percentage to sales, a significant portion of that is contributed by just the subcontracting charges, which may have been for the half year for that particular one order.

In general, we think that there are efforts that have to be made in terms of increasing our operating leverage apart from this subcontracting charge, which is a direct cost in a sense. We either put this as another expense or have included as raw material, and you would have had the question either way. One w ould be why is the raw material percentage of sales increased or the other way around . But for us, it's better to put it in here , because until we are certain that this is a long -term business, there's no reason for us to account it in another manner.

But I do agree with you that there is some work that we need to do to get better operating leverage, specifically, in terms of our travel and other expenses related to sales, which, as you know, have gone up over the course of the last several quarters bas ed on international airfares, etc. And so, we're cognizant of it. But we think that we'll make some more efforts in the coming quarters to see how best we can rationalize that. But Arun, do you have any comments around the question on operat ing leverage and specifically other expenses.

Arun Mote : Yes. We are keeping tab s on other expenses. What we find, that because of the travel tickets almost doubling internationally , this is an effect. But then it's getting optimized. And over a period of time, it could be next

six months, we will be well within our normal limits that we are expecting . There is no immediate correction to it.

Moderator: We'll move to the next questio n from the line of Harshit Patel from Equirius Securities.

Harshit Patel: My first question is on the domestic 0 to 100 MW market. Could you highlight what was the rate of growth in the second quarter at the market level? I believe you had said that it would grow by more than 25% for the full FY 24 . Would you maintain the same outlook?

Nikhil Sawhney: I think the enquiry book is suggesting that the market will grow to that extent, yes.

Harshit Patel: And what would be the market in absolute value terms? I believe you had quoted a number of 200 MW for the full FY 2

3 .

Nikhil Sawhney: No, I don't think we quoted 200, must have been more like 2,000.

Harshit Patel: 2,200 for 0 to 100 MW .

Nikhil Sawhney: Yes. I think that's somewhere accurate.

Harshit Patel: Okay. Sure. Sir, second, coming on the pricing front, I believe almost all your orders would be customized in nature and only produced against the customer requirement. But let's say, if I take a standard, let's say, eight to 10 MW SKU, then what would be the differential in pricing on an average? As of now, we service what we used to offer a couple of years back. I think there would be a lot of factors impacting the same, given how the raw material prices have behaved, how much mo re value addition we are now doing versus a few years back and so on and so forth. But just to get a sense on how broadly the pricing would have moved, let's say, in the last couple of years.

Nikhil Sawhney: You're asking a very different question , and I think it's very difficult to answer that , because it is somewhat competitive given the fact that this is a public call. But suffice to say that there have been price increases that the Company has taken in general, based on movement of raw material prices , as well as the fact that as competitive intensity weakens, which is that the market grows, you do have certain more pricing flexibility. And so , when we look at it from the basis of 5-7 years ago to now, they have definitely been an increase of at least 25 -30%.

Moderator: Thank you. We have our next question from the line of Himanshu Upadhyay from O3 PMS .

Himanshu Upadhyay: Congrats on great set of numbers. My first question was, as we see more and more renewables playing a role in power , to a certain extent, it leads to faster shutdown and ramp -up of power. What impact does it have on the turbines? And does it lead to mor e wear and tear , and bigger opportunities for us?

Nikhil Sawhney: Steam turbines have a longer rolling cycle than a gas turbine would. You don't really have so many start -stops in a steam turbine. From an industrial perspective, you have different considerations. A majority of our customers are either producing steam and therefore generating power out of it such as in waste heat recovery or are using steam as part of their process. So really, the requirement is for energy, which is both in terms of heat and power. It's not really only for power. There are customers, of course, who are generating power only both internal captive requireme nts, but also for supply to the grid.

The turbine is sophisticated enough to have automation for both course down and other aspects of start -ups. The real issue s that happen in terms of wear and tear is either the wrong inputs in terms of s team or other aspects also the management of the turbines itself. Those are the bigger causes of problems that we see with operations , I don't think that we can generalize for our segment in terms of the current power situation and shortage of power and shutdowns, et c., as being a real driver to any growth for Aftermarket .

Himanshu Upadhyay: Okay. Thank you for clarify ing and helping me improve my understanding. The second question is, what are our top three priorities besides revenue and financial, but in terms of product development? What are the adjacencies , which we would like to look with a three to five-year perspective besides the AP I turbine and the steam turbines where we are? Can you elaborate on that?

Nikhil Sawhney: Our efforts are always going to be to benchmark globally in terms of all product characteristics. And very frankly, the field of technolo gy development has various different aspects, not only in terms of comp utational fluid dynamics , but structural analysis and component engineering, be it from the veins to the valves to the seals, et c.

So, there's a comprehensive approach that we hav

e to take for a very complicated product and to look at it not only from the perspective of the manufacturability of it from a modular basis, but also in terms of what our customer requirements are and to ensure that we're able to provide value to the customer.

So, R&D is a very complex area in terms of our investment. And from an end market perspective, of course, what we're making is a steam turbine

as far as what the market is concerned. But ther e's a lot of intricacies in terms of the capabilities that are required for us to meet, both our internal expectations , as well as market expectations. So, the multiple disciplines that are involved, everything from structur al to fl uid dynamics to materials, etc.

Himanshu Upadhyay: No. I get your point. I saw your plant and it was a pleasure to go and meet the people on the shop floor and understand the product entry cases. My question was broader . So, we have a good understanding of thermodynamics and all those aspects. What are the other areas which we can use our knowledge base for products? What can be the adjacent products , which we can try to develop like API product, what we mad e?

Nikhil Sawhney: Yes. I know what you're saying. The fact is that given our competency in rotating equipment, you could say that the re exist parallel lines that we could enter. At this point in time, I think our focus on ensuring that we are able to grow this market segment and cover it in a more comprehensive manner needs a lot of space. We have product development opportunities that we have talked about in the past, which we continue to do.

And we may not have focused it on this call, which is, say, on our carbon dioxide side. And we continue to do work on that , because we believe that it is a working fluid of the future. We think that there is a very good use case to have an unsubsidized use case for carbon dioxide. And we aim to provide technological solutions for that both at a subcritical, supercritical , as w ell as trans critical perspective. And these are things that we'll provide more clarity on in the coming quarters.

Himanshu Upadhyay: Okay. One last small question . Last year, we increased our workforce by 20%. And we had guided that this year also there will be an increase. Can you give what will be the increase? And is it across the divisions of the company?

Nikhil Sawhney: Yes. I'll let Arun, our Executive Director, CEO answer that question .

Arun Mote: You see, we have had an HR plan, based on which the recruitments have been done. And the recruitments are proportional to the efforts required to lead the targeted business that we are thinking of in the current year. And also, we need to provide for the future years. So accordingly, the headcount is ge tting increased, and it is in all the functions. It is not only in one function. In fact, we're spending quite a lot on training our people , because HR needs to be very strong, and all necessary actions are being taken to support it.

Moderator: Thank you. We have our next question from the line of Prolin Nandu from Goldfish Capital.

Prolin Nandu: Congratulations on great set of numbers. I just have one question . Just from a longer -term perspective beyond FY 26, because until that time , we have visibility based on the enquiries that we are generating. Some of the trends in terms of industrial CapEx, API as well as biomass and that aspect of renewable energy . Some of these trends are something which might last for longer sometimes rather than just petering out in a few years' time.

So, is it fair to probably say that what we are doing in terms of product innovation, adding more and more services to our Aftermarket business, do you think that we can probably in a way come , I mean, no t be part of the cycle and taper down after FY 26 and the growth that we are seeing right now,

not at the same pace, but might continue beyond FY 26 as well?

Nikhil Sawhney: Yes. I think that we are in a segment that is , and I have tried to allude towards this in previous calls, that we're in a segment , which I think is quite secular in terms of growth. It's not cyclical. Energy transition and climate change is a reality. The amount of money that's been spent on it is still quite small compared to what has to be spent in the future. So , we only think that the market , and our appropriateness of our product and solutions will only be more enhanced as we go forward.

If we look at it from a perspective in terms of internal targets while I can't give you the exact numbers . As you know, we have taken a resolution to our shareholders to adopt an ESOP program. And the ESOP program is for some top management, but it is similar to the incentive program that is being offered through the Company to a variety of different segment of people to be able to sustain growth even further than the timeframe that you're suggesting. And so , this is something that we are trying to build in to the culture of the company, where we believe that the market exists, the appropriateness of our product is suitable to the market. And so, there's no reason why we should not aspire to sustaining the growth in the long term.

Prolin Nandu: And second question would be that while you have stopped giving this whole zero to 30 and 30 to 100 kind of distinction in terms of any comment that you make. But how is our traction in 30-100, where we are relatively newer? And just an added question to that would be, you' re saying -- you said that you are adding a lot of services in the aftersales part of it like refurbishment. So , in terms of whatever is required in the market, I mean, where are we? Have we covered 50% of what is the requirement in the market and there is still 50% of services

that is left from our offering point of view? So , if you can just give some quantitati ve number ?

Nikhil Sawhney: So, from a perspective of the offering itself, that changes with both the customer expectations and the technologies available. So , you have a certain degree of digitization, automation and AI, which is building out right now. And so to what extent are we act ually being able to use those services directly within our offering, I think we have a little bit of way to go. But do we have plans to cover that? Yes. So , to what extent are we covering it, I think, to the appropriateness and benchmark with the competiti on, we would say that we're appropriate in terms of our service offering. In terms of market coverage for refurbishment, it would be not even 1%.

Prolin Nandu: Okay. And any comments on 30 to 100? How has been the success?

Nikhil Sawhney: Yes. Prasad, ca n you talk a little bit about the experience of 30 to 100 MW segment? I think we have a good market share and we have good opportunities in our enquiry book also. Prasad, is there anything you want to add?

S.N. Prasad : Yes, it is. 30 to 100 -MW enquiry pipeline also, so even though we have not that differently, up to 1 00 MW , we are considering as opportunity for industrial steam turbines. Otherwise, since a specific question there, yes, there is a good enquiry pipeline there, even opportunities they are getting converted , enquiries getting converted to opportunities. And the spread is quite wide r across the regions and both domestic and international.

Nikhil Sawhney: So, certain segments like steel and cement have larger capacity orders. Certain segments like distilleries and sugar, et c, have lower MW orders. So, it depends quarter -to-quarter. The segments coming up would be in the higher MW range.

Moderator: We have our next question from the line of Namit Arora from Indgrowth Capital .

Namit Arora: My question was around your efforts in innovation and res

earch and
development. What are the efforts in that area, which might yield results over the medium term? Thank you.

Nikhil Sawhney: That's a very open -ended question . We believe that we are a technology - focused company, and very frankly, technology lies at the heart of not only what we do but what we offer our client s. So , it is what we are. So , in terms of our efforts, not on ly do we have enhancement in terms of recruitment to add capacity, but we have to enhance the capability.

There's a question of global benchmark and looking at our research platforms from a perspective of partnerships with academic institutions , so that we can continuously upgrade our knowledge , but also benchmark ourselves with global best practices. So , it's quite an intricate space , where we think that this is going to be an area that we think we need to spend more on. We think at this point in time, we' re not spending enough on it. So , we will be aiming to spend more in the coming years.

Moderator: Thank you. We have a next question from the line of Manish Goyal from Thinqwise Wealth Managers .

Manish Goyal: I have a few question s and first , on the Aftermarket , like no doubt, sorry for dwelling more. But historically, we have seen that whenever Aftermarket revenue contribution increase d, we had a margin improvement. And if I look at the first -half numbers and the incremental revenues of roughly ■ 200-odd crores, it is evenly split between products and aftermarket. So I'm just wondering that is it that the nature of incremental Aftermarket revenues what we have , our margin profile is quite lower in terms of what historically we used to enjoy. Because like earlier, it was AMCs and small refurbishments for our own machines, which got extended to third -party refurbishments and now upgradations and automation.

So, also in related questions , Sir, number two is that right now, like what we observe is that we probably providing international Aftermarket services through subcontracting and maybe we are outsourcing that. And a large part of the cost probably is getting captured under other expenses and somewhat in employee costs. So , do we see that going forward the service offering, what we have, we probably have our in - house facilities? Or how do you see that changing? That was the second question .

Third r elated question like what do we offer on upgradations and automation s? And you said we have some orders in India. So maybe , if you can provide some perspective. And then on Product side, are we seeing any issues on execution and order inflows pertaining to , say, probably , geopolitical disturbance in Middle East and Europe markets? Thank you, Sir.

Nikhil Sawhney: So, I'll start with the Product side first. Our enquiry book is large. And so yes, on quarter -to-quarter, different aspects of geopolitical disturbances do have an impact. But overall, I don't think that it's impacting the

Company, in terms of its order growth plan. In terms of the execution plans, certain current orders will have delays , but that's not largely impacting our growth visibility, one or two orders here and there. The

same thing happened with Ukraine , when the Russian war started, we had orders from Ukraine. But that really hasn't really impacted our growth efforts as a company.

On your Aftermarket question , you're right that a greater contribution of Aftermarket as a percentage of sales should lead to a margin expansion, besides operating leverage obviously. But as I said, our attempts here are to firstly expand our geographic presence to be able to be closer to customers, which is a cost, which comes under other costs. And we ’re able to see here is that the growth should not be compromised. But like I said earlier and earlier questions were asked, that we aim to maintain certain levels, both for the company , as well a

s
segments, which allows us to be able to push growth for u s faster. And so that is our primary objective.

Certain orders that were taken on the Aftermarket side were, what I would say, lower than our normal margins. And so therefore, the operating leverage that could have with higher expansion of turnover didn 't get translated. But we believe that, that in the medium term will get corrected , because we will revert to what are globally accepted norms in terms of Aftermarket pricing or Aftermarket margins.

The other question in terms of how we do execute these orders, they're largely executed by us solely. And apart from certain lower -value orders , which require manpower, those will be outsourced, of course and they will be a part of other expenses. Our attempt is to stay at the higher end of value addition of service. So , we would always aim to add people at a higher end of what we can offer our customers, both from a perspective of sales , as well as engineering and execution.

Last question was on what does upgrade mean. Upgradation is taking a turbine and enhancing its heat rate , so that the customer is able to get a payback very quickly. And Automation is to the same extent. Ultimately, this is all s old on a basis of payback for the customer in terms of what he's able to generate for what amount of fuel he uses .

Moderator: We have a next question from the line of Amit Anwani from Prabhudas Lilladher .

Amit Anwani: Congrats for the strong set of numbers. My first question on the capacity expansion, which we did in Sompura. And we just talked about some turbine capacity per year after the expansion. Is there any further requirement since we are now penetrating into more global markets and have go t pretty healthy enquiry pipeline? Is there any reassessm ent that we need more CapEx ?

Nikhil Sawhney: There's nothing that we've taken to our Board for further expansion right now in terms of capacity utilization, we seem to have adequate capacity for our growth for the next couple of years. But I would say that, as you know, the time we went for a CapEx to add a bay at Sompura plant, we were able to do that in a short period of time. So , constraint to growth in terms of capacity is not really a challenge. We do have some efforts that we need to do in terms of vendor development to ensure that our vendors are up to speed with our growth, and that is continuing and that's an effort that con tinuous.

Amit Anwani: Sure Sir. I wanted to understand any assessment on the market share globally as we are expanding in new geographies. So first, on global addressable market and our standing with respect to market share, and what is our experience with respect to competition in the new markets , where we have entered from the global players operating in zero to 100 MW ?

Nikhil Sawhney: Okay. Great question . I mean, we are constrained by the fact that there isn't any true visibility of market share that one can get in terms of data. Our data is very spotty in terms of market share. So , the way that we benchmark our success in terms of market and growth is , well, in India, every enquiry crosses our desk , so we can get some market share assessment. But internationally, which is a real growth area, we try to benchmark our growth based on growth in enquiries . Because an enquiry for capital good s is a serious thing. It's not frivolous in terms of being able to provide a quotation to a customer. It's time consuming for us as an OEM to provide to a customer , and it's time consuming for a customer to read it. It's only given when it's serious.

And so therefore, an enquiry is a very good assessment for us or where the market is . So, the conversion of enquiries to orders is an internal benchmark that we use for being able to assess our success in the international markets is something that we measure very closely.

In
terms of competitive intensity, there are no new players who come into the ma rket globally, the same players seem to exist . We have more direct competition with our largest global competitor in nearly all global markets. And in certain regional markets, we have certain other regional players , who do quote as well.

But having said that, the market is largely oligo polistic, and some markets is duopolistic. And we think that there's healthy competition and ultimately, customers do get the benefit of that competition. But having said that, we are comfortably placed. As long as we can get a good value proposition in front of the client from a life cycle value perspective and enhance that with adequate aftermarket service capability, we don't

think that, that's too much of an issue. The bigger issue would be to overcome perception of the countries as a source of suppl y.

Amit Anwani: Sure, Sir. So , my last question on the other expenses, and you did highlight it. Is there anything, with respect to more outsourcing, that is becoming a constraint, that you're getting orders , which needs to be outsourced right now? And once the, as you said, the value add or high value orders keeps on increasing, then you'll be in a better position to have better operating leverage from this level? Is that what we can re cap from this?

Nikhil Sawhney: I think that as Arun pointed out as well, that there are certain elements , which have increased in a disproportionate manner in other expenses, which has largely been on the administrative side of travel and expenses around that. As you know and as you can see, not only do our orders that we take in the international market, do they have overhead cost, but enquiry generation is also quite expensive from a perspective of cost to the company. As far as outsourcing these are part of normal routine businesses and we don't see it expanding in any manner that's material.

Moderator: Thank you. We have our next question from the line of Nikhil Agrawal from VT Capital.

Nikhil Agrawal: Sir, my question was like again , on your enquiry book. What percentage of your enquiry book mostly gets converted in the domestic and in the export market?

Nikhil Sawhney: This changes. Like I said, this is a data that we're not really giving out, but it changes really quarter -to-quarter. But internally, we use it as a reference for performance.

Nikhil Agrawal: All right. And you said your enquiry book in the domesti c segment has increased a bout 100% y-o-y in H1. So , what would be that in the export segment, like export enquiry generation in H1?

Nikhil Sawhney: Sorry, what was your question , what is the export enquiry generation in H1?

Nikhil Agrawal: Yes.

Nikhil Sawhney: It's in excess of 5 GW.

Nikhil Agrawal: Sorry?

Nikhil Sawhney: Total is in excess of 5 GW. The international in specific is about 3.5 GW.

Nikhil Agrawal: Okay. So , y-o-y, what growth would that be?

Nikhil Sawhney: The growth of the international, 4 GW, is somewhere in the region of 15 -odd percent growth for the international market.

Nikhil Agrawal: All right. And Sir, coming to the question on Siemens, I believe they have some issues in the sub 3 MW segment. And since we cater to the oil and gas industry as well, so are we planning to expand based on that front, like in the sub 3 MW segment and cater to more industry, Sir?

Nikhil Sawhney: Since this is the second time that has been brought up, we'll have to just investigate this a little further. We're focused more on really what our customer requirements ar e to be able to provide that better in front of them. We take it for granted that there will be competition. If there is n't competition, that just ends up helping us. But we use competition as a benchmark in terms of offering for the clients , so that we can enhance our

value proposition to the customer better than our competitors. That is the objective where we benchmark with competition both from a technology , service and other aspects of what a customer may consider as being useful. But I think as we currently stand, we have the visibility in the market.

We are tactically going around getting growth. The team seems to be confident in not only the revenue that we will get in this current year, which is already locked in . But order booking for the next several quarters , which will lead to revenue growth for next financial year and actually , possibly order booking also for FY 25 as well. Our competition is very large and whatever problems they have, they'll overcome them, I'm sure. In s egments, like you said in oil and gas, that's a segment which is growing. I think that there's a lot of uncertainty in this space and there hasn't been a lot of investment over the last decade. There's a lot of replacement CapEx that has to happen. So , we will be there wherever we can be.

Nikhil Agrawal: All righ t. Got it. And sir, just one last question . Your exposure to Middle East countries, if you could quantify or something?

Nikhil Sawhney: No. We have a presence with people and offices in the Middle East. They are safe and secure. In fact, they' re seeing their own growth opportunities in the Middle East. We don't have any presence in Israel in specific or in Gaza. So , we're fine with that. There may be some impact of this spilling over into countries like Turkey. But t hose are catered to and was already forecast in our execution plan. And specific in the UAE or Saudi, there doesn't seem to be any impact.

Moderator: Thank you. Ladies and gentlemen, that was the last question for today. I'll now hand the conference over to the management for closing comments. Over to you.

Nikhil Sawhney: Thank you very much, ladies and gentlemen. I'm sorry that we extended it by 10 -12 minutes , but I believe that it is important to cover everyone. I look forward to addressing you again next quarter, where we should hopefully again , have a record quarter. Thank you.

Moderator: Thank you, sir. On behalf of Triveni Turbine Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

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Triveni Turbine Limited
Q3 & 9M FY 24 Earnings Conference Call Transcript
February 06, 2024

Moderator: Ladies and gentlemen, good day, and welcome to the Triveni Turbine Limited Q3 and 9M FY 24 Earnings Conference Call. I now hand the conference over to Mr. Rishab Barar from CDR. Thank you, and over to you, sir.

Rishab Barar: Good day everyone and a warm welcome to all of you participating in the Q 3 and 9M FY 24 Earnings Conference Call of Triveni Turbine Limited. We have with us today on the call Mr. Nikhil Sawhney, Vice Chairman and Managing Director; Mr. Lalit Agarwal, C hief Financial Officer ; Mr. S.N. Prasad, President, Global Sales Products; Mr. Sachin Parab, President, Global Sales Aftermarket; Ms. Surabhi Chandna, Investor Relations and Value Cr eation, along with other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement to this effect has been included in the invite, which was made to everybody earlier. I would like to emphasi se that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will start this call with opening remarks from the management, following which we will have an interactive question -and-answer session.

I now request Mr. Nikhil Sawhney to share some perspectives with you with regard to the operations and outlook for the business. Over to you, sir.

Nikhil Sawhney : Thank you very much, Rishab. A very good afternoon, everyone. Thank you for joining the Q3 FY 24 as well as 9M FY 24 earnings call for Triveni Turbine s. I'm extremely pleased to be with you today. Triveni Turbine s continues on its robust growth path, as demonstrated in the stellar results during the nine-month period ended December 31, 2023. New benchmarks have been surpassed in key metrics of revenue , profitability as well as order booking.

The quarterly order bookings, revenue and EBITDA has surpassed the ■5 billion, ■4 billion and ■1 billion milestones, respectively and we've had the highest ever revenue in the quarter of ■4.32 billion, an increase of 33% y-o-y as well as the highest EBITDA at ■1.01 billion in Q3 up 35% and a margin of 23.4%, an increase o f 35 basis points. The P rofit After Tax (PAT) for the quarter is at ■683 million, which is an increase of 30% y-o-y. And the order booking for the quarter is at ■5.31 billion, which is an increase of 26% y-o-y.

For the nine months, this has translated into record revenue s of ■11.96 billion, an increase of 36% y-o-y, the highest EBITDA ever at ■2.74 billion in the nine months, up 39% with a margin of 22.9%, an increase of 41 basis points y-o-y. And the PAT for the nine months period is at ■1.93 billion, an increase of 41% y-o-y.

We have a robust order booking for the nine months at ■14.43 billion, which is an increase of 27%, and the closing order book is at ■15.75 billion, which is an increase of 28%. The investments in cash on the book as of the end of the quarter is at ■8.82 billion, which is an increase of 31% from March 31, 2023 . The Board of Directors has declared an interim dividend of ■1.3 and a special dividend of ■1.0, totalli ng ■2.3 as this interim and special dividend at this past Board meeting.

The Board has also approved the establishment of a subsidiary in the United States, which would be called Triveni Turbines America s, Inc., which will be registered in the State of Te xas in the United States. I'll give you more clarity as to growth plans for this subsidiary and our ambition in our international expansions in the coming years.

But beyond the highlights mentioned earlier, some of the key indicators to demonstrate our p erformance in the nine months are that the Earnings Per Share (EPS) has grown an impressive 43% to ■6.08 at the nine-mon

th mark,
and order booking during the nine-month FY 24 grew 27% to ■14.43 billion, with exports contributing 53% as opposed to 42% in our order book.

With customer centricity at the core of everything that we do, it is our endeavo ur in recent years to expand not only our geographic presence and widen our offerings, both in terms of product and aftermarket solutions. We also continue to strategically allocate investments for sustained growth and maintaining a competitive edge. The resul ts of these efforts are well demonstrated in our performance with exports at 46% of sales in 9M FY 24 versus 42% last year. And aftermarket as a percentage of sales at 33% in 9M FY 24 as opposed to 30% in the nine month s period of the previous year. This is, of course a reflection of our order book from the product side, but also on the aftermarket side, our strategy to be more geographically dispersed and be closer to our customers, which we aim to do with our subsidiary in the U.S. as well. Our enquir y book is growing and in the nine months period is up by 14%. We have both growth in domestic as well as international markets, and we are optimistic going into both Q4 as well as into FY 25 of an increase in our order booking to a t possibly the same growth rate that we've seen in the last couple of years, which will allow us to maintain our growth momentum.

Manpower continues to be a key focus for the Company . We grew our manpower base by about 20% in FY 23 . In FY 24 , we've grown our manpower base by about 15% and our ambition is to grow it by another 20% in FY 25. So therefore, we will be looking at people across the value chain as well as geographically to be able to add to the growth that Triveni Turbine believes that it will face in the coming years.

The outlook for all the segments, be it in terms of renewable energy, industrial markets, aftermarket are all quite robust. Our concerted efforts to spend money in R&D and engineering to cater to products in the areas which are

best suitable for our clients, be it in the renewable energy field such as in solid municipal waste incineration or biomass -based Independent Power Producers (IPPs), including waste heat recovery are very robust.

Equally in areas of where fixed capital formation is required and which are required for a perspective of running both heat and power solutions, our solutions seem to be extremely appropriate. This includes the oil and gas segment, which is a growing segment for the Company . We continue to invest into R&D. And as we come into the new year, we will come up with new CapEx plans to see how best we can ensure that our R&D even surpasses the product development profile that we've had in the last couple of years o r in the last decade, to step it up to even faster pace and to have eve n more accuracy and even more robustness in the R&D process itself, much like we've been able to do in our product delivery.

Investments, like I said, we will come back to in terms of where the Company will be investing, but the Company has extremely high return on capital invested. And especially if you remove cash as part of the capital employed, the Company has in excess of 300% return on capital.

So, with that, ladies and gentlemen, I'm sure that you have many questions, I'd be happy to answer them in our Q&A. Back to you, moderator.

Question -and-Answer Session

Moderator : Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: Thanks a lot for taking my question and congrats on a very good set of numbers this quarter also. My first question is with respect to the order booking that we have done. Overall, we have seen robust growth during this quarter also. But if you see the domestic order booking, there was a bit of

a decline
this quarter. And probably for the first nine months, there was a marginal growth only compared to the exports, which had seen north of 50% growth. If you can throw more light on what is happening in the domestic market, a bit of outlook also on that, that would be great.

Nikhil Sawhney: That's great question. Thank you. Thank you, Ravi. On the enquir y book, I'll ask Prasad to come in as we ll and to explain a little bit more on how he sees domestic product market. Of course, we have vagaries in terms of the aftermarket, which is while the spares and service business is more consistent based on our installed base, the refurbishment se gment is more opportunistic. But the product market gives you a real indication in terms of capital formation in the economy.

As we see it and I think as we pointed out in the last couple of calls as well, firstly, you should view us in a nine-month perio d. The fact that it's flat for this nine-month period does not take away from the optimism that we are seeing both in terms of growth of the enquir y book in the domestic market, which is about 57 %, and gives us good visibility into order booking coming int o not only Q4 but into the next financial year.

The reason is that, as we pointed out that we saw a drop in the enquir y book, I think it was in Q2, which is just indicative of the general investment climate. As we currently sit now in the middle of Februa ry, we believe that private sector CapEx is well on track, is something that is very encouraging. But the absolute level of investment that is going in is also something that we believe is quite sustainable. We're not seeing any sudden huge s purt in investments, which is also very encouraging for us is something where we wish to see a more sustainable growth pat h.

But Prasad, can you come in and give a little bit more clarity in terms of what you're seeing in the domestic market, both from a perspective of nine months as well as future?

S.N. Prasad: Yes, for domestic market wise, the enquir y pipeline is quite strong. That is a very positive traction. When we are doing year -on-year comparison for nine months. So domestic market enquir y pipelin e is quite strong, almost over 50% increase is there. But in the same way in the Q3, when we have seen the enquir y generation from domestic market is equally strong enquir y generation there from across the segment, whereas the order book 9M FY 24 wise, yes , a slightly improvement base, but a particular quarter, we cannot take a quarter wise because quarter wise sometimes some finali sations because of year -end in December, again October is festival time there is Dussehra, Diwali. Some customers postpone thei r finali sation, but we see that Q4 is going to be interesting in that quarter again from domestic , like in the enquir y pipeline.

Ravi Swaminathan : Got it . My second question is with respect to the exports. Ye ah, we have seen some very strong numbers in th e first nine months. Can you kind of delve a bit deeper and give a sense on how much of it would have been some of the key subsegments like API, say, the large orders, 3 0-100 MW orders. And if you can give more colour on which geographies have contributed to this? .

Nikhil Sawhney : Ravi, as you know, we have an installed base in about 80 countries globally. And so, we get enquir ies from over 110 countries. In any given year, we are supplying turbines to anywhere between 25 to 30 countries. O f course, the larger the economy, the more prevalent the investments are going to be. And so therefore, the more impact would be for us.

Part of the reason that why we're investing into the United States as well is because we see a very robust market ther e given incentives towards energy efficiency. We're seeing that already translating to orders for us. But we also see that subsidiary will be able to cater to the Americas

for installed base of
substantial number of turbines that already exist the re.

For the quarter in specific, we've seen orders both in the higher range of above 30 MW. As you know, we talked dema rcating the orders because ultimately, they fit into the industrial range of custom ised products that we manufacture. But the d emand that we 've seen is from the Middle East , from Americas. The one market segment, which has been slightly weak for us has been East Asia, but the rest seems to be quite robust. The United States and Americas seems to be doing quite well. Prasad, can y ou give a little bit more colour on the markets which you 're seeing activity in?

S.N. Prasad: Yes. So, in the quarter as well as the nine months, our order bookings were basically from, as you rightly said, except East Asia, all other regions are perform ing quite well, starting from Middle East and North Africa, then Europe region, Turkey and Americas. And from different segments , from biomass industries to oil and gas, ab ove 30 MW and even sub-30 MW. That way traction is quite go od from enquir y pipeline as well as order booking pipeline.

Moderator : Thank you. The next question is from Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: My question again pertains to exports. So, we did highlight that there's a robustness across countries barring East Asia. Just wanted to understand, you did highlight in previous calls that you'll be penetrating newer markets. Just wanted to understand any progress on any new markets, which can bring incremental growt h? And second thing is the composition of exports as you did highlight , there is a strong robustness still you are seeing on order booking following the growth which we had in the past two years. So, will export will be the high -growth area ve rsus domestic? And what could be the composition of exports in the next two, three years?

Nikhil Sawhney: The composition number is very difficult to say because, very frankly, our approach towards the domestic and export markets are slightly distinct. In the domestic market, we see every enquir y cross our desk so that's a market share question. So, the size of the market in India is something that Triveni Turbines can't control. But what we can control is our market share and it is something that we lik e to maintain.

On the export market, it's more a question of visibility, and to get visibility into orders. And so, the strategy there is to build your enquir y pipeline because our conversion rate once enquir ies hit our desk, is actually quite high. But I don't think we've talked about new markets. I think the fact is that we are already present in all the geographies that I've already spoken about.

As far as our product specifications go and applicability into certain markets go, yes, there are newer se gments that open up to us. That is more of a technological question or a geographic question that we continuously try to invest into to see how we can open up greater newer markets, which allow for our product to be more relevant for our customers. These w ill include everywhere on the renewable energy side, everything from geothermal to biomass to waste heat recovery, etc. that we have spoken about.

On the industrial side, we pretty much cover all the industrial spaces anyway. There will be further push in to the API , oil and gas segment, both from the drive turbine as well as the power turbine segment. And so, we see growth coming, we see appropriateness of our product profile. As we look forward in terms of exports, as we see exports will be as a percent age, it will definitely be a very strong growth market for us. And that's what we're investing into. We're investing into having physical presence close to our customers to have a certain degree of proximity to our customers so we can give them the confide nce to not only provide us with orders

, but then also for us to cater to their aftermarket needs.

This seems to have worked in certain categories and that therefore, led us through this investment that we're going to make into the United States , which hopefully will be a model that we can replicate. The model in the United States itself is something that we will flesh out in the next couple of quarters and come back to you, but it will involve a physical infrastructure of a shed. We keep in mind the fact that we have a manufacturing base in Bangalore. So we will be close to customers with the appropriate type of infrastructure that's required. Ultimately, we are very cognizant of our return metrics and something that we wi ll always maintain much like we maintain ed on the P rofit Before Tax (PBT) side of above 20%.

So, while exports as a % sales will rise, that gives us more flexibility in our margin structure because that is a higher margin, these are higher margin order s. But we do have a lot of investments going into people in the next couple of years. Therefore, we are cognizant of the costs that will go into helping build a more sustainable enterprise for Triveni Turbine s, and we are very fortunate that the order booking and the revenue growth that we will see in the coming years will be backed with high -margin orders, which would allow us to offset any additional costs that may come from the future planning of the business.

Amit Anwani : Sure. My next question on API Turbine , you witnessed a strong growth this quarter. Our sense is that the oil and gas market domestically , the CapEx is slightly getting deferred. How do you sense and what could be the growth in API Turbine and exports in domestic market? And how ha s been the contribution past 3-6 months ?

Nikhil Sawhney : We don't give the contribution number and a split. But I should tell you that from our perspective, as someone who had a relatively low market share in this space, we've had extremely good recept ion by both domestic and international clients. These are very large clients, as you know, and the registration process and getting part of the ir purchase reference is a very large and Herculean effort. So, once we were able to overcome that, the recepti on from customers has been very good, and that is translating into orders as well. Oil and gas is a large segment, because we are still not transitioning fully. Having said that, a majority of Triveni Turbines ' orders do come from the renewable energy segm ent. So that is still the mainstay of what we see in terms of the capital investment in the market.

Both in the domestic and international market, we see growth in the oil and gas segment. The enquir y levels from this space is higher. And we see investmen ts in the domestic space both by oil and gas as well as fertiliser majors , and we see this internationally as well.

Amit Anwani: Sure. Lastly, on gross margins. As we can see past four quarters, we have been clocking more than 50 -51% gross margin all the way picking up from 43%. So just wanted to understand what could be the sustainable gross margin. And second, on the other expenses, what was the charges for SADC this quarter? And third, you highlighted on the R&D spend going up. So, I just wante d to understand what was the R&D spend recently , as a percentage of sales? And what number we are looking for the upcoming years, yeah?

Nikhil Sawhney: Okay. Many questions. On the SADC side, we don't g ive the split, but if you look at the gross margins, the raw material as a percentage of sales used to be somewhere in the region of about 5 2-53%. It's right now about 56%. Our attempt in terms of value engineering is to get this back down to about 52 -53%.

This is partly driven by two factors. One is certa in servicing contracts have slightly lower margin, and that ends up impacting the gross margin levels.

Also,
it's dependent quarter -to-quarter as a percentage of exports, as a percentage of sales. I would encourage you to look at our numbers for margi n trend on an annual basis. It gives you a better idea. But what we see is there's no margin pressure. The commodity prices to a large extent ha ve stabilised. We have larger rate contracts with subcontractors and vendors. And we don't see volatility in raw material prices in the short term. Medium term, we may have some raw material variations in items such as copper. But we'll cater to that with long-term contracts .

It's interesting that you point out about gross margins because actually our tax rate for the quarter has also come up quite high at about 27 %. But these w ill give better clarity when you look at it on an annual basis.

Amit Anwani: Sure. On R&D?

Nikhil Sawhney: Last year, we spent a little bit over 1% in R&D. Attempt will be to take this up t o 3%+. Now this would be a mixture of CapEx as well OpEx. I think that this is required not only for our new diversification plans in R&D that we'll be doing. We've touched upon some of these elements in the past. But I think that it is important that when the Company has the cash flow and the flexibility to be able to internalise capabilities on R&D that we end up setting up infrastructure that we would be putting on a variable cost basis otherwise.

Moderator: The next question is from Abhijeet Singh from YES Securities. Please go ahead.

Abhijeet Singh: Yeah, good afternoon. Congratulations on a very strong performance again. First question is on the API turbines side. Do we have a technical or technological collaboration with any foreign player or any players on the API turbines? Or do we own the technology in -house?

Nikhil Sawhney: No, the Company has no technology collaborations on any product line or any technology with anyone for any lines, be it API or other.

Abhijeet Singh: Right. And the endeavour to increase the R&D expenditure as a percentage of revenue to 3%. Where will this expenditure be going and in which product segm ents are we targeting to increase our capabilities in?

Nikhil Sawhney: The fact is these are capabilities, the capabilities that we have in structural on fluid dynamics and other aspects of science and engineering are somewhat spread and amortised over a wider set of products. And so, the fact is that we've been investing into certain capabilities and capacities. And I think ultimately, they will fall a part of what we bring to the market. We haven't announced any new product introductions at this curren t point in time, but the fact is that the Company is building a portfolio of new product releases and new technology releases as well.

Abhijeet Singh: Just wanted to understand, are we going to enter a new segment altogether? Or is that something that we are right now outsourcing?

Nikhil Sawhney: No, it's partly both. It is partly what we are outsourcing to internalise and then to spend much more on what we were doing.

Abhijeet Singh: Right. In the U.S. market expansion now that we are also forming a sub sidiary there. So, is there any one particular product segment that we are targeting there? Or is this generic kind of push that we do as far as our capability concerned in U.S.?

Nikhil Sawhney: So, I think we've said this in t he past that our attempt with our international expansion is to be closer to customers. Now we understand that as we're closer to customers, that will help bridge certain apprehension s that they may have in terms of placing orders on us. But they really do n't want to see a marketing office there because that's really not any capability that they can utilise once the product is installed, they want to see some servicing capabilities. So, the essence of this entity to be set up is on the aftermarket side. I t will start wit

h that enterprise only to be able to cater to our customers as well as third -party customers from that subsidiary.

As you've seen, we've been quite successful in our South African venture. And margins are expanding. Everything is looking q uite good there. So, we seem to think that, that's a good model for us to adopt. And U.S., as you would know, is by far the largest market globally. And given the push they have for energy efficiency, not only is there a very distinct market for new produc t sales, but also on the refurbishment and replacement market presents a very unique and distinct opportunity.

Moderator: Thank you. Next question is from Harshit Patel from Equirius Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity. So, my first question is, you have mentioned that the overall domestic enquir y book has grown by around 57%, while the overall enquir y book has grow n only 14%, so this would imply a very sharp degrowth in the export enquir y book. Could you explain a little bit on this?

Nikhil Sawhney: No, no. It's just the domestic market, enquir y book is not as large as an export enquir y book. So, the math doesn't work out the same way. The export market has also grown, but yes, it's grown by about maybe 7-8-10%. But having said that the entire enquir y book is somewhere in the region of about 7.5 to 8 GW. So, it's quite substantial, far more than both our order booking as well as sales in any given year. In fact, we may be 3x to 4x that.

Harshit Patel: Understood. My second question is on our EBITDA margin, and I'm talking about margins, excluding cash. So, if I compare the Company 's overall trajectory from let's say FY 17, FY 18 to today, so in the last six to seven years, we have almost doubled our sales, our gross margins have improved, the employee cost as a percentage of sales, even they have come down. Despite that, we are not at the similar EBITD A margin levels of the past, mainly because the other expenses have grown disproportionately. So, while I

understand the expansion like SADC and what you would be doing in the U.S. market as of now? But this increase in other expenses seems to be quite disproportionate. So, could you think we can go back to those 21%, 22% kind of margin in the next 2-3 years? Or are the current margin levels would be a more appropriate extrapolation of the future margins?

Nikhil Sawhney: No, no. I think there are some investments that we're doing in the short term, which have had the impact on the P&L the way that you've expressed it. The intent, of course, is to expand it going forward. There was a certain compromise in terms of how much growth we could take with margi ns. But I think that if I look 2-3 years down the line, we should only see expansion of margins. This will happen through multiple routes. One is the product configuration it self, we are quite optimistic that we will have a leaner and value engineered product, which genuinely will have more costs taken out, then the structure and the cost that we put in would obviously be amortised over a larger turnover. And so, you'll have operating leverage also kicking in.

And then we believe that the contribution of higher margin aftermarket as well as export would end up aiding and assisting in these matters. So, there will be certain costs that we've taken in the short term. But that's why in the short term, I think the way that we see it, that our PBT level, including other income will be in any manner well above 20%. But to get back to an EBITDA number is at 20% as you are talking about without other income, it's something t hat our attempt will be on, of course.

Moderator: Thank you. The next question is from the line of Chirag Muchhala from Centrum Broking. Please go ahe ad.

Chirag Muchhala: Thank you and c ongrats for a very good set of results. So, first question is more of

a clarification. So, the U.S. entity that we are planning and written in the document that basically, we are in the process of investing for a lo cal facility. So just wanted to get a clarification that this is more like our South African venture, which is geared towards service, repairs as well as aftermarket or this is we are planning eventually full -fledged steam turbine manufacturing facility th ere like we have in Bangalore?

Nikhil Sawhney: Chirag, you visited our facility in Bangalore, so you know the assets employed in the factory. So very frankly, actually, the intent is very clear to be able to be close to customers to cater to their servici ng requirements. But if local assembly is required, it doesn't require in much CapEx . So, it's something that we have to be slightly opportunistic on. But the point is that the capital employed to that business is going to be relatively low. It will be v ery high from a manpower perspective. We are going to employ the best of best out there. That is an investment that we'll make which will pay off in the years to come.

And I think that this is going to be a true step towards internationalisation of hiring predominantly, what I would say non -India workforce operating over there. The infrastructure itself is going to be something that will be appropriate for what our requirements are. If the investment is reasonable, I think that the approach is right. It will be from the aftermarket side is our approach, and that is what we cater to. Manufacturing is a relative concept, only 40-45% of our purchase order actually enters our factory anyway. So, the generator, the

lubricating oil system, panels etc, don't enter our factory. So, are we manufacturing that or not .

Chirag Muchhala: Sure. And for the U.S. market, which one is end user sectors that we will initially be targeting, because I understand that geography is als o very large oil and gas market. So, from an API turbine point of view?

Nikhil Sawhney: No, we will be approaching what has been our mainstay in our order book, which is renewable energy and now driven by a little bit in the oil and gas sector. So renew able energy cuts both across industrial installations, which have requirements from an energy efficiency perspective . As you know, the United States has had some of the cheapest power globally or cheapest energy globally. And so therefore, capital investme nt in energy efficiency has never really been a priority. Capacity expansion was always a priority of incremental capital.

And now with both the Inflation Reduction Act as well as a variety of different incentives as well as corporate consensus towards mo ving towards a greater decarbonisation, there is a substantial amount of investment across the industrial value chain as well as pure -play renewable energy companies. So, between those as well as API, it presents a very large market. The United States, a s you know, is by far the largest economy in the world, and they have every industry that exists there.

We believe that given the fact that over the last several years, the consolidation in the steam turbine space has meant that the industrial user base h as not been adequately service d. And so, we think that exist opportunity for us to come in and provide a comprehensive degree of offering s.

Chirag Muchhala: Sure. And because of that market you are also very high on product certification. So, are we through with all certifications?

Nikhil Sawhney: Yeah, that's why like I told you in the last couple of quarters, we've been seeing orders from the market as well, and we've delivered orders into that space. So, certifications are part and parcel of what ever we do. Nothing is more stringent than the API 611 or 612 specifications that go in to the oil and gas. So, I mean we sell everything from our defence forces requirements for steam turbines and those requir

ements for cert ification is far higher than anything else. We are also, as you know, AS 9001 certified company, which is an aeronautical standard. So, we have all the relevant quality parameters as well as documentation that is necessary to sell into any market both fr om an application perspective as well as geographically.

Chirag Muchhala: Sure. My last question. We have seen a very strong ramp -up in FY 23 and 24 and probably this year, end up with total dollar inflow close to around ■2,000 crore or so. So, on this base, considering our global opportunities in enquir ies as well as new growth drivers, over the next 2-3 years, will we still be able to grow at, let's say, a robust 20% + kind of a number in infl ows?

Nikhil Sawhney: Actua lly, a couple of years ago, I gave outlook that the Company will grow at about a 35% CAGR and as we see, I think we're exceeding that. The capabilities that we're putting in place is to maintain a growth rate of that much. Now 35% may be high, but ou r attempt is to grow rapidly. We think that there's

an ample market out there, which is un tapped and uncatered to, and there is a space of Triveni Turbine s to participate in t here with its current product lines. Our expanded product line will allow us grea ter confidence to be able to grow and maintain growth.

So, the ending order book , well, of course, Q4 as we're in right now will be something that we think will be more robust than we've had in this current year already. So that will end the ye ar well. But it will also allow us to, because the performance of Q4 is completely dependent on the order book that we have in the past. In fact, our order book as it currently stands, provides us full visibility of growth into at least middle of Q3 of nex t year and a bit of order booking in Q4 and Q1 of next year will provide us the growth that is necessary based on our past precedents .

So, FY 25 also seems to be quite well catered to from a growth perspective. The enquir y book that we have and the growth in the enquir y book gives us confidence in the order booking that we will get into in FY 25 , which gives us visibility into FY 26, partly driven by the capabilities that we're setting up on the servicing side by being more local, but also the fact that there is a secular theme in terms of greater investment into energy efficiency from the industrial side, which is for both heating and cooling solutions as well as renewable energy, but as well as oil and gas.

Moderator: Thank you. Next question is from Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: Hi, Nikhil. I just have two questions. First is , so in the last so many years, the way you've grown both in pr oduct and aftersales and especially in the global aftersales market. It's an opportune time that we understand from you the five-year roadmap on where do you see Triveni on the global aftersales market share and product share. If you can give that broad contour ? That's my first question.

Nikhil Sawhney: Amit, thank you. We don't really provide a five-year outlook. And we try to provide qualitative rather than quantitative numbers. The reason is we're a pure play steam turbine company. And you have to understand that that the competitors do look at our earnings call in a much more focused manner.

But having said that, our approach is to be the most preferred turbine, also the heat and power solutions provider to our customers. And what do we need to get there? We need to provide the capabilities on the aftermarket side to be able to cater to them. Those infrastructures and the capability that you put up on the aftermarket side need to be able to validate their investment from a refurbishmen t side, which is to go out to third -party work. The market share there is, I think, a little bit difficult to calculate because it fully depend s on the opportunities that sort of presented to

you. If I look at it going forward, and
we've discussed this , I think in the past, both you and I, that the refurbishment segment has presented a very unique opportunity for the Company to scale very rapidly with a technological solution.

And I think that we're scratching the surface there. This business has the potential to grow very rapidly, but you need to have the infrastructure and the proximity to customers. So, I think the constraint to our growth is actually going to be people. It's going to be the physical presence that we have in local

geographies. So, if we're able to then keep scaling this on a yearly or every couple of years, with a new large presence in certain areas. I think it will allow us to maintain the growth rate for many, many years to come.

So, market share in India is something that we operate in a largely duopolisti c market, there are other people who sell in, but it's a very price competitive market, and we're happy with that type of market share.

We have a competitor who we deeply regard. They have an extremely good product range and they're very aggressive as well. They keep us on our toes and the y are someone who we benchmark a lot against. On the global market, there also principal competition, but they have a near 75% plus market share. So, there is room for us to grow i n that market. There is room for us to expand our visibility.

And so that ’s the way I ’d rather put it rather than give you any quantitative numbers. Suffice to say, we're catering to a substantial growth in the next couple of years. So, our plan is to maintain the growth that we've had in the last couple of years into the next couple of years to come.

Amit Mahawar : Sure, Nikhil. I mean I will just summari se it maybe what you said, if I understand that you still significantly gained market share in FY 24 aftersales materially. And there are things that competition cannot copy from you that you are displaying .

So, the second question quickly, is actually linked to first, I'm sorry for that, but maybe Prasad and Mr. Mote, if possible, can also c hip in and help you there. What is the kind of setup you are looking to create? You've invested in people 5-6 years ago, we can see fairly meaningful benefits of that already, right?

And you're now again going beyond the number mandate, and it seem s that you are still going to significantly spend on people and go more closer to the market that you've been saying. So maybe next 4-5 years, how will the setup of Triveni both on product and aftersales transition to ? Qualitative assessment is welcome .

Nikhil Sawhney: Yeah. I'll let Prasad answer that. That's a very good question. I'd actually like to hear his answer myself, but in terms of split between aftermarket and the product, the fact is as you know, a steam turbine product last with a customer anywhere between 20 to 40 years. So, it presents a yielding opportunity for the Company to be able to cater to our customers' aftermarket requirements, which is really a very sweet spot.

This is something that if you do DCF and whatever cost of capital, y ou can do it, it comes out to be a great annuity for the business. To the extent that we're able to be extremely profitable on product sales which we know that a lot of our competitors aren't, it helps validate the fact that we can grow on the product side and continue to grow that.

We have right now in excess of 65% of our sales coming from the product. While we see from our competitor’s viewpoint, in excess of 50% or 70% of their sales come from the aftermarket and in exces s of 100% of the ir profit comes the aftermarket. So, we think that we are looking at both a s distinct growth

avenues, which is aftermarket and product. We think that both provide a good opportunity. But Prasad, why don't you give your views as to wha t you believe Triveni would loo

k like ?

S.N. Prasad: Yes. So, as you rightly said, yes, we are seeing both product and aftermarket as a huge opportunity there . To start with the product side , yes, we have a strong presence in countries. We h ave a very strong market share in some countries that there is a scope for us to improve the market share in biomass, the renewable energy segment. And coming to APIs because our market shares are miniscule and the opportunity for us to grow in API.

So, what we see the product followed by aftermarket because the API is one segment where we are establishing our references, so down the line the cycle of aftermarket start s for API segment. So, what we see, so in aftermarket side, like the ref urbishment opportunities, service opportunities are for any make turbines and our local presence in those countries, where we are establishing small workshops to be closer to the customers, that will open the big opportunity for us when it comes to afterma rket and that facilities are that, that local setup acts as springboard for the products team also to give a comfort to customers.

Our local presence will help them when they are getting a final valuation call whether to buy a product from Triveni. That' s where we see we are in right market in the right time and a huge opportunity, both renewable as well as API segment . Based on our current market share as today, we are addressing over 80-85 countries, our fleet is there, and our enquir y pipeline is coming over 100 countries. So, we see a strong growth to come as the years ahead.

Moderator: Thank you. The next question is from the line of Himanshu Upadhyay from Buglerock PMS. Please go ahead.

Himanshu Upadhyay: Congratulations on good set of numbers. This is a follow -up to question or to replies in previous call and today also. We are focusing more in geographical expansion and to be more near the markets local ly. Can you give an idea of what percentage of sales and technical manpower would be outside India currently vs. five years back? Also, the number of service centres , how they have increased currently vs. five years? And whatever growth we are seeing curre ntly, is it all orders in -house or directly through our own sales team in exports or there is something like some consultants also who play a role in getting the business?

Nikhil Sawhney: I'll start with the last question. We use a hybrid structure, all s ales technically you have to go through us, but we do have an agent structure, which allows us to be a little bit more conservative on overhead costs. And also, in our segment, which is a little bit more entrepreneurially driven from a customer purchase pe rspective, the relationships that agents have do end up, I think allowing us to make that inroad and break the barriers of Make In India, et c., which some customers in different geographies may have a hesitation towards. So that was your first question.

The other question , people. So how many people are outside India . We have offices in the UAE, in Dubai, in South Africa in Johannesburg, in Europe and in Southeast Asia, and now in the United States. In terms of people and

personnel placed outside the count ry, I would say there is no t more than 4% or 5% of the entire workforce.

Our attempt would be to be much more international and as we go forward. But this would be in 2-3 different areas. Manufacturing, as we see it, will always be based in India. And th at is there for a couple of reasons. It's because we think the ecosystem that we've created from both the supply chain basis as well as the capability of manpower is better for us to not spread it in different areas. International m anpower will consist sig nificantly of servicing personnel. And these are technical servicing personnel. These are people who are revenue earners in their own right. And so, the attempt there like we have created in South

Africa, where directly, we may have 20 people on the book s, but we may have maybe a thousand people employed indirectly in servicing contracts gives us a roadmap in terms of where we wish to go.

And as far as what I've been talking about in terms of growth of employee costs, it will be driven by hiring in these foreign geographies, which have a higher cost base than we would in India. So that's something that we cater to, and that's something that we're cognizant of as we go to execute these orders. But the attempt will be to have a greater internationali sation, which is exactly the point that you made, which is a percentage of employees that are outside the country.

Himanshu Upadhyay : Okay. And any ideal figure you think that service centres, these many service centres can help us ?

Nikhil Sawhney : I don't kno w the right answer to that. I think we have to take it as it comes. It will be a question as to , can all service cent res, what is the geography that it can cater to. And that's something that we have to discover going forward. The SADC region is limited in terms of the industrial base that it has. In the U.S., we'll get a better idea. There are significant other growth opportunities, be it in Latin America, Central America, Europe, North Africa, Middle East, besides all of Southeast Asia, which has its own distinct area. So, we were taking the growth in a way that what we can manage, but there's enough growth opportunities that are open to us geographically.

Moderator: Thank you. The next quest ion is from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.

Teena Virmani : Hi, c ongrats on a good set of numbers. My question is, once again, on refurbishment where you've answered the previous participant's question. Who are your competitors in the refurbishment market? So basically, I want to understand how are Triveni's of ferings different in refurbishment for a client to choose Triveni and not choose any other player or over any other player? And how fast can this afte rmarket grow for the Company in terms of as a share of sales, the way it is for the global competitors?

Nikhil Sawhney : Well, that's a great question, but there is no one answer to it. Every customer's requirement and their purchasing choice and pref erences are different. There are certain things that are somewhat common through, which is that they do want a local presence. They want to know the references that you have and are doing the work , they want to know what the capabilities that you have on the engineering side as well as the development side. What are the liabilities

that you're going to be able to take? And what is the warranty on your balance sheet to be able to support anything that goes wrong.

So, the competition stretches all the way from the OEMs if they're in business to local workshops. And so that is your spectrum of competition, and they vary from market to market. Like I said, some customers would only go to the OEM regardless of what you offer, which is their ris k aversion. As you can imagine, you can't approach a nuclear power corporation and say that you know I want to provide you spares for someone's turbine, they never let you in. So customer preference is customer preference.

But on the other sid e, where there is opportunity for third parties to provide services, we distinguish ourselves as being an OEM. There are not many OEMs that offer refurbishment and third -party solutions. And so, we think that we operate in that space by having far in exc ess of the engineering resources and R&D resources than a local workshop may have.

But more than that, the quality systems that are also necessary increasingly to provide robustness and reliability of offering for the refurbishment side is something that we consider . Because we've done refurbishments from everything from compressor

s to gas turbines as well. Having said that, a majority of focus is always on the steam turbine side. But the capabilities are quite common across all rotating equipments. An d as we move forward, we will try to leverage those with the focus being on steam turbines, of course.

Teena Virmani: Got it. And how much would you target to take this aftermarket share as a percentage of sales going forward over a longer period of time?

Nikhil Sawhney: The constraints, like I said, is on people and proximity to customers for the growth of that business. As far as the product sales go, we are extremely profitable on the product sales. So, we would push that to the extent that we can. W e see enormous growth opportunity still from the product side. You can see it from our order booking, which we aim to sustain in the coming years.

And so very frankly, as we look at it right now, we are at currently maybe 65:35. I have to imagine the next couple of years despite the high growth in the product sales category, the refurbishment and aftermarket would be able to pick up market share on a relative basis. And so, we think that incrementally if that aftermarket as a percentage of sales is growing by 1% or 2% a year. That's something that is fine that we're happy with as long as the product sales also grow.

Teena Virmani: Okay. So, it won't be at the cost of the product sales?

Nikhil Sawhney: No, I mean, the product sales provide you with a gre at annuity. The margins that you can get from the aftermarket for spares and service for your own product is far in excess of anything that you can get on the refurbishment side, as you would imagine.

Teena Virmani: Right, and if you're expanding more on the aftermarket side across different other geographies also the way you are now doing it in U.S. can it also have an impact on overall other expenditure or the locali sation cost in a way more than what you would have seen in SADC?

Nikhil Sawhney: Not ful ly following the question, but having said that, if I look at it on the growth plans of the business in terms of investment of capital as well as operating expenses, these are all catered to. There will be certain investment costs. The fact is that the ent ity that we had in South Africa was smaller both in size and scope as well as the potential that the market could create.

The potential of the U.S. market is higher. We have more confidence going in, so we're ready to sort of upfront the investmen t costs that may be necessary for a market like that. So, because we anticipate very high growth. But having said that, the entity, we will come up with some more clarity in the next quarter in terms of what the exact investments would be like. These are all very manageable in the entir e base of the Company . Having said that, we are cognizant, like I said in the beginning of our return metrics, and we wish to maintain those return metrics on the current capital side as well.

Moderator: Thank you. The next question is from the line of Aditya Gupta from Tara Capital Partners. Please go ahead.

Aditya Gupta: Hi, good afternoon. Thanks for taking my question. First, what's your capacity utilisation right now, both for our domestic and exports?

Nikhil Sawhney: Largely capacity is not a constraint for us. We've disclosed in the past that we have the capacity to manufacture in excess of 250 odd turbines, and we're well within that capacity. We have the flexibility to expand that capacity on a variable basis by increasing shifts. So, capacity is not a constraint and neither this is a large capital cost for us.

Aditya Gupta: Okay. So, let's say when you say capacity is n ot a constraint, and assuming you're saying you are going to grow or there's an aspiration to grow at the same pace of 30% or 35% plus for the next two years at least. For that, you're saying there is enough capacity?

Nikhil S

awhney: I haven't said that. Please don't put words in my mouth.

Aditya Gupta: No, I thought , sorry, maybe I got it wrong. I thought the aspiration was to maintain a healthy or the aspiration is to grow at that?

Nikhil Sawhney: Our vision is to maintain, but like you're putting m y absolute terms in my mouth by saying like 3 0-35%.

Aditya Gupta: No, no, no. Sorry about that. I was saying that maintaining the growth pace. So there's enough capacity to take you through.

Nikhil Sawhney: Yes, yes, yes. And in fact, actually, i f you've heard our conference calls in the past, we expanded our capacity by 50% and then another 50% with a total investment, I think it was ■20 crore and then ■30 crore. So, the capital investment is also not that much and it took about nine months for it to come online. And so, which is well within our order visibility and enquir y visibilit y, so that's not a constraint for us.

Another point which you bring up, which is very relevant from a capacity utilisation perspective is the capacity of our vendors and subcontractors. That

is something that requires work and that's something that we continuously focus on to be a ble to enhance their capacity to ensure that it's well within the capacity utilisation figure so that we don't face constraints. So, this will happen through multiple routes, direct negotiation and conversations. Sometimes there's no capital that has to be provided to enhance capacity for certain subcontractors. And lastly is the fact that we have multiple sourcing strategy. So that is the way that we bridge that risk.

Aditya Gupta: Got it. And second, if I look at the margins, even on a, let's say, nine-month basis, there is a gradual improvement that's come through . And this is happening in sync with the higher mix of export orders. Even though I think aftersales is down a little. So, is that you said commodity cost are benign , is there a mix element also in there? And in share of export products, do you think this trend is now going to continue?

Nikhil Sawhney: Yes. So, our execution is just a reflection of our order book. And so certain order books have taken in at COVID time s were subject to the vagaries of raw material pricing at those points in time. There's much more stability now, there's much more visibility into what project margins could be and should be. We actually should have had higher export as a percentage of sal es in this quarter three, but we had too many goods in transit. So, these are all going to get reflected in Q4 and going forward. Our order book reflects our turnover in the years to come. So, it's along the lines of what you a re talking about.

Aditya Gupta: Got it. And since you mentioned longer transit times, is this something to do with the Red Sea issue? Or is this something completely different?

Nikhil Sawhney: The Red Sea issue, I think most transporters are providing alternate routes. So that, I think is important for us to recognise. At this point in time, the goods in transit is just based on the fact of our plan ned turnover. As you can see, even in Q3, we had a record turnover. And that's something that we'd like to beat in Q4 again. But I do n't think the Red Sea is really the constraint. And those shipping challenges are not what the constraint is. It's just production planning and dispatch.

Aditya Gupta: Got it. And any cost, I mean, I wouldn't have bought it up actually. Any cost escalatio n in Q4 because of shipping routes being changed or higher price shipping prices right now, which could be worth calling out for?

Nikhil Sawhney: Prasad, do you want to answer that question?

S.N. Prasad: Yes. So, majority of our international contr acts are on FOB Indian port basis. So, whatever these transportation costs are outside our contract values. And when it comes to raw material, so almost 95 -96% are sourced indigenously. So, at

this point of time, we don't a nticipate any impact of those cost escalations.

Moderator: Thank you. The next question is from the line of Bimal Sampat, who is an Individual Investor. Ple ase go ahead.

Bimal Sampat: Good afternoon. Now most of the questions have been answered, just two things. Now the new product, what you're doing R&D on, will it be capital intensive or it will be something similar to what we have in current ? Our

business is negative at working capital. So new products will be similar or it is something different. And it is related to our product or and are we going to invest heavily, or it will be light CapEx , like our turbines?

Nikhil Sawhney: No, I think that we very much like our technology -focused approach towards product development as well as catering to customer requirements. What that ends up doing is that when we put technology first, you have limited competition and therefore, payment t erms such as bigger advances, et c, and payments on dispatch end up helping your entire balance sheet such as working capital.

So, I think the intent will be to sell the same way, sell as a technology product and manufacture as well as develop in the sam e way. But I wouldn't like to put too much focus on the new product development. This is something that we invest in. It will come through in a number of years, but the approach will be very similar to the way that we'd like to approach our current busines s.

Bimal Sampat : Right. And second thing, U.S. thing also, it will not be very capital intensive, you're saying. Correct?

Nikhil Sawhney: It will be very manpower intensive. The capital investment we'll come up with the exact numbers to give you in the n ext quarter, but it's something that that is very manageable for Triveni. Of course, you have to keep in mind that the cost of the United States is higher than they would be in India.

Bimal Sampat : But I think it will be a huge market for you. I mean it will be more than what we are doing in all countries put together , something like that?

Nikhil Sawhney: Yes, hopefully.

Moderator: Thank you. We take the last question from the line of Prolin Nand u, who is an Individual Investor. Please go ahead.

Prolin Nand u: Yeah, hi management. Thank you. Thanks a lot for taking my question. A few questions from my side. While you mentioned in the last answer itself that not to give much focus to the new products. But if I look at the journey of Triveni, right, I mean how we started was we were leaders in 0 to 30, then we moved to

30 to 100, then we also added API capabilities. So, when it comes to the aspirational target market that we want to cater to in, let's say, 3-5 years' time , where are we right now? And how big can that aspiration al target market be in the context of what we are currently catering to? Can it be 1.5x to 2x of the existing size? Or I mean, what is the kind of aspirational target market that we want to get to in 3-5 years' time?

Nikhil Sawhney: You see the market is changing quite rapidly. It's benefiting us also, but it's changing quite rapidly. Ultimately, what is it that we're providing. We're providing solutions for in dustrial heating and cooling as well as distinct renewable energy power generation solutions. So, each of those will have different applications from a product development and technology development perspective. It doesn't mean suddenly that we're going to start making air conditioners. That's not the objective of any product development. But the industrial heating and cooling market end requirements are quite distinct.

Renewable energy has greater play in terms of the possibility that may come about.

But having said that, the markets are quite large, as you can imagine. These are very, very large undefinable type of markets. I think it's better for us to just take it as what's applicabl

e right now for steam turbines . There may be a certain degree of cann ibalisation in the products that we develop. But the aspiration level will be to pursuit on the customer side to be the most preferred vendor, so that means the product quality , reliability , robustness, have to be quite consistent. Of course, efficiency le vels have to be benchmarked globally.

At the same point in time is to keep expanding the growth potential and opportunities to be able to be more impactful on the industries and communities that we serve. And I think that we will end up doing that in time to come.

Prolin Nand u: Sure. So, if I understand it correctly, there would be some cannibalisation, because of the new product. But is it also fair to say that maybe we are moving out of just being a steam turbine player to more of a turbine player in a few years' time? Is that a fair way to look at it?

Nikhil Sawhney: No, no, we're a steam turbine manufacturer, and I would encourage you to look at us as a predominantly steam turbine manufacturer for the next several years. And actually, it's not next several years. So whatever new products that we will start will happen at the incremental level. We find ample growth opportunity in our current market. We don't want to lose any focus on what is presen t in front of us, both from product side as well as a ftermarket, aftermarket including refurbishment.

Prolin Nand u: Understood. Because from where I'm coming from is that from an investor point of view, it looks like you have covered most of the bases, right, in terms of the steam market opportunity, so to say. API was something we added a few years back in terms of capacity. Also, we have pretty much, now we have a full range of turbines from zero to 100, so to say. So, I mean, we were not very sure if there are decent white spaces, which are still left to be cater ed to by our products. So that's where I'm coming from.

Nikhil Sawhney: One is the product development, but the market itself is much larger. We see like the previous participant had also mentioned like we see ampl e growth opportunity to sustain the growth that we've had in the last couple of years. So, there's no reason for us to lose focus on that.

Prolin Nand u: Fair point. And on this, you mentioned that there is an enquir y book of 7.5 to 8 GW right. I mean if I heard it correctly, can you help us understand that in last few years' time, how has our conversion rate moved like? And what is it right now? Are we looking at somewhere growth, I mean just to understand the quality of enquir y, is it like a 70 -80% kind of a conversion success that we have?

Nikhil Sawhney: No, no, no. One is, conversion success within a year, regardless of it converts to us or not, I think that that would be somewhere in the region of about 40 - 50%. But then conv ersion within that to us is quite unique and distinct based on enquir y to enquir y. I don't think you can really read too much into that

conversion directly to us because different levels of enquir y come at different stages of the ordering cycle. It provide s us a more macro number in terms of opportunities to target. It provides us focus in terms of where to dedicate manpower and it also talks a little bit about our relevance and the market movements. So that's how we track enquir ies.

But having said that, to extrapolate and take data from our conversion success, there are certain numbers that we have, which unfortunately, I don't want to share with you, which is in terms of the success that we have once we are in front of the customer, which are al l very encouraging. We find that there is competition, but there is enough space for us to enter once we ar e in front of the customer.

Prolin Nand u: Sure. And lastly, on this U.S. subsidiary that you have set up, you mentioned that in next q uarter, you will come up with a detailed plan in term

s of CapEx and some of the other expenses and it would be more manpower heavy. Does this mean that we rule out any acquisition that we did in South Africa of that nature in U.S. market? Does it mean that or that route is still open?

Nikhil Sawhney: No, we have no new organic opportunities that we're evaluating.

Prolin Nand u: Okay. No, I was thinking that from the point of view of aftersales, right? I mean, what you have done in South Africa maybe is this that kind of an opportunity ?

Nikhil Sawhney: We think organic is a better way to go right now. And we take every opportunity as it comes. But this is something that the team spent a lot of time on, Sachin and team have spent a good amount of time in being able to do this. We've already transferred manpower. And we're looking for sales to come in FY 25 itself. But of course, it's going to be more investment heavy.

Moderator: Thank you very much. That was the last question in queue. I would now like to hand the conference back to the management team for closing comments.

Nikhil Sawhney: Thank you very much. Thank you, ladies and gentlemen, for joining our call. We're very optimistic about the prospects of our company. We have a great management and management team in place, and we're looking to enhance our capabilities. Do spread the word that we're looking for good able people and getting good people is a lways the best part. So, we look at you as stakeholders in our growth. Thank you.

Moderator: Thank you very much. On behalf of Triveni Turbine Limited, that concludes this conference. Thank you for joining us.

Call: May 2024

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Triveni Turbine Limited
Q4 & FY 24 Earnings Conference Call Transcript
May 17, 2024

Moderator : Ladies and gentlemen, good day and welcome to Triveni Turbine Limited Q 4 and FY 24 Earnings Conference Call. As a reminder, all participant lines will b e in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please not e that this conference is being recorded.

I now hand the conference over to Mr. Rishab Barar of CDR India. Thank you, and over to you .

Rishab Barar: Good day everyone and a warm welcome to all of you participating in the Q 4 and FY 24 Earnings Conferen ce Call of Triveni Turbine Limited. We have with us today on the call Mr. Nikhil Sawhney, Vice Chairman and Managing Director; Mr. Arun Mote, Executive Director; Mr. S.N. Prasad, Chief Executive Officer ; Mr. Sachin Parab, Chief Operating Officer; Mr. Lalit Agarwal, CFO; M s. Surabhi Chandna, Investor Relations and Value Creation, along with other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature, a nd a statement to this effect has been included in the invite, which was mailed to everybody earlier. I would like to emphasi se that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner.

We will start thi s call with opening remarks from the management. Following which, we will have an interactive question -and-answer session. I now request Mr. Nikhil Sawhney and Mr. Arun Mote to share some perspectives with you with regard to the operations and outlook fo r the business.

Over to you, Mr. Sawhney.

Nikhil Sawhney : Thank you very much, Rishab. A very good afternoon, ladies and gentlemen, to the Q4 and FY 24 investor call. Firstly, it is with pleasure that I report the record performance that Triveni Tur bines has had in the quarter and the year ended 31st of March 2024. We achieved the highest -ever annual revenue, EBITDA and order booking in FY 24 as well as a record closing order book, providing very good visibility for the coming financial y ear.

Order booking for financial year FY 24 was ■18.78 billion, an increase of 17% year-over-year (y-o-y) while revenues for the same year came in at ■16.54 billion, which was 33% higher y-o-y. The revenue growth is well rounded and

driven by strong performances across all our businesses, segments as well as geographies.

The Board of Directors has also recommended a payment of a final dividend of 130%, which is ■1.30 per ■1 share for the financial year 2023 -24, which is subject to the approval of shareholders. This is in addition to th e interim and special dividend of 230%, which is ■2.30, which was declared and paid for already in this financial year.

For the quarter, the revenues from operations grew 24% to ■4.58 billion and was the highest ever achieved in the quarter. EBITDA was al so higher by 36% to ■1.07 billion, while PBT exceeded ■1 billion for the first time in the fourth quarter of FY24. Profit after tax grew by 37% y-o-y to ■762 million, and this was with an export order booking, which grew by 29% in the cur rent quarter.

Order booking for the quarter was lower than the same quarter of the previous year. And this is due to a variety of reasons, which we can go into later during the conversations. Enquiries also at the same time for the quarter ended were slightly lower than the same period of the last year. Though having said that, it is sufficiently higher than what our annual intake of enquiries would be. Domestic market enquiries remain robust though there are certain constraints on finali sation of orders, which is due to a variet y of reasons, including the elections.

For the full -year, revenues in FY 24 grew by 33% over the previous year to reach a record level of ■16.54 billion while domestic and export revenues grew healthily at 28% and 38%, respectiv ely. Export growth was backed by our order booking in the previous financial year, which is also driven by the initiatives and efforts that the Company has made in terms of expanding its presence overseas and becoming more locally present.

The product and aftermarket revenues also showed a robust growth of 33% and 31%, respectively. Our record order booking in the financial year of ■18.78 billion was higher by 17%, which is driven by all segments, which is export as well as aftermarket more than the domestic market and products. PAT for the year ended was at ■2.69 billion, which is an increase of 40% y-o-y.

Our outstanding consolidated order booking position was at a record ■15.53 billion, as I have already said, which is 17% h igher y-o-y. Investments, including cash stood at ■8.83 billion, which is an increase of 32% over March 31, 2023, which is driven by higher profitability, an increase in negative working capital and more customer advances.

On the product sid e, order booking has increased by 10% y-o-y to reach an all -time high of ■12.61 billion, and the key growth drivers continue to be the areas of renewable energy, power generation, industrial cogeneration as well as API and other both power an d drive turbines.

The aftermarket segment has also scaled new heights with annual order booking and turnover crossing ■6 billion mark and turnover crossing the ■5 billion mark for the first time. The segment witnessed a significant influx of new orders combined with repeat orders further strengthening the Company 's

already diversified portfolio of revenue streams dedicated to servicing and optimi sing turbine performance globally.

The order booking for the year stood at ■6.17 billion, gro wing by 34% when compared with the corresponding period of the previous year. The turnover at the same time was ■5.38 billion, which was higher by 31% and aftermarket contributed 33% of the total turnover in FY 24. Triveni Turbines ' aftermarket segment continued to show promising growth prospects supported by an expanding range of offerings, including spare parts, servicing, as well as refurbishment, catering to a broad customer base.

On the technology side, Triveni Turbine s has invested significantly i n IP development in this current year. Our total Intellectual Property Rights (IPR) filings and registration s stand at 374, which is up from 338 a year ago. Our efforts continue in terms of championing the energy transition efforts through new product de velopment and introductions in both super critical and subcritical carbon dioxide as well as transcritical carbon dioxide -based offerings.

The market and product development continue to be focused on our areas of applications such as waste he at recovery, waste -to-energy, municipal solid waste, as well as industrial product for cogeneration in both pulp and paper, steel, cement, fertili ser, petrochemical, chemical, distillery, sugar , these are just some of the segments.

The Company expanded its workforce by 19% over this past year and we are very keen to have all of these assets of the Company contribute in the coming year. We do have an expanded vision including an even greater number of people to be add ed into the Company 's workforce in the coming year. I'll have Arun speak on that as well as other aspects of the Company now. Arun, would you like to address the shareholders?

Arun Mote: Thank you, Mr. Sawhney. This is Arun Mote. Goo d afternoon to all of you. As you have seen, in the past two years, we have witnessed a growth, and we expect growth to continue in a good manner. All efforts are being made by the team. We have today, a larger

product offering covering a bigger envelope of the market. So, the addressable market is increasing every year. We are entering into new geographies and ensuring that our philosophy of being close to the customer continues.

Our service is being appreciated by one and all, and we are building str ong long-term relationships and not transactional relationships. And that's the philosophy of our Company and we expect to continue this, and we are receiving positive feedback from all the si des, domestic as well as international.

On marketing and sales front, we have added, as the Vice Chairman has said, a considerable strength has been added, and we continue to be quite strong in the market and hold our positions of being in the top 2 globally.

On the infrastructure front, as we have indicated, the infrastructure within the Company is almost complete. Our total production capacity is 250 + and it is flexible, and it can be increased at a short notice to the desired level. Our sub -

contract base and the supply chai n base is being strengthened continuously and there is a very strong ecosystem built around our Peenya and Sompura plant s. We expect that from the manufacturing and supply chain side, we are well prepared for addressing the growth in the market.

The most important aspect of the business is manpower. And that's what

Triveni has concentrated for a long time , right from last 15 years. We have a very strong entry -level program me with our HR, and we continuously recruit youngsters. We ensure that the overall age in the Company is always maintained below 30 years as an average age. And there is a very strong learning and development culture that has been developed.

As you know, we have a strong succession planning and Mr. S.N. Prasad, who is the C hief Executive Officer (CEO) ; and Mr. Sachin Parab, who is the Chief Operating Officer (COO) are internal candidates who are succeeding me in the organi sation and ensure that they continue to deliver growth and a strong profitability. Thank you, Nikhil.

Nikhil Sawhney: Thank you. Thank you very much, Arun. So ladies and gentlemen, happy to open the floor up for question -and-answers. Over to you, moderator.

Question -and-Answer Session

Moderator: Thank you very much. We will now begin the questi on-and-answer session. The first question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel : Thank you very much for the opportunity. So, my first question is, could you give a sense on our domestic and international enquiry book at the moment and how it has grown in FY 24 over the last year?

Nikhil Sawhney : The enquiry book has declined by about 5 -7%, but it is higher than the global market even for a year. So, we find that it's not a constraint even if the enquiry book has come down. It is reflective of two factors. One is that there are geopolitical constraints that are impacting the market. But more than that is from the domestic side, enquiry book is quite robust. But order finali sation from both Q3 as well as Q4 have been low. Our anticipation as well as looking at April, which has already gone by, and May is that th ere is a little bit of reversal of that already. But we really have to wait till June to see how much of that reverses.

Harshit Patel : Just a follow -up to that. Would the enquiry book have declined both on domestic and international basis? Or this would b e more of an international issue than the domestic one?

Nikhil Sawhney : Our order booking, as you know has gone up. So, the order finali sation from the enquiry book internationally saw a pickup. The enquiry book in India is more sticky, and so it stays for a little bit longer. So, I don't know what you want to make out of that question. But yes, the enquiry book internationally has declined a little bit while the domestic enquiry book has increased.

Harshit Patel : Understood. My second question is, ho w has the domestic 0 to 100 MW market grown in FY 24 in the MW terms? Also, do you expect to grow it at an even higher pace in FY 25 ?

Nikhil Sawhney : The domestic market , all indications are that it could grow very robustly. The lack of order booking in Q3 and Q4 in domestic market and actually for the last 4-5 months of the financial year led to what was expected to be a very good growth in the market to approximately 2,500 -odd MWs . But it probably came in somewhere in the region of about 2,100 - 2,200 MWs .

Harshit Patel : This 2,500 MW would be ?

Nikhil Sawhney : Megawatts . Apologies . 2.5 GW.

Harshit Patel : This 2.5 GW would be a growth of how much over the last year over FY 23 base?

Nikhil Sawhney : It would be a growth of approximately 25% it would have been.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital.

Please go ahead.

Amit Anwani : Yeah. Congratulations for the good set. First question again on the enquiry pipeline, you did highlight the outlook for domestic and international. Any particular sectors where domestic is seeing delay in finali sation, any particular reasons there?

Nikhil Sawhney : I'll let our CEO, Mr. S.N. Prasad, address that. But I think it's broad -based. But I think that we didn't expect a degree of people being as conservative as they had been in the last several months. But Prasad, maybe you can provide some clarity on this question?

S.N. Prasad: Yes. So, on the enquiry pipeline -wise, as our Vice Chairman said that it's a strong enquiry pipeline there from the domestic side, whereas the finali sation, we are seeing a little slowdown in the last two quarters. These are typically whenever there is election cyc le, then we look at that. But a majority of this discussion is going on, finali sation is getting delayed. We are hopeful that probably by end June, July , the finali sation pattern will pick up. Otherwise, enquiry pipeline -wise, all the cogeneration to steel, cement, the enquiry pipeline is strong from all the industrial power range applications.

Amit Anwani : All right . My second question on the market, which you have highlighted in the presentation, where we are talking about 6 GW of ex -China, Japan market less than 100 MW and roughly about two-third is the renewable energy -based market. So just wanted to understand what is our addressable market. And since taking the point f rom the commentary that you're talking we're expanding new geographies and we have gained market share. So, first is, what is our addressable market? And will the addressable market in terms of GW is going to expand for you? That is my question.

Nikhil Sawhney : Yeah. You see the fact is that , you have to take the data, which we have just presented from a third -party as it is. It comes with its own constraints, which is that, very frankly, everyone doesn't report fully. So that is a data matter that

you have to consider. More than that, there are specific sectors where certain products of ours are currently being introduc ed and we are exploring into those markets. And as Arun had pointed out, as those introductio ns take shape, we would be expanding markets in those areas. So very frankly, our attempt will be to cover the entire market in its entirety in the next several years. But as of right now, we would very frankly be covering at least 80% of it.

Amit Anwani: Right. And for 2,500 domestic market, is the breakup same, power versus renewable sources?

Nikhil Sawhney : No, no, it's significantly different. India is much more fossil fuel dependent .

Amit Anwani : All right . My next question on any addr essable market with respect to the value or volume for domestic market as well as global market for API turbine, if you could throw some colo ur? And we talked in last c

all about the very strong enquiry pipeline in domestic market there. So just more colo ur on how the market is shaping out?

Nikhil Sawhney : Yeah. On the API, there hasn't been much movement in the domestic market. Internationally, there's much more movement. We have a good market share there. We have good appropriate products. And so, both power and drive turbines, we are confident of being able to provide our customers with the appropriate solutions given the kind of correct refe rences , etc. that we have.

What's important for you to understand is that this is not only a technological question of having an appropriate product, but to be able to provide the service backup and the reliability and robustness that the customer requires. So, it is an integrated offering that the Company has to present. Of cours e, in domestic market, where we do have a much greater presence, we are able to cover that more comprehensively. Internationally, it will depend on which geographies and where we have local presence and where we have people and feet on the ground. So, we're trying to improve that continuously so that we can improve our chance of conversion of enquiries to orders.

And that is the attempt that we'll make in the next several years, as we pointed out in the past as well. And specific to oil and gas market , it does present a very large market in terms of potential enquiries, and that's something that the Company is looking at quite aggressively.

Amit Anwani : Any value with respect to how the market is? And anything you can give colo ur with respe ct to value or any contribution in revenue?

Nikhil Sawhney : No, I'm sorry.

Amit Anwani : Okay. Lastly, with respect to aftermarket, how has been our breakup for export versus domestic in the aftermarket for FY 24?

Nikhil Sawhney: I don't know if we give these data, but you can come back to Surabhi. I must point out, since you're asking very data -driven questions that a lot of the questions that people have asked in the past, at some point or the other, are used against us in some marketing by our competitors. So, we will intentionally try to be vague on certain answers where we think that there may be some competitive information.

Moderator: Thank you. The next question is from the line of Ashwani Sharma from Emkay Global. Please go ahead.

Ashwani Sharma : Yeah, thanks for the opportunity. M y first question is again on the aftermarket. So, if I look at the quarterly run rate, it has been in the range of ■145 crore to ■144 crore . And in this quarter, there is a decline of around 3%. If you could just tell us why there is a flat growth on a quarter -on-quarter basis and degrowth on a Y -o-Y basis. What is the outlook there?

Nikhil Sawhney : You sa id there is a degrowth in the Y -o-Y basis in aftermarket?

Ashwani Sharma : Yeah.

Nikhil Sawhney : No, that shouldn't be right. There is a growth of 30% y-o-y.

Ashwani Sharma : It's ■148 crore last year and this year is ■ 144 crore .

Nikhil Sawhney : Quarterly. Sachin, if you're there on the call, maybe you could help address this question.

Sachin Parab: Good afternoon, everyone. So, on a quarterly basis, yes, there is a slight degrowth and that's basically because of some order fi nalisations, which have been delayed, and we are very cautious in terms of acknowledging order booking. Unless we get the advance, we do not consider it as orders booked. And therefore, it's a small correction, and that should not be the trend in the future.

Ashwani Sharma : Okay. Secondly, you gave us your capacity number of 250. Is it possible to share the volume numbers for the quarter and the year?

Nikhil Sawhney : No, I don't think so. But suffice to say that we 're not really constrained by the capacit y in what we produce. As you can tell from our balance sheet, we are very asset -light, and we have the flexibility to exp

and this capacity by up to a third at any given point in time.

Ashwani Sharma : Understood. But if you can share us the capacity utilisation number ?

Nikhil Sawhney : It would probably be somewhere in the region of about 75%.

Ashwani Sharma : 75%, okay. Those are my questions. Thank you.

Moderator: The next question is from the line of Shyam Maheshwari from Aditya Birla (AB) Capital. Please go ahead.

Shyam Maheshwari : Yes, thanks. Congratulations on a good set of numbers. My first question was on the U.S. market. You were planning to set up a service cent re in the U.S. So, could you provide an update on that?

Nikhil Sawhney : Yes, that's a very good question. We had talked about that in the last conference call. And the subsidiary, as you have seen from our quarterly reporting has already been established. People have already been hired. The executive who will be handling the region is already in place in the United

States. Machinery has been ordered, shed has been leased and we are already on track as far as our business plan goes to achieve our order booking and revenue for this year. So, it's all on track.

What we're seeing in the market, again, maybe I'll ask Sachin first to give an explanation as to where the subsidiary stands. And then Prasad, who may have to log off the ca ll, can also just contribute in terms of talking about the customer acceptance in that market and enquiry pipeline. Sachin, first.

Sachin Parab: Yeah. So, our initiative in United States is progressing as per our plan. As our Vice Chairman has mentioned , the initial few steps have been taken and business has commenced. So, our sales and marketing activities are being carried out. And things are progressing at the pace as we had planned. So, we are quite satisfied with what we've been able to achiev e so far. So, it's very early stages of our journey in the U.S. for the service facility. We will have much more details to discuss in future quarters.

Shyam Maheshwari : Right. And just maybe a clarification on this. So, are we expecting to hire more people? And would this be a probable drain on your EBITDA margins in the short term? Or how do you see this flowing?

Nikhil Sawhney : No, I think the fact is that, firstly, yes, we are going to be expanding our workforce up with anywhere between 20 -25% in the coming year, which is FY 25. Given that very high growth of intake, you are right that people will not contribute immediately to the Company . But if you look at our order booking, which will then translate into execution, it is more export focused .

Margins do not seem to be a problem at this current point in time to at least stay at the same margins that we have. So, we don't foresee that to be a problem. U.S. in specific, of course may have a negative contribution, but that will get absorbed by the consolidated entity quite easily.

Shyam Maheshwari : Understood, understood. And my second question is on the API market. I wanted to understand if this is now a meaningful part of our revenue, I mean, has it now reached dou ble-digit? If you could give some colo ur around that? And how are the growth opportunities there?

Nikhil Sawhney : No, this is a core segment for the Company . We have extremely good products for this market. As we get closer to customers, as we get registered with them, we've become more relevant. We already have a good installed base in this sector. Prasad, would you like to add anything here? He may have logged off by now. He is currently traveling. But suffice to say that this is a segment tha t I think will contribute to growth for the Company in the coming years. There is a lot of expenditure that is happening. And our products and solutions are very appropriate for our customers in this market, both internationally as well as in In dia.

This is a very technically demanding sector where not only do you have to

have high degrees of quality assurance but also a deep sense of reliability and robustness of the product in terms of its configuration. So, we're quite confident that we wil l have success. We have already had success. We have a good installed base in the segment already both in the power as well as drive turbine s.

Shyam Maheshwari : Understood. So, would it be a fair assumption to make that your exports would also be driven largely by API turbines?

Nikhil Sawhney : No, renewable energy is a very strong mainstay of our export strategy. Though , API will form an increasing role. So, as you know, we are dependent , wherever heat is generated from a customer, we end up provi ding that heat in power solutions. So we are agnostic from which industry it comes from. But very frankly, it will be both. We see services being an even larger contributor to growth in the export market in the coming years.

Moderator: Thank you. The next question is from the line of Uttham Kumar from Avendus Spark. Please go ahead.

Uttham Kumar: Thank you for the opportunity. And c ongrats on a good set of numbers. So, two questions from my end. Firstly, with regards to the aftermarket orders which we have. So, could you just give some colo ur on how is the margin profile of these orders? I mean earlier we used to execute one or two orders which are of a lower margin profile. Can we expect the margin profile of the current aftermarket orders to be much more margin accretive? That is my first question.

Nikhil Sawhn ey: No. I think the fact is that you see at the end of the day, the margins are already quite robust in the entire aftermarket segment. As Arun had pointed out earlier, we look at our relationship with our customers from a life cycle basis. So, there' s no question of margin expansion. We want to be consistent with our margins in different offerings. So, in terms of product mix within the aftermarket segment, which stretches from services, spares as well as refurbishment, those mixes can change and mo ve the margin. But in general, it will stick within 1% or 2% of where we've historically been. They won't move very much.

Uttham Kumar: Got it. And I mean earlier this particular point was addressed, on t he margins, that we are expecting the margins to at least sustain at the EBITDA level. But the question is that on one side we are seeing the utili sation levels also improving, we have a robust order book, which will lead to better execution over the next two to three years.

On the other hand, we have some workforce increasing also. So, when should we expect some margin expansion happening for the Company ? Because we have been around 20%. Can there be any meaningful expansion which the Company can, I mean, see over the next two to three years? Or it will be in the same range there'll be some expenses which will always be, restricting the margins from expanding going forward?

Nikhil Sawhney : So, I'll tell you what our strategy is at this point in time that we have a lot of unfulfilled ambitions as far as revenue growth goes. And so that is more of a priority for us in terms of being able to expand our offering to be closer to customers. And t hat will take a priority. And so, we've always said that we will maintain margins at least at where we are. We've consistently beaten that 20%-odd number that I've talked about. As you rightly point out, given the fact that you have an increasing share of aftermarket as a percentage of sales and export as a percentage of sales , we should not face any margin pressures.

Also, the commodity price -based issue that we had in the past are somewhat in a sense behind us though we d o see some commodity pressures in areas like copper, etc. But having said that, those are all manageable. So, I think that it's really , our strategy is to drive as much growth. And if the consequence is margi

n expansion, so be it. So therefore, I'm hesitant to answer your question directly.

Moderator: Thank you. The next question is from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.

Teena Virmani : Congr ats on a decent set of numbers. My first question is related to domestic order inflow pipeline. So which user industries do you think will be contributing more to the order inflows for the Company going forward? Maybe from post June, like you me ntioned that these enquiries will start translating. But primarily, which industries are you targeting, and do you think can contribute to these inflows going forward?

Nikhil Sawhney : So, we see the demand as enquiries coming from steel to ceme nt, which is quite robust again. The entire agro space, the distilleries, the enquiries remain, but we as having a deep insight into that space, don't think it's extremely practical for that to come back in the short term. You will have much more conversion in process cogeneration. But you do have a lot which is happening, especially on the renewable side, which includes waste heat recovery. Waste heat recovery is agnostic to industry. It is a play on the fact that you have higher energy prices, you have a more conscious corporate culture in terms of being able to be more energy efficient. And so, this stretches across the industry and is agnostic to whether it is steel or cement or paper or rubber, et cetera. It's more driven by a more industrial Capex .

Teena Virmani : Okay. So, do you think that the enquiry level can translate into a much higher order inflow run rate for the nine months of FY 25 , for the remaining nine months of FY 25 ?

Nikhil Sawhney : Yeah. We are very hopeful that will happen. We already have indications in the first couple of months of this current financial year that things seem to be on track. But again, I'm going to restate the fact that, you see a lot of our demand is agnostic of the industry. It's driven by a greater theme of energy efficiency. Energy efficiency is when you have capital on your books and you want to reduce your cost of power, it's not necessarily driven by capacity expansion. So, some of it will be driven by brownfield and greenfiel d capacity expansion, but it may not necessarily be. That's the point I wanted to make.

Teena Virmani : Okay . And we saw a very healthy momentum in the export inflows during FY 24. Do you think that based on the enquiry levels that you are having on exp ort side, do you think a similar kind of momentum can also be maintained going forward, the way you are entering different geographies?

Nikhil Sawhney : Yes, most definitely. Our efforts are towards that effect, and we want to sustain growth in a very pred ictable way. So, our efforts are geared towards building competency so that we can sustain it. These are not 1-2 year efforts. These are multiyear efforts where we want to actually ensure that we are not only

able to increase our enquiry book which leads to a greater degree of order inflow and therefore, revenue .

But also, as we expand our presence closer to customers, so we can expand our servicing offering and that will continuously cater to greater profitability from the after market side while still assisting in terms of providing customers with confidence to be able to place orders on us for the product.

So, it's a continuous cycle, and we are optimistic that we are fine on this growth path. Our new product and new technology introductions continue well, while they don't contribute in any meaningful manner right now to turnover, but they do provide good visibility in spaces where we think that we would be able to show leadership in the years to come.

Teena Virmani : And in the overall scenario for the global market, you don't see any kind of tapering off Capex towards this renewable space? That is not visible at leas

t in
the numbers that you're posting on the export inflow side?

Nikhil Sawhney : So, the majority of our renewable sales are coming from both biomass -based IPPs as well as solid municipal waste incineration but also energy efficiency. As long as money exists for this space and internationally, especially in Europe and North America and parts of North -east Asia, these continue to be very robust sectors. There's enough money behind it. So as long as the raw material exists, which could either be waste heat or bioma ss or waste, then it always makes sense for you to do it. The funding exists . It's a question of the availability of the waste.

Teena Virmani : Raw materials. Yes . Got it . My last question is related to the U.S. market where you've mentioned that you are achieving progress. So, is there any update on the overall market opportunity that can farm out in the U.S. market, both on the export as well as on the aftermarket side?

Nikhil Sawhney : Yes. We've received extremely good interest from our interaction with clients. They're eager to see our progress in terms of building our capability. But at the end of the day, a little bit more from the servicing side. From the product side, there are a l ot of incentives that the Government of the United States has provided under The Inflation Reduction Act and a variety of different fiscal incentive schemes. We'll have to wait for that uncertainty of the elections also to play out.

But suffice to say th at I think people are quite committed to go down the lines of being more energy efficient, which is really a play that Triveni Turbine s provides in this renewable space.

Teena Virmani : Okay. So, your current set of offering will be primarily targeting a t the initial phases, maybe on the aftermarket, and later maybe on the product side?

Nikhil Sawhney : No, no, both are happening parallelly. It's just a question that some are easier quick wins, and so me will take a little bit more time. Ultimately, yo u have to remember that the United States is a $25 trillion economy. The capital stock that they have presents a very good opportunity from an aftermarket perspective, especially for third -party service offerings. At the same time, they've historically not invested because of low energy prices , in energy

efficiency. But I think it's inevitable the way that the world is moving that given the fact that capital is available here that people will eventually pick it up.

Teena Virmani : Got it . And there is no in cremental Capex , it will be more a opex -led spend that you would be having over there? Or any incremental Capex being finali sed by the Company ?

Nikhil Sawhney : No, we will capitali se our subsidiary there to the extent of maybe abo ut ■50-odd crore , less than that, maybe ■40 crore , primarily debt so that it can be repaid back quickly to the parent. And this is going to go into some machinery that we have to purchase, etc., to be able to have capability on the ground . There will also be some Capex that we'll have in our facility here to strengthen our R&D. We want to spend much more money in that space. So, these are all things that the Board has considered and we will be implementing. But overall, if we are lo oking at the Capex somewhere in the region of about ■90 crore to ■100 crore in the coming year or coming, let's say, couple of years, these are things that I think the Company can easily afford.

Moderator: Thank you. Ladies and gentlemen, a reminder to all participants , you may press * and 1 to ask a question.

Nikhil Sawhney : So, if there are no more questions, then I think I can close the call. Thank you very much for joining the call, ladies and gentlemen. And I look forwar d to you joining us for our first quarter earnings call. I'm sure that we'll be able to sustain our growth and give you equally positive results then. Thank you very

much.

Moderator: Thank you. On behalf of Triveni Turbine Limited, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Disclaimer: This transcript is the output of transcribing from an audio recording and ha s been edited for clarity, consistency with

Call: Aug 2024

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REF: TTL: SE: 08/0 5 Date: August 12, 2024
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Dear Sir/Ma'am,

Subject: Transcript of Investors/Analysts Conference Call held on August 6, 2024

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on August 6 , 2024 for investors/analysts in respect of the standalone and consolidated unaudited financial results of the Company for the first quarter ended June 30 , 2024 .

The transcript is also available on the Company 's websit e at www.triveniturbines.com .

You are requested to take this inf ormation on record.

Thanking you,

Yours' faithfully
For Triveni Turbine Limited

Pulkit Bhasin
Company Secretary
M. No. A27686

Encl:A/a

Triveni Turbine Limited
Q1 & FY 25 Earnings Conference Call Transcript
August 06, 2024

Moderator : Ladies and gentlemen, good day, and welcome to the Triveni Turbine Limited Q1 FY 25 Earnings Conference Call. I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, sir.

Rishab Barar: Good day, everyone, and a warm welcome to all of you participating in the Q1 FY 25 earnings conference call of Triveni Turbine Limited. We have with us today on the call Mr. Nikhil Sawh ney, Vice Chairman and Managing Director; Mr. Arun Mote, Executive Director; Mr. S.N. Prasad, Chief Executive Officer; Mr. Sachin Parab, Chief Operating Officer; Mr. Lalit Agarwal, CFO; and Ms. Surabhi Chandna, Investor Relations and Value Creation, along with other members of the senior management team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature and a statement to this effect has been included in the invite, which was mailed to everybody earlier. I would now like to emphasi se that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner.

We will start this call with opening remarks from the management, following which we will have a n interactive question -and-answer session. I now request Mr. Nikhil Sawhney and Mr. Arun Mote to share some perspectives with you with regard to the operations and outlook for the business. Over to you, Mr. Sawhney.

Nikhil Sawhney: Thank you very much, Ri shab, and a very good afternoon, ladies and gentlemen, and thank you for joining the investor call for Triveni Turbines for Q1 FY 25 . It's been a remarkable quarter one, not only in terms of financial metrics, but also on all operating metrics, including o rder booking. We have had multiple years of notable quarters where improvements have been witnessed on prior periods.

And now we had nearly 17 quarters of growth, and we are very happy that this augurs extremely well in the first quarter of this financial year because it gives us visibility towards the rest of this year. I'll be happy to talk more about this during our conversations. The revenue for this quarter grew 23% over the previous year to reach a record quarterly level of ■4.63 billion revenues. EB ITDA and PBT reported a robust 36% and 37% y-o-y growth with a margin expansion of ~240 basis points.

PAT for the quarter was at ■804 million, an increase of 32% y-o-y. And we also had the highest ever quarterly order book of ■6.36 billion during the firs t quarter, which was a growth of over 40% y-o-y. Before I get into the details, I wanted to take you back on the business that

Triveni Turbine does. What do we sell and
what are the markets that we cater to . This will provide you a little bit of a greater insight into where we are as a company and where you could actually see the

potential for this business. Triveni Turbines sells heat and power solutions, both for industrial as well as renewable -based applications.

And the growth areas where our products fit is into the fixed capital formation that happen s in end -user industries such as process industries which requires steam as part of the process, but also for renewable -based applications and independent power production. We, of course, have stopped givi ng a split of our sales between below 30 MW and above 30 MW, but suffice to say a lot of our growth and visibility is coming from these larger megawatt (MW) turbines, which we are increasingly getting a better market share in. And as it happens, our R&D is now taking our product range in excess of 120 MW, and we are very happy that we are able to cater to the global market for these product ranges.

Our refurbishment in the aftermarkets also present a huge growth opportunity, as we have seen in the growth o f the business over the last several years, not only in terms of being able to provide a life cycle relationship to our customers, but on the refurbishment side, this allows us to stretch it to other OEMs, which have not been able to adequately service the ir customers. We feel that putting the customer at the centre of all the activities that Triveni does, be it in terms of our sales initiatives or projects and execution, but also specifically in the aftermarket and aftercare is our ethos and we do abide by that principle to make sure that the customer is delighted in every interaction that they have with Triveni.

Now coming back to this current quarter, the domestic sales increased by 27% to ■2.47 billion, while export sales increased by 19% to ■2.16 billi on. Export as a percentage of sales stood at 47% in Q1 FY 25 as compared to 48% in the previous year. This is, of course, a reflection of the order book that we had in previous quarters, apart from the aftermarket, which has a shorter book and bill cycle.

EBITDA for the quarter increased by 36% to ■1.15 billion in the Q1 FY 25 as opposed to ■843 million in Q1 FY 24, and margins increased by 240 basis points to 24.8% as against 22.4% in the period of the last year. And profit after tax grew by 32% to ■804 million. Margins have not been a problem, and as we have spoken about in our previous conference calls, we do not see margins as being the biggest issue as the composition of our order book, and therefore, the resultant composition of our revenue will be skewed more towards exports and aftermarkets, which offer us better margins.

More than that, the volatility that we have seen in commodity prices over the COVID period has come to an end. It is not as if there isn't any commodity inflation, but the predictability of that is far more, and so we can ha ve longer term and better contracts with our partners and suppliers and vendors, which gives us visibility into costs as we go forward. This allows us to then operate at margins at higher levels which are commensurate with the type of technology business that we are.

Order booking for the quarter grew by 40% to ■6.36 billion, with exports contributing 66% of the overall order booking. Domestic order booking was muted at ■2.16 billion in the first quarter and grew by 2%. However, the Company has a healthy enquir y book, and we expect order finali sations in coming q uarters. As we have said in the previous conference call at the end of the FY 24, Q4 had also seen a muted order booking in the domestic market due to what we can only assume was a slight risk for the elections.

We have seen the same in Q1. So having said that, and we'd be happy to get into this in the Q&A, there is an increase in the enquir y book for the first quarter.

We are, in fact, seeing customers wanting shorter deliveries, and we think that the domestic market will be a source of growth for Triveni

Turbine s, not only in
the coming quarters, but in the years to come. We feel that there is an immense opportunity, not only in terms of this energy transition for companies and corporates who are growing their capacity to be more energy efficient, but als o for their own captive requirements to be met, Triveni Turbine has adequate solution.

Our green solutions also have a role to play in the growth of the power consumption in the economy. And I am sure you're aware, this is an area of increasing focus for everyone, not only the Government but for citizens alike. Our growth in order book from the export market was truly remarkable this year. But I do have to caution that we do operate in a lumpy industry where orders come in at sometimes in a lumpy manner. W hile this growth of order book to ■6.36 billion is truly remarkable, I would caution you when extrapolat ing this for the rest of the year, though we are confident that we will have good growth in both order booking as well as revenue for this current year.

The end order book for Triveni T urbine s gives us comfort not only for the revenues for FY 25 , but in fact, actually, because of some of the larger megawatt orders that we have in our order book, this provides us visibility stretching into FY 26 as well, which is new for a company which h as typically had a product delivery cycle of between 9 to 10 months. And so now having visibility of over a year, even more predictability in the way that the Company will be able to perform. And given our book and bill that happens within the year anyway, plus the short delivery that we have from the aftermarket, provides us good visibility.

As I was saying, export order booking was a record of ■4.2 billion in this quarter, which grew by 74% and exports contributed 66% of the overall order booking in the first quarter. Coming to the segments. The product order booking increased by 58% y-o-y and which includes prestigious international orders. While Q1 has registered a good performance in order booking, it is generally lumpy, as I had already stated. The ke y drivers for growth in the product order booking were finalisation s of orders from the renewable and industrial customers, power customers as well as API customers, both in India as well as internationally.

The Product segment turnover was ■3.7 billion during the quarter. The

Aftermarket segment order booking for the quarter stood at ■1.5 billion, which is a growth of 3% when compared to the corresponding period of the previous year. This is a high -growth segment for the company, and we are confident that this is a segment that will continue and contribute to the growth of the business in the short term as well as the medium and long -term.

We are investing into capabilities to be closer to our customers internationally so that we can cater t o their third -party product requirements, but also to be closer to our customers so that we can offer them the spares and service solutions that are required for our product s. However, in this current quarter with the notable surge in enquir ies, we believe that order booking in this segment has a potential to accelerate during this current year. The Company is making healthy progress in its newly commissioned U.S. facility in Houston, Texas, and we believe that this could further provide a fillip in this se gment, both in the current year, but especially in the years to come.

The Aftermarket turnover was a strong ■1.56 billion, registering a growth of 21% over the previous year. The Aftermarket contributed a healthy 34% of total turnover in Q1 FY 25. The total consolidated outstanding order book stood at ■17.26 billion as on the 30th of June 2024, which is higher b y 23% when compared to the previous year. This is again a record for the Company and a

huge credit has to be given to the entire team at Triveni Turbine s to be able to get this or

der booking. More than that is the fact that our technology is being able to provide even more relevant solutions to our customers.

The domestic outstanding order book stood at ■7.21 billion, which is lower by 9% as compared to the previous year. And the export outstanding order book stood at ■10.05 billion, up 65% and now contributes 58% of our closing order book. As you know, the export market will continue to be a growth drive r for us, and we see exports as a percentage of our order book as well as export as a percentage of our sales to continue to rise in the quarters and years to come. Of course, this may be lumpy quarter -to-quarter, but in general, the trend will be and to i ncrease that.

Investments, including cash stood at ■10.37 billion, an increase of 17% from 31st of March 2024. And this quarter saw a further reduction in working capital as this business operated increasingly in efficient manner.

I'd now like our Executive Director, Mr. Arun Mote, to say some words about people , as well as outlook, and then we'll open it for question -and-answers. Over to you, Arun.

Arun Mote: Good morning to all of you. As we have been saying in the past and what our Vice Chairman has said, people continue to be our strength. It is a dri ving force behind the ability to innovate, adapt and deliver exceptional value to our customers and stakeholders. We continue to focus on the growth and development of our employees both domestically and now internationally also, as you know, we are expand ing into the different geographies.

As regards to outlook , expectation for medium -term business performance continues to be robust, supported by substantial backlog of orders in all the sectors that is renewable, API and IPG (Industrial Power Generation) . As regards aftermarket , in all the areas, that is spare parts, supplies, services and refurbishment, we are broadening our range and also giving services to not only the industrial turbines, but into the utility range and also into different types of turbines like geothermal.

Domestically, the outlook remains promising, which is likely to ensure that the capital expenditures, especially in private sector will improve and which will result into substantial higher orders in the coming quarters.

As regards development in the company: Right from, as I said, people, the research and development, new product lines, innovation, customer engagement and infrastructure supported by digitali sation is the strategy which our company is adopting, and we would be ready to take on the new areas and also the expanded business.

We believe that opportunity landscape in front of us is immense and is expanding rapidly. We remain committed to taking Triveni Turbine s to new heights globally, that is domestically and internation ally also. The Company remains on sustained growth path. Thank you.

Nikhil Sawhney: Thank you, Arun. We can now open it up for questions -and-answers.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani : Congratulations for the great set. And thanks for the opportunity. So first question, in the opening remarks, you did highlighted about the products for 120 -

megawatt range. I wan ted to understand more with respect to which areas you are going to cater, which industries and what is the addressable market? And have we started selling this product or still this is slightly away with respect to the commercial sale and production?

Nikhil Sawhney : No, you're right. This is a segment that is again for industrial. We do not make utility turbines and the turbines that we make for independent power generation is in the renewable sector. So, this, as you would imagine, is not for renewable requirements. This would be for industrial requirements for a

variety of industries
that have high power requirement.

Also, industries that require process steam or high process steam. These are sizes of turbines that are typically not used in India and in dustry. Indian industrial capacity is far more decentrali sed than what will be required apart from our metals and steel sectors. But I'll have our CEO, Mr. S.N. Prasad talk a little bit about this. It is a segment that we have developed, and we are hopeful of sales in the near future. But I have to tell you that all our technologies are scalable. So, these are developments that are something that we are quite confident on, but Prasad would you like to provide some visibility here?

S.N. Prasad: Yes. Good mo rning. As our VCMD mentioned, these technologies are scalable, as we are focusing in the industrial steam turbine space because wherever the requirement crosses 100 MW, see, what we have seen in industrial range, we are seeing the range up to around 110 -120 MW. So the product line what we are having , can cater up to 120 MW, which we are seeing a traction in large integrated steel plants as a large oil and gas si ze plant, or pulp and paper mill, so we have a product line. As going forward, we have to see how these enquir ies queue up and take us to that level.

Nikhil Sawhney : But in general, the market is the same industrial market. So, we do not distinguish between the sizes of particular markets. Suffice to say that it fits into the larger industrial market that we do cater to. And this is just a product extension, which allows us to cater more comprehensively to that market.

Amit Anwani : Sure, sir. And export, we did very well. You did highlight that there was large order, lumpy orders, which can come. So, I just wanted to understand the current quarter, did we saw any large order and which in the area, if you could highlight more with respect to exports and large order? And what is the typical time line for these large orders? Are there any additional risk payment terms, which are different from the base orders?

Nikhil Sawhney : No. See, the risk is something that we do not compromise on. The fact is that we operate in a space where we get our payment on dispatch and our commercial terms are quite consisten t on that. As a responsible Company , we, of course ensure that the customer is happy with our product for an extended period of time. So that is the confidence that we need to have in our technology. The lumpiness of orders, as you did point out, we did ha ve some large orders in this current quarter, which I'll ask Prasad to speak about again, but these are things that I think are present no exceptional risk than what we normally do.

Prasad?

S.N. Prasad: Yes, these are lumpy orders, basically from oil and gas segment from Middle East region from some of the prestigious refineries. And here also our payment terms, as our VCMD mentioned, these are all as per our standard payment terms. There are no risks envisaged. Whatever our current risk profile is more or less it is maintained in the same way.

Amit Anwani : Lastly, if I may, on the domestic enquir y book, we have given very strong outlook. If possible, for you to further bifurcate which segment areas of product, we are seeing strength in domestic enquir y? And any percentage increase over last year, if possible for you to highlight?

Nikhil Sawhney : The enquir y book has grown by about 14%, but you have to recogni se that we have had a fall in enquir y book sometime last year the same period. Having said that, o verall, on a y-o-y basis, we do see growth. Q1 has been extremely muted. So, we were expecting more growth to happen in Q1. But if you look at it on a y-o-y basis, we may probably end up FY 25 with a small growth over FY 24.

The segments will be the usual culprits, which I think come from fixed capital formation. There are two areas where you see this

demand coming from which
is from industries such as steel and metals, cement, some renewable plastic packaging paper, et c., but you have it in two forms. One is greenfield and brownfield expansion, which is for captive power generation, but you also have it for energy efficiency, for waste heat recovery and applications such as that.

So, you have two types of investments that are happening in different sector s. We do have the enquir ies which has restarted from sectors such as distilleries, which give us very good demand in the years past, but we'll have to wait and watch because the finali sation of the sector may take a little bit more time. Prasad, would you like to add anything on this?

S.N. Prasad: Yes, m ore or less, we covered all the sectors like steel, cement and municipal solid waste to waste heat recovery from cement and steel plants in addition to distilleries, these are the segments, which we have se en a traction in quarter one with a good growth.

Moderator: The next question comes from the line of Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu: HI, Nikhil and team thank you for taking my questions. Slightly long -term question, Nikhil, for you would be that , as I see things, right, our company's performance in the last two quarters is a testament to Triveni's very resilient business model, as despite the slowdown in domestic market, you have reported very health y numbe rs. So, Nikhil, if you can recap the last five years' journey, right, let's say, where we were pre -COVID where, if I'm not wrong, we were highly dependent on a single demand driver, which is the captive power for industries.

And as we stand today, there h ave been multiple growth drivers that we have been benefited from. So, if you can let us know what has been the key 2-3 factors that led us to a very strong position where we are? And if we were to look forward, right, for the next 3-5 years, you have reac hed the scale and ask rate for the Company to now outperform on such a high base is much more steeper, much more difficult, but you have been highlighting your commitment to getting Triveni to do new heights globally, so if you can help us understand that what took us from, let's say, where we were in 2020 to where we are right now, will we be having a similar kind of a game plan or template or there would be some changes required?

And if you can add some more texture to your comment on investment in peopl e, R&D innovation and this ever -expanding opportunity size for us. So, a slightly long question, but it will help us understand your next 5 years , how your next five years will look like?

Nikhil Sawhney : I think you gave the answer in your question itself , which is the investment in technology and people. We are not an asset -intensive company. And so very frankly, we have people -dependent, the quality of people, the quality of research and the focus of our research and priority on that has been something t hat has got us to where we are. This is not a development. This is not something that has happened over 2-3 years. It's happened over 10 -15 years, both in terms of a culture to be able to put technology first. We have a long way to go in terms of being abl e to achieve a global aspiration of being a technology company and to be even more derisked than on a particular market or product.

Right now, we are product -dependent on obviously steam turbines, a variety of different applications. And we think over the long-term, we would have to be a multiproduct company on similar principles. But that is not something that I think will happen immediately. So, if you're looking at a time frame of 5-7 years, that is eventually what we'll have to get to. But as we curren tly sit, it's obviously a people strategy. When we look at, for example, and I'll ask Sachin to contribute a little bit here, our investm

ents into the United States, for example, the strategy has been to be close to people. But it's an investment -heavy str ategy where we are going to probably incur a loss of maybe ■20-odd crore on the subsidiary this current year. But that's fine. That's something that we would be able to absorb as a company and still report the results that we have to. But this is an invest ment in people and investment in the capabilities that are required for us to be able to ensure that the customer has an adequate service level at every different point of engagement with the company. Sachin, do you want to just add on that point as to how you're viewing this year?

Sachin Parab: Good afternoon, everyone. This is Sachin Parab. Referring to the U.S. market, that's an investment our company has done with a very long -term perspective. Right now, we have been successful in attracting extremely good talent, people who are domain experts in this industry with a proven track record. They have been encouraged to join us and with their joining in, obviously, this is an investment in people that we are making, and that's where most of the costs are.

And that is going to help us in the long run. Definitely, in the first quarter itself, we have seen a remarkable increase in the enquir y generation with the acquisition of this talent, which is local talent in the United States. And we are very encouraged that going forward, this investment, even though in the short term, we may be making losses, we will start seeing the returns in the short term and long -term returns will be definitely very positive.

Nikhil Sawhney : But Triveni Turbine operates in this sp ace where we provide, like I said, industrial heat and power solutions, and it fits into the larger market of energy transition that is actually taking place. Captive power plants and captive requirement of power is something that we have alluded to in our annual reports and given data that despite the energy transition is something that, that requirement from this sector has been quite robust, in fact has been growing based on the capital stock globally.

What you find is that the company operates in a spa ce where you have power requirement and if you add that to the energy transition capex , which over the next 25 years, could be open in excess of $100 trillion globally, we are in a space which is globally prominent. We also have a factor where you currentl y have a push towards renewables that you were going to have excess capacity being set up because of at the balancing stage, excess capacity at a grid level.

What this means is that there is additional source of demand, which is the fact that you have exc ess capacity, which is being set up. We are in a market which I think provides us visibility, we want to be in a space which has wind behind its

sails in a sense that global momentum and capital is flowing into it. We now have to invest in our capabilities to ensure that we are able to be closer to our customers. The risk for the Company are quite large. We have to get our people strategy right, we have to be able to internationali se properly, we have to ensure the reliability and robustness of our technolo gy platforms is there. We are increasingly competing at the highest levels with the largest of companies.

And so, we need to be able to make sure that our value is apparent in front of customers to be dynamic and nimble to be able to be quicker in respons e to be able to cater to all our customers' requirements in an entrepreneurial manner while still keeping the standards of quality that are required and demanded of the best of companies. So, I think there's a lot in your question. Hopefully, the only way I think that we'll be able to answer it more comprehensively is for people to listen to our conference calls over a period of time to see how we are delivering on what we have talked about.

Prolin Nandu: No, that's very helpful. Thanks a lot, Nikhil. 2 quick follow -up questions, right? I mean, one is you have been talking about this expansion of your TAM, right? And this quarter, you have talked about 120 MW of also opportunities opening up for us. So, in terms of quantifying this TAM, let's say, if 3 0-100 is a 100 number we put the demand size to be, so from 100 to 120, would it be 5% or 10%.

Nikhil Sawhney: Actually, we put the number of 100 MW as a general number. Like Prasad had said, this economy is always scalable anyway. It's a question of the mark et. You see the fact is the market didn't exist. There's a few and far between the orders that come in this range. But in general, it's the same market that we cater to in the past that we cater to today . I just made it a point to point out that specific megawatt size because I know that our investors may not be as conversant as we are on how we view the market. So just to say that.

Prolin Nandu: Right. And on this something that you mentioned in your presentation as well on SCO 2 and TCO 2-based solution, c ould you slightly elaborate on this? Is this domestic opportunity or global opportunity? And also on this 374 global Intellectual Property (IP) filings, how should one read this in terms of higher demand, higher margins, how can these do?

Nikhil Sawhney: I think the IP point is to say that we are at the forefront of what we are doing and the fact that these are globally relevant technologies that we have patented not only in India but internationally. So, the point is to say that where we have a key focus on technology, that is what we should read out of it. In the specific areas of the carbon dioxide developments, those are areas which we think present enormous opportunities in the years to come. They play very well into the larger theme of energy transiti on and decarboni sation and also providing an unsubsidi sed use case for carbon dioxide.

But the commerciali sation of these technologies is underway. It does not represent any meaningful part of our order book right now. We are hopeful, of course, that this will present markets in the future, but we have to do a lot of development of market and it will take some time. When we have more to report, we will give you more visibility behind these developments. But suffice to say that the R&D team is very engaged, the commercial team in terms of being able to push these products is also there. And we report to you when we have any developments here.

Moderator: The next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swamina than: Hi, congrats on a very good set of numbers. My first question is related to the overall global addressable market size. In the last quarter's presentation, you had mentioned that the global steam turbine market in 2023, excluding China and Japan was somewhere around 6 GW. My question is, I mean, the number wouldn't have changed that much. How is it likely to grow and what is the share there? And is this for the 0 to entire 100 -megawatt range?

Nikhil Sawhney: Yes. So, I think that's reasonable in term s of the size that we have talked about. What you have to remember, Ravi, is that fixed capital formation is lumpy, and it is dependent on multiple different factors, be it instability, geopolitics, interest rates, etc. You had a more consistent demand tha t comes from the renewable energy space and that also we have tried to give some clarity over. What you have to recogni se is that the total addressable market will be volatile or should be volatile by the factors that I've said. But empirically, what's hap pened is that it's been quite stable, actually.

Over the last decade or like 15 years, we have seen it to be quite stable. So, we play in a market, which I think is where we have a relevant solution, a cost - effective solutio

n to be able to cater to our cu stomers' requirements. Ultimately, I think the growth of this market will probably happen , you see what you've had over the last several years is the growth in terms of requirement of pure commodities, because of localisation of supply chain basis, debottl enecking, etc., moving away from China, and as well as the fact that this whole energy transition requires a lot of base metals. And infrastructure country like India requires a lot of infrastructure commodities.

You had a push in terms of industrial comm odities over the last several years, and we don't see that coming down both in India and globally. But there will be a limit, it's not something that can continue forever. You also have a lot of replacement capex that is happening in developed economies. S o that coupled with fresh investment, coupled with renewable investment gives us confidence that the market should remain stable. We are not assuming that it would grow disproportionately.

What you have from Triveni side, as you said, our total addressabl e market will increase as our products become more relevant, as we have higher megawatt turbines. As we go and establish greater capability with our API customers and have greater relations with them. So that should provide better opportunities for us and better opportunity for us to close orders. As you see with our order book, that is what leads to the order conversion and into our revenue. I think that we should see good growth this year. It may be less than the previous years. But margins, because of th e product mix will be quite robust. What we find is that the medium -term story for Triveni Turbine s to grow remains quite robust right now.

Ravi Swaminathan: Understood. And what is the size of the U.S. market in this, or is there any estimated size?

Nikhil Sawhney: Yeah, well, surprisingly, what we had estimated to be the U.S. market has come out to be much higher than what we had put done in the figures that you may have gotten from our literature. And this is as we are discovering it, it's more from th e service , spares , refurbishment market. And it's something that has to require much more work from us. We see the refurbishment market as a growth opportunity for us, but we may have to invest more to be closer to customers so that they're able to display the capabilities that they want from us. But I hesitate to give direct market numbers, because very frankly, a lot of it is something that we have had to work very hard to develop. You could take this offline and discuss it with Surabhi.

Ravi Swaminathan : Understood. And any sense on the current realisations on a blended basis across turbine on a megawatt basis that you can share? I mean, I just wanted to think how it has trended across years? I think a few years ago, it used to be in the 70 lakh to 80 la kh per megawatt range .

Nikhil Sawhney: No, I don't think we have ever given that number. You may have calculated something. But you have to understand that every customer is unique, and it's quite analogous in terms of pricing with other industries. The m ore sophisticated the requirement from a customer, the more bells and whistles, the higher the margin and the higher the price. Geography has its own implication as well. The certain economies just report better margins. But that's driven by higher specifi cations. It just doesn't happen because in the Middle East that you get a better margin . You get better margins, because there's more specifications, there's more details, there's more effort and time in bells and whistles that are required on your product .

Indian customers don't want anything, and that's why they have more failures. You have a flip side of the coin with every factor. What we are seeing is that the price has obviously gone up, because general commodity prices have gone up. So, our steel pr ice has gone up,

labour prices have gone up, conversion price has gone up and so obviously, our sales price per megawatt is also on average gone up. But that is the same at all capital goods industry and all capital goods players. How competitive are we is a better question? And the fact is our competitiveness versus competition is still compelling, and we are still equally relevant in front of the customer.

Ravi Swaminathan: Yeah. M y last question is using the API turbine market, any sense on the global market size of this? And what would be our share ?

Nikhil Sawhney: Ravi, we hesitate to give market size numbers, because very frankly, it's not broken up by anyone. And I shudder to think that our numbers may actually be wrong. But it's quite a confidentia l number for us in terms of how we track it. But I would suffice to say that this is a market that is an entry market for us. We have had both in the drive turbine market and the power turbine market for API, we have a lower market share than we would in t he industrial power generation, in the renewable power generation market. And so, we have room to grow here for sure.

What we do have is good customer acceptability. And this is because of years of hard work to be able to convince customers to put us on t heir reference list. But it's not only internationally, but even in India, the API market is quite robust. And Prasad, I don't know if you want to add anything on the API market in specifically?

S.N. Prasad: API market, yes, there is one market as it is a n entry market for us and we believe that, we can play a bigger role in this market, as just we entered 3-4 years back.

Moderator: The next question is from the line of Mohit Motwani from Tara Capital. Please go ahead.

Mohit Motwani: Good afternoon. Than k you for the opportunity. My question is on the U.S. piece. So, you mentioned about how you've started building up the sales , service team, attracting talent and also got enquiries. Can you just elaborate on what kind of conversations and what do they ind icate when you speak to the customers, given that U.S. currently is facing a tough macro? So what kind of visibility you

have for any future incoming orders that can contribute meaningfully towards your order book? Anything on that side will be helpful.

Nikhil Sawhney: No, actually, our feeling is a little opposite to what you are saying. First, we are operating on a micro segment. The real macro flows are not really coming down to impact the steam turbine market for Triveni Turbines. Like I said initially , there are two demand drivers for us. One is fixed capital formation in the end user industry, which may be either due to greenfield/brownfield expansion or due to replacement, but also what you have is through initiatives such as IRA, which is Inflation Reduction Act a great focus on renewable energy -based investment. And that is agnostic to macro policy. What you find is the enquiry from sector like that is quite robust. The U.S. has never been a great investor, because energy price has all been so low, it's never been a great investor in energy efficiency. Now it is incentivi sed to do so.

But besides that, our entry is also and our real focus was on the aftermarket for the U.S. And so, there is a large market for refurbishment of equipment, which curren tly stands. And despite whatever macro environment, the re may be if a capital stock needs investment so that it can run, that will happen. So, the refurbishment and spares market and service market is as always, a more stable market in whichever industry y ou participate in.

Mohit Motwani: Understood. And given that your order book has been more skewed towards exports, can we expect more margin expansion going forward or the investments in tech and people can keep it range bound around the current margins? I just want to understand that.

Nikhil Sawhney: Like w

e have said that we don't see margins as being an issue. We said that in Q4, and we ended up with whatever results we had in Q1. But I think that we don't see margins as an issue, because of exports as being a larger percentage of our order book and therefore, a percentage of our revenue, but also the aftermarket will also contribute quite meaningfully. And so, margins are fine. We don't guide firstly, but I think that we would rather get more predictab ility on our top-line growth than to push for extracting as much as we can from a customer. We need to be quite credible in front of a customer as well. We need to be able to rationali se our prices.

But we will have a lot of investment. You're right, peop le are a very strong investment. We will probably double the number of people that we have at Triveni Turbines from what we had in FY 22. And our investments into R&D will continue, we need to have a better infrastructure and reliability on our R&D investm ents, and we will continue to push into that. And then, of course, we have the investments that we have to do in our localisation strategies through our subsidiaries to be able to have a better offering for our customers on a local basis.

But all of this said, we do think that our return on capital, return on equity is something that we will not compromise on. And so those are factors that we would aim to especially post cash we would aim to maintain.

Moderator: Thank you. The next question is from the li ne of Chirag Muchhala from Centrum Broking. Please go ahead.

Chirag Muchhala: Hi, thanks and congrats for a very good set of numbers. The first question is actually on the Europe and Southeast Asia, which would traditionally been our main regions for expo rts. So, can you also speak a bit about how the demand trends emerging from those geographies, that would be helpful?

Nikhil Sawhney: Yeah, it's a very good point you bring up, Chirag, because actually Southeast Asia is an area which has underperformed.

S.N. Prasad: Yeah. So, Europe is still quite a strong market for us, because the areas of our operation are very niche area there into biomass , waste to energy projects. Even our enquiry pipeline is strong. Coming to Southeast Asia. We have a good tractio n from our refurbishment opportunities. Yes, product -wise, still we believe that there's a lot of scope to increase our numbers there, but we are seeing a good traction from our service business, that is a refurbishment business as the old fleet is still i n operation there.

So, going forward, we see that this will be an interesting market for refurbishment and still there is a room for us from the new product push in these markets.

Chirag Muchhala: Sure. So basically, some of the countries in both these r egions are facing some challenges, some economics, some geopolitical. So, do we see any risk of any order finali sation getting postponed or we feel that the growth will continue to be very healthy from both these regions?

Nikhil Sawhney: No. That's too mu ch of a generali sation. The world is in a lot of flux. The point is that we are quite diversified geographically. And so, what we say is that within the overall macro theme of higher commodity prices and greater fixed capital formation on the industrial si de as well as investments in the renewable energy space, that overall we fit into that space. C ountry -to-country, it will change quarter -to-quarter, half year -to-half year and year -to-year because of local factors. But surprisingly, while Southeast Asia ma y have some flux, countries such as say, Turkey, which has a different type of flux and high inflation is showing robust demand.

I don't think we can actually relate that to geopolitical or other stresses, we can only react to the demand that comes from a n economy and what and why it comes we may be unique to that specific enquiry. But we

are cogni sant of that.
There will be finalisation, which will get deferred. But having said that, it will get made up by other enquiries and other orders. The disappointm ent really was in the Q1 order intake for India. But we believe that that should pick up in the quarters to come.

Chirag Muchhala: Okay. And on the second question on the API turbine side. So, you mentioned that this quarter, there was healthy orders from Middle East from refineries, so I would assume this is from API turbines. So, would it be possible to get into more details regarding, we have diversified into this product category a few years ago and over the years, based on our experience, obviously, w e would have ramped up our various technical approvals etc., so how large has this segment become in terms of our order book or our revenues? And over a medium term of, let's say 3-4 years, how do you see this segment further scaling up? So, is it more likely that this would end up becoming something like 20 -25% of our total order book, is that a fair expectation or it will continue to remain in low single -digits only?

Nikhil Sawhney: No, it could go up, but we see growth in all segments. It's just because our market share in this segment is lower. So, it will be a higher growth segment for us. But it is a market that exists. There is investment that goes into the sector. It is an intensely competitive sector as well, but we don't unfortunately give data on the breakup of our order book segment -wise or geographically, neither do we give market size data on this, as I just told to a previous speaker.

But suffice to say that it is a focus market for us, and we think that, as Prasad has said also, it will cont ribute meaningfully going forward. We don't really target a 20-25-30-40-50% market share or anything. We have to make sure that we are relevant to our customers because it's a comprehensive solution that we bring to our customers. It's not only is it a sol ution for the product, but we have to be able to get to the aftermarket requirements also for them and in the geography.

And so, if we look at it in an overall manner, we aim to be diversified as a company between both industrial power generation, renewab le energy power generation as well as API, both in small ranges, drive turbines and large ranges by equally offering aftermarket solutions for both products and service, but also to cater to other third -party rotating equipment solutions.

Chirag Muchhala: Yes, sure. And last question is on our cash and investment balance, which has again, I mean expanded to very good levels of ■1,000 crore -plus, and since we have been generating very healthy free cash flows. So just wanted to know that over the next 2-3 years, what are our capital allocation plans in terms of capex or further backward integration or any other things that you might have plans of?

Nikhil Sawhney: Yeah. So, like I said, when we talk about investment, obviously, people investment is going to b e on the P&L. But we had announced a dividend in Q4, which will get paid out of this money, because it will wait till the AGM. So that is, and so therefore, the level of the cash is also a little artificial until we have this liability to pay off the divid end. So, we are consistent on our dividend policy, and I think that that's something that will continue. The capex , we will continue with our strategy of being asset light. But wherever investments are required for us to be close to the customers, we will not shy away from that, because we see the overall return especially over the medium term to be quite robust.

We will increasingly be spending more on R&D. And those are data that will come out through our annual report, so you'll be able to see what the investments are. But suffice to say that the strategy as a company to be free cash flow generative will continue. I think what our str

ategy has been in the past
will continue in this future. Just the fact that we have more free cash flow available, we will still invest more. Therefore, proportionately, we would invest more into areas such as R&D.

Moderator: The next question is from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.

Teena Virmani: Hi, good afternoon. Congrat ulations for a good set of numbers. Most of my questions have already been answered. But just two set of questions, one on domestic and one on margins. On domestic, you mentioned that there are a couple of industries, which will start finalising the orders for domestic segment. How close are we in terms of finalisation of orders? Because last 4-5 quarters on an average if you see, the inflow run rate for domestic has been more or less flattish only, so why is it taking that long for the user industries to k ick start investments? Is there any delay from their side to decide on whether they actually want to do the capex or not?

Nikhil Sawhney: I'll ask Prasad to comment on this as well. But my opinion is, is that you really haven't seen any commodity price in creases. A lot of capex actually typically happens with the increase in commodity prices over a sustained period of a number of quarters. Also, there was a risk event last quarter. But having said that, and I started with this in my introductory remarks, w hich is that the enquiries that are coming up now, people are asking for short deliveries. So not only are

they are back they want it quickly. It is very funny. But Prasad, do you have any comments?

S.N. Prasad: Yes. As you rightly said, yes, two quarters , basically, we lost, that is a Q4 and Q1 because of the election, because majority of these customers, they want to wait-and-watch sort of a thing, so that is pushing us back now for shorter delivery. But now by seeing the enquiry pipeline, whatever we ar e having, especially from all those infrastructure investments, so leading to steel, cement and this sort of enquiry pipeline is getting built up. So, what we believe is, yes, coming quarter is going to be an interesting quarter from domestic side based on this pipeline.

Teena Virmani: So, these will be the main sectors which will be contributing in the coming years?

Nikhil Sawhney: Yeah, its contributing from all sectors. You have API investments in refinery , petrochemical. You have certain fertili ser re quirements, etc., you have steel, cement, not large steel, you'll have more smaller steel and cement requirement is there. But those are requirements, which I think towards the end of the year, if things work out fine will re -emerge from the distillery seg ment and from other biomass and renewable energy -based investments.

Waste -to-energy and municipal solid waste incineration, which is a municipal issue, is robust. That's something that we desperately need. Well, we need more investment than what we are seeing, because our cities are filled with garbage. But having said that, at the overall level, I think that we can see this sort of demand from India continue and continue to grow in the years to come.

Teena Virmani: Got it. And also, on your Middle East o rders, which you got in this particular quarter, what is the execution time frame for these orders? And are these others more on a sustainable basis or they are like normal product orders?

Nikhil Sawhney: No, they're normal product orders, and so therefor e, they're sustainable in terms of the years to come. You asked a good question, this is something that I alluded to in my opening remarks that some part of our order book will give us visibility into FY 26 as well. Now as you know, our products include wh at we manufacture as well as balance of plant. The balance of the plant includes a variety of different equipment, so some part of that will be built in this year, some

part will
be built next year. But that is something that we do with the customer based on customer readiness and customer availability. The customer has to have the site available also for him to accept the products.

Teena Virmani: Got it. And lastly, on the gross margin sustainability. Like this quarter, there was a good jump in the gross margin on a sequential basis also because of the change in the product mix. So, is it something that can we expect it to sustain in the coming quarters, looking at the product, looking at the order book mix of the Company?

Nikhil Sawhney: Yes. What we hav e typically said is as a capital goods company, every quarter will be different from another quarter, because of either the product mix between export and domestic, between aftermarket and product as a split, you also have other issues in terms of certain investments that may have got happened in certain quarters in terms of personnel and R&D, etc., you'll have certain expenses that have been taking place in our international subsidiaries, which will impact. But overall, we don't see margins as a problem. A nd so overall, net - net, I hesitate to give any guidance here on the matter, but it's not a problem for us much.

Moderator: The next question is from the line of Shyam Maheshwari from Aditya Birla Sun Life Mutual Fund. Please go ahead.

Shyam Maheshwari: Congratulations on a great set of numbers. I wanted a little bit more clarity on your comment on R&D expense. So, I understand you are planning to incur more R&D. Is there any product cap as such or any other new product or certifications that you are worki ng on, which would entail this R&D.? Can you give a bit more colour on that?

Nikhil Sawhney: Yes, R&D is a broad expenditure, both on new product introduction with our current product lines, which include steam turbines, both in terms of higher megawatt r anges, different applications, different configurations. And the internals of those, which is the type of blades and the way that they have put out and the series of blades and the efficiencies within them. The investments, which will be required stretch f rom not only the certification level, but actually the physical testing. The expenditure on people is something that we cannot capitali se and so that is something that we expense. Though we have to wait and see what the new R&D scheme of the Government wil l be.

But suffice to say that the testing requires the actual capex into that. This is done principally at our own facility, but also at third -party facilities, which include academic institutions, both in India as well as outside India. Now apart from th at, we also have new technology introduction -based R&D that we do, and this is something at this point in time is sort of routine for us to do in multiple different technology lines. So as to see where this goes and see where the commerciali sation of produ cts can happen within them, but they're all adjacent as sectors. They're all rotating equipment. They're all areas where we have certain capabilities.

And at this point in time, they don't present a substantial market for us to talk about and have no subs tantial focus. So, at this point in time, these are things that we have to keep ready for the years to come to ensure that we have a development of mo re solution orientation to our customer and something that we feel that will allow us to be even more dive rsified, because we are already geographically diversified, but to be more diversified from a product perspective also.

Shyam Maheshwari: Understood. And secondly, on our export inflows, which has seen quite a bit of surge even if we compare it, let's say, against Q1 FY 23 about from ■150 -odd crore of inflows to now more than ■400 crore of inflows. So, can you give me a little bit of more gr anular detail within renewable energy or waste

-to-energy
systems? What is exactly driving this growth? Is it like garbage burning plant, waste to energy, waste heat recovery systems with geographies? So, a little bit more colour on the export side of thing s as well?

Nikhil Sawhney: Unfortunately, we don't break that up. But I think the way that you should look at our export initiatives and where we have been successful is where we have been able to closer to the customer and provide confidence to them. The demand comes from generic sectors, like I said, you have renewable -based energy investments; you have API, which is oil and gas investments as well as industrial power generation investment. And we have strength in different geographies for different sect ors. The Middle East principally sees more investment, as you would imagine, into the oil and gas sector rather than into the renewable waste sector. It's not that they don't have any renewable -based investments. Europe for us sees much for renewable -based investments.

The Americas right now will have more in industrial power generation as well as renewables -based investments. But our order book also constitutes the

aftermarket. The aftermarket includes both parts and service as well as refurbishment. Sach in, maybe you can provide a little bit of colour on the refurbishment market and how that is looking.

Sachin Parab: Our market development activities in any regions for the refurbishment business over the last couple of years, and our strengthening of the sales and business development task force has started resulting in a good number of enquiries. And our Vice Chairman also alluded to the fact that and our CEO mentioned that we are seeing good traction on refurbishment in Southeast Asia. So that's a very, very positive sign and we feel that our investment in this sector has started yielding results.

Nikhil Sawhney: I'd be happy to take some of your questions off -line also if you have them on specific things.

Moderator: Ladies and gentlemen, we will now t ake the last question, which will be from the line of Prateek Giri from Sub h Labh Research. Please go ahead.

Prateek Giri: Nikhil, congratulations on good set of numbers. And thank you for taking my question. Nikhil, I just wanted to get your sense on the exports growth and how it has been panning out for our competitors globally? So, is it that for them also it is similarly good or is it a market share gain for us, if you can help me to understand that?

Nikhil Sawhney: Yeah. Well, pretty much we could sa y that since we are seeing the overall market to be quite constant, this is obviously market share gain.

Prateek Giri: You mean, it's a market share gain for us, the competitors' growth is not as high as ours .

Nikhil Sawhney: I wouldn't be able to commen t on that, because I have no idea what it looks like. But suffice to say like in areas such as API, where our market share has been low, that's something that obviously has come from somewhere else. Historically, for countries like India where we have much better market share data or every enquiry or orders sort of crosses our desk. We have seen the growth of the market. And so, market share has been reasonably evenly split between the two principal companies, which operate in India.

Nikhil Sawhney: Okay. Thank you very much. So, thank you, ladies and gentlemen. Thank you for joining the Q1 FY 25 earnings call for Triveni Turbines. On behalf of Arun, Prasad, Sachin, Lalit, Surabhi, Satya, etc., I hope I look forward to hear ing from you in our next conferenc e call. If there are questions that we have not been able to get to, I hope that you'll be able to pass them on to Surabhi who can answer those. But we look forward to interacting with you in the future. Thank you very much.

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Call: Nov 2024

E-filing

REF: TTL: SE: 11/0 7 Date: November 1 9, 2024
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Dear Sir/Ma'am,

Subject: Transcript of Investors/Analysts Conference c all held on November 12, 2024

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on November 12, 2024 for investors/analysts in respec t of the standalone and consolidated unaudited financial results of the Company for the second quarter and half year ended on September 30, 2024.
The transcript is also available on the Company's website at www.triveniturbines.com .

You are requested to take this information on record.
Thanking you,
Yours' faithfully
For Triveni Turbine Limited

Pulkit Bhasin
Company Secretary
M. No. A27686

Encl: A/a

Triveni Turbine Limited
Q2 & H1 FY25 Earnings Conference Call Transcript
November 12 , 2024

Moderator : Ladies and gentlemen, good day, and welcome to the Triveni Turbine Limited Q2 FY 25 Earnings Conference Call.

We have with us today on the call Mr. N ikhil Sawhney, Vice Chairman and Managing Director; Mr. S.N. Prasad, Chief Executive Officer; Mr. Sachin Parab, Chief Operating Officer; Mr. Lalit Agarwal, Chief Financial Officer; Ms. Surabhi Chandna, Investor Relations and Value Creation.

I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, sir.

Rishab Barar: Good day, everyone. We will now start this call with opening remarks fro m the management, following which we will have an interactive question -and-answer session. I now request Mr. Nikhil Sawhney to share some perspective s with you with regard to the operations and outlook for the business. Over to you, Mr. Sawhney.

Nikhil Sa whney: Thank you, Rishab. Apologies, ladies and gentlemen, on starting this call a little bit late. But it's with good news that we have this call for another record quarter for Triveni Turbine s. This is the 18th straight quarter of record results, and I'm very happy to take you through our results.

This is again the highest quarterly revenue and EBITDA, along with a record closing order booking, providing very good visibility for the near term in this Q2 and H1 FY 25 .

We have had the highest quarterly revenu e in Q2 FY 25 at ■5.01 billion, which is an increase of 29% year -over-year. Domestic sales increased by 32% to ■2.79 billion, while export sales increased by 26% to ■2.22 billion. This is also the highest ever quarterly EBITDA with ■1.31 billion, up 47% year -over-year, with a margin of 26.1%, which increased 320 basis points year -over-year.

PAT for the quarter was at ■910 million, an increase of 42% year -over-year, and we also had a very healthy order booking of ■5.72 billion during the second quarter, which is a growth of over 25% year -over-year. It was a record outstanding carry forward orderbook as of the 30th of September of ■17.96 billion, an increase of 22% year -over-year.

The P&L highlights for the half year, the revenue from operations grew 26% to ■9.64 billion, wh ich is a record for the Company . As far as the sales mix between domestic and export goes, we had a domestic sales increase by 29%, while export turnover increased by 22%. In the half year, the mix of domestic versus export sales was 55% to 45% as compared to 53% to 47% in the previous corresponding period.

EBITDA increased by 42% to ■2.46 billion in the half year as opposed to ■1.76 billion in H1

FY 24 . Margins for the half year versus previous year increased by 280 basis points to 25.5% in H1 as opposed to 22.7% in the last corresponding period.

I'd be happy to take questions , becaus e I'm sure a lot of you will ask you about the sustainability of these margins. As you all know, the Company operates in a customi sed engineered -to-order segment and has different margin profiles for export orders as well as domestic orders. And be tween our aftermarket and product, we also have a different margin structure, where it's more weighted towards the aftermarket.

As you can tell from the sales mix, which is still currently more domestic focused, but I think order booking is more export fo cused. W e don't seem to really have issues with our margins at this point in time. And so, we're happy with these margins, and we think that they may be somewhat sustainable in the short term . Though in the medium term, we imagine that we would like to expand sales and having sales as a focus for the business and sales growth for the business is really the greater priority.

As I said, order booking for Q2 FY 25 ended at ■5.72 billion as against ■4.59 billion during the second quarter of FY 24 . This is a growth of 25% and export order booking grew by 50% year -over-year at ■3.04 billion. The domestic order booking grew by 4%.

Order booking for the half year was at ■12.08 billion, which was an increase of 32% over the half year FY 24 . Domestic order booking for the first half grew 3%, while export order booking grew by 63%. This augurs well for the execution of these orders, which will happen in the subsequent quarters as well as in the next financial year as well.

Coming to the segments. Order booking for product grew 30% year -over-year to ■3.98 billion , and for the half year grew at 44% to ■8.85 billion. The product segment turnover recorded a 26% year -over-year growth in Q1 and 25% growth in the half year compared to the previous year. The aftermarket segment grew 13% in terms of order boo king to a record high of ■1.74 billion in the current quarter and grew by 8% in H1 FY 25 compared to the previous period of the previous financial year.

This again augurs very well for the short -term execution of these projects and the aftermarket contributes a very healthy 33% to the total turnover of H1 FY 25 with the high contribution of aftermarket to turnover as well as a robust and

healthy growth in our order booking for the export segment . The Company seems to be making good headway in its newer market geographies in higher MW (megawatt) categories and the API segments as well as in both renewable as well as Industrial Power Generation (IPG) segments.

To take you through the total outstanding order book position, which stands at ■17.96 billion as of the 30th of September 2024, which is higher by 22% compared to the previous year. This augurs very well. The domestic outstanding order book was lower by 16% at ■7.09 billion, while export order book stands at ■10.87 billion, which is a growth of 71% year -over-year and contributing to a robust 61% of the closing order book.

The Company continues to focus on R&D and technology. Our investments there continue to bear fruit. Our developments happening from the carbon dioxide (CO 2) fronts have a lready been commerciali sed, and we have good success in certain applications. I'd be happy to go through some of those if there are questions along those lines, but it provides us visibility and commerciali sation of new technologies and newer product intro ductions, which Triveni Turbine s will be bringing out in the subsequent quarters and provides a good medium -term and long -term runway for diversification of our product mix over and above the diversification that we already had in terms of going into higher MW categories , going to API and newer market segments as well as focusing mor

e on refurbishment as a specific growth driver to our Aftermarket business.

All of this is only possible with a great focus on people. We are expanding our resource base i n terms of people and investing significantly in training and development. We not only take a good intake of G raduate Trainee s (GTs) , Graduate Engineers and Diploma Engineers to be able to augment our staff and provide adequate succession planning for intermediate levels of professionals, but we do this at higher levels as well. If you find people who are good, please do encourage them to apply to the Company for jobs and the job positions are available on our website.

As far as the outlook goes, we expect to ma intain a robust business performance in the medium term. As I said, this is our 18th record quarter in a row and we aim to maintain that momentum going forward as well. The expectation is supported by a substantial order booking in both the renewables, API as well as Industrial Power Generation segment. The Aftermarket business is also showing good promise in terms of growth and is bolstered by the standard range of offerings, including spare parts, services and refurbishment. Thes e services are also being augmented with our digital offerings, and we aim to enable all of our services with a certain degree of digital offering as we go forward, so as to be able to provide a greater value to our customers.

Ladies and gentlemen, Triveni Turbine s operates in the space of industrial heat and power. If we look at the incremental amount of energy consumption that is going to happen in the consumption of heat, we are very aptly poised to be able to leverage the positions that are transforming the market, both from a

perspective of energy transition, as well as the growth that will happen in terms of the replacement of the current capital stock that is currently in place mostly in developed countries.

With that, I'd be happy to op en the floor for question -and-answers. And I hope to be able to answer them.

Moderator: Thank you very much. We will now begin the question -and-answer session.

The first question is from the line o f Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity. My first question is, how are our domestic and overseas enquiry books? How much they have grown on y-o-y basis at the end of second quarter?

Nikhil Sawhney: When if you look at it for the half year performance, our enquiry book for overall level is somewhat flat. If you have to remember that the domestic order booking in the previous financial year, Q4 FY 24 as well as Q1 FY 25 has been muted due to the election situation. But having said that, we said that the enquiry book has grown, and it has again grown in this current quarter for domestic. Mr. S.N. Prasad is with me, can you give some visibility as to the segments that you are seeing growth in the domestic enquiry book?

S.N. Prasad: Yes. So, on our domestic enquiry book, basically Q1 was muted , we saw a strong recovery in Q2 in terms of enquiry. So again, the enquir ies come from process co generation wher e combined heat and power is one of the key segments where we are operating quite strongly. The other opportunity is Municipal Solid Waste (MSW) based power plant, cement and steel we are seeing the traction is increasing compared to the earlier , of course, chemical and petrochemical plants. So that way stronger enquiry pipeline from different segments getting added into Q2 domestic market.

Nikhil Sawhney: So just to finish on the domestic market before I touch on international, you should reme mber that H1 order bookings, which was impacted by the enquiry books pretty much Q3, Q4 of the previous year. We believe that the growt h in the enquiry book that has happened in H1 in Q1 and Q2 of this financial year, it will translate into better order

bo oking in Q3 and Q4.

But having said that, the point is that we anticipate this growth in the total market to be along our expected lines or may be a 15% to 20% growth year - on-year in the total market domestically. And what is quite encouraging is that we believe that this is a sustainable growth. This is not any sudden peak. We see consistent demand coming right now from certain segments as Prasad had pointed out, be it in the cement space or steel space. Obviously, newer market requirements that are ha ppening both from renewable municipal solid waste as well as biomass -based applications. And specifically, on the energy efficiency side, we see a lot of interest, both domestically and internationally.

Internationally, our enquiry book is an effort of our endeavours and our salespeople and partners reaching out to expand it. The enquiry book is still

quite robust. And for the half year represents, I must say, a consistent market to what we had in the previous year. And as we currently stand, we believe that the enquiry book is sufficient for us to give the growth that we need in our order book, which will then translate into turnover in the coming quarters and coming years.

The segments for international, which are contributing is the API segment, which is oil and gas. As we said, that was a big contributor in the first quarter of this financial year, but we believe that this segment will continue to contribute in the coming quarters as well. We have good requirements from both industrial cogeneration, w hich is both heat and power applications from a variety of different industries, including paper and pulp. And we also have requirements coming from renewable -based applicatio ns such as municipal solid waste incineration as well as other Waste to Energy (WtE) based applications.

Harshit Patel: Understood. Sir, secondly, I wanted to get some colo ur on to specific end markets in India. First, on distilleries. I believe we expected a pickup towards the end of FY 25 , do you still see that happening or there is some slack in the new investments, which are happening in this particular sector? Secondly, you also alluded to a little bit towards answering the previous question. Are there any green shoots in the waste -to-energy t heme in India ? Have we booked any such orde rs so far in FY 25?

Nikhil Sawhney: Let me ask Prasad to answer.

S.N. Prasad: Yeah. Coming to waste -to-energy plants, yes, we supplied turbines to some of the waste -to-energy plants in India, recently one plant commissioned in Ahmedabad also with o ur turbine and more than 8-9 plants with our turbines are in operation and enquiry pipeline is strong in waste -to-energy.

Coming to distilleries, yes, Q1 is a muted quarter for us. But based on the enquiry pipeline, there is a small growth we are seeing from the distillery. And we are seeing some sort of traction in finalisation in Q3 as we moved the last 45 days. So that way, we are hopeful on distillery. Otherwise, we are quite bullish on MSW, the way how the enquiry is picking up and there's a focus coming on MSW plans.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital . Please go ahead.

Amit Anwani: Congratulations for the great set of numbers. And thanks for the opportunity. My first question is on U.S., and you have been talking about setting up workshop and investing in employees in U.S. I wanted to understand, was there any contribution and post the change in government in the U.S., are you seeing anything impacting our view with respect to expansion in U.S. for the after-service business? And I wanted to understand how much contribution from U.S. aftermarket business can come in the next couple of years, yes?

Nikhil Sawhney: Okay . As it currently stands, the plant is set up is somewhat small additional machinery that we need to get anyway, but the majority of it has already been capitalised. But it is not c ontributing at all in terms of revenue. In fact, as we have said in the previous conference calls, we would anticipate a full -year loss from th at entity in excess of ■25 -odd crore . But that has been factored into consideration , and a proportion ate amount is already includ ed in our H1 results.

So, the results that you see post the expenditure that we have had in the U.S. Of course, the investments that we're making in people , in capital and machinery in the U.S. is because we do see a very large market there. In fact, as I poin ted out in our last conference calls, the estimation that we have for the market has only improved and the visibility is only improved since we have established our presence.

Our efforts there to be on two fronts. Not only will it be to sell new products and to service our existing base in the region, but it will also be to capture the markets for refurbishment, which includes refurbishment opportunities for steam turbines as well as other rotati ng equipments. And we are very encourage d by this because, as you would imagine, the U.S. market presents the largest capital base any in the world. And so regardless of which government and administration is in, you have requirements that stem from very short -term returns.

Triveni has alwa ys played in an unsubsidised market. So, subsidies only sweeten the value proposition for our customers. But ultimately, for us, we are agnostic to it. We think that this is very consistent with both global demand as well as trends. And what I mean by that is regardless of the way that you view the subsequent administration of the United States, the push for energy efficiency is going to be not only be mandated by global protocol, but it will be mandated by economics with energy inflation an d the cost of energy , the expenditure on efficiency is really the need of the day, and it's something that we see everyone spending on.

And so, we see the U.S. market contributing in the subsequent years, as you rightly point out. As it currently stands, i t is not contributing at all, and we do not expect it to contribute in this financial year in any significant manner .

Amit Anwani: Yeah. So, my next question is on the strong growth, which we are witnessing in export. Just wanted t o understand if you would like to highlight any key geographies or markets where this growth is happening apart from U.S ?

Nikhil Sawhney: The growth is not in the U.S. It is in other markets. The market, as we see it , the Middle East is a strong mar ket for us for oil and gas applications. We see very good demand coming actually from parts of the other Americas as well as parts of Europe for both process cogeneration and mainly renewable -based applications. So, this changes quarter -to-quarter . A market segment that has sort of been underperforming in the last two quarters has been Southeast Asia for us, but we think that we need to push a little bit more. It is not as if the

market doesn't exist. It's based on our marketing efforts, and I thin k we need to double down on and spend more time.

But as it currently stands, and I did point out in my opening remarks, we have approximately 60% of our closing order book, which is from the export market, and we are extrem ely bullish on taking this numbe r up. We think the Indian market will continue to contribute, but it will provide a base for us to grow from.

Amit Anwani: Sure, sir. And one more thing I wanted to ask on , you highlighted about the higher MW category and last quarter also we e ntered into 120 MW. Any new higher MW products on the verge? And will that expand our market and by how much they can expand a market just to get a sense on the higher MW category, yes?

Nikhil Sawhney: We have the technology to produce up to 120 MW. It's different if th

e customer places orders on us. Again, this is based on customer confidence , in them having the conf idence to be able to place orders for different applications in for different use. In fact, in this current quarter, we have an order of a 95 MW turbine also in this space.

I wouldn't like to go into too much details on the applications and the geography. But suffice to say that this is a high -technology product with a variety of different extractions which are necessary. So, we do have the ability, and we are confident that we will get further higher MW orders as well, which will help aid our growth. Because as you know, the market for higher MW turbines is something that Triveni Turbine s has been pursuing independently or only over the last couple of years, last 3-4 years since our joint venture ended.

And that is where our market share has been traditionally very low. So, to augment that now that we have the products and the push and the establishment of the co nfidence that we have given to customers, we will get more orders in this segment. This as well as the API segment will continue to provide good growth opportunities despi te market cycles for our product business. The Aftermarket business will, of course gain from being close to customers and the installed base as well as the refurbishment opportunities that come about.

Amit Anwani: Right. Lastly, very quickly, so there wa s an announcement on CBG plant set up by Reliance. So just wanted to understand, is there any scope for you for gas to energy conversion with the turbines might be needed , that is my last question .

Nikhil Sawhney: Typically, a gas -based power plant w ould either use a gas engine or a gas turbine. And the way that you should think about it is unless you hit a gas turbine requirement of somewhere in the region of 25 to 40 MW only then will you go for combined cycles because we would take the was te heat that would come out of a gas turbine.

And the ratio is approximately 3:1. So if the gas turbine is 3 MW, you'll have a 1MW stream turbine. If it's for gas engines, it's 10:1. So 10 MW of gas turbine would equate to 1 MW of steam turbine. So , there's economics in terms of what is viable to be set up. I think these small CBG plants don't have the economics to allow for a steam cycle to capture waste heat.

Moderator: Thank you. We have the next question from the line of Chirag Muchhala from Centrum Broking. Please go ahead.

Chirag Muchhala: Congrats on the good set of numbers and thank you for the opportunity. Sir, first question is on t he Aftermarket segment, where in the press release, as you have mentioned that you have win some breakthrough orders through some diverse customers. So, is it possible to give some more details regarding the same?

Nikhil Sawhney: The segment of refurbis hment covers a very varied set of customers in different applications. For us, when we enter into new segments, it is very meaningful because it allows us not only in certain geographies with certain types of customers which propel our value proposition fo rward. If we start going to what th ose newe r segments are, it's never ending . Because it can cover either other rotating equipment, it can cov er similar steam turbines and the applications, but it can also cover the different and larger types o f companies. In fact, we're making progress on all three. So, we have very reputed utility refurbishment opportunities that have come to us from key OEMs. We have great applications, which have also contributed as well as good customers.

So, we're m aking some traction on this space. And we think that as we invest more in people and then being close to customers, we will have greater opportunities that will come to us because, ultimately, we have to be able to provide value to our customers. So sorry we're not able to provide much more specific clarity on these

types of orders.

Chirag Muchhala: No issue , sir. And just one follow -up regarding the previous question on compressed biogas plant. So actually, two avenues where heavy inve stments are being made in India, it is compressed biogas, whereas you mentioned gas turbines are used and the pump storage where I believe hydro turbines would be used. So, in Aftermarket services domain, where we have actually enhanced our offerings to go beyond steam turbines and also service this type of turbines. So will Aftermarket segment play any role in this to Indians, pump storage and CBG, where very huge investments are lined up in India?

Nikhil Sawhney: Firstly, I think that the Aftermarket only comes into play once the installed base has been there for a little bit in this period of time. So, it's a little premature to start talking about this plan. Secondly, I would imagine that the local OEMs would ha ve adequate capabilities to service them. The real value proposition for refurbishment only comes when the OEM is no longer present or no longer able to service that at an adequate price point.

But having said that, and you did bring up two applications o n what I would say, battery storage side, it gives me an opportunity to talk about our development that we have in our carbon dioxide front, wh ich is quite encouraging. We have already commercialised our carbon dioxide -based turbines and which is for a battery storage application, quite similar to pumped hydro storage. And this is for a 20 MW application in Italy. And we look forward to those results, which come sometime in April, May next year.

Chirag Muchhala: So how large is t his CO 2 turbine market has already become globally, or it is still in its very initial trial and error phase in terms of end -user application?

Nikhil Sawhney: It's still an innovative product. It is still required. But the fact is that the cycle i s quite well known. And so, we'll have to wait and see, but this provides a diversification for us in terms of our product offering. And so, we're quite optimistic on this front. And it will aid in sustaining our growth.

Chirag Muchhala: Okay. So basi cally, I just wanted to know that are there already sufficient battery storage related CO_2 turbine orders in the market where I mean year after year, we can still have a, let's say, single -digit contribution in our total order inflow and this is still in the next 3-4 years going to be more of a developmental phase type of thing?

Nikhil Sawhney: No, this is no longer developmental. It's commercialised. We are one of two companies or three companies making this globally. So, it's an innovative ar ea, but the point is that it's very difficult for us to say how the market will develop and how it will contribute. All I can say is that we are excited that this provides another route for us to diversify our revenue base.

Chirag Muchhala: Okay. And sir, lastly, on API turbines. So, as you mentioned that H1 has seen good order inflows from Middle East. So how large would have API become now? I mean, would it be kind of a one -fourth of the total inflow would have come from this space?

Nikhil Sawhney: No, no. It's less. But I think that it is a meaning contribution, and we think that we shy away from giving exact breakups, but it is a meaningful contribution to our order book. But as you would imagine, these are customers who are extremely dem anding on quality and specifications as well. So, while the MW may be lower because the specifications are higher, such as vibration, etc, the costs also are quite high. But the margins would be commensurate with our export margins.

Moderator: Thank you. We have the next question from the line of Yash Gandhi from Stallion Asset. Please go ahead.

Yash Gandhi : Hi, thank you for the opportunity. So, the question was more to do with just slightly long -term basis. I th

ink in your presentation, you have a chart where the global steam turbine market itself has degrown over the past 10 years. So, I'm just trying to understand while obviously our growth has been way, way higher than what the in dustry has grown. So, like what are the drivers of this growth? Like are you gaining market share from your peers? Or is there some

sort of a new trend within the steam turbine market? And do you think that this trend will persist that the market will ke ep on sort of decreasing in size and maybe we are just gaining market share?

Nikhil Sawhney: So, I think your reading of the chart is wrong. The overall market for steam turbine s has reduced, which you are very right about. So that includes utility turbines. And what we try to distinguish is the requirement from an end -user perspective between utility requirements for turbines and industrial renewables -based requirements for turbines. And we typically just split that market as to below 100 MW and higher than 100 MW. So, if you look at the market as a whole, yes, you're very right, it has year -after-year continuously declined.

But if you look at the market below 100 MW in fact, going back the last 15 years, you've seen that market grow by anywhere between 1% to 3% CAGR. You will have one or two years where it will go down a little bit , but on average, that is the trend. And the reason for that is that industrial heat and power is generated at site and at source, so you have both fixed capital formation that plays into this. But increasingly, you have a requirement that come s from renewable -based applications, which are either direct renewable -based applications, such as municipal solid waste or biomas s or geo thermal or energy efficiency -based expenditures.

We see this latter continuing and picking up. At the same time, given the global shortage in terms of energy generation and the push towards energy transition and increased electrification of requir ements stret ching anywhere from industry to data centr es, etc., we see a robust requirement for electricity. At the same time, the requirement for heat, which is required for industry also remains robust.

So therefore, we see this growth of whatever 1%, 2 %, 3%, 4% of the overall market continuing . In fact, it may pick up in case energy requirement goes up more. But we see the requirement for energy in its entirety, which includes both heat and power to increase going forward. This is driven by not only increase for ca pital consumption , and therefore, more requirement for developmental energy consumption, but also the transition itself which because it will be decentrali sed in nature, therefore you have more capacity and excess capacity that will be set up o ver actual requirement .

Yash Gandhi : Got it. Thank you. And just last question. I don't know if you disclose this number or not, but what would be your EBITDA margins in Aftermarket and product?

Nikhil Sawhney: No, sorry.

Moderator: Thank you. T he next question is from the line of Ankit Soni from Sharekhan. Please go ahead.

Ankit Soni: Thank you for the opportunity. J ust wanted to understand, we have been on the domestic orde r book, we have been more of flattish or something. So, any

sort of guidance or view as to what would be the factors the domestic order book should be growing, or the domestic order should be growing ?

Nikhil Sawhney: I think I kind of alluded to this a little bit earlier that Q4 FY 24 order booking was lower because, I think of due to uncertainty of elections. And Q1 of this financial year was also impacted , because of election. So, if you look at it on a year-on-year basis, you will fi nd FY 24 as well as FY 25 has one quarter each of constraints.

So, when you look at the H1 performance in terms of order booking for FY 25 , and which is a resultant of the enquiry book

as of Q3, Q4 of the previous financial year, we think that the s ubsequent quarters should provide more leeway in terms of growth in these markets.

At the same time, as Prasad had pointed out earlier, we see a consistent requirement in terms of enquiries from all sectors. And so, I think that we would see growth in the overall market in this current financial year. It's not going to be very large, but there will definitely be growth and the growth in our belief is something that will be more sustainable for the next one, two, three, four years.

Ankit Soni: Okay. Tha t's true. Now s econd question, basically, our exports business and the Aftermarket segment is expected to be contributing significantly higher in the coming quarters and all. So, do we have any sort of cushion for the margins to improve from here?

Nikhil Sawhney: No. You see the margins are actually quite high already. Like I've said in previous calls, we aim to maintain at least a 20% margin level, and now we're ending up with margin level somewhere in the 25 % such level. So, we've already said that margins are really not a problem for Triveni Turbine s. What our push is to increase our enquiry book, and therefore, our order booking and therefore our revenue. And now the constituen t of that order book is what is result ant in our margins. The more export you have, the more margin s, you'll have, the more aftermarket you have, the more margin you have. So therefore, the conscious strategy is to expand sales and order booking as much as possible. And the resultant of that because it' s diversified in energy to order and a customi sed product, it will d iffer quarter -to-quarter, product -to-product and order -to-order.

Moderator: Thank you. The next question comes from the line of Harsh Tewaney from Motilal Oswal. Please go ahead.

Harsh Tewaney: Yeah, hi. Thanks for taking my question. So just one question on the gross margin front. If you see sequentially, there has been around 250 basis points contraction. So how do you read thi s contraction as per you?

Nikhil Sawhney: So again, it's a question of the mix in terms of what has been executed. We had a certain large value service contract that was in our Aftermarket segment which has contributed significantly less in the current quarter. So even though the mix of aftermarket in the previous half year to this half year has gone from ,

we were record at 33 -34%. The margins of Aftermarket are significantly higher also.

Also at the same time, exports and o ur revenue is also higher. Having said that, the reason that a lot of this has happened is because we have more stability in our commodity pricing, when you look at a year -on-year basis, we have longer in -term contracts. We have more standardisation of our engineering platforms. So, we have more operational efficiency. We have certain operating leverage that has also come through. You have a product mix that is benefiting us and genuinely higher margin orders that we have been executed.

But I think 52% i s full credit to the team in terms of being able to get the operating efficiencies out. And we aim to maintain it anywhere between this region of 5 2-53-54%.

Harsh Tewaney: And what is the status of the SADC order that we had got the second order that we had got?

Nikhil Sawhney: No. So that's why I talked about, it just contributed less in the current quarter. And so therefore, margins were a little bit higher. Our turnover would have been higher otherwise . But , if you look at it on an absol ute basis, our absolute profitability is still quite strong. We have INR 90-plus crore PAT for the current quarter, and we aim for the coming quarters to be even record going forward.

Moderator: We have the next question from the line of Mayank Chaturvedi from HSBC Mutual Fund. Please go ahead.

Mayank Chaturvedi: Thanks for the opportu nity.

So just on the other expenses piece of things , there's been a sharp fall quarter -on-quarter. So, is there any one -off gains included there? You've already said that there's a large service value contract besides that anything else that you would li ke to hi ghlight here?

Nikhil Sawhney: So, in general, most of our expenses and other expenses are proportionate to our growth. So, manufacturing expenses would in crease with obviously some operating leverage to the growth in revenue. Our warranty and other expenses would also continue to rise at the same proportion of being prudent. The real degrowth that happened there was because of the servicing contract, which we used to have a separate line item, but we no longer need to actually give that explana tion. But you've already hit it on the head.

Having said that, all expenses are under control. It's not as if those expenses are out o f control in any manner. We see a good degree of predictability in our supply chain costs. In fact, I have our C OO on the call as well. Mr. Sachin Parab, let him give you an idea in terms of how costs are looking at both the supply chain and other expenses as well.

Sachin Parab: So, our efforts on the supply chain front in trying to improve our margins is continuously on. So, we are looking at different opportunities to bring down our cost. There are, as our Vice Chairman has mentioned, efforts on always to get

into long -term rate contracts so that we can stabili se our costs and take care of unexpected fluctuations. Also , we are looking at diversifying our vendor base. We are also looking at imports from low-cost origins, that pursuit is always on to identify sources where we can look at improving our margins. So strategic sourcing is a big initiative at our suppl y chain team, and we are always scanning the environment at looking at opportunities to improve our margins. So that is definitely a focus area for us.

Mayank Chaturvedi: So, would it be right to assume now that you have a healthy vendor base . I'm assuming it is in the SADC region that you're alluding to. So, the subcontracting charges as a percentage of what you are executing in the SADC region is starting to come down , now that you're increasing the expectatio n?

Sachin Parab: Sorry to interrupt . My ans wer was more to do with our supply chain in terms of our cost structure and the future possibilities. As far as the SADC area is concerned, it is one strategic order that our Vice Chairman mentioned about. So, the dip in that order is what has caused a r eduction in the subcontract expenses and that's to do with a small period of time. So, we are always looking at improving our margins even in the SADC region and there is more amount of in -house work that we are trying to target so that we can optimi se in terms of the expenses that we incur. But that is specific to only just one large strategic order.

Mayank Chaturvedi: All right. So why I'm harping on this piece is, because we are seeing that in the short term, these margins will be sustainable. So, I just wanted to get a sense of how the other expenses could pan out. But no worries.

Nikhil Sawhney: Despite the fact in the subsequent quarters, we will see this business return , I think our margins are still quite robust and something quite resilient .

Mayank Chaturvedi: Of course. Just the other piece , Nikhil , you have been guiding in the past that the possible growth that you might see in probably the mid -term would be closer to what we saw in the previous two years, but now domestic order booking has slowe d down, and it is playing as spoil sport. So, any revisions that you would like to make on that front, that guidance?

Nikhil Sawhney: No, no. Our order booking is very robust. Why w ould you say the order booking is slowed ? In fact, our order book ing has grown .

Mayank Chaturvedi: On the domestic pi

ece?

Nikhil Sawhney: On domestic, well, as a company, overall, the fact is that we aim to diversified. As you know, we cannot instigate demand. We are the reactionary towards it. Our reading of the enquiry book is that actually these are very serious people who want to take the place orders. It's a question of timing. That's something that we cannot force that on anyone. So, we think that if the domestic market can grow at this 20 -odd percent level every year. It's a sustainable type of number for the next several years. And we see that as being a greater driver.

So, we are optimistic on Q3 and Q4 coming through, given the fact that overall, the market between H1 of FY 25 and H1 FY 24 is pretty flat.

Mayank Chaturvedi: All right. Okay. That was very helpful. Thank you.

Nikhil Sawhney: Because we know that Q4 of last year was low. So, if you look at it on the full - year to full -year, we know that Q4 of this current year will be significantly better than Q4 of last year , even if we continue the same momentum.

Moderator: Thank you. T he next question is from the line of Omkar Chitnis from Trade Brains . Please go ahead.

Omkar Chitn is: Good afternoon. My first question is, how much are you planning to spend R&D over the next three years? And can you give guidance for a top line for FY 25 ?

Nikhil Sawhney: So firstly, sorry, we don't provide guidance. But I think you can hear our previous conference calls and ultimately, our order booking translates into revenue. So, you'd be able to get a fair idea as to how we execute in the coming quarters. As far as R&D goes, you're very right, it is a ke en focus for the Company both in terms of personnel and people who are required for the multiple disciplines that we require for our steam turbine, but we also required for our product diversification.

So, we have both in -house requirements, requirement s at academic institutions , requirements with certain consultants who are aiding us in this endeavour . At the same time, we also have expenditure that will happen on infrastructure such as what our test beds and other infrastructure will cost us to set up and the sensors, et c., and the data minin g and the data gathering endeavours costs that will come . So, some of those will be one -time costs because we don't need to spend them continuously. Some of the other variable costs will be spent year -on-year. We typically, as far as what is reported on ou r balance sheets, have spent anywhere between 1.2 -1.3 odd percent of turnover in R&D.

But that really doesn't capture the full number because most of our R&D projects are end up getting sold. So, when we end up selling these projects, we get recognised as revenue don't really form a part of what would be R&D. So, having said that, our R&D spend is still quite high. We have a very large department and continuously developing new er Intellectual Property (IP) . So, without giving you a specific number, our expenditure is signific antly higher than that 1.3%, which is reported on our annual report.

Omkar Chitnis: Your global competitors have adopted USC technologies and modular and digital technologies in their turbines. Do you have any plans on that?

Nikhil Sawhney : I couldn't understand that question. Can you speak a little slower please?

Omkar Chitnis: Yes. Even some of your competitors globally have adopted the Ultra Super Critical technologies and modular and digital technologies for their turbines. Do you have any plans on that?

Nikhil Sawhney: So Ultra Super Critical turbines are well, we have critical technology. The point is it's not economic to make it at a small size. So, I don't know which competitor of ours is making in this industrial range. I don't think that's correct information. As far as digital and modular, all our products are digital and modular and ha

ve digital and modular offerings.

Omkar Chitnis: Okay. Got it. Can you explain about the asset -light model you have mentioned in your strength in presentation. What do you mean the asset -light model?

Nikhil Sawhney: You know your line is not clear. Can you pick up the phone?

Omkar Chitnis: Yes, sir. In your prese ntation, you have mentioned your strength as an asset -light model. Can you provide some updates on that?

Nikhil Sawhney: When you see the asset -light model, you see our balance sheet, you see our assets employed and you see our returns. The numbers are quite apparent. In fact, actually, if you take cash off the book, you'll see in this current quarter on an annualised basis, our return on capital employed is in excess of 600%. So that is not an asset -light model, I don't know what would be.

Omkar Chitnis: Okay. I thought about in hospitality business, there is asset -light model, sir, in that way I thought it.

Nikhil Sawhney: Asset as we look at it on a balance sheet basis, our metrics of performance and the way that we'd like to be evaluated by our investors is on return on capital on an equity basis. We aim to be a free cash generative company. We aim to deploy those free cash in a way that is productive to the Company and to the long -term growth of the Company .

Omkar Chitnis: Okay. Got it. And my last q uestion is, are you planning for any partnership with any PSU companies in India fo r the upcoming projects?

Nikhil Sawhney: The Company continues to evaluate a variety of different schemes. It has to ultimately form the basis within the strategy that I just said, we aim to be a technology -first customer -centric organisation, which has t o translate into higher return on capital, higher return on equity. The risk that the Company takes are never apparent on commercial terms, etc. We reach out to a variety of different customers with a variety of different applications. Some of those are PS Us, some of those are non -PSUs. Though I have to say that going forward, we will have a much greater diversification in product mix as well as geographic mix coming in. So, I don't know what specifically you're talking about, but even then, I wouldn't be able to talk specifically about an order.

Moderator: Thank you. The next question is from the line of Bimal Sampat , an individual investor. Please go ahead.

Bimal Sampat : Yeah, good afternoon. Two, three questions. One is now America, you are saying this year, we will be losing about ■25 crores. And next year onwards, will we start contributing? I mean will be able to breakeven next year or still one or two more years of dr ag?

Nikhil Sawhney: No, no. We should see from next year, it would start contributing maybe not as meaningful a manner, but we have to wait and see. The fact is the factory has just come out, people are ramping up. We're optimistic on the market. There is a certain degree of transition happening over this quarter and beginning of next quarter. We'll have to see how that plays out into the confidence of customers there.

Bimal Sampat : Yes. But in two years, definitel y, it will start contributing, correct? By 26?

Nikhil Sawhney: Our attempt is to get it to contribute as quickly as possible.

Bimal Sampat : Yeah, that I understand. I mean business is dynamic. We don't know what happened. But our estimate is that by 26, it will sta rt contributing to our bottom line?

Nikhil Sawhney: Yes. Not as meaningful a way that general market does, but we think that it provides us a very good base to then leverage on.

Bimal Sampat : Now this U.S. base, will it help us to the South American market also, will we be able to service from their better? Canada?

Nikhil Sawhney: You already know our strategy better than us.

Bimal Sampat : No, sir. And lastly, now we are sitting on a l ot of cash. So, our buyback also was some time

back. Now as you said, I know you have some products ready, so are you planning to get into more products now? Or still there is more juice left in our API turbines and the current products?

Nikhil Sawhney : There's much, much more juice left in our steam turbine business. That is the business. So before I say that is our business, we have a very good runway for growth in our product line. We just want to create newer product lines so that we are a ble to sustain our growth. And we de -risked from any market cycles that may come about.

Bimal Sampat : Right. So next four, five years, we have a good runway for growth?

Nikhil Sawhney: The thing is that we have had the appropriate produc ts. We have to have the capabilities in place to be able to cater to our customer requirements and make sure that they're satisfied. Now the predictability that we had in terms of visibility for revenue is based on our enquiry book, which will translate to order book and then revenue. So, as we expand our product offerings, our enquiry books will grow and give us more confidence. But as it currently stands, the relevance of our products and market segments which are where a lot of people are spending mone y seems to be quite appropriate. So, we think that there is a certain degree of medium -term growth.

Moderator: Thank you. The next question is from the line of Kushant Arora from Baroda

BNP Asset Management Limited. Please go ahead.

Kushant Arora: Hi Sir. Congratulations on a good set of numbers. My question is on the capacity front. What is the current capacity utilisation? And what ki nd of number can we achieve with peak utilisation levels?

Nikhil Sawhney: I think you brought up a very good point. I didn't get the opportunity to address this a little bit earlier. We are asset -light business mode l, as we've already heard. But having sa id that, given the growth that we are seeing, which is even more than what we had expected when we had expanded our shop a couple of years ago, we would probably go to the Board for a capex approval to expand. But this will be, again, as you know, how mu ch we spent in our last capex growth. This will be something that will be spent over FY 26 - FY 27. But it is something that will be well within , I would say, the resources of the Company .

Kushant Arora: All right. Any ballpark number on the capex front?

Lalit Agarwal: We'll come back, but it will be annualised. It would be somewhere in the region of about ■70 crores, ■80 crores, I would imagine.

Kushant Arora: All right. Understood. And is the capacity being fungible for refurbishments?

Nikhil Sawhney: You see a majority of our capacity that comes up is in the nature of being able to assure quality to our customers. So, a majority that comes up is an assembly testing, quality assurance. As far as manufacturing capacity goes directly that is fungible between both in -house and third -party that is refurbishment requirements. And those will be taken on the b asis of being able to augment our vendor and subcontractor capabilities, so that we're not either dependent on one vendor exces sively or that we are at risk at any given point in time in terms of break age of machinery, etc . So, I think that we make sure that the machinery has multiple uses, the facility and factory has ample area and the capability to be able to service. So, we do cover both things that you talked about.

Moderator: Thank you. Ladies and gentlemen, we will now take the last question from the line of Sriram R, an individual investor. Please go ahead.

Sriram R: Thank you for the opportunity. Sir, I mean you have just me ntioned that the market for a sub -100 growing at 1% to 3%. But then we are actually growing much faster than that, whereas if you look at FY 13 to 20, our top line actually stagnated. So, what has actually changed post -COVID? I mean is it like other

competitors are focusing on above 100 MW, and we have some kind of white space in the industry. Can you please elaborate on that? That's my first question. Second is what is the mix between replacement to OEM demand for domestic as well as export ma rket?

Nikhil Sawhney: Okay. Unfortunately, the point is that there are many analysts on this call the data that is available in terms of market size is a post -fact data, which we've

always said is something that is susceptible to the fact of data being re ported. There are not many players in this mark et. And so, if people don't report accurately, we can't really comment on that. But now on where is Triveni's performance been and what is pertinent to us as a company.

Until maybe 3-4 years ago, we were not really participating in the above 30 MW category directly. That was not contributing either to our top line and very indirect ly really to our bottom line to our joint venture. At the same time, we did not have any participation in the API market space and our refurbishment as a sector was not meaningf ully contributing to our turnover.

So, what has happened over the last three years is that all of these three segments have started meaningfully contr ibuting to our order booking and they will now start contributing to our revenue going forward. Like, for example, the API orders that we got in the last quarter will be executed next year or the year after, I'd say with the large value MW orders.

So, you see our market share in certain segments is growing from being largely negligent negligible to something more significant. And we believe that we can sustain this till we hit some level of appropriate market share.

Sriram R: Great, sir. And on the second part, I mean the mix between OEM and replacement for domestic and export?

Nikhil Sawhney: Yeah. So, India doesn't have a large capital base. But if you see a majority of our industrial capex has happened over the last 20 years only. So, there's not that much of a replacement capex that happens in the Indian market to such a large extent in terms of OEMs leaving the market. In India, most OEMs are still present as have been. I think the Russians who left the market have a replacement market, which is more in the utilities side. But I think this is more of a value proposition internationally.

Again, the requirement stretches from sector to sector and product to product. But there's no generic answer to what you are seeing. But the generic answ er is that the larger the capital base that exists, which is mostly in developed countries such as the United States or Europe, the greater the refurbishment opportunities, I think that would be there.

Sriram R: Great. Sir, what are the li fe span of these pro ducts?

Nikhil Sawhney: So, we have turbines that have been operating from over 45 years. Now what has happened in the meantime is that technology has changed quite significantly. And so therefore, newer technologies can even validate the replacement of a turbine as young as five to seven years old. So, do you replace the entire footprint of the turbine or do you replace the rotor? These are different commercial proposition that we take to customers, and we see what works for them. But turbine, its health is robust enough to be able to last for multiple decades.

Moderator: Thank you. I would now like to hand the conference over to the management for closing comments. Over to you.

Nikhil Sawhney: Thank you for joining our Q2 and H1 FY 25 earnings conference call, ladies and gentlemen. We hope to continue our performance in the coming quarters and coming years. And I look forward to speaking to you after our Q3 / 9M FY 25 results in the next year. Thank you.

Moderator: Thank you. On behalf of Triveni Turbine Limited, that concludes this conference. Thank you all for joining us. You may now disc

onnect your lines.

Call: Feb 2025

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REF: TTL: SE: 02/0 5 Date: February 7, 2025
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Dear Sir/Ma'am,

Subject: Transcript of Investors/Analysts Conference c all held on February 3, 2025

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on February 3, 2025 for investors/analysts in respect of the standalone and consolidated unaudited financial results of the Company for the 3rd quarter and 9 months ended on December 31 , 2024.
The transcript is also available on the Company's website at www.tr iveniturbines.com .

You are requested to take this information on record.
Thanking you,
Yours' faithfully
For Triveni Turbine Limited

Pulkit Bhasin
Company Secretary
M. No. A27686

Encl: A/a

Triveni Turbine Limited
Q3 & 9M FY 25 Earnings Conference Call Transcript
February 03, 2025

Moderator : Ladies and gentlemen, good day, and welcome to the Triveni Turbine Limited Q3 FY 2 5 Earnings Conference Call.

I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, sir.

Rishab Barar: Good day, everyone, and a warm welcome to all of you participating in the Q 3 and 9M FY 25 earnings conference call of Triveni Turbine Limited. We have with us today on the call Mr. Nikhil Sawhney, Vice Chairman and Managing Director; Mr. S.N. Prasad, Chief Executive Officer; Mr. Sachin Parab, Chief Operating Officer; Mr. Lalit Agarwal, C hief Financial Officer ; and Ms. Surabhi Chandna, Investor Relations and Value Creation .

We will start this call with opening remarks from the management, following which we will have an interactive question -and-answer session. I now request Mr. Nikhil Sawhney to share some perspectives with you with regard to the operations and outlook for the business. Over to you, Mr. Sawhney.

Nikhil Sawhney: Thank you very much, Rishab, and a very good afternoon and good evening , ladies and gentlemen, and welcome to the Q3 and 9M FY 2 5 earnings call for

Triveni Turbine Limited. Again, I'm very pleased to report the highest ever quarterly revenue and EBITDA, along with a record closing order book for Triveni Turbine s. In Q3 FY 2 5, we had a revenue of ■5.03 billion, which is an increase of 17% YoY. Domestic sales increased by 5% to ■2.5 billion, while export sales increased 31% to ■2.5 billion as well.

Export as a percentage of sales increased 49% in this quarter as compared to 44% in the previous year. We also had, as I said, the highest ever quarterly EBITDA of ■1.31 billion, which was up 30% YoY with a margin of 26.1%, which was an increase of 270 basis points YoY. The Profit After Tax (PAT) for the quarter was at ■926 million, an increase of 36% YoY.

We have a healthy quarterly order booking of ■5.26 billion during the third quarter and a record carry forward order book as on 31st of December of ■18.19 billion, which is an increase of 15% YoY. The Board of Directors of the Company have approved a payment of an interim dividend of 200%, which is ■2 per equity share of ■1 each for the financial year ending March 31, 2025, and this represents a 54% increase in the interim dividend.

For the nine-month period, the revenue from operations grew by 23% YoY to ■14.7 billion, a record again for the Company , and domestic sales increased by 20% to ■7.8 billion, while export turnover increased by 25% to ■6.9 billion. In the nine months, the mix of domestic v/s exports stood at 53 :47 as compared to 54

:46 in the previous period. EBITDA as well has increased by 38% and EBITDA margins have increased by 280 basis points to 25.7% for this nine-month period.

The Profit After Tax for the nine-month period has grown to ■2.6 billion for this period.

As far as order booking goes, the Company has achieved order booking in the third quarter of ■5.3 billion, which was largely flat on a YoY basis. While order booking from India has remained subdued in the quarter, and I'm happy to take questions on this during the Q&A, the Company continues to see good international demand, which is reflected in the export order booking , which grew by 9% YoY to ■3.46 billion. The export order booking contributed to 66% of our overall order booking in Q3, and this includes repeat orders as well as new orders from new geographies as well as new applications .

Order book ing continues to reflect good demand in the renewable energy space, particularly from waste -to-energy segment as well as biomass -based energy generation segments. We are hopeful and confident of a rebound in the domestic order booking. Our enquiry book from the domestic order booking as of the nine-month period is higher by 75% as of the previous period in the corresponding period last year, which seems to although very well, we were hopeful that this may ha ve translated to an increased order booking in the domestic market in Q3, but this was obviously not the case. While we cannot directly drive demand for orders of our product, we are confident that of the underlying nature of some of the systems of the industries in which our clients participate that this demand will ultimately come through.

As far as order booking for the nine month period for the Company is concerned, we achieved a n order booking of ■17.3 billion as opposed to an order booking of ■14.4 billion in the same period of FY 24 , which is an increase of 20%, and domestic order booking has seen a decline of 3% to ■6.6 billion, while export order booking has increased by 41% to ■10.7 billion, and now constitute s 62% of the overall order booking in the nine month period.

As far as the segments g o, the Product order booking has increased by 6% YoY in the third quarter, and was up to ■4 billion, and the Product segment turnover was at ■3.3 billion during the quarter, an increase of 14%. In the nine-month period, the Product order booking has increased by 30% to ■12.8 billion, and the Product segment turnover was at ■9.7 billion, which was a 21% increase of the previous year.

The Aftermarket segment, which is a segment which constitutes not only our own s pares and services, but also our refurbishment business, which caters to third party , has registered an order booking of ■1.3 billion in the third quarter, a decline of 17% when compared to the corresponding period to previous year. Though , the Aftermarket turnover was a record ■1.8 billion during the quarter, up 22% YoY.

The order booking in the Aftermarket segment is something that we're very confident of on a YoY basis to continue our growth in this segment to move from what may be slightly lower value -added segments such as over haul to higher value -added and higher margin segments. We are confident that the Aftermarket will represent a strong growth segment for the Company in the quarters and the years ahead.

The outstanding total order booking position and at ■18.2 bill ion as of the 31st of December 2024, which is 15% higher than the previous year, and the domestic outstanding order book stands at ■6.4 billion, which is lower by 22% as compared to the previous year, while export outstanding order book stood at ■11.8 billion which is a 55% increase YoY and contributes 65% to the closing order book.

As far as technology and R&D growth, the Company continues to focus on improving and expanding its research and development efforts. Our efforts in terms of expenditure on this will increase, as I've spoken about in the previous quarters. We will continue to invest not only in the manpower that is

neces sary
to expand our efforts into technology and R&D, but also capital investment, which will be required to adequately test and ensure that we are reaching the pinnacle of what these investments can achieve.

As was reported about a week ago, we are pleased to report that in January 2025, the Company received a notice of award to set up 160 mega -watt-hour long duration energy storage system (LDES) at NTPC's Kudgi Supercritical Thermal Power Plant premises. The greenfield development will be undertaken by Triveni Turbine s for a consideration of approximately ■2.9 billion. The scope of the work involves design, engineering, fabrication, e rection , commission ing and testing for setting up of th is CO_2-based energy storage system.

In this long -duration energy storage, CO_2 gas undergoes a thermodynamic transformation in a closed loop to store energy. This system enables storage and dispatch of variable renewable energy power to stabili se the grid. T his development showcases the collaborative efforts of the Company prioriti sing local innovation and manufacturing to support this initiative. While an engineer ed-to-order sub -critical CO_2 turbine used to power this ESS is indigenously developed and manufactured by Triveni Turbine s, other storage system components will also be largely manufactured and sourced from India.

In response to the growing demand for higher efficiencies and sustainable power generation, the C ompan y also pursuing a ro bust R&D program in allied carbon dioxide based systems, which include both supercritical as well as transcritical products , but also continuing to invest in our steam cycle for not only enhancing the efficiencies of our blade pa ths, but also enabling a reduction in costs so that we can cater to a wider variety of applications , while reducing our costs into those markets. This will include not only modularisation of our engineering platform s, but also a variety of efforts on our supply chain base, including vendors and subcontractors.

We are deeply committed to integrating digital technologies as well and hope to come out with discrete and concrete digital services as revenue streams in the near future. Our people strategy is a centr e of the Company , as you would have seen from our low asset base. And recogni sing th is, our teams and skills are pivotal in driving innovation and sustaining growth. We invest in continuous training and capacity building initiatives that empower our workforce to expand our collective capabilities, ensuring that we are well equipped to naviga te the rapidly changing market landscape.

Furthermore, we have maintained a competitive edge through global collaborations with leading experts, renowned universities and design houses, leveraging these partnerships to amplify our research efforts and fuel sustainable long -term growth for all stakeholders. The Company 's people strategy is a cornerstone of its success and meticulously aligned with its overarching busine ss strategy. This is a driving force behind the ability to innovate and adapt as well as deliver exceptional value to our customers and stakeholders.

As for the outlook of the business goes, we expect to maintain a robust business performance in the mediu m term, not only for this year , but for the coming years. Our enquiry book and order book gives us very good visibility for the coming couple of years, and we are extremely confident that with our new product introductions, which not only expand our order booking scope, we have greater visibility to weather the cyclicality of not only geographic order placements,

which is between the domestic and international markets, but specifically on alternate applications, which would vary from industrial process cogeneration and industrial capacity expansion to renewable energy power generations on the steam cycle as well as those now from the

carbon dioxide side as well.

The Aftermarket business also shows a very promising growth aspect, and we are extremely bullish on this market segment for both our own products in terms of providing upgrades and providing greater value to our customers, but more so from third -party applications that we would have both in international as well as domest ic markets. The Company operates in the industrial heat and power market, which is a market segment for efficiency purposes, is necessarily driven by a decentrali sed generation platform.

The Company is adequately and very well placed to be able to deliver these solutions to our clients regardless of what may happen in the decarboni sation efforts. We are agnostic to the fuel that may be used to generate heat, but we are adequately and supremely placed to be able to capture that heat and use it to the best extent possible for our clients. And we believe that this is the focus of the Company going forward to be able to de -risk the Company from macro trends in decarboni sation , but to actually use that to an advantage, to propel further innovation in new products and services to be able to cater to our customers' requirements , while keeping in mind macro trends.

So with that, I would like to open the floor to question -and-answers. Over to you, moderator.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Ravi Swaminathan from Avendus Spark . Please go ahead.

Ravi Swaminathan: Hi, thanks for taking my question and c ongrats on a good set of numbers. My first question is with respect to the CO2 -based energy storage system. What is the size of the addressable market in the country? What is the Total Addressable Market (TAM) that Triveni Turbine s would be looking at over the next 2-3 years? And how are these projects different from the core business that we entered into? And what kind of profitability should we think about these orders?

Nikhil Sawhney: Ravi, this is a new product and I was talking about our current project and our scope of the project here , which is to provide 160 -MW hours of battery storage capacity to NTPC. The fluid, which will be used for the battery storage will be carbon dioxide, and we would be working on this project through our collaboration partner, which is Energy Dome, this is for a long duration perspec tive.

To give you an idea of TAM, I think that is a calculation that you may wish to calculate and reverse yourself. Our scope here is to provide a solution for battery storage, where not only is the subcritical carbon dioxide turbine, a critical componen t but so would other off -the-shelf components such as compressor and heat exchange rs be part of the scope. The civil work as part of the entire scope is not going to be more than 10% or 12% of the entire project.

So it does very squarely fit in the electr omechanical balance of plant -cum-rotating throughput space, which is what we already provide. We will have to go through this project to actually sense our capabilities to be able to execute projects like this. As you know, this fits very squarely wi thin the scope of the Company to be able to deliver solutions to clients, not only is the team adequately prepared but so is our subcontractor and vendor base prepared.

We will, of course be working very closely with NTPC on this to see that this is a successful project so that this can be scaled. Having said that, in terms of our projection that we've been talking about with you as investors and analysts, this really has not been taken as part of projections. So what we believe is that this provides another an alternate revenue stream, which we will provide greater visibility on in the quarters to come. But we think that this can provide a very stable and growing, very rapidly growing market for Triveni Turbines to

be able
to utilise not only its manufacturing, but also its entire supply chain base.

Ravi Swaminathan: Thanks. And by how much time will this be project executed? And in this particular project, what is the time period of execution and the profitability also given the fact that som e of them would be outsourced component and there will be civil orders which are there.

Nikhil Sawhney: No, you're right. The fact is that this is not an immensely profitable order as this has been taken in the short term. We hope to be able to value engineer as we do go about executing this project. But we're confident that in the overall sense of the Company continuing to perform with newer product segments such as this project, it will not be dilutive to the Company 's earnings as we forecasted. Because much like in this current year, we've taken a hit in terms of incubating our U.S. operations which is still perfectly absorbed , as you've seen our margins have expanded despite the fact that we're taking incubation costs, these will all get normalised over time.

What we can assume over a period of time is that we would earn normal domestic margins on this product going forward. U ltimately, the point is how much cost can we rationalise out of the system. Again, it's a little premature for us to talk about it right now. I think that this order has come in within Q4. Let us wait for the end of this quarter, we'll have more to disclos e at that point in time. But what I would like to say is that this provides another avenue for us to expand and grow our solutions and products.

Ravi Swaminathan: Got it. And my second question, domestic order inflow kind of was on the soft er side thi s quarter and commentary from not only , I mean, from other capital goods companies also have been relatively on the softer side in terms of order inflow over the past 1-2 quarters. Are you seeing any kind of weakness in the domestic market? If so, what sectors are you seeing weakness? Which sectors are still doing fine, if you can give you a commentary on that? That will be helpful.

Nikhil Sawhney: Thank you, Ravi. I'm go ing to ask S.N. Prasad, our CEO, to give you a little idea as to what he's seeing on the enquiry side as well as specifically on the order booking , I mean enquiry generation that is happening in the domestic market. Prasad, can you just give some idea?

S. N. Prasad: So the enquiry generation wise, Q3 is a quite interesting quarter for us. We have seen a good traction in enquiry pipeline. In Q3 alone in the domestic side, we saw around 59% YoY growth on the enquiry pipeline, whereas YTD growth is something like around 75%. So enquiry pipeline -wise, compared to muted Q1, Q2, Q3 is a very, very interesting quarter.

When it comes to order booking , Q1, Q2, was a lull period. Even in Q3, we started seeing some sort of finalisation momentum , but we are optimistic in Q4 as on today, things are looking more progressive. Coming to the sector wise, what we are seeing is in Q3 , Process Cogeneration there's a good traction in terms of enquiry pipeline as well as order finalisation.

Enquiry pipeline -wise, we started seeing Steel segment is picking up on the enquiry pipeline. Cement also, we started seeing enquiry pipeline picking up , also Oil & Gas. In orders wise, we are seeing some distillery orders getting

finalised . Otherwise, it is a mixed bag for domestic. Enquiry pipeline is strong, order booking hopeful, Q4 and coming quarters will go back to the normal momentum.

Ravi Swaminathan: Thanks a lot, sir. Yeah, that's my questions.

Moderator: Thank you very much. We have the next question from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, thank you for taking my questions. And congratulations for the good numbers. My first question is on exports. You highlighted that there were a few geographies where you got incremental or the new revenu e this quarter. That we would like to understand what categories of product and which markets? And second, what is the impact of current geopolitical situations, which are changing the tariff wars on each of your markets, if possible, for you to highlight, is it a negative/positive impact anywhere of this?

Nikhil Sawhney: Firstly, unfortunately, we don't break up our export markets, both in terms of products or applications that we get. But I will say something that our typical customer profile from th e export market is more on the renewable side. This includes conventional renewable as well as new renewable applications, which could be anywhere from geothermal to small modular reactors coming down to biomass and other waste applications. In terms o f geopolitics, in fact, as you know, we have installation in the United States.

And what we found is that some customers ask you for greater degree of localisation. But we have the capacity to be able to localise. And so very frankly, the way that we see it from a geopolitical perspective in terms of customer asking for local sourcing, we are perfectly capable to do that. As far as the supply chain base goes, we have a largely indigenous supply chain base. We're quite agnostic to any tariffs that may b e put with neighbouring countries, etc. So, at this point in time, we feel that we're quite agnostic to the disruption and volatility that may happen both on the climate change side because very frankly, we're seeing very good demand coming from Process Cogeneration and the Oil & Gas market as well.

At the same time, we do have new product introductions, which do cater to future demand for energy and future energy. So at this point, we are reasonably diversified not only geographically but also product -wise and application wise to be able to, what I would say, sustain a level of growth that we've shown in the last several years, and that is our aim. Our aim is to be able to diversify enough to be able to sustain the g rowth because there is going to be a time of volatility in individual markets and individual market segments and applications.

Amit Anwani: Sure. So which with the new markets, export markets this quarter, you highlighted in your opening remarks?

Nikhil Sawhney: So like I said, we don't talk about specific markets.

Amit Anwani: Next on the U.S., possible for you to highlight what is now the total investment or expense there? And in the first leg which kind of client is possible for you to name or w hich kind of capacity?

Nikhil Sawhney: You're asking for very micro details. So unfortunately, I'm not going to be able to answer that. You can take it offline with our Investor Relations to the extent that we are able to share. But the U.S. is a key market for us. And it's good that you bring this up. This is a market that is an investment market for us at this time being. Like I said in the previous call that we would be incurring a loss in this market in excess of about ■20 crore (■200 million) , which is fully factored into not only the nine -month results, but will be into the full -year results. But having said that, the full -year results will show tremendous growth over FY 24 , both on top line, bottom line margins.

And we're quit e confident to be able to sustain that into the coming quarters. The business of course, reflects the order booking that the Company has. The Company has had greater order booking in the Aftermarket as well as export segments, which is better from a margin perspective. And when we look at the U.S. operations coming into FY 26 , we're very optimistic based on not only the enquiry generation the ord er flow that we've had within Q4 of this current year and the traction that we'll have towards the latter half of the quarter. And the applications would be wide. It varies from not only Oil &am;

p; Gas but to Process
Cogeneration, as I said, as well as into new markets, into new renewable energy market applications.

Amit Anwani: Lastly, on API turbine, any sense you would like to give on the enquiry pipeline in domestic and export markets and revenue contribution?

Nikhil Sawhney: No. I thin k you're asking very micro questions, which we typically do not give answers to.

Amit Anwani: No worries. Thank you so much. Thanks.

Moderator: Thank you. The next question is from the line of Harshit Patel from Equirius Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity. Firstly, on the CO2 -based system, the order that we have received, as you have mentioned, we will do the engineer -to-order turbine, heat exchange rs as well as the CO2 co mpressor even the civil work will be our domain . Then what exactly will be done by our technology partner? So if you can just bifurcate the scope between them and us, that will be very helpful.

Nikhil Sawhney: Unfortunately, when we are ready to disclose those factors, we'll do that towards the end of the quarter. But having said that, this is a collaboration to ultimately come out with a system which provides an alternate to lithium ion as not only short -durati on but long duration energy storage. The partnership and the scope of work and split of that is something that's commensurate with the value that is being brought into a project. The details of the split exactly is something that is difficult for us to dis close at this point in time directly because we have not informed it to the exchange s.

And once we're able to do that, we'll be able to speak to all of you about it. But I would expect for you to get more information in our Q4 call and maybe prior to that. Having said that, the ambition here, as I've said is to diversify our product range to have a new product to apply. Again, the ambition is to have a cost level which reaches parity with what lithium ion is currently providing so that it will provide valu e to our customers at the end of the day. The indigenous supply chain base is something that we are quite keen on being able to develop. And ultimately, and lastly, is that this is something that we want to be able to make a mainstay as an offering of the Company in the coming years.

Harshit Patel: Understood. Sure. Just a small follow -up to that. This ■290 crore (■2.9 billion) , that is entirely our share from our order booking perspective?

Nikhil Sawhney: Yes, yes.

Harshit Patel: My second question is on the Aftermarket

Nikhil Sawhney: So, ■290 crore (■2.9 billion) is the value of the entire contract, which is for 160 -MW hour CO2 -based long -duration energy storage project, which includes end -to-end responsibility for not only order placement, but synchronisation to the customer's requirement.

Harshit Patel: Understood. But this ■290 crore (■2.9 billion) entirely flows t o our order book. Would that be right understanding?

Nikhil Sawhney: Yes.

Harshit Patel: My second question is on the Aftermarket and you have highlighted quite a lot of efforts that you have made in the past few years, including the expansion into South Africa, into North America, expanding our offerings towards refurbishment and other large -scale turbines as well. And despite all these efforts, the overall orders have not increased much in the first nine months of FY 25. So could you highlight some end-user industry pockets, geographies or product categories where there has been a slowness?

Nikhil Sawhney: Firstly, when you talk about the South African market, the largest order that we had from there as it was from the SADC region where we were providing service offerings to utility customers. And what you would have noticed and I think that the Co mpany can take some credit for this, is that in the entire region, the quantum of bro

wnouts and blackouts that they've had have considerably reduced, which obviously lowers the quantum of orders for us , but the testimony is that the value that we are providing our customer. While the quantum of orders may have come down, the value addition within the orders has gone up, which means that now we're providing further value addition to our customers in terms of being able to do more parts business with them.

But I'll ask Mr. Sachin Parab to speak a little bit about the order booking situation in both these markets, Sachin?

Sachin Parab: Good evening. In South Africa, as our Vice Chairman mentioned, our performance in the outages and running maintenance contract with the large power utility has been really appreciated by the local economy. The outages have significantly reduced and we have more than 200 days of no outage, and we are happy to take credit for that.

Although the quan tum of order book has gone down in FY 25, but the mix of business that we are doing is much more value added, and we are getting better margins from that market . That is as far as South Africa is concerned. In the United States , our enquiry book is growing, and we are seeing that there is better awareness for our offerings in the U.S. market, and we are getting more enquiries. Although the revenues have not yet started flowing in to the extent, we would like them to, but definitely the enquiry pipeline gives us the confidence of good order booking in the coming quarters. Thank you.

Harshit Patel: Understood. Thank you very much for taking my questions and all the very best.

Nikhil Sawhney: Thank you.

Moderator: Thank you. T he next question is from the line of Mahesh Bendre from LIC Mutual Fund. Please go ahead.

Mahesh Bendre: Hi, m y questions have been answered. Thank you so much .

Nikhil Sawhney: Thank you.

Moderator: Thank you. We have the next question from the line of Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: Thank you. Hi, Nikhil, congratulations on great results. I have two quick questions and maybe Sachin and Prasad can chip in and help. If I compare your entry and expansion in the SADC region where in less than five years, that became more than 10% of our total business. How is the experience and market dynamics different in the North American market, considering that a much bigger installed base and a huge consolidation -oriented aftersales mar ket? So if somebody can help us compare the two markets for us. That's first question.

Nikhil Sawhney: It's a very good question , because it's a learning for the Company in terms of being able to operate industrial activity and infrastructure in different geographies. As you rightly put it, the South African market is even less than the requirement of one state in the U.S. It's a much, much, much smaller market. Also the problems that exist in terms of the capital stock in South African in the SADC region is significantly less in terms of potential that exists, and even capital. So when we set up capacity in both in South Africa as well as in the U.S. now, we look at i t in three forms. One is for it to be able to drive serviceability of our current turbines in the region to generate further value addition in terms of spares and service. Secondly, and this is a more immediate result is to be able to generate a refurbishm ent requirement from capital assets that actually exist and sit out there in the market. And thirdly, to be closer to customers, which allow for greater confidence to be able to place orders for us on the Product segment.

Now this is actually , all three have been validated well in our expansion to the SADC market. And our current reading of the U.S. market is similar, except the real difference in the U.S. market and South African market is a degree of bureaucracy in terms of permits and the wa y that business is conducted in the tw

o geographies. The U.S. is similar to, and possibly even maybe a little bit more bureaucratic than Europe is in terms of permits. But I believe that we are well on our way to be able to secure all of those that are req uired, not only in terms of credentials and capacities are required to be able to quote to customers and to be able to visit a customer and provide them with the services necessary. So that's one.

Number two is, actually, the U.S. has turned out to be qui te a dynamic market for new product offerings. Again, like I ended my opening observations, which was to say that we provide industrial heat and power and renewable power - based solutions. And what we're finding in the U.S. is that being extremely entrepreneurial and innovative in the applications of new industrial heat and power. And we've had some extremely breakthrough orders in Q4 for applications which are very novel. And I think we'll be able to disclose that during the course of our next conference call, but the market is much more dynamic.

The learnings are that, of course, we need to put capabilities in place in the U.S. , because customers are much more demanding. It is a more competitive market in terms of third -party offer us as well as Original Equipment Manufacturers (OEMs), while the South African market isn't. So it's a little bit slower in terms of being able to gain market share while what we were able to do in th e South African market. But maybe, Sachin, you could provide a little bit more clarity, and then Prasad, you could also add on to what I've said.

Sachin Parab: The U.S. market, needless to say, is extremely large as we're just making a beginning, we are learning about this market, but the initial signs are very, very encouraging. What ever Vice Chairman mentioned in terms of being a little bit bureaucratic is more do the certifications that we have to take for us before we actually start offering our services. So these are some of the reasons why there

is a delay in terms of building up the order book. But this is definitely a capability building for us. And as we gear up for the future, I think we are well placed to take, even if it's a small pie of the large market, it would be significantly bigger than the business that we are doing in the U.S.

Besides having our own workshop facility gives the confidence to our customers for new products that these are players are there for the long term, well entrenched, getting well entrenched to the market, and there to support them 24 hours. That's the philosophy of service and our key differentiator s that we have been offering in the Indian market that we are taking also during participation .

Amit Mahawar: Thank you Sachin. A nd second and last question, Nikhil, if I see the run rate and the state we talk about numbers, the 9M this year run rate product is a sorted thing. We have a large contract we report in Q4, which we already announced of our NTPC. Services seems to be a flat number after a very strong momentum in last 2-3 years as we entered global markets. Our market share might still be less than 6 -7% globally on services. And please correct me if I'm wrong. Is FY 26-27 is the year of inflection again for services, particularly on the new market, be it U.S. , North America or SADC? Or d o you think slightly early in my comment, that FY 2 6-27 might not be an inflection year and, again, Prasad and Sachin can chip in and help. Thanks.

Nikhil Sawhney: Yeah. Firstly, actually, the Aftermarket is a very big growth segment for us, including this current year. While we don't break down our contribution in the Aftermarket coming from the SADC order, that because it's come down in value because it was lower margin a s well is impacting overall order booking. But having said that, the Aftermarket segment is a growth segment for us. It will grow faster than our product growth segments. And so,

we're actually very bullish on that market.

Prasad, do you want to provide a little bit of clarity to Amit about how you're viewing Aftermarket to the full segment, including refurbishment .

S.N. Prasad: Yeah. Aftermarket wise, what we are seeing as our Vice Chairman mentioned and Sachin also mentioned. We have seen now t he traction , the enquiry pipeline basically for our re furbishment , the enquiry pipeline has increased to a considerable amount . For new geographies also, new service offerings, what we are proposing to the customers and what we are seeing is, Aftermarket today, whatever the market we had, it is a small miniscule percentage of the overall market. But Aftermarket country -wise, region -wise has its own challenges. As Sachin mentioned that as we are bu ilding the capabilities to going forward, the pipeline is strong . We'll be able to do much, much better than what we are anticipating as on today.

Nikhil Sawhney: But, Amit, you said that we may have a 6% odd market share in our reading of the market in terms of which includes both parts and services, for the entire steam market, forget about the fact that in our refurbishment we cater to other rotating equipments as we ll would definitely not be 5% or 6%. In my opinion, it would be anywhere between 0.5% to 1%.

Amit Mahawar: Okay. That's very helpful, Nikhil. Can I just add one question, a bookkeeping one, if you allow?

Nikhil Sawhney: Yes, please .

Amit Mahawar: What is the plan for hiring for service network people in 2025 and 2026, especially outside India? Thank you.

Nikhil Sawhney: Yeah. You bring up a good question . So our entire workforce now has grown by, I would say about 100% over the course of the last 3-4 years. And we continue to be a growth company. We want to be the preferred employer for technical staff coming out of top -rung engineering schools for our R&D and engineering applications, but equally so from the service side that we need people to be able to be flexible to have the right attitude.

In servicing, it's a question of having the right attitude to be customer oriented, to be able to work with the customer, not only on our product but to be able to solve his problem. And so we are always in the lookout for the most able and capable service engineers and our demand for service engineers is unlimited.

Amit Mahawar: Okay. But will we add lik e is there a number you can throw to us?

Nikhil Sawhney: Like I said, the demand is unlimited. So the fact is the issue is really finding capable and competent service engineers who can cater to our requirements , and obviously, within the price points tha t work for us. Actually, the number of service engineers that we may wish to employ over the next several years will be in the 100s.

Amit Mahawar: Okay. Sure. Thank you, Nikhil, and good luck to the team.

Nikhil Sawhney: Thank you.

Moderator: Thank you. We have t he next question from the line of Prolin B. Nandu from Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu: Yeah, hi, Nikhil. Thank you for taking my question. Two questions from my side, right. One is on this overall transition towards sustainable energy, right, given whatever we hear on macro and some of the energy prices also easing out in one of your key ma rkets of Europe, right? Are you seeing any reduction in focus for some of the alternate channels to generate energy like waste -to-heat, waste -to-energy, biomass? Is that what you are sensing? And is that something which is impacting your order book or enquiry?

Nikhil Sawhney: Actually no. Because in the segment of steam and steam -based renewable, largely, when you look at renewables team -based power projects, the constraint is the availability of the waste. It could be waste heat, it could be waste biomass, it could be waste mun icipal waste variety. And so as long as that waste e

xists
and can be accumulated, it actually always makes economic sense to do so , regardless of the orientation and exposure towards decarboni sation. And I'll give you an example of this.

For example, in m unicipal waste exists, it has other externalities in terms of for a municipality to be do not process that waste. And similarly, on waste heat , if you have waste heat with the current cost of capital being high and energy prices being high, it makes econom ic sense for people to utili se that waste heat to generate power. So as long as the waste exists and can be accumulated, it actually makes sense for you to go about doing it. And so we're not really seeing a decline in it. We're not seeing a huge spurt in it either.

What we have seen is , and what we've maintained over the course of the last couple of years is the growth in the API market, which is now forming quite a mainstay of our order booking. We believe that Oil & Gas investments, both on efficiency as well as capacity expansions are here to stay. But this has been a long journey for the Company to be able to provide solutions here, but it doesn't take away our focus from being able to provide renewable energy -based solutions either. So we're a solution -based company which provides industrial heat and power and renewable energy offerings.

So, in general, the markets are a little choppy in terms of where the demand is coming from geographically, but also in terms of applications, but we think normali sed over the course of the year in the next couple of years, renewable energy will continue to ma intain a strong majority of our order booking because of the fact that economics rather than subsidies.

Prolin Nandu: Sure. That's very encouraging to hear. The second and the last question would be, again, if I look at 3-4 years, right, we have made significant progress in new products or new solutions that we offer, right? It may be 30 to 100 -MW category or API. Now we are talking about also CO2. So, let's say, if we think about next couple of years, which is FY 26 and FY 27, would these be years to ramp up some of the white space, which we have built or you see enough opportunity to enter some of the white spaces beyond something which you have already announced, right, or you have already ventured into? How should one th ink about the next 2 years from this opportunity perspective?

Nikhil Sawhney: Some of these are mature markets and some are not mature markets. For example, 30 to 100 MWs is a mature market, CO2 turbines is not a mature market. And so there's different approaches to those because there is no consistent demand in certain segments, unless you're able to prove your value proposition. We are a little bit more cautious to be able to prove our value proposition before customers , before we can actually say that it is a distinct market segment in which we wish to spend a lot of time and money on. We're confident on the engineering and the economics what it points to. But ultimately, as you would know, in the industrial space, branding only happens when you're able to show successful installations. So that is the way that we look at it.

Now as far as the different market segments for Triveni Turbine s go, we believe that the next several years will be quite volatile. And given that, we believe that the diversification that we have, not only in terms of small turbines, Process Cogeneration turbines as well as renewable energy -based turbines , larger 30 -MW plus turbines, API -based turbines and growth from our Aftermarket will only aid the diversification that we have in our CO2. So even if we leave the CO2 out for the time being, we see enough growth within our diversification of our historic markets to be able to sustain the growth.

As an industrial company, what we are most cautious of is to be able to have trouble -free installations for our customers

. And the growth has to be moderated
to the extent that you're able to execute a nd execute successfully. And we believe that the growth rate that we've exhibited in the last several years is the type of ambition that we should maintain going forward with our current product profile because that is something that we're confident that w e'd be able to achieve customer satisfaction on. And that is what's most important is to be able to sustain the growth rather than for us to have any failures.

Prolin Nandu: Great . Thank you so much for answering that question and all the very best.

Nikhil Sawhney: Thank you.

Moderator: Thank you. The next question is from the line of Bimal Sampat , an Individual Investor. Please go ahead.

Bimal Sampat : Yeah, good evening management team. 2 questions. One is now with the U.S., we have some six months, one year experience. And also, this new segment of CO2 coming up. I mean capex earlier, we used to have very less about ■30 crore , ■40 crore per year. Now will our capex go up? What is this?

Nikhil Sawhney: Yes. Yes. Actually, that's a very good question. In fact, given the expansion that we've had in our order booking, what we forecast in terms of the capacity that we have in terms of assembly and manufacturing in Bangalore, will need to be augmented. I'll ask Sachin Parab to speak a little bit about what that would mean in terms of an additional bay. But you already have an idea of the costing of what we've done in terms of previous expansion. But we will be in vesting, as I said further on more R&D infrastructure. There are 2 components to R&D expenditure. One is operating expenditure for people and software and other continuing expenditures. But the other is capital investment that is required for testing infrastructure, which we believe does not exist in any meaningful manner in India. And we think that for us to go forward, we need to indigenise these capa bilities. And so not only would we have capex in terms of capacity expansion, but also for this R&D expenditure over and above what we've already spent for the U.S. operations. And I believe that we provide more clarity, but it would be more than our historic ■30 - ■40 crore of capex , but it is well within a range of somewhere in the region of, I would say, ■120 - ■150 crore over the next couple of years.

Sachin Parab: Just to add to our Vice Chairman's point, we are expanding our modern facilities with an additional bay, we should be setting up test beds for R&D and for testing of our new product range. Besides, we are increasing our expenditure on R&D both in terms of manpower and the softwar e and of course, the physical infrastructure also to cater to the increased volume of our business. Thank you.

Bimal Sampat : We had 4 bays which were operational in Sompura, and we had placed for another I think 2-3 bays. So are we going to activate those new 2-3 bays?

Nikhil Sawhney: One more bay will come up now.

Bimal Sampat : Okay. And we are looking to add land because for future expansion?

Nikhil Sawhney: No, no, no. We don't need land. We had some expenditure to change our current land in Sompura to freehold. That's already been part of our capex for the year.

Bimal Sampat : Okay. And last is with this exchange rate depreciation, how are we effective positively or there is something .

Nikhil Sawhney: No, it is positive. There have been some mark -to-market gains already in this quarter. We run a hedging policy, which is pretty much hedged. Given the fact that we have more exports to the present share turnover, which are dollar based, the Company will only benefit going forward because there's been a rapid depreciation of the rupee. But the fact is that those will all come as benefits going forward. We're quite confident of our hedging policy of the way that we sit right now. And on a QoQ basi

s, on a mark -to-market there may be adjustments because we've done a pretty much hedged book. But if you look at it on a year -to-year basis, it will add to income only for the Company and other income.

Bimal Sampat : All right, thank you.

Nikhil Sawhney: Thank you very much.

Moderator: Thank you. The next question is from the line of Chirag Muchhala from Centrum Broking. Please go ahead.

Chirag Muchhala: Yes, thank you for this opportunity. So first question is on domestic market. What would be the domestic market size in MW terms currently? And also, some colour on the competitive intensity. Considering that we have really broad -based our products and offerings in international markets, both for aftermarket and turbines. I mean, are we letting off some less profitable orders in domestic

market? What is your current market share in domestic m arket, if you can expand that a bit?

Nikhil Sawhney: Our current market share in the domestic market would be somewhere around 50%. That's where we've typically maintained it for the nine months period, which would be somewhere there only. Certain market segment, but you're right, because the entire market has come down in terms of required demand. And in fact, we've seen a degrowth in the market for the nine -months period from the previous year. the competitive intensity has gone up. And what happens with that competitive intensity is typically with the largest player in the global market as well, there is a very healthy competition, very intense competition, as you would understand.

We believe that pricing really isn't the best way to compete. Very frankly, when it comes to price competition, we may back off at times because there are other attributes that are value additive to a customer, be it in terms of services or the other peripheral investments that he makes. So, competition based on pri ce is really not what we think is the best competition. The market, like I said has come down. And as Prasad has pointed out and given the fact that we've seen quite a robust enquiry book growth that we think Q4 may be better.

But having said that, the ge neral sentiment, as I'm seeing right now from the budget, etc, it doesn't mean that we're suddenly going to go back to a growth rate, which is going to be rapid. You have to keep in mind that Q4 of last year of FY 24 was a weak quarter. It is a weak quarter, given the fact that elections are just around the corner. So even if there's a rapid growth in Q4 of this year, you really do need to look like a full -year to full -year rather than look at Q4 to Q4. So I just caution you on that before you think t hat there is a rapid growth in the domestic market?

Chirag Muchhala: Correct. So thanks for that. And is it possible to give in MW terms either for 0 to 30 or 0 to 100, whatever you see fit?

Nikhil Sawhney: No, I don't have that with me right now, but I think you could take that offline and get that from our Investor Relations contact.

Chirag Muchhala: Sure . And the second is on this your CO_2 turbine order that we received from

NTPC. So, if I recall correctly, in last quarter also, you had mentioned that you also had a 20 -MW order from Italy, if I'm not wrong. So that is correct?

Nikhil Sawhney: Same configuration. Same configuration.

Chirag Muchhala: So, was that also equally large a three -digit order ?

Nikhil Sawhney: No, that was only for the turbine. And so this includes the turbine plus all peripherals and other value add. We think that there's a lot more to be done when you provide a solution to a client. Now we have to be able to execute this along with ou r partners, and to come up with a coherent value proposition. Again, as you would understand that the real value proposition for long -duration energy storage v/s pump hydro and certain flow batteries as well as lithium ion. And unless we can achi eve a cost

parity for a customer here to be able for him to have confidence, these will be niche products. The point here is to be able to rationalise cost so that it can become a mainstream product and not niche.

Chirag Muchhala: Correct. What would be the CO2 turbine product itself in the entire , I mean, product?

Nikhil Sawhney: I think we don't give that breakup in terms of value , but sufficed to say that it is technically a very meaningful component to the entire scheme.

Chirag Muchhala: Okay. And last question on the topic. I understand that this is globally also still in developmental phase with very, very limited companies having the CO2 turbines. How should we look at it in the sense that a couple of initial orders that we have received since this is in developmental phase, so once over an 18 -month period, we execute it and then the performance is tested. And then should we expect a meaningful orders or decisions to be made in terms of ramp -up of this field .

Nikhil Sawhney: Yes, let's have this conversation next quarter. The reason is a couple of things. One is that we would have greater confidence in the performance of our own turbine, which like you said, we exported to Italy. And that performance will be known as well as the fact that we have greater clarity in terms of where this would go in terms of conversations that we're having with different market participants.

Right now, what I can say is that we were comp elled in a sense of disclosu res to the exchanges because of the meaningful nature as a material transaction. But I would be happier to have had this discussion at the end of Q4, where we will be able to provide greater clarity on the thought behind this market for us. But suffice to say that this provides another avenue for diversification to be able to sustain growth. That is why I think that is the best. Is it going to become a really big game changer? I think it's a little premature for us to be able to say that. But as far as the Company goes in for this business segment to allow us to grow our top line and bottom line, I think even without this, we have a good growth path.

Chirag Muchhala: Sure. No problem. Next quarter we will discuss this more.

Nikhil Sawhney: Thank you.

Moderator: Thank you. Ladies and gentlemen, we will now take the last question which will be from the line of Shreyansh Gattani from SG Securities. Please go ahead.

Shreyansh Gattani: Hi, good evening. I just had a question just following up on the CO2 turbine. Just wanted to know what is the current cost parity v/s lithium -ion, like as we see lithium -ion capacity.

Nikhil Sawhney: Current cost is somewhere in the region about $200,000 a MW hour. Our attempt would be to get this to somewhere in the region of about $120,000 to $125,000 per MW hour.

Shreyansh Gattani: Okay. $200,000 is the ■290 crore order that you have that's executed at that point?

Nikhil Sawhney: Yes.

Shreyans h Gattani: Okay. And so just trying to understand, in terms of lifetime v/s the lithium -ion battery.

Nikhil Sawhney: This is a 30 -35-year product, so operating costs are minimal. The main thing is that it doesn't have degradation over a long duration. But I think technically as well as market wise, we'll be able to give you more clarity later. I think the point is that this complements our entire research into the area of carbon dioxide, which we think is going to be money well spe nt for us in terms of not only being able to develop a subcritical carbon dioxide -based product, but also supercritical and trans critical. Those will also have successes in the coming quarters and years. which will open up newer markets and applications to us.

Triveni Turbine s is quite keen to be able to deliver value, but the technology landscape is changing very rapidly and cost points are changing very rapidly. Unless we can pr

ovide the value to our customers, which happens with new offerings and newer solutions, I don't think that we'd be relevant as a company. We want to stay up the value chain, be able to provide technological solutions. Even here, I th ink there are two, three aspects to it. One is to be able to provide a solution for long -duration energy storage, which is a separate application by itself from battery storage. And then within that, you have to be able to provide the cost point v/s the comparative that exists. And then you have to look at the supply chain resources to be able to scale it. I think we take a lot of those boxes currently with this offering, and we're quite confident of it becoming meaningful in the medium term. I think that like I said, let us work on it a little bit more, and then we get back. But this doesn't take away our focus from the steam side. This steam is a main stay for the Company . We think that there is enormous potential for us to not only capture market share but to expand and grow our offerings. I think that we're straddling both to newer technologies and newer product introductions along with a legacy market, which by itsel f is we're looking to expand markets and expand applications and also our services along with those products.

Shreyansh Gattani: Perfect. That's all from my end. Thank you.

Nikhil Sawhney: Thank you very much.

Moderator: Thank you. I would now like to h and the conference over to Mr. Nikhil Sawhney for closing comments. Over to you.

Nikhil Sawhney: Thank you very much. Thank you, ladies and gentlemen for joining our 9 -month Q3 FY '25 conference call. I look forward to speaking to you again in May for our full-year FY '25 results. Again, the Company is very well poised for us to have again, another record quarter and we look forward to joining us then. Thank you.

Call: May 2025

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REF: TTL: SE: 05/0 8 Date: May 16, 2025
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STOCK CODE: 533655 STOCK CODE: TRITURBINE

Dear Sir/Ma'am,

Subject: Transcript of Investors/Analysts Conference c all held on May 12, 2025

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on May 12, 2025 for investors/analysts in respect of the standalone and consolidated audited financial results of the Company for the 4th quarter and Financial Year ended on March 31, 2025.
The transcript is also available on the Company's website at www.tr iveniturbines.com .

You are requested to take this information on record.
Thanking you,
Yours' faithfully
For Triveni Turbine Limited

Pulkit Bhasin
Company Secretary
M. No. A27686

Encl: A/a

Triveni Turbine Limited
Q4 & FY 25 Earnings Conference Call Transcript
May 12, 2025

Moderator : Ladies and gentlemen, good day and welcome to Triveni Turbine Limited Q4 and FY 25 Earnings Conference Call.

I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you, Mr. Barar.

Rishab Barar: Good day, everyone, and a warm welcome to all of you participating in the Q4 and FY 25 earnings conference call of Triveni Turbine Limited. We have with us today on the call, Mr. Nikhil Sawhney, Vice Chairman and Managing Director; Mr. S.N. Prasad, Chief Executive Officer; Mr. Sachin Parab, Chief Ope rating Officer; Mr. Lalit Agarwal, Chief Financial Officer; and Ms. Surabhi Chandna, Investor Relations and Value Creation.

We will start this cal l with opening remarks from the management, following which we will have an interactive question -and-answer session. I now request Mr. Nikhil Sawhney to share some perspectives with you with regard to the operations and outlook for the business. Over to you, Mr. Sawhney.

Nikhil Sawhney : Thank you very much, Rishab and a very good afternoon, ladies and gentlemen.

Thank you for joining the Q4 and FY 25 earnings call for Triveni Turbine Limited. At the outset, I'd like to welcome you to what has been a nother record quarter, the 17th quarter of growth for the Company . And this has been the highest ever annual Revenue, EBITDA, PAT and Order Booking along with a record Closing Order Book for the Company in FY 25. We had t he highest ever revenue of ■20.06 billion, an increase of 21%. We had the highest ever EBITDA of ■5.18 billion, up 36% year -on-year with a margin of 25.8%, which is an increase of 280 basis points (bps) year-over-year (y-o-y).

We also had the highest ever Profit Before Tax (PBT) at ■4.89 billion, up 37% year-over-year with a margin of 24.3%, which is an increase of 270 bps y-o-y, as well as the highest ever Profit After Tax (PAT) at ■3.59 billion, an increase of 33% y-o-y.

All of this w as done, of course, based on the order booking that we had, not only during the year, but in FY 24. And so again, we are very proud that we have had the highest ever annual order booking of ■23.63 billion during FY 25, an increase of 26% y-o-y. And has this left us with a record outstanding carry -forward order book as of the 31st of March 2025 of ■19.09 billion, an increase of 23% y-o-y. Investments, including cash stand at ■9.87 billion, an increase of 12% from March

31, 2024. I will give you a little bit more of an indication as to where our cash stands given the balance sheet and the execution that we had during the month of March.

The Board has also recommended payment of final dividend of 200%, which is ■2 per equity share for the financial year FY 24-25, which is subject to the approval of our shareholders. But this is in addition to the interim dividend of 200%, which is also ■2 per equity share of ■1 each.

Order booking for this current y ear has grown very well, as I've already said by 26%. The product order booking has grown by an impressive 38% to ■17.41 billion in FY 25. The key drivers for growth in product order booking were the finalisation of orders in the renewabl e energy sector, industrial clients for industrial power generation and power producers and API turbines. Domestically, order booking was supported by the Company 's strategic foray into the carbon -dioxide (CO_2) energy storage solution s, whi ch I will give more indication about as we proceed.

In the API segment, the enquiry base has expanded geographically, resulting in order finali sations for both drive and power turbines across the Middle East, Southeast Asia, Central & South America a nd Europe. As a result, the Company has achieved its highest ever annual product order booking for the fourth consecutive year representing a key milestone in its pursuit of sustainable innovative solutions. This also gives an impr ession of how the Company is able to introduce new products and solutions to be able to withstand the volatility that exists in end fixed capital formation markets.

The Company continues to see good international demand, which is r eflected in the export order booking, which has grown by 23% y-o-y to ■12.59 billion during the year. This includes orders secured across broad power ranges from key regions, including the Middle East, Europe, North America, Southeast Asia an d Africa.

The total consolidated outstanding order book stood at a record ■19.1 billion, which was higher by 23% compared to the previous year. The domestic outstanding order book stood at ■8.2 billion, which grew by 9% as compared to the previous year , and the export outstanding order book stood at a record ■10.9 billion, which is up 36% y-o-y and contributes to 57% of the closing order book.

The enquiry pipeline for both products and aftermarket segments remains very robust and is gl obally diversified. In FY 25, the international enquiry book has grown by over 30%, while the domestic enquiry book has grown by an even more impressive 120%, providing a strong visibility to the coming year. By diversifying across geographies, produ ct market and aftermarket segments, we also aim to mitigate the risk associated with market volatility.

While the enquiry book is extremely robust, the market in India has declined as we calculated for FY 25 by 10%. While we were anticipa ting Q4 to be more robust in terms of domestic order finali sations, the robust level of enquiries gives us good confidence that sectors will come back into our order book within the coming quarters.

A lot of our growth is also driven by Research & Development (R&D) , which is a key focus area for the Company . We continue to develop new turbines for our historic ranges of smaller turbines as well as for medium and larger range turbines which are required for a variety of di fferent applications, including for API as well as for geothermal and other niche sectors. But at the same time, the higher megawatt (MW) categories also provide us with greater visibility into a broader market that we can cater our pro ducts towards.

We also continue to develop new and innovative solutions, utili sing carbon - dioxide as a means for fluid transmission, which includes an order, which we have received along with our Italian partner Energy Dome , w

ith NTPC , which is a ■290
crore (■2.90 billion) order for 160 -MW hour long -duration energy storage project at NTPC's Kudgi Supercritical Thermal Power Plant.

We are extremely proud of this order as it not only allows a validation of our technology. We will, of course, need t o work with our partner here as well as with the client to ensure a seamless and smooth installation, which will then allow us to validate this in the Indian market so that we could operationali se this as a product segment going forward. The Co mpany , as I spoke about in our previous conference call , will be investing into expansion of certain international subsidiaries and further investments into Research & Development (R&D) and testing infrastructure as well a s adding a new bay in its Sompura facility.

The total capex forecast for this current year, FY 26 is about ■1.65 billion, which includes a carry -forward of about ■0.44 billion from the previous financial year which is FY 25. The capex will not only allow us to augment certain capacity in terms of our assembly as well as manufacturing expertise but will significantly expand our Research & Development (R&D) and testing infrastructure which is required. Apart from the routine capex , which is required for maintenance, there will be a further capex in our international subsidiaries to cater to what we foresee to be growth in those markets.

People continue to remain the cornerstone of our organi sational exc ellence and through a focused approach to internal talent development, external hiring as well as continuous learning diversity as well as industry collaboration. We are building a future -ready workforce aligned with our customer -first mindset and innovati on-driven agenda. In FY 24-25, Triveni Turbine successfully integrated its talent strategy with business priorities, strengthening capability, ensuring leadership continuity and setting a strong foundation for sustainable future growth.

As a global ly trusted energy innovator, Triveni Turbines is well positioned to sustain healthy performance in the near term after delivering a strong performance yet again in FY 25. This outlook is supported by a robust order booking in API as well as the indust rial power generation turbine segments as well as the market expansion in high -potential regions such as the United States. A robust domestic supply chain further enhances competitiveness and ensure s business continuity.

The aftermarket business also sho ws promising growth prospects bolstered by an expanding range of offerings, including spare parts, services and

refurbishments, designed to cater to a broader customer base of rotating equipment encompassing steam turbines, gas turbines, utility turbines a s well as geothermal turbines.

The Company 's expanding presence in the global market, along with the increasing demand for renewable energy, energy efficiency, waste -to-energy and decentrali sed power generation solutions continues to present a significant and substantial growth opportunities for the Company , and we are confident in leveraging these opportunities, both domestically and internationally, which will enable us to maintain the growth and profitability in the coming years.

To give you an idea of some of the ratios that the Company achieved in the current year, the Company achieved an EBITDA to sales of 21.8% (ex-other income) . PAT to sales was at 17.9%. And our Return On Equity (ROE) annuali sed on bo ok equity was 33%. And without investment s & bank balance, ROE was 235%. While the Return On Capital Employed (ROCE) annuali sed was at 45%. And ROCE without investment & bank balance was a very impressive 307%. Asset turnover continued to be maintained at about 5.9 x and a current ratio of about 2.2x. The balance sheet of the Company remains robust.

In the quarter ending Q4 FY 25, we had certa

in back ending of orders, which
happened in the month of March, which you'll see from a balance sheet where we have higher receivables as well as certain other current assets. Both of these are short term in nature and would have already been reversed to a significant extent in the month of April to return to a low receivabl e metric.

The Company has grown very rapidly in the last three years between FY 22 and FY 25, the revenue of the Company has grown to 2.36x with a CAGR of 33%. And in the same period, between FY 22 and FY 25, the PBT has grown to 2.82x with a CAGR of 41%.

Given our growth of order booking of 26% in FY 25 as well as our ending order book, which is 23% higher , we are confident of growth in the coming year. As what happens with order booking, and as well as turnover, some of this growth will be lumpy. But having said that, our order book gives good visibility of growth for the coming year, and our enquiry book gives a good visibility of growth for the coming future.

This, coupled with our inn ovations in new product introductions, the new technology introductions, which will happen in subsequent quarters and subsequent years gives a good visibility of the Company to sustain its remarkable growth in the coming years. Of course, mainta ining these high growth rates will be difficult, but we have full faith in the management who have performed exceedingly well.

And we are happy to take your questions now.

Moderator: Thank you. We will now begin the question -and-answer session. The first question comes from the line of Ravi Swaminathan with Avendus Spark. Please go ahead.

Ravi Swaminathan: Good afternoon. Congrats on a good set of numbers. My first question is with respect to the API turbine market. So essentially, if you can talk about what is the size of the business right now, what is the si ze of the industry? And what kind of scale -up in terms of business can happen over the next two to thr ee years and how and why it can happen?

Nikhil Sawhney: Okay. Before I ask Prasad , our CEO to comment on this, we don't give specific market numbers, Ravi, as you 're aware. But having said that, as we've talked about over the last several quarters, there are very distinct avenues for growth for the business, which is firstly, to maintain its market share in the smaller turbine market, which is below 30 MW at the same time increased market share in the higher megawatt space, which is above 30 MW.

While the traditional growth segment of the business has been energy efficiency and renewable energy -based power generation, which continues to be the mainstay of the business, API as a market segment has increasingly become key growth driver to the business, not o nly in FY 25, but also it showed a little bit in FY 24.

Going forward, we aim to increase our focus on this market segment because not only is it focused on customers who demand exceeding ly high quality, high efficiency, high technology turbin es. But also, it is a market segment that provides a certain degree of reliable and routine investment. This is also reinforced by the fact that we've seen while oil prices may have come down, the long -term investment goes into oil diversification as well as into gas and methanol and other forms of downstream production for the oil integrated majors continues at a robust pace. And so, the enquiry book also reflects that in terms of the growth, both domestically as well as internationally.

If we look at i t from a perspective of what segments will continue to exhibit the most amount of growth. As far as the growth in our order book goes, yes, you're very right, API will be a market segment, which will drive, in our opinion, more than energy efficiency a nd renewable energy. But renewable energy will continue to maintain the largest segment of demand for the Company 's products.

Prasad, would you like to comme

nt on Ravi's question.

S. N. Prasad: Yes. Good afternoon, Ravi. So, in continuation to what VCMD shared , yes, API enquiry pipeline is quite robust, and we are quite bullish. As we communicated in earlier conferences also, so we have been in the approved vendor list of major refineries, the petrochemical complexes across the globe. And even last financial year, some more positive results we were able to gain in terms of getting into the approved vendor list, which has given a strong enquiry pipeline. We are quite bullish, because we are there in the drive turbines as well as int o the power application of the API machines. With that, it's going to be a strong growth driver for us going forward.

Ravi Swaminathan: Understood. My second question with respect to the CO_2 -base d energy storage system. So essentially, FY 25, w e had got a single order from NTPC Kudgi. How replicable are such kind of orders? What is the visibility in terms of scale -up of this business? Can this be replicated in more power plants, both NTPC and non -

NTPC related business? And if you could talk more in terms of the profitability angle also, because how much component value add that we can do in that project and how much will be sourced from other or external parties. So, because of how the profitability is likely to pan out, is it likely be in line with the overall company level profitability if you can talk about that.

Nikhil Sawhney: Yes, to address it firstly on the margin front, this is a new sort of project for us in a sense. It's a little bit more than just the product being sold. But the margin expectations are in line with our domestic margins. Having said that, this is a developmental project, which we are working closely with our international partner along with the client. And we would not be entering into this, if we did n't see the potential for this to scale as a business. The opportunity here is very solution -oriented, to provide a solution for long -duration energy storage based on subcritical cycle of carbon dioxide. As you know, Ravi, we've been also developing trans critical as well as supercritical cycles, so the way as to what is replicable going forward, we'll have to see based on the economics and the reliability to customer.

And so , before I comment as to how scalable this would be from a revenue perspective for Triveni Turbines, we'll have to just wait and see a little bit. We'll have to see certain factors in terms of how the economics work out, how the reliability works out with the customer.

We're obviously very hopeful that this would be a g reat solution for our customers. But more than that because you see the current form of providing either chemical -based battery storage through lithium -ion or kinetic -based flow pump storage hydro as energy storage options. Thermal storage is also extremel y important. And so, the cost parameters already makes sense. We just have to see if the rest of it can also work out. Principally, there's no reason why there should not be an alternative in our basket for energy storage for the country as well as globa lly. But at the current point in time, when we are giving a forecast for our enquiry growth, etc., it does not include this as a market segment.

Having said that, when you look at the ■290 crore (■2.90 billion) order in this Q4 and if you say how much of it was in the historic Turbine segment versus the CO2, you also should keep in mind that we did take out some orders, because of the high order bo oking in this quarter, we've cleaned up our order booking by taking out approximately ■140 crore (■1.40 billion) from our order book of slow moving orders, which we have advances of. And we're confident because we have advances that these will come back i n the medium term. But from the near - term visibility, we've taken it out of our order bookings. So , this, again, gives you an idea about

the quality of our order book in terms of what can be executed.
That, coupled by our book and bill gives us good visibi lity for the year.

In terms of what you said in CO2 value addition, the Company 's scope is again in excess of 50% directly. And so , we have good control on costs. Ultimately, we are also viewing this from a perspective of putting our best foot forward, so it's a little premature for us to be able to tell you how scalable this will be as a business. I would imagine by Q3 -Q4 of this year, we should be able to give you a little bit better idea as to where it stands. But needless to say, this has c ome quicker than we thought it would in terms of a market segment for Triveni Turbine s. And we

are quite optimistic that it will become a distinct market segment for growth in the very near future.

Ravi Swaminathan: Understood. And my third question is wi th respect to the U.S. foray. Given the tariff-related ups and downs, which are being seen from that country, how do you think about the scaling up of our business there? Say, over the next two to three years, is it likely to be la rgely after sales related work there, and then we can think about the product exports, how to think about that?

Nikhil Sawhney: So, Ravi, you have dug up many different questions within that one question of yours. Let me say, as we currently stand , firstly, I don't think you have detailed consolidated balance sheet with you just as yet . But we had in excess of about ■20-■25 crore (■ 200-250 million) loss in that subsidiary. And so , the results that you are seeing are post that loss, which has been an investment into that enterprise. And we believe that that enterprise will show good performance, and this is backed by our belief of what we're seeing from an enquiry generation.

Initially, we've thought that we woul d use the U.S. subsidiary to cater to our growth in the Americas, which is both North and South America. Given the current uncertainties, given the customer preferences, we are actually booking Canadian and other orders directly from India, but the marketi ng efforts are still done from the U.S. subsidiary. So , looking at the U.S. subsidiary performance directly, it will take a little bit of time for it to show properly on the consolidated or the individual P&L of the subsidiary. But suffice to say that we b elieve that going to be a good growth market, both from the aftermarket refurbishment segment as well as new product sales. We see the API market in the United States as well as distinct geothermal and industrial power generation, including energy efficien cy as key growth drivers. The U.S. itself as a $25 trillion economy with the capital base that it has, presents many opportunities.

Prasad, do you want to give a comment on the U.S. subsidiaries and how we see it, and maybe Sachin, you can also comment on the capacity augmentation in the U.S.

S. N. Prasad: Yes. So , U.S., as you mentioned, the pipeline is strong, and people started accepting our brand there. There are recent uncertainties, otherwise, by this time, we would have got a little more su ccess from Canada and directly on our U.S. entity, but those orders got directly on to Triveni Turbines Bangalore, because of those tariff issues . Otherwise, we are quite bullish because the way how the enquiry pipeline for both refurb service s, that is aftermarket as well as product are getting built up, especially from geothermal, pulp and paper, which are the strong segments in that market. And the competition also basically are eyeing for the same sort of segments, but they also have same disadvantages and sort of advantages when it comes to the tariff structure. So that way, we are not really concerned on that. We are quite bullish .

Sachin Parab: Good afternoon. As our Vice Chairman has mentioned, we are going ahead with our expansion plans in the United States

. The capex that we had planned, we are on track. There's a little bit of a deferment just because of timing issues. But we are going ahead. And we are creating the flexibility in our infrastructure there. So , dependi ng upon how the tariff structures take shape, we would have the flexibility

to be able to even make turbines there. So relatively speaking with our competition, we are well poised to tackle the market. The potential is good, tackle the market the way the t ariff structure shapes up and be able to go ahead with our long -term plans. Because of these changes in the macroeconomic situation, yes, there might be a little bit of a delay in terms of expanding at the rate at which we want to. And as we mentioned already , the Canadian orders and some other orders we have started taking on the Indian entity. But for sure, the U.S. market itself for aftermarket and product is very promising for us. Thank you.

Moderator: Than k you. Next question comes from the line of Amit An wani with PL Capital. Please go ahead.

Amit Anwani: Hi, first of all, congratulations for the strong set of numbers. My first question on the international market. So, you have highlighted in your opening remark about expanding in global markets, and we have been seeing a very strong performance from exports. The enqu iry pipeline is also very strong. Just wanted to understand, while expanding in markets, what is our strategy? How are we dealing with the competition there? Or is it the market which is already very conducive for our products there? And what sort of produ cts are highly acceptable for Triveni in the global market? So , wanted to understand more colour on expanding global markets and how we strategise that?

Nikhil Sawhney: Okay. Thank you. Good question. You see what happens in the capital goods space is the best branding that you have from a new order perspective is successful installations of orders by themselves. So, as our installations grow internationally, that allows us to gain better customer acceptability and confidence on our product ranges. This stretches not only in our historic smaller ranges, but also in the higher MW ranges. And we believe especially with the higher MW ranges and with specialised API or other applications as more reference sites are put up for our custome rs, we will gain better traction.

That coupled with our initiative to be closer to customers through both subsidiaries as well as a more focused sales and marketing initiative will also bear fruit in allowing us to capture greater global market share. Thi s is something that we're actually using as a cornerstone of our international expansion strategy. These are not capex related; it's more a question of how can we be more relevant to our customers so that we have a higher chance of conversion of every enquiry into an order for us.

Amit Anwani: Secondly, given the very strong enquiry growth, which we have seen in domestic and international and very strong top line growth this year as well with good margins, can we expect similar to continue for FY 26, given there is a good order book and enquiry as well? I just wanted to have some colour on the growth trajectory since we are expanding still for the FY 26 year?

Nikhil Sawhney: Yeah. But actually, if you look at it, our revenue grew by 21 % y-o-y, and our order booking has grown by 26% y-o-y with our ending order book at 23% higher. So , it gives you an idea as to the growth that is possible for the coming year, and we are quite confident to be able to achieve tha t. What I think you would also find in our balance sheet is that, because a lot of the orders were back ended, actually,

we have a lot of goods in transit, which were not able to be billed directly in March itself, which will come in April.

We're al ready off to a decent start. Q1 will be a little volatile from the Company 's perspec tive. There will be growth in such market segments, but I have to say that when we look at the full -year and our current obligations to fulfil our customers' expectations in delivery, we are confident of the growth in revenue of a good manner in FY 26 as well.

Amit Anwani: Right. Lastly, amid all this geopolitical and tariff wa rs going on, any challenges which you face, I can see like your commentary has been quite commendable and positive.

Nikhil Sawhney: The fact is that, as you can see that the domestic market has sort of declined y-o-y, even though enquiry levels remained robust, so the uncertainty is causing deferment of order placement. Even though these orders do need to be placed based on either other capex or other commitments that have been taken be it financial closure of projects, etc. So I think what you could say right now is that there has been an elonga tion of order finalisation timelines. And that is something that is a concern, but we'll have to wait and see if this is something that is a one quarter thing or something that continues for multiple quarters.

Moderator: Thank you. Next question comes from the line of Mohit Motwani with Tara Capital. Please go ahead.

Mohit Motwani: Thank you for the opportunity. My first question is on one of the charts in the presenta tion, which shows that how the 0 to 100 -MW of the steam turbine market declined from 8.7 GW to 6. 9 GW. And we have grown our revenues by 21%. I understand this is a function of increase in wallet share, market share. Can you give us some idea how much h as realisations improved on a year -on-year basis from FY 24? If not in the Company level at least in an industry level, if you can give some certain sense on the per megawatt (MW) realisation . How has it been ?

Nikhil Sawhney: The fact is we manufactured our customi sed products. So, every order is distinct in pricing as well as cost. The features that a customer may require, it doesn't enable us to give a very generali sed number. But having said that, over a period of time, you've seen base material prices rise as well as the fact of overhead costs and so there has been an increase in costs in the market segment for us as well as our competitors.

But as the market size grows, I mean well, you've seen an expansion in margins. In the distinct market between FY 24 and FY 25, as you pointed out, in terms of decline in market, there's a lot of nuance s in that number. We give that number to give a broader indication of where the market sits. Bu t having said that, if we take out and eliminate markets in which we don't participate directly, which is China and Japan, we think that the market is quite robust. Still our enquiry levels are at record levels, and so we think that that presents a distinc t opportunity for us.

And this is despite the volatility that may have been there for the last 3-4 months anyway. So , we're quite optimistic, but our gain in revenue despite the market

decline is sort of contributed by the fact that we are approac hing newer market segments and growth and achieving a higher market share than we have in the past. And I think that's the way that you have to look at it that we don't capture and cover the entire market. And as we do more of that, the more macro number will be a little bit more meaningful for us.

Mohit Motwani : Sure. That's helpful. And one more question was when you said maintaining such high growth rates could be difficult. Is that even baking in some conservatism on the export side given you have seen s ome moderation in the export orders in the last two quarters? I understand these are lumpy in nature, I just want to get your perspective on export orders because I think this was one of the big opportunities for us and has been rather, if you can elaborat e a bit more on that.

Nikhil Sawhney: I think the fact is that there's some base effect on

some of these numbers as well.
And of course, as you point out, these are lumpy. Exports will continue to remain a mainstay for our growth because not onl y does it allow us to be relevant, it allows us to benchmark our competitiveness. And the fact is, ultimately, it's a much higher margin segment for us. So , we're quite confident that the export

market will continue to be a key driver of growth for us, and it's actually we need the domestic market to revert, that would be a bigger thing for us.

To just clarify your point that I think that you said that we may not be able to maintain the high growth rates, the reason I said high growth rates is because we've had a revenue growth of 33% CAGR over the last three years and profit growth of 41%. Now if you look at those numbers, those are very high numbers to achieve on a higher base. But having said that, we have very high expectations of growth in our business , both on profitability as well as revenue. Given the newer market segments that we're entering into, given the fact that we already have a higher order booking levels as well as enquiry book level.

Moderator: Thank you. Next question comes from the line of Teena Virmani with Motilal Oswal Financial Services Limited. Please go ahead.

Teena Virmani: Hi, congrats for a decent set of numbers. My question is a follow -up question, in line with the previous participant on both domestic as well as on the export order inflows. So, we've had a fairly decent inflow numbers on the domestic side. But if you remove that one large order based on CO2, overall domestic inflows have declined on a year -on-year basis. So , when can we see the base orders for Triveni to start ramping up? Because enquiry pipeline has been fairly strong. But what is stopping this enquiry pipeline to get translated into order inflows? And also, which are the sectors and subsectors wi thin this enquiry pipeline, which would materiali se first and then which would materiali se later? That's my first question.

Nikhil Sawhney: Yeah. So, to put it in perspective, in Q4, we did take out ■140 crore (■1.40 billion) of order s as well. So , if we look at that, actually, there's been a growth in order booking. Now having said that, you're right, it's not to our expectations. We did expect domestic orders to be higher than the current level. T here is deferment of orders. I'll ask Prasad to give you an indication as to where he sees orders coming in, in which market segments from the domestic side as well as internationally . Prasad, do you want to comment on the enquiry level the way we see.

S.N. Prasad: Yes, sir. I will take it . Domestic wise, yes, in Q4, what we expected did not materiali se. Because the last year, overall domestic market is a muted market. We know that the last year, three quarters - two quarters for a general election , then another major segment of distilleries that is in Maharashtra , there were also election in the third quarter. but we expected Q4 will bounce back. But e ven though finali sation is not at the pace as we anticipated, but the enquiry pipeline started building up. Th at way, if you see, especially the inquiries from pro cess co - generation is a strong pipeline got almost , it is double compared to the last year. So, following with steel, cement, followed with oil and gas. So that way, if you see more or less every indu strial segment, enquiry pipeline is quite bullish because last year which ever order did not get finalised, majority of those , we are hoping that will come for finali sation as the enquiry started building up. So , we are quite confident. We are also carefully watching the scenario, the current tensions , hopefully things should improve overall.

Teena Virmani: Sure. So these process cogen , steel, cement, they can be the first one to respond once this macro uncertainty resolves ?

Nikhil Sawhney: Each

order is distinct by itself. So , I don't think you can generali se in terms of segments, what we saw because of the unavailability of steel last year like FY 25, those orders were muted in Q3 -Q4 with some safeguard duties coming back in, those segments will come back. So , there's a little bit of fluidity in individual segments based on their own economics. You will have a consistent demand, which happens from cement based on their capacity expansion for Waste Heat Recovery (WHR) as wel l as for brownfield / greenfield expansion turbines.

In other segments, be it in recycling is a growth market segment there, both in paper as well as plastic recycling is a consistent market segment. So is the food processing sector, which requires a different set of turbines . Market segments like pharma and chemicals are a little more muted, but the distillery market seems to be back with some robust demand.

Teena Virmani: Got it. And my second question is related to aftermarket related opportunities in your target geographies, be it Europe or U.S. And where do you see this share of aftermarket as a percentage of revenue over the next few years. It can be broadly in the same range of around 30 -32%? Or can it move higher?

Nikhil Sawhney: You see we're ha ving very strong product sales growth and it's because of that, that some of the growth in the aftermarket is getting overshadowed. But the aftermarket is growing in a very robust manner. As you can see, the growth in our EBITDA margins is given by the fac t that we have very high -margin aftermarket orders, both from the refurbishment as well as the spares and servicing segments. The refurbishment segment and specifically, our contract in South Africa has moved up the value chain to a higher value -added cont ract in which the revenue would be slightly lower. And so the margins, therefore higher.

So, while it may not contribute more on the revenue side and therefore percentage of aftermarket as a percentage of sales, but these are higher margin s. So now if you blend it all , at the end of the day, we're quite happy with the 33 %-odd aftermarket as a percentage of sales. Yes, we'd expect it to rise by 1% odd

every year consistently so that it's contributing more. Because we believe that the refurbishment segment in specific has a very high growth rate potential.

But we're happy at the level as it's at right now because ultimately, we don't want to sell excessive spares to our customers also because ultimately, we want them to be able to buy mo re products from us in return. And we have a very high repeat customer base. And so, balancing that strategy is also very important.

Teena Virmani: Got it. Sir, lastly, on this aftermarket for U.S. geography, can your capacity expansion or the strategy for growing in U.S. will be oriented more towards aftermarket or it will be more oriented towards product sales given the current tariff like situation?

Nikhil Sawhney: The capacity is fungible, as Sachin has said. So, the fact is we are approaching both market segments equally vigorously and with as much focus.

Moderator: Thank you. Next question comes from the line of Mahesh Bendre with LIC M utual Funds. Please go ahead.

Mahesh Bendre: Hi, Sir. Thank you so much for the opportunity. Most of my questions have been answered. Sir, order inflow last year grew by 26%, so given the current enquiry flow, will be able to maintain this kind of growth rate for this financial year?

Nikhil Sawhney: Our ambition is of course, to exceed it, but we'll have to wait and see how finalisation happen. I think that a growth of 26%, given the fact that we have a book -and-bill within the year, our spares and services have a lead time to execution of anywhere between two to four months. And so, order booking for that segment can go all the way up to end of Q3 for it to be billed with the same financial year.

And for smaller r ated turbines, even Q1, a part of Q2 order booking falls into the execution. So , despite the overall order booking, given the enquiry levels, we are quite confident that we'll be able to pick up orders, which will give us good growth in the c oming year, but also visibility for growth in FY 27.

Mahesh Bendre: Sure. And sir, what will be our capacity utili sation as of now?

Nikhil Sawhney: We don't really work on that number because we don't have much capital employed. But having said that, we are currently operating on a two-shift basis , and we don't see capacity as a real constraint. We are adding a bay, which is more from an assembly perspective and some manufacturing capacity, which is part of our capex plan for the current year, wh ich may spill over into FY 27 a little bit also, which will augment all of this. So , we don't see that as really as a biggest issue .

Moderator: Thank you. Next question comes from the line of Chi rag Muchhala with Centrum Broking. Please go ahead.

Chirag Muchhala: Sir, the question is on the Europe market and more specifically, U.K. since that has been historically one of our good markets. But recently, India and U.K. signed an FTA but just wa nted to know that will this be, I mean very fruitful for us in any

way currently whatever our market share or competitive position is? Are we relatively negatively impacted by some of the taxes, which will go away. Just your thoughts on this, please?

Nikh il Sawhney: No, we're not either negatively or positively impacted by it. To the extent that it builds more confidence in the British economy and allows them to have more capacity expansion in capex , that will benefit us. but I don't know if it will. So, I think it's just neutral. Most of these FTAs are neutral to us because our product is not heavily taxed as a dutiable item, both ways. Imports into the country are pretty much at zero duty anyway.

So, it doesn't help either way. We just need more d emand to come into that market segment. The U.K. presents some distinct opportunities in the municipal solid waste incineration and energy efficiency, green power market. That's about it for right now.

Chirag Muchhala: Okay. Okay. And second is just a f ollow -up question on the capacity. So whatever capex that has been lined up over the next two years, so in terms of turbines manufacturing, both in India and possibly in the U.S., I mean, what would be the quantum of increase in our capacity that we a re planning over the next two to three years, maybe over a medium term?

Nikhil Sawhney: So actually, given our high asset turnover and return on capital, like I said with the last question as well, we don't have much capacity employed. And so, when you loo k at it in terms of how scalable the business can be given our current balance sheet of investment and what are we planning in terms of expansion in Bangalore as well as in the United States , what you have to view is the factors of how many shifts you're w orking and how scalable is that . So, at this current point in time, when we're working a little bit less than two shifts on operations. that has possibility of expansion by itself more than the fact that we have further utili sation of assembly capacity. W hat we're really trying to augment here is more testing ability, assembly capacity. Now assembly capacity can be constrained at times. But at the current point, we are able to balance and manage in excess of 300 - 350-odd turbines. Our endeavo ur to s ort of give a little bit more capacity so that we don't end up bottlenecking our operations, which happen at times, like for example, this March. And so , it's worth not having those bottlenecks. And so , capacity really isn't a constraint on an annuali sed basis, but maybe on a monthly basis, there is some issues that we may need to streamline.

Moderator: Thank you. Next ques

tion comes from the line of Amit Mahawar with UBS. Please go ahead.

Amit Mah awar: Nikhil, hi, congratulations on good results. Nikhil, my first question is, so you see FY 25 was a year of great performance on product exports, whether it's orders or P&L, but services, I'm not judging services, which is flat in orders this year. But do you want to throw some light here on how will this grow in FY 26 and 27 because you are building a team even for the North American market. And that's my first question. Some colo ur on Aftersales.

Nikhil Sawhney: Aftersale s is an extremely important part of our business for two reasons: one is that, firstly, it's a high -margin segment, but more than that is the fact that it

enables customer satisfaction and allows us to provide the services that our customers need, which co nfidence is what leads to repeat orders. So , it's very, very important from a customer satisfaction perspective. Also, there are two segments to growth in the aftermarket. One is our spares and services, which will grow based on the installed base growing.

Because you sell spares really after some degree of operation of the turbine, so given the growth that we've had over the last several years, those products, maybe 2-3 years which have been commissioned 2-3 years ago, w ill now start coming back and come into the order ing for spares. And so , we believe that, that will continue, but that growth rate will be , I say it has to be done in a manner that we have to take the customer along with us. We can't just be selling exces s.

The real growth rate for us, which has somewhat disappointed where we ha ve much more potential to grow quicker is the refurbishment segment. And segments like that, which we think can drive a lot of the quick revenue, quick wins for especially the U.S. m arket. And so , we're still very hopeful. This means expansion, not only of our sales and marketing network to be able to cater to the varied requirements that happen in the refurbishment segment, but also technologically, we need to be relevant and be able to provide the solutions that customers want.

So, there's an investment in people that require to allow that market to grow. But we're quite hopeful that, from a long -term and medium -term perspective, this is a market segment that we can quite confidentl y say we'll continue to grow for Triveni.

Amit Mahawar: Sure. So , you've been very measured on your investments in very select markets. For example, SADC is where you had less than four years payback that gave you confidence to enter one of the world's larg est market, North America. Again, and maybe Prasad and team can chip in here , what is the size of API services and large machines that we are targeting in 26-27? What I mean is, in your addressable market with changes now, and I'm talking about particu larly 1-2 years.

In long -term, I understand it's a very, very compelling market and there is a scope for consolidation, especially in services in North America, as you mentioned in the last calls. Particularly next 1-2years, what kind of la rge machine orders, can we expect in this new market? And some colour here on the services. And I was asking more also about the number of the team size you've build in North America? Thank you.

Nikhil Sawhney: Yeah. So , I'll let them comment on the team size and where they see this . But services for API, because the customers are extremely risk -averse, especially on the large integrated Oil & Gas majors, they tend to favour going to OEMs. There are certain strategies that we're trying to employ to be more relevant with them. At this point in time, I can't disclose those. But we see a market, we have an opportunity for us to work directly with some of these majors to provide their services. Specifically, in certain regions. Those would be regions specific strategies.

Having said that, we do anticipate larger megawatt turbine orders from the API market. We've had good success in FY 25, which will get executed in FY 26. And we're hopeful in the coming quarters of redoubling those efforts and getting similar successes on that front. It's a very competitive market. There's no doubt about that. But we're quite confident that given our newer entry into the space that we'll be able to show some success.

Prasad, could you just talk a li ttle bit about the API market, and then Sachin, a little bit on the U.S. side, specifically for API?

S. N. Prasad: So, API market wise, as we got ourselves approved in all the refineries, majority of the reputed refineries, the pipeline is building up. At the same time, these are very, very competitive market, and we are fighting with all the competition across the globe in different territories. And we are very optimistic on API growth because our pipeline is there, acceptability there, technical accepta bility also is there .

And second thing here, the differentiation, what we bring there is a quick back - end support from India team across the globe for API. API's majority of the business is through EPCs and OEs. So , this sort of business is there, what they'll be looking is a quick turnaround time on the enquiry to the proposal sort of a thing. These are the areas where we are working on , so that will give us really good results in the next two years is what we are anticipating .

Sachin Parab: Yeah. Coming to the U.S. market, your query, we have not a very big team in the U.S., but it is very important to understand that in all markets that we operate in. We typically operate also through a network of agents for assisting us in sales and marketing. So, while the strength of our team directly on our roles may be not very significant, but we have people working indirectly for us or the sales and marketing effort across the country through our extended agent network. Also neces sary to understand that some of the workshop related activities that happen in the U.S. are also subcontracted to the partners that we have developed, so team size is as per our plan, but we are looking at expanding it to almost twice the size that we had in the first year, in the second and third year.

S. N. Prasad: And one more thing here I want to add, especially we are very conscious on the cost. As you know, U.S. is one of the expensive cost-oriented market. So, lot of back-end support, as Sachin mentioned, from our partners there as well as back - end teams from India also supports U.S. team so that there is a proper cost orientation is there .

So other thing is some emerging markets like SMRs - small modular reactors market is one of the markets, which we are hopeful that traction, whatever we are having, that should give some positive results to us in North American market. So those sort of new markets also we got the access afte r having a facilities there in U.S.

Moderator: Thank you. Next question comes from the line of Sarang Joglekar with Vimana Capital. Please go ahead.

Sarang Joglekar: Thank you for the opportunity. So, on the 30 MW plus segment, I wanted to understand, you said you were gaining market share and you're already

maintaining 50% plus in the sub 30 MW. So , on a broader level, what are the key factors the customers look for when choosing a turbine? What ar e the options? Basically, who are the competitors? And why exactly do they go for Triveni?

Nikhil Sawhney: That's a very complex question. Every customer has a different purchase consideration . Ultimately it depends on customer confidence , if you have an installed base in that market segment in that industry within that geography, that tends to build customer confidence. And so , our growth in market share and in the higher megawatt segment will happen based on more s uccessful installations. And so tha

t will feed on itself. And so , the growth there will happen in a more linear manner, you shouldn't expect it to be sort of exponential. And we're happy with that, because ultimately, we want to grow slowly and ensure that we have successful installations.

Sarang Joglekar: Same on the API side, how is the competition? And who are the players, if you could name a few?

Nikhil Sawhney: No, I think it's not worth naming competition, but I think you can google who are the play ers in the market segment. Competition exists in all market segments. It's not as it doesn't exist. And we have extremely well -reputed global technology companies in this space. And so , it exists . But at the end of the day, it's a technological pro duct, so the number of competition is limited, and we don't anticipate new competition coming into this market segment.

Moderator: Thank you. Next question comes from the line of Nidhi Shah with ICICI Securities. Please go ahead.

Nidhi Shah: Thank you for taking my question. So , my first question was on the margin. We've seen for the last nine quarters or so that margin accretion has happened continuously. I basically want to unde rstand what is it that is bringing us this margin, despite the fluctuations in commodity prices and our input prices that would be the first thing.

Secondly, that you've spoken continuously about the enquiry pipeline. Would you like to quantify that enqui ry pipeline, and in your opinion, would that be more back - ended when these orders were finalised towards the second half, what is your opinion on that?

Nikhil Sawhney: It seems right now that it would be back -ended. But unfortunately, we don't give the ab solute enquiry levels, you could have a discussion with Surabhi, our Investor Relations Manager on this question. But what was the first question?

Surabhi Chandna: Margin accretion.

Nikhil Sawhney: Margin accretion happen ed because of both aftermarket as a percentage of revenue going up as well as the fact that we have a higher export as a percentage of sales. So, both of these factors have contributed positively to the margin. In terms of volatility in raw material pricing and increased overhead cost, those were larger factors in FY 22, FY 23, where the rate volatility that we saw post -COVID. I think right now, our normal supply chain pricing, which we have long -term rates

with our vendors and with subcontractors, etc. continues, so it gives us good visibility.

And so therefore, the pricing level that is taken by marketing and sales is knowing fully well, what the cost would be going into any pricing discussion and negotiation. And so, they have a fair idea of the margin level at the t ime of bidding for orders. So, as we look forward, I don't think margins are problem for Triveni. I always said that that is an area, because it's a customised product, margins will differ order -to-order and quarter -to-quarter. But it so happens that by g etting some operating leverage as well, the fact that we have good orders coming from the export market as well as a higher percentage of spares and service on revenue, is all giving confidence that we have space.

Moderator: Thank you. Next question comes from the line of Prolin Nandu with Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu: Yeah. Hi, Nikhil. Thank you for taking my questions. Two questions from my side. The first one is, whil e you alluded to some qualitative colour on your foray into 30-100 MW segment. But can you just throw a slightly longer -term picture in terms of it's been now four years, since we are going solo in this segment, not with our JV partners. So , let's say, in ne xt 5-7 years, what is our aspiration in terms of market share? Can we replicate our market share that we have in zero to 30 -MW, in above 30 -MW category as well? Can you give some colour and some texture and what are your

targets and what are your aspirations for this particular segment?

Nikhil Sawhney: It was a very complex question you've asked, so in the higher MW category, which is one of the largest market segments is a combined cycle market segment, which is where the ste am turbine is used as a bottoming cycle, for the combined cycle operation. The typical lead for a combined cycle sale is done by the gas turbine manufacturer. So that's a little bit more difficult for us to market segment to enter just from a sales perspec tive because the lead is always taken by the gas turbine manufacturer along with the client.

Now if you exclude that, which is by far the largest segment, yes, our ambition is to achieve the same success that we have in the small range. And we're quite confident that we'll be able to get there . We find that even in the other market segment, we will make foray, but it's very difficult to see how that will actually happen. We'll make efforts. But market share gain like I said, in the above 30 - MW category, we should assume to be a little linear in terms of growth of market share. In the API market segment, it will be a little bit more lumpy, because we're able to get bigger orders and take market share because we have the references in place. So now if you comb ine both of those because a lot of the API orders are also in the higher MW categories, we think that we could show good growth in this market segment of above 30 MW.

Moderator: Thank you. Next question comes from the line of Bimal Sampat an Individual Investor. Please go ahead.

Bimal Sampat : Yeah, good afternoon, Nikhil and team just wanted to un derstand, I mean, what is our plan B? I know we are growing very well. But to maintain this 30% around

growth rate, I mean, earlier we were talking of getting into this rotating equipments and all that. So, what is our plan B to maintain around 30% growt h rate over the next 3-4 years? Or is there no necessity for that?

Nikhil Sawhney: No. There is a very strong need for us to continue with our research and development, which is to ensure that our current product range, not only is relevant and ex panding in its niche applications , but equally to introduce new technology and new products such as what we try to do with our carbon -dioxide based systems. So those research continue, those continue into other rotating equipments. At this current point in time, given the growth in our enquiry book, we find it's not relevant for us to focus our discussions right now because it won't be material in some of these developments in the short term. But needless to say, that it is a concern for the Board as well as the management to ensure that we have a steady stream of products, which will allow us to expand our entire market size that we cater to on a continuous basis.

Moderator: Thank you. Next question comes from the line of Harsh Tewa ney from Ashmore Group . Please go ahead.

Harsh Tewan ey: Good afternoon. So basically, I had a couple of bookkeeping questions from my side. So, I noticed that the debtors for us have gone up like they've almost doubled Y -o-Y even though r evenue has only increased 21%. So, is there some payment delays that we are facing? Or how should we read this?

Nikhil Sawhney: Ask your second question as well, and then I'll answer both together.

Harsh Tewan ey: Second question was per taining to the other financial assets line, which again has grown up exponentially. So , anything that we should read into this?

Nikhil Sawhney: Okay. So, on the debtors, you'll see two things. One is the receivables have gone up as well as the factors other current assets. Both I tried to address in my opening remarks to say that because of some dispatches that were bunched up in March, these are orders, which have not really come due for payment by customers, because we tend to pay on LC (Letter of Credit) at d

ispatch, and
obviously, it's within a period of time that the LC has to be encashed. But we've said that in the months of April, May that that is largely reversed back to our normal stance of low receivables. Other financial assets are higher because the reflection of FDs (Fixed Depo sits), which are over 12 months are reflected as other financial assets. But this is all part of cash.

Moderator: Thank you. Next question comes from the line of Prolin Nandu with Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu: Yeah, thank you Nikhil for giving me the opportunity again. In one of the comments on API market, Prasad also said that maybe in the future, we will also have a play on SMR , the small modular reactors. Can you touch base as to what are the product synergies between API and SMR? Can you give us some context? Because my understanding was that probably nuclear reactors the play for turbine is not that large. So , can you just he lp us understand, is it different in SMR?

Nikhil Sawhney: No. You see, we provide a product that utilises the heat generated from whichever source where agnostic to how the heat is generated. Is it generated through bottoming cycle of a gas turbine, is it generated through energy efficiency of a cement kiln in terms of waste heat recovery or through the heat generated from a small modular reactor. The concept is the same. The fact that we utilise that to provide either heat requirement for p rocesses or to drive a generator to produce power. So, this segment is similar in the sense that is for power generation.

What Prasad meant is that the specification of quality are equally, if not more stringent. And that is a bigger constraint in terms of manufacturing technologies, which has to be deployed to ensure that the customer is satisfied. For example, the vibration levels in the API market for a turbine are one -tenth of what it would be in the industrial market. This has a different connotatio n and implication on how the product is configured, so it is with that regard.

In terms of the SMR market in specific, we provide a little bit more clarity in the coming quarter in terms of how we're approaching that directly as well as the orders.

Moderator: Ladies and gentlemen, we have reached the end of question -and-answer session. I would now like to hand the conference over to the management for closing comments.

Nikhil Sawhney: Thank you very much, ladies and gentlemen, for joining our Q4 and FY 25 results for Triveni Turbines. As I said, this was a record quarter, the 17th quarter of growth for the Company . We look forward for you to join us in the Q1 FY 26 earnings call. Some of the results may be a little lumpy in the quarters in the coming year. But needless to say, that we are anticipating another record year for the Triveni Turbines in FY 26. Thank you again. Goodbye.

Moderator: Thank you . On behalf of Triveni Turbine Limited , that concludes this conference. Thank you for joining us. You may now disconnect your lines.

Call: Aug 2025

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Exchange Plaza,
Bandra -Kurla Complex, Bandra (E), Mumbai
- 400 051
Thru: NEAPS
STOCK CODE: 533655 STOCK CODE: TRITURBINE
Dear Sir/Ma'am,
Subject: Transcri pt of Investors'/ Analysts' Confe rence ca ll held on August 5, 2025
Pursuant to Regulation 3 0 read with Schedule III of the SEBI (Listin g Obligations and Disclosure Requ irements) Regulations, 2015, please find en closed the tran script of the earnings conference call held on August 5, 2025 for investors/analysts in respect of the standalone and consolidated unaudited fi nancial results of the Company for the 1st quarter ended o n June 30, 2025.
The t ranscript is al so av ailable o n the C ompany's w ebsite a t www.triveniturbines.com .
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Thanking you,
Yours' fai thfully
For T riveni Turbine L imited
Pulkit Bhasin
Company S ecretary
M. No. A27686
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Triveni Turbine Limited
Q1 FY 26 Earnings Conference Call Transcript
August 05 , 2025

Moderator : Ladies and gentlemen, good day and welcome to the Triveni Turbine Limited Q1 FY 26 Earnings Conference Call. I now hand the conference over to Mr. Rishab Barar from CDR India. Thank you, and over to you.

Rishab Barar: Good day everyone and a warm welcome to all of you participating in the Q 1 FY 26 earnings conference ca ll of Triveni Turbine Limited. We have with us today on the call Mr. Nikhil Sawhney, Vice Chairman and Managing Director; Mr. S.N. Prasad, Chief Executive Officer; Mr. Sachin Parab, Chief Operating Officer; Mr. Lalit Agarwal, Chief Financial Officer; and M s. Surabhi Chandna, Investor Relations and Value Creation.

Before we begin, I would like to mention that some statements made in today's discussi on may be forward -looking in nature, and a statement to this effect has been included in the invite, which was mailed to everybody earlier. I would now like to emphasi se that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will start this call with opening remarks from the management, following which we wi ll have an interactive question -and-answer session.

I now request Mr. Nikhil Sawhney to share some perspectives with you with regard to the opera tions and outlook for the business. Over to you, Mr. Sawhney.

Nikhil Sawhney : Thank you, Rishab. A very good day everyone and a warm welcome to all of you participating in this Q1 FY 26 earnings conference call for Triveni Turbine Limited. The performance of the Company in the quarter gone by, is disappointing, there are many reasons for that, and I'll be h appy to go into those. Largely the disappointment in the decline in sales was due to deferment of orders because of the conflicts that have happened between in the Middle East, Israel -Iran as well as with India's conflict as well with Pakistan. These defer ment of M echanical Run Tests (MRTs) and inspections by clients have led to a deferment of dispatch based on contract ual as well as revenue recognition terms.

While 17 quarters of growth s of the Company , this chapter in our growth is on pause , the longer -term story of the Company stays very much intact. The Company has a very strong enquiry pipeline, a good visibility into market, new product, new developments coming on stream. And while we had already

cautioned in the previous conference call about the revenue of the Company being lumpy . As the business of the Company has moved into larger value contracts both in API as well as in higher MW categories , when deferment of orders happened, th is show themselves out more in the results of the Company .

But having said that, le t me take you through some of the specific results, and I'll be happy to take your questions during the Q&A. The revenues of the Company stood at ■3.71 billion, a decline of 20% year -over-year, and EBITDA declined by 17% to ■958 million. The margin for EBITDA stood at 25.8%, an increase of 100 basis points year -over-year. P rofit Before Tax (PBT) came in 19% lower at ■873 million with a PBT margin of 23.5%, an increase of 20% year-over-year. P rofit After Tax (PAT) stood at ■644 million, a decline of 20%.

Quarterly order booking was at ■5.36 billion, a decline of 16% year -over-year and an outstanding order book as of 30th of June stood at ■20.74 billion, a record and an increase of over 20% year -over-year. Cash and investments stood at over ■1000 crore (■10.05 billion)

Order booking for the quarter, as I said was a decline of 16% year -over-year to ■5.36 billion. This is due to lower export demand across products and aftermarkets. The order booking was impacted also by geopolitical tensions. We have certain situations of clients and export clients who given the India - Pakistan conflict and the risk of force majeure decided to not place orders on us, but on European parties where this risk was perceived to not be as large.

Having said that, glob al uncertainties persist, and we exist in this market despite the uncertainties. The U.S. (United S tates) market also presents certain uncertainty in terms of placement of orders and those deferments are part of our active marketing efforts. As you could imagine, placing orders without knowing what the tari ff levels would be, it would be a great amount of uncertainty on our end clients.

While the enquiry book in the United States has gone up by over 175% and gives us good visibility into orders that may be placed in the coming quarters, similarly to what we had talked about in the Indian market where we've seen very good growth in the enquiry book in FY 25, but a deferment of orders. And we see that in Q1, orders are being placed in sectors ranging from steel, cement, sugar, large value, large capac ity orders . We believe that this will continue into the rest of the year as well. So w e're quite optimistic on the domestic market from a capital investment perspective, but equally so in certain global markets.

While we've seen an overall growth of the domestic enquiry book has grown by about 130% and the international enquiry book has declined by about 5%. Certain markets in the international market have grown, as I told you, the North American market has grown quite considerably. We've had good growth s in the Central Asian region as well as in Africa. There's been certain decline in our enquiry book coming from the SA ARC region as well as Southeast Asia as well as Europe. But overall, on a balanced basis, we seem to think that the year presents as good opportunities as we've had for order booking in the

previous year, but obviously, with an expectation of growth in order booking for this current financial year.

At the same point in time, our revenue is something that would be back ended, as I've talked about already. We are very optimistic on execution of our orders, but we have to temper it with the uncertainties that exist s in the geopolitical situation, both from a perspective of dispatch and therefore, revenue recognition and revenues , but also in te rms of order booking. Despite all these risks, the Company is continuing with what its main stay is to focus on technology, technology innovation and introducing new products into the market. And with that, we're very proud and very happy to talk about a very new product development that we've had on, which is our new Heat Pump. We proactively undertake new product and technology initiatives to diversify our portfolio across various energy transition products and this includes heat pump

s, chillers, ste am compressors, gas expanders, which use carbon dioxide both in supercritical as well as transcritical forms.

And it gives me great pleasure to formally introduce our newest product launch, India's first CO_2-based high -temperature ultra -efficient heat pum p capable of delivering heat up to 122°C and achieving a Coefficient of Performanc e (COP) of 6. This is indigenously developed and the product marks a major step forward in offering clean and future -ready heating solutions to India's industrial sector. The CO_2-based solution has been developed in technical collaboration with the Indian Institute of Science (IISc) in Bangalore, combining academic research and industrial engineering legacy of Triveni Turbines .

To give you a little bit more information, unlike the conve ntional heat pump that uses synthetic refrigerants with high global warming potential, this new solution uses carbon dioxide, a natural , non-toxic, non-flammable refrigerant with zero ozone depletion potential and a global warming potential of one. This launch comes at a time in countries including India, accelerating efforts to phase out hydrocarbons under the Kigali Amendment , which was a subsequent amendment to the Montreal Protocol .

This heat pump is up to 3x more efficient than conventional elec tric heating solutions and is significantly more efficient than average commercial heat pumps. Globally, a COP of 6 for high temperature heat pumps operating abo ve 100°C is considered a best -in-class, especially under tropical climate conditions. The heat pump has been successfully tested at Triveni's newly commissioned heat pump test centr e in Bangalore, where it met full performance benchmarks.

The applications for this would include industrial customers, ranging from the pharmaceutical s, food and beverag es, chemicals, textiles, distilleries, pulp and paper and district heating & cooling and support applications including steam generation, pasteuri sation, distillation, dehydration, dy eing, metal cleaning , drying, etc. We're very optimistic about this. India presents a unique opportunity for us to prototype and commerciali se this development though w e think that the market is more global than for India. But this just gives an indication of the innovation that Triveni Turbine is able to put forw ard. We will

be coming up with new products to align with this offering, which will help expand our market and give us greater visibility into sustaining growth in the coming quarters.

As I talked about the fact that while this quarter has seen a declin e, our growth trajectory in the longer -term basis is still very robust, both from a perspective of resources that we put into technological development for our steam turbine lines to further improve efficiency and ensure that we are reducing cost continuou sly.

Given that fixed capital formation will continue in certain end -user industries, specifically also in terms of renewable energy generation, it makes us quite confident on the growth path that we have. That coupled with o ur new er innovations of CO_2-based products both in terms of supercritical and subcritical carbon dioxide turbines and heat pumps and other products that we will be introducing gives us greater visibility.

Of course, challenges exist given the global uncerta inty orders will be lumpy, dispatches may get impacted. And so therefore, revenue may be lumpy. As I've said, for this current year, we will be back -ended quite significantly in our growth. We believe that the future years hol d good promise for Triveni and its products. The challenge is for us to be able to reach more global markets and ensure that customers maintain their high level of satisfaction with our products , and is a constant endeavour .

We're happy to go through some of those efforts that the Company is leading in terms of ensuring

that we are best -in-class in the customer's mind, from a customer satisfaction perspective that we are best-in-class in terms of technological offerings in front of our customers . And ultimately, we're able to sustain our growth not only in terms of product, but to help work with the customer through the life cycle of the product, which will aid in our aftermarket revenues.

We continue with our other initiatives, including digiti alisation and expansion of our internat ional subsidiaries to ensure that we are able to get the required return on capital employed that we have in those subsidiaries. The subsidiary performance of both the South African and the U.S. market has been underwhelming for this current quarter, but w e believe in the coming quarters that we should have some uptick s both from refurbishment as well as new product orders.

With that, I'm very happy to take questions. Back to you.

Moderator: Thank you very much. We will now begin the question -and-answer session. First question is from Harshit Patel from Equir ius Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity. Firstly, on th e domestic market, we have seen quite a bit of revival in our fresh orders. Last time, you had mentioned that the domestic steam turbine market up to 1 00 MW had declined

by about 10% in FY 25. Any update that you have seen in 1Q FY 26 ? Or these are pure play market share gains?

Nikhil Sawhney: No. The market has grown quite considerably in Q1. Though our market share has improved also. But the fact is we already have a large market share in India. Taking our market share up is only incremen tal. It's going up to , while we may have been about 46 % - 48% last year, we're about 53 % - 55% right now in the market segments that we operate in. The market itself has expanded quite considerably. Prasad is here , maybe you could give insight s into the segments as well as the growth and how you see that.

S.N. Prasad: Yes. Coming to the domestic market, as our Vice Chairman mentioned that market also substantially increased in Q1. And another interesting part is the enquiry pipeline fro m domestic market. What we are seeing even in our last two quarters, we started seeing that traction is increasing. Even this quarter, around 131% enquiry pipeline is increased especially from steel, cement and some of the process cogeneration industries s tarted contributing to this increase in the enquiry pipeline. This is giving a good traction. Even coming quarters, I think domestic market are going to be a robust market. We may come back to the levels of FY 24 in terms of the market sizes, because as we know FY 25 domestic market was at its lowest levels. We are hopeful that we'll come back on that.

Nikhil Sawhney: I think we've actually has g rowth over 2024 actually , because t he market seems to be quite robust, but we'll see, w e'll give more clarity on this after Q2.

Harshit Patel: Understood. My second question is on API drive turbines. I understand that we have had quite a lot of success in the domestic market, wherein we have captured a very high market share. Any colo ur you can give in terms of export orders, order book currently , potential pipeline that we have from Middle East and the other countries as well?

Nikhil Sawhney: Firstly, I don't think we talk about specific product successes. But , yes, you are right that w e have had very good entry and very good customer acceptance on our drive as well as power generating API turbines. The drive turbines, of course, are coupled along with moving equipment, be it a pump, compressor, other driven equipment , fans, et c. And so, some of these orders are placed directly by the OEM -driven equipment on us. And s ome of them are placed by the ultimate end client s on us. So, it depends on market -to-market. While the acceptance of the product has b

een very good, our technological level an d price levels are also very competitive in this market. Prasad, maybe you can give a little bit more colo ur on where this drive market will go ?

S.N. Prasad: Yes. Coming to the drive market wise, yes, we are there driving cooling water pumps, compress ors, boiler feed water pumps. More or less, every equipment, whatever can be driven by steam turbines. We are in the approved vendor list. Even enquiry pipeline is quite strong. As you rightly mentioned that in the domestic market, last year, w e have a good share when it comes to drive turbine markets.

Traction wise, the international markets in the drive application quite strong enquiry pipelin e is getting built up in oil and gas international market. We have noticed around 250% year -on-year growth in enquiry pipeline in oil and gas. But as you know, in oil and gas, enquiry to order conversion, it is a little longer gestation period compared to industrial power generation because of the specification and process, but we are confident th at these effects are going to drive real good growth for us.

Nikhil Sawhney : One of the things that you may have noticed in our results is that despite the fact that turnover came down by 20% that our margins were quite robust. And this is driven by the fact of good overhead absorption of the business based on the profit margins based on our revenue split. Aftermarket as a percentage of revenue is 31%, which is approximately the same as it's been in previous quarters.

But this is the type of orders that we're taking, which are better in margin, which of course, from the API segment as well as from the export market, given the fact that as a market over the last couple of years has grown the intensity of competition remains , but the effort that the Company has made in terms of lowering cost in terms of material costs as well as expanding its supply chain relations to have better price reali sation from our supply chain is bearing fruit. We're quite confident in the fact that margins will be rea sonably robust this year.

Harshit Patel: Understood. Just lastly, if you can update on the execution status of the CO_2-based energy storage system order that we had from NTPC, also has any clarity emerged in terms of what kind of margins we will be able t o post in this new area that we have a dded?

Nikhil Sawhney : I think you know that we won't talk about margins, but it's, of course, not a negative margin or contribution order for us. As a company we don't work on a subsidi sed basis. The scope of the work is reasonably comprehensive. It is just shy of Engineering, Procurement, and Construction (EPC) in a sense and so therefore, you wouldn't know full cost until we actually end up finishing the job. We have obviously taken a number of contingency factors which we'll find out only towards the end.

As far as the execution goes itself, everything is on track for us to deliver it. We have delivered CO_2 turbines to the same party in this current quarter as well, and so that will go to an application, but we've had a very good successful insta llation in one of their sites in Italy and the performance has been as stated. We're quite confident in being able to deliver our commitment to NTPC both in terms of the performance of the project, but more so in terms of the time. And Sachin, maybe yo u could talk a little bit about the cost, how you see that?

Sachin Parab: Good afternoon. As our Vice Chairman has mentioned, the execution of the project, CO 2 turbine for NTPC is well on track as per the plan, and NTPC is also updated about the progr ess that we are making. Important to note, as our Vice Chairman said, is that we have already executed a similar project in terms

of a CO 2 turbine for the same technology partner, the same application, and that was very much in time and in cost.

We are confident that we will be able to achieve the same with the NTPC project as well. But as mentioned by our Vice Chairman, it is just short of an EPC. There are several areas of civil construction that are involved, and we'll be able to look at accuratel y the margins only after completion.

Moderator: Next question is from Ja i Chauhan from Trinetra Asset Managers. Please go ahead.

Jai Chauhan: Good afternoon. Yeah, thank you for the opportunity. I just have one question, you have recently launched Ind ia's first CO 2-base d high temperature heat pump with COP of 6, right? Could you just provide some colo ur on the addressable market size for this product domestically and internationally? And what kind of revenue contribution we c an expect from this product line over the next 2-3 years?

Nikhil Sawhney: Yeah. The fact is that actually the applications are currently catered to by disparate , cater ed to by separate equipments . The fact that we are go ing to be introducing a heat pump that has both a cooling and heating application and at the same time is somewhat unique from a perspective of this efficiency that is being delivered. That's part of the reason is the efficiency is being delivered actually .

When we do look at the market size, like I said in India, it will be limited in its current application of how customers will use it because the comparables will be Hydrofluoroolefin (HFO) heat pumps or other competitive technologies. We believe that the market for the se type of products is for us to work and develop. It's a little premature for us to give the market size, which we have worked out internally. It's robust enough for us to pursue, but I'm a little hesitant right now to provide any indication of contributi on of the se new technologies to our revenue.

All these t hings that we will introduce into the market as we see customer acceptance of it, we will come back and tell you how these products fare. But we would have to say that these new product introductions would not contribute more than a couple of percentage points to our revenue. Once it become more meaningful, we'll provide more colo ur, but it is a lot more development work for us to develop the market. We believe a lot of it will be driven internati onally.

Jai Chauhan: Right. Got it, understood sir. Like I guess in your opening remarks, you mentioned about the differentiation of this product. And what you said just now, just contradicting that point. Can I know like what exactly is the diffe rentiation? And is there any differentiation in this product?

Nikhil Sawhney: No. The point is that the efficiency of this product is unmatched. For a heat pump to deliver temperatures of over 120 degrees is also unheard of in our type of temperature because this is a tropical climate in which we are applying this. So, what is the technological innovation to be able to achieve best -in-

class results in terms of efficiency and operating parameters. The next is a factor in terms of what cu stomer usage may be. The customer usage and applications will, like I said, var y from everywhere from drying to distillation to steam generation. Now it doesn't mean that suddenly we're going to become a boiler company and that's not our ambition either. T his is a product that which will have a different channel for sales, it will not be the same channel that we are using currently. And so, the development of the market is slightly longer - term thing for us to be able to introduce this product into the market .

Moderator: The next question is from Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Thank you for the opportunity. My first question is on the international pipeline. You di d highlight that the enquiry book has declined by 5% and including SAARC and Southeast Asia, plus a few other geographies. Just wanted to understand, we have been grow

ing international business from the past two years getting into newer markets. With this slowdown in current situation, has that changed for us, still we are looking for a new er market? What is the response in the incremental market, which we have been getting into th e past.

Nikhil Sawhney: Let me just compl ete that first . It's a good question because actually, our ambition to drive deeper into markets is continuous, and we think that we have a long way to go before we have covered a lot of our international markets completely. This is both in the largest mar kets that we cater to, which is Europe, while we have seen a decline in enquiry flow still represents a very large segment of demand for us and order booking.

This is driven by the fact that the energy transition market in Europe is very robust and resili ent. There's a lot of money behind that theme. And as the fuel sources become available, this is something that, that companies are very ready to invest in . In other markets such as the United States, it is more of going deeper to expand the enquiry levels in what is a $25 - $27 trillion economy. The reluctance , while the enquiry levels have grown in the U.S. market, the placement of orders there is getting quite deferred. And this is actually quite similar globally that given a lot of uncertai nty that exists, we are finding that enquiry to order conversion cycles have become a little longer. It's difficult for me to point out exactly how much is getting elongated from customer to customer or geography to geography, but there is definitely a lit tle bit more hesitation.

But the requirements are still there, the demand is still quite robust, which is what the enquiry book suggests. Now to what extent will it flow back into us in terms of order bookings, that is something that we'l l be able to prov ide colo ur on as we go on. We're quite optimistic right now the sales team is quite geared that despite these uncertainties that we will meet our targets. Prasad, do you want to add any colo ur on that?

S.N. Prasad: Just to add that, yes, these things also what we are seeing maybe temporary movement that is especially Europe and all because of the geopolitical situation in Q1 , everybody want s to cross their fingers and wait and watch sort of a scenario. But going forward, by seeing the requir ements in Europe and all

these things what we are seeing last one month plus , I think we may be back in the enquiry pipeline as well in international.

Amit Anwani: Right. Sir, my second question is on the deferment and dispatches which you alrea dy alluded to. Considering that this year would be back -ended and lumpy with respect to dispatches. I wanted to understand 2 things. Has there been any change in the growth outlook, which you were looking 3 months back and now since the dispa tches are deferred for this year? And will there be any permanent slippage of permanent loss because of these issues which you're looking for? And what was the deferment in re venue for Q1, which got deferred because of the delays in dispatches?

Nikhil Saw hney: Unfortunately, we're not going to be able to give you a rupee figure to the dispatch to the amount of revenue that got deferred. But as you would understand, when uncertainty exists , project timelines are getting extended. There are two different issues that I'd like to highlight. One is what happened in this quarter in specific, which was MRTs and customer inspections that have to happen before dispatch takes place and without that inspection taking place, we can't dispatch an d so t herefore, we can 't recognise revenue, which is impacted by different conflicts in this current quarter.

At the same time, what is happening also is that long project cycles by themselves are getting extended, which has a longer -term impact in terms of how we forecast revenue to be and dispatches to t

ake place through the course of the year. We are still as we've said in the investor brief as well, we are continuing with our outlook for the growth trajectory that we have in the Company . That is not st opping . But very frankly, there is already an expectation that some orders that were meant to be dispatched in this current year will get deferred into next year just because customer acceptance in terms of lifting will be deferred.

But that is after taki ng that into consideration is why we are talking about the fact that the Company will continue to grow in the stated way that we've grown in the previous year.

Amit Anwani: Sure, sir. Lastly, on the heat pump, any addressable market where we'll be growing local, global, any competition? Any colo ur on the addressable market there? And what kind of revenue by when are we expecting any contribution from this product?

S.N. Prasad: This heat pump application, as our Vice Chairman mentioned , this is a very , very unique opportunity in terms of giving 122 degrees and with the COP of around 6. The applications while if you see any of the process industry, starting from distillery, food processing, the usage, the fitment is there in many industry segments. But the only thing is, see when we are telling 122 degrees for majority of the customers, so unless they see that , they don't believe this thing. So that is the reason, we established the demo unit at our Peenya facility at Bangalore, which i s giving a lot of results.

Initial maybe a couple of quarters. So, where we are focusing is industry -wide, segment -wise, we are inviting customers consultants, and we are showcasing

this thing, both in domestic and international. If yo u see heat pump addressable market globally, if you see, there's a huge market. We are talking about around $2.5 billion market. But this fitment will not be , because some of these things are low heat requirement sort of a scenario and so we have to creat e the market for this thing.

That is the reason we invested a lot of time and energies into th is development along with I ISc. We believe that this is a considerable market for us, but it will take some time because we have to drive this market towards this application.

Nikhil Sawhney: It's important to point out that one of the unique things and why this efficiency is possible is because this is a high -pressure system. And that's why applications cannot come into sort of residentia l use, et c, because of the difficulty of maintaining the high pressure and the risks from the high -pressure system. Now Triveni is used to working with systems like this because this is what the Company does. We perform in high -pressure, high -temperature applications. The constraint of our high-press ure system also has to be looked in terms of where the applications may be executable.

Moderator: Thank you very much. We take the next question from Balasubramanian A from Arihant Capital Markets. Please go ahead.

Balasubramanian A: Good afternoon. Thank you so much for the opportunity. S mall modular reactors have an emerging opportunity , what is the addressable market? And how does the brand compete with against local OEMs?

Nikhil Sawhney: We provide bottoming solutions to the heat that is produced from reactors. And the addressable market here is actually at this current point in time, quite small because it's only start -ups and those types of applications currently, which are currently in the enquiry book . Am I correct, Prasad?

S.N. Prasad: Yes.

Nikhil S awhney: But the fact is that essentially, we provide heat and power solutions and sma ll modular reactors continue to be a growing market for us. We see it representing an increased percentage of our enquiry book. It's not a significant percentage, but it i s continuously increasing , so do applications such as geothermal, and this is both fr

om foreign requirements , but also indigenous startups. You have companies in India, which are also looking at it. We will announce in the coming quarters of new deve lopment s that the Company is undertaking in the Organic Rankine Cycle market. And so those will be new low heat recovery systems that which will have better applications in micro reactors. But having said that, the Company itself has a large experience in dealing in the nuclear sector . We have refurbishment and aftermarket opportunities with the Nuclear Power Corporation in India as well as with other nuclear utilities globally where we offer not only services , but part s. We have the idea of quality that is required. We have the idea of the documentation and the systems that are required. We understand the robust ness and the reliability that is necessary in the system, both from a product and aftermarket perspective. So, we're optimistic of this particular mar ket of nuclear power.

Moderator: Thank you. Next question is from Chirag Muchhala from Centrum Broking.

Chirag Muchhala: Yeah. Thank you. My question is on the aftermarket services. Just wanted your feedback on the latest growth potential in afte rmarket, including refurbishment orders from overseas, because from order inflow or revenue point of view, the segment seems to be , from inflow point of view around ■150 crore or so is the run rate that we are seeing for past two years. Any further growth that can be expected from refurbishment point of view? And also, a linked question is that this heat pump as well as the new carbon dioxide based various product s that we are planning to launch, is there a scope of aftermarket services in those also?

Nikhil Sawhney: Let me answer your second question first , and be quick on that. There's aftermarket potential in every business. The question may be in services or spare parts, but you need a install ed base and running for some period of time before you can actually approach it. The heat pump has as a percentage of sales, lower rotating equipment. Rotating equipment is what actually gets mo re spare requirements because of wear and tear, while the carbon dioxide turbines will have higher wear an d tears in general. So therefore, in general, would have more aftermarket spares requirement. Your first question was on?

S.N. Prasad: On the refurb market.

Nikhil Sawhney: Refu rb, that's a very astute observation, a very good question. To be honest, we have underperformed in this current quarter on refurbishment. In fact, our growth of refurbishment even last year should have been better. But all of this is a little skewed by the fact that we had large service contracts from this utility in the SADC market. While that was high revenue value, the profitability was lower.

As we've been successful in a lot of those endeavours , we've moved up the value chain to a higher value refurbishment contract. Looking at the refurbishment value in specific , I admit that it slower than what the growth that we want and the fact that we think that there is much more growth in this market segment itself. You have to understand that we want to move up the value chain continuously also to do higher value -added work in the refurbishment so that we can earn better margin and add more value to customers from a technological perspective rather than generic services.

But a lot of that is driven around having on -the-ground presence in certain locales to be able to build customer confidence, so there's a lot more work we need to do there, you are very right. We need to perform much , I alluded to this initially in my introductory remarks, when I said that our U.S. and South African subsidiaries have underperformed there and it's largely in refurbishment.

Moderator: Thank you. Next question is from Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.

Prolin

Nandu: Hi, Nikhil. Thank you for giving me the opportunity. I just wanted to understand how important are these physical inspections both for completion of order as

well as for order pipeline . Given the fact that some of t he customers whom we have been dealing with , are for quite some time now. And there is always an option of probably digitally checking some of the turbines. What I'm getting at is that once probably these people continue to travel, will the pipeline and execution s improve and some of the orders t hat we have lost to our European counterparts, right during the quarter, are they expected to revert? The macro situation will take its own sweet time , but something which was very unique in Q1 and is not expected to repeat. Is that largely taken care of?

Nikhil Sawhney: Well, so there are two different questions. One is on order booking. Order booking , well, we hope that there's no more situation where a force majeure situation can arise in India, which is India dir ectly in a conflict. So, we think that that from a customer interaction perspective, seems to have subsided. There is no longer a concern in going into Q2 -Q3-Q4, et c. From a dispatch and revenue recognition perspective, Prasad, maybe you can talk about what customers' expectations and how .

S.N. Prasad: Yeah. This is a very unique situation in Q1 because for these turbines being very critical, what customers normally expect is a Mechanical Run Test, where we run this turbine using this team in our fa ctory . That is one of the unique propositions that we offer to the customers. So normally, customers visit there, they witness the whole process, then they sign off.

What happened because of the various travel advisories in Q1 by various countries beca use of the prevailing situation at that time, these people delayed that. Once the y delay , the overall project, as you know that turbine being a critical equipment, there is a delay in their inspection. There is a delay in dispatch. Overall project schedules also, got little extended . But going forward, also MRT is going to be critical and this is a differentiation point that we offer to all our customers across the globe. Whatever is the machine we manufacture, we offer a mechanical run test. We are going to contin ue that.

Nikhil Sawhney: But w e have offered this digitally to customers in the past and depending on customer to customer , they do accept it. Some of these things were too late for us to organi se with the customer in this form. But I think that you bring up a good point that we should have that continuously in place with the customer.

Moderator: Thank you. Next question is from Amit Mahawar from UBS. Please go ahead.

Amit Mah awar : Hi, Nikhil. I just have two questions. First is in Q1, if I adjust for disruptions , a lot of companies in the last two quarters have seen disruptions on physical export s, etc. What would have been the order and revenue broadly? And broadly, I want to und erstand i f FY 26 as a company can we grow orders, maybe flat or in double -digits and colour there ?

Nikhil Sawhney: Most definitely, both revenue and order book will and sho uld grow. Coming to your first question, Prasad , please .

S.N. Prasad: Yes. Both should and order book wise also. As we mentioned, that enquiry pipeline is a quite strong . Last one month , the traction is positive and various negotiations are going on as per the schedules . Definitely, we are going to see

the growth trajectory continue as our Vice Chairman mentioned in the beginning , both on revenue and order booking. We are confident.

Nikhil Sawhney: In Q1 in specific, while we are reluctant to give what was the deferment exactly, what you ha ve to understand is that about 50% plus or maybe 60% of the purchase order value are bought out items, which don't enter our factory. These inventories wi

ll fully hit our finished good s inventory on our balance
sheet. But you can have an indication of the increase in working capital that we have because of two factors , which is an indication of our ending cash reserve, which I talked about beca use you have two items here. One is that because of delayed dispatches, you had a buildup of f inished goods inventory in the factory, but also you have a deferment of collections, which also doesn't happen because the d ispatches don't take place. Net-net, it has had an impact both cash flow wise, but we think that we'll recover t his in the coming quarters. You should expect the Company from a year -on-year performance to sort of meet in H1 or by 9 months, it should be exhibiting g rowth over the previous year and significant growth in Q4 versus last year.

Moderator: Next q uestion is from Rohit Chawla from NV Capital. Please go ahead.

Rohit Chawla : Thank you for the opportunity. This quarter, our sales declined by almost 20%. And if you see the domestic decline by 24% and export by 16%. So, export understandably because of the geopolitical conflicts. What are the reasons for domestic sales being subdued?

Nikhil Sawhney: The Company works of an order book. Very frankly, we execute what we have in our order book and last year order bookin g in the domestic market was weak. I hope that answers your question.

Rohit Chawla : The order book is now 20% Y -o-Y. This order will be executable over the next 9 to 12 months, i f my understanding correct?

Nikhil Sawhney: No. Actually, so som e of the larger capacity orders will be executed in FY 27. But the fact is we do have book and bill in the current year because all the spares and aftermarket orders are executed within a time frame of anywhere between 2-4 months. We have o rder booking of that which will be executed within the year also. So that's why we're confident, not only given the fact of our opening order book position, but also the book and bill, which will come from these aftermarket segment s, which have short durat ion execution cycles.

Moderator: Thank you. Next question is from Raj Shah from Enam Asset Management. Please go ahead.

Raj Shah: My question s got answered. Thank you.

Moderator: Thank you. We take the n ext question . Next question is from Aditya Gupta from Tara Capital Partners. Please go ahead.

Aditya Gupta : Hi, good afternoon. Thank you for taking the question. I think you alluded to some change in competitive dynamics also in your opening remarks . Did I hear that correctly? If you could elaborate on that?

Nikhil Sawhney: There's a lot of echo. Can you just say your question again, please?

Aditya Gupta : There is some change in competitive dynamics also internationally and in India? Was that something you said in your openin g remarks?

Nikhil Sawhney: The competitive dynamics. While we have a high market share in this segment, it is an intensely competitive segment with our largest competitor, being a global European multi -national. But we do have other manufact urers as well. There is intensity and competition because ultimately, the customers also demand it , in terms of having the best reali sation of price as well as other factors that they consider.

The competitive dynamics exist. It's just that we thin k that we have a good value proposition to put in front of the customer. And we're quite confident that in certain markets we operate in a duopolistic situation. In other markets we operate in an oligopolistic situation. But it doesn't mean that competition is not there or intense. And it 's not as if it's more intense than it has been in the past.

In fact, if you look at it over a period of time, it's become less intense because the number of competitors in the market have come down, but it's still a compet itive market . When markets decline, competition is more on pricing

.
When markets expand, pricing is no longer the primary factor, but it is the other fact or that come into consideration. It is a dynamically competitive market.

Moderator: Thank you. Next question is from Mayank Chaturvedi from HSBC Mutual Fund. Please go ahead.

Mayank Chaturvedi : Thank you for the opportunity. Just on your remark on revenue decline in the domestic piece of the business. I take your point that the orders inflows throughout FY 25 were slow, but still your opening order book for 1Q FY 25 was to 9% higher than what it was for 1Q FY 25. Of course, we were expecting a subdued revenue in domestic piece. But still, can you just elaborate on this 24% decline th at has come in? And is it the run rate that one should expect going forward as well?

Nikhil Sawhney: Sorry, the 24% decline in what exactly?

Mayank Chaturvedi : Domestic business.

S.N. Prasad: So, this is based on the delivery schedules, basically, this is as per plan only when we plan because domestic deliveries as you know when they are finalising the orders, this has to be synchroni sed with the deliveries of the boiler and the site re adiness. This is just a quarterly thing , but these are per plan. This is no surprise only in exports that we have seen the surprises, which were not as planned. This is based on the delivery schedules of the domestic orders.

Nikhil Sawhney: There 's no dispatch deferment from the domestic market.

Moderator: Thank you. Next question is from Mahesh Patil from ICICI Securities. Please go ahead.

Mahesh Patil: Hi sir. Sir, my question is on the new market share, you mentioned that the enquir ies are down there. However, in U.S., they have increased. So can you just elaborate on higher enquir ies around Europe, any specific reasons for that?

Nikhil Sawhney: Any specific reason for the decline in enquir ies from the European market. Is that the ques tion?

Mahesh Patil: Yes.

Nikhil Sawhney: Our enquiries are based on the efforts that we make and so we can't have a conjecture on why the enquiries have come down. We can hypothesi se that it's because of uncertainty, but the markets in which we are very resilient in the European context is renewable power generation. This is both solid municipal waste incineration which is largely driven by government or local subsidies. Biomass -based IPPs, which is based on availability of raw material , waste h eat recovery, which is an energy efficiency -based application, then you have general fixed capital formation and district heating and some other applications.

When we look at it and break the market down , certain of these segments have been slower in terms of contribution to the enquiry book. But we think in general, the European market presents a very significant opportunity and continuously gives us about 20 % of our revenue. It's a sizable market for us, in the export market , 20% of ex port.

Moderator: Next question is from Aditya Gupta from Tara Capital Partners. Please go ahead.

Aditya Gupta: Thanks for taking my question. Can you just confirm there has not been any order cancellation, right? I mean end of t he -- and I think the net order inflow figure in the press release, but there's not been any cancellation, sir?

Nikhil Sawhney: Yeah, you're right. There's been no cancellation. In fact, actually, our expectation this current quarter was to be significan tly higher in order booking. We are very close to actually being maybe 20% higher than the current number. But unfortunately, one of our end customers didn't place that order. But the current order book is all real isable, all current. We have taken out orders in Q4, which we thought w ere slow moving, when we do think that they are back in normal production, we will add them back into order booking. But as of right now, all orders in our order book are executable.

Moderator: Than

k you. Next question is from Saif from ICICI Prudential . Please go ahead.

Saif: Thank you for the opportunity. On domestic market, you saw order inflow growth after the strong time after many quarters now, right? But overall, India, we have not seen that steep of private capex growth in the domestic market.

So what has caused that revival for you? And does that have any big orders or it's more of a sustainable order inflow s you look at in the domestic?

Nikhil Sawhney: No, I think it's quite sustainable. In certain sectors like say, cement, it's quite sustainable. In FY 24, we saw good demand coming from the steel sector, which did not exist at all in FY 25. As you know, then there was a safe guard duty that was put and that's led to an expansion again in the steel sector and metals in general. You have general growth in process cogeneration that is happening because of higher consumption and higher investments into end - user industries.

Certain sectors like chemicals, et c is a little slower right now and not really seeing it. B ut in general, we're seeing a growth over the FY 24 market size. And I think that this is broadly represented by all markets. So, you have sort of the newer demand from solid municipal waste incineration , waste -to-energy based applications, which are picki ng up more given the fact of that we have such a dire situation with waste in the country. So that gives us confidence, but also newer markets such as paper and plastic recycling, et c do present new opportunities. We think that that the demand from a lot of these applications is going to be quite resilient. It's not as if this demand will go . Prasad, do you want to give some insight into how your enquiry book is growing .

S.N. Prasad: Yes. As our Vice Chairman mentioned that clearly will be a sustainable growth because the spread, it is not focused in only one segment, it is distribut ed between steel, cement and mu nicipal solid based projects, IPPs, what we call, even where we said sugar, distilleries continue to grow that in the enquiry pipeline, even oil and gas, the domestic oil and gas with all these expansions. That way, this is well spread, if you see, whatever 131% growth we are talking of enquir ies in domestic is across all s egments, we are seeing the growth. So, these are sustai nable growth, what we believe.

Moderator: Thank you. Next question is from Samyak Jain from Marcellus Investment Managers. Please go ahead.

Samyak Jain: Good afternoon, sir. I see that our other expenses have reduced by 33% on a y-o-y basis. While in the opening remarks, you did mention some cost efficiencies that you have gotten in this quarter, but I just wanted to double check, are this reduction in cost purely due to operating leverage or there are some one -offs as well?

Nikhil Sawhney: I'll giv e you an indication as to what is the largest contributor to the other expenses is a part of our administrative cost and travel , is a commission that we paid to agents and that is directly reflected by revenue because when we recogni se revenue and then w e get payment is when we pay. Those other expenses will be quite directly proportionate to revenue growth.

In general, the costs are fully under control. Our fixed overhead is something that we've been able to absorb better because of just a better co nstitution of our product mix.

Moderator: Thank you. Next question is from Bimal Sampat , who is an individual investor. Please go ahead.

Bimal Sampat : Good afternoon. I just want some colo ur on our American subsidiary. I mean, with all t hese tariffs and all this, how are we looking at it for the next 1-2 years?

Nikhil Sawhney: So that's, again, a very good question, where we've underperformed in the U.S. subsidiary that this current quarter contributed to about ■6 crore loss on the subsidiary which you would possib

ly see in the consolidated results. So, this is after absorbing those costs, we are reporting these results. But this is part of our plan. The fact is that we're investing in overhead there so that we can appr oach the market and to attack both the refurbishment market, which is for current third -party opportunities , also provide opportunities for current sales of new products.

Our ambition was to actually cater to our installed base in the Americas throug h our U.S. subsidiary. Unfortunately, given the trade conflict or the situation, billing of those orders for the rest of Americas outside the U.S. is difficult to do because of customer reluctance. They'd rather bill it directly on India, but it doesn't mean th at the efforts that the people in the U.S. subsidiary are not benefiting the Company directly.

We think that the enquiry levels, like I said, have grown by about 175% for the U.S. market, and that gives us a good cause for what may come in the coming quarters. But we think that the uncertainty, given the direct tariffs with India presents some uncertainty in finali sing the orders. If we stick at this 25 -odd percent level, the value addition that we do in the U.S. would be more. We have to see what we have to do with the Company by having a local presence in the U.S. has the flexibility to decide what value addition it will do in which jurisdiction so that ultimately, we can be competitive in front of the customer.

Moderator: Thank you. Next question is fro m Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: Nikhil, if you can help us understand we've been bidding for orders in North America. We have SADC where you've covered. I just want to get this right that in FY 26 and FY 27 and maybe Prasad ca n chip in here. Do you think we will take a longer time and the kind of contracts we have, these are contracts which are large value, maybe 2-3 domestic contracts equate to the one large Northern order , the kind of o rders we are targeting? Any co lour on how FY 26 and FY 27, we should see or you thin k this market will take much more time. And you can compare with the SADC, again, where we had a very strong aftersales trajectory?

Nikhil Sawhney: I'll let Prasad answer first, then I'll answer, ye s.

S.N. Prasad: Yes. What we see , delivery cycle wise or finalisation period these are quite normal . Whatever we have seen in the last 1 -1.5 years because our entry into these large -sized contracts as you recollect, since the l ast 1.5 years we are participating in this, and we are winning . So, these delivery cycles continue to be the same level sort of the scenario, both in domestic as well as the international markets.

But coming to this FY 26 or FY 27, as o ur Vice Chairman mentioned that the growth trajectory, whatever today, we have seen that we are confident and things are in place. This is only a lumpy quarter what we have seen that. Going forward, even in FY 27, our attempt is to smoothen that lumpiness , but we are not very sure as you know that these contracts linked with the deliveries of other items as well as in large projects, especially in oil and gas. But definitely based on the current pipeline and whatever the confidence we are having on our ac ceptability, so t here will be substantial growth there. We are on a positive traction on that.

Nikhil Sawhney: I don't know if that answered your question, Amit, but I think that as we reinforce what Prasad has said that the nature of the Company taking l arger value contracts means that we will be a little more lumpy . We've seen the impact of that this quarter and we are disappointed with that. It is learning for us also to smoothen it more ourselves, to not have these type of sho cks that can happen be cause of things which are out of our control.

But in general, the market is quite robust. The Company is in ver y good footing. We think t

hat our enquiry book indicates a good order booking and our order booking gives you an indication of the growth that the Company may have. So, in all fronts, we think that we're quite optimistic in the quarters to come. But of course, the fact is that a lot of the global uncertainty is out of our hands, we've tried and mitigated to the extent possible. I think Q1 has been a learning for us. And for that, we are disappointed.

Moderator: We take the last question from Priyesh Babariya from Mahindra Manulife Mutual Fund. Please go ahead.

Priyesh Babariya: Hi, sir. Good afternoon. Thank you so much f or the opportunity. Just one question with respect to the customer acceptability and also from the perspective of how easy for the customer, it is to actually switch the vendors, let's say, like we observed or we experience in the first quarter per se ?

Nikhil Sawhney: I'm sorry, are you saying that once an order is placed, how easy is it for someone to change the manufacturer? Is that what you're asking?

Priyesh Babariya: Yeah, correct. And even if it is not order placed, but let's say, how it is easy for the customers to actually , just like we experienced to the Europe an counterpart?

Nikhil Sawhney: Obviously, that's separated into two different timings. One is, we recogni se orders in our enquiry book when advances are placed and our adva nces are non-refundable and they're quite sizable. I would think that the only thing that you have from a customer's perspective is delay or deferment of orders, not cancellation of orders once an order is placed. And that could happen for a variety of reasons.

Before the order is placed, of course, it's competitive. And the point is that the customer is free to choose from other manufacturers as long as they comply with the stipulations and specifications that he may have. While the numbe r of

choice, the number of manufacturers out there is not enormous , it is very easy for someone to change manufacturers even at the last minute until an order is placed.

Moderator: Thank you very much. That would be the last question. I would now like to hand the conference back to the management team for closing comments.

Nikhil Sawhney: Thank you very much, ladies and gentlemen. Again, I'd like to reiterate the fact that while this was a disappointing quarter, the Company is quite confident on where it is placed. We continue with our recruitment, with our expenditures on a variety of different factors, including digita lisation and process improvement and customer satisfaction to ensure that this Company will be the benchmark for technologically driven mechanical equipment manufacturing in India, and we're well on our path to continuing to maintain our leadership in our cur rent product range as well as to introduce new products to allow us to take leadership in new and innovative markets. Thank you very much, ladies and gentlemen. We look forward to addressing you again in the next quarter.

Call: Nov 2025

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By E- filing

REF: TTL: SE: 11/08 Date: Novemb er 18, 2025
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STOCK CODE: 533655 STOCK CODE: TRITURBINE
Dear Sir/Ma'am,

Subject : Transcript of Investors'/ Analysts' Conference call held on November 12 , 2025

Pursuant to Regulation 30 read with Schedule III of the SEBI (Listing Obligations and
Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on November 12, 2025 for investors/analysts in respect of the
standalone and consolidated unaudited financial results of the Company for the 2
nd quarter
and half year ended on September 30, 2025.
The transcript is also available on the Company's website at www.triveniturbines.com .
You are requested to take this information on record. Thanking you,
Yours' faithfully
For Triveni Turbine Limited

Pulkit Bhasin
Company Secretary
M. No. A27686

Encl: A/a

Triveni Turbine Limited
Q2 & H1FY26 Earnings Conference Call Transcript
November 12, 2025

Moderator : Ladies and gentlemen, good day and welcome to the Q2 and H1 FY 2026 Earnings Conference Call of Triveni Turbine Limited . As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Rishab Barar. Thank you, and over to you.

Rishab Barar: Good day, everyone, and a warm welcome to all of you participating in the Q2 and H1 FY 2026 earnings conference call of Triveni Turbine Limited. We have with us today on the call Mr. Nikhil Sawhney, Vice Chairman and Managing Director; Mr. S.N. Prasad, Chief Executive Officer; Mr. Sachin Parab, Chief Operating Officer; Mr. Lalit Agarwal, Chief Financial Officer; and Ms. Surabhi Chandna and Amit Shah from the Investor Relations team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward -looking in nature, and a statement to this effect has been included in the invite, which was mailed to everybody earlier.

I would now like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will start this call with opening remarks from the management, following which we will have an interactive question -and -answer session.

I now request Mr. Nikhil Sawhney to share some perspectives with you with regard to the operations and outlook for the business. Over to you, Mr. Sawhney.

Nikhil Sawhney: Thank you very much, Rishab. A very good afternoon, everyone, and welcome to the Q2 H1 results call for Triveni Turbine Limited.

The quarter under review has shown a flat growth p

retty much to the same period as last year. But having said that, the revenue from o perations were at ■5.06 billion and EBITDA at ■1.33 billion and a profit after tax of ■914 million, all improved marginally on a year -on-year basis.

We're also pleased to report a record order booking of ■6.52 billion during this quarter, which is 14% hig her on a year -on-year basis, driven primarily on robust domestic order booking. As a result of which, the closing order booking as of the 30th of September stood at, again, an all -time high of ■22.20 billion, up 24% year -over -year. Over the past three year s, the outstanding order book has nearly doubled, underscoring the company's strong market position, consistent performance and is a testament to its sustained growth trajectory.

The Product segment turnover for the quarter was at ■3.29 billion, which is a marginal decline of 2% over the previous year. However, the Aftermarket turnover was a record ■1.78 billion during the quarter, an increase of 8% year -over -year. As a result, the Aftermarket segment contribution to turnover enhanced to a robust 35% in Q2 FY 2026 as compared to 33% in Q2 FY 2025.

Domestic sales declined by 20% to ■2.24 billion, while export sales increased 27% to ■2.82 billion. Export contribution to sales increased by 56% in the second quarter of FY 2026 as compared to 44% in the second quarter of FY 2025.

On the order booking, the company achieved record order booking, and this was largely driven by the domestic order booking, which grew at a very rapid pace of 52% year -over -year to ■4.07 billion and now contributes 62% to the overall order booking in the quarter. Export order booking at the same time declined by 1 9% year -over -year to ■2.46 billion, and it was impacted by certain global trade uncertainties.

On the Product side, order booking for the segment increased by 14% year -over -year to ■4.54 billion, and we continue to witness strong momentum in domestic markets in the segment of steel, sugar, cement as well as in terms of drive turbines for the utility power segment. The Aftermarket business has been expanding its horizons as wel l through a

wider array of customer solutions going beyond industrial steam turbines to other rotating equipment s, while still expanding its global footprint.

During the quarter, the segment reported a record order booking of ■1.99 billion, which included new marquee orders and led to a growth of 15% year -over -year when compared with the corresponding period of the previous year. The outstanding positions, as I've stated, are record at ■22.2 billion and which is 24% higher year -over -year. Domestic outstand ing order book is also at an all -time high of ■10.96 billion, which grew 55% as compared to the previous year. At the same time, the export outstanding order book stood at ■11.23 billion as on the 30th of September, up 3% and contributes 51% of the closing order book.

Our order booking is a reflection of our enquiry book, which remains extremely healthy and gives us good visibility in terms of order booking, not only in the near term, but in the medium term. This comes from a variety of different sectors and geographies and gives us confidence that not only will we see and continue to see growth in the domestic market in terms of growth of enquiry book, but equally in the export market, which may get delayed in terms of order finali sation given global uncertainties. Having said that, our confidence in terms of growth in both segments and their contribution to revenue remains very optimistic.

There's an update that the company has in terms of its subsidiary, which is TSE. We recently announced the acquisition of the remaining 30% equity stake in TSE Engineering Pty. Limited in South Africa for a cash consideration of ZAR 10.97 million, which is ■56 million. And after the consummation of the acquisition, TSE sha

ll become a wholly owned step -
down subsidiary of the company. This is in line with the company's strategic objective to consolidate its ownership and strengthen operational control over its subsidiaries. The move will enable simplifying the group structure, enhance decision -making and agility, while at the same time, aligning the group's long -term business goals, which would reali se operational synergies and cost efficiencies through a unified management and streamlined process.

The outlook for the company, as I said, remains very confident. As we've stated in the Q1 earnings conference call, the growth for financial year FY 2026 will be back ended. Q3 and Q4 will represent higher growth rates in terms of revenue, but this is a reflection of two things. One is the order book that we have at that point in time and the execution that the customers demand. And at the same time, it was also slightly delayed

due to the uncertainties, which pushed some Q1 revenue on to subsequent quarters.

But the revenue from operations has declined in the H1 by 9% year -over -year to ■8.78 billion as compared to ■9.54 billion in H1 FY 2025. And the profit again was down by 9.1% year -over -year. And this decline on the half year basis is something that we not only aim to make up but grow on in the coming quarters.

Having said that, the company continues to focus on R&D in terms of developing new products and as well as commerciali sing those products with our customers, not only in India and internationally. We'd be happy to give an update in terms of the enquiry levels that we're receiving for our new carbon dioxide based heat pump as well as certain other new products that we've introduced into the market. There's been a very good reception to this technologically robust solution that we've brought. But at the same time, it allows the customers to understand the prowess that the company shows in its technological development and to position itself as a leading capital equipment provider globally.

I also have another update on our Investor Relations lead. Ms. Surabhi Chandna, who has led the Investor Relations & Value Creation function at Triveni has decided to pursue external opportunities and today is her last working day. While we will appoint a new Investor Relations Head, Mr. Amit Shah will be taking over from her, and he can be reached at ir@triveniturbines.com. His contact details are also in the investor brief.

With that, I'd like to turn it over to question -and -answers. Back to you, moderator.

Moderator: Thank you very much. Ladies and gentlemen, we will now begin the question -and -answer session. Anyone who wishes to ask questions may press * and 1 on their touch -tone telephone. If you wish to remove yourself from the question queue, you may press * and 2. Participants are requested to use only handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Teena Virmani from Motilal Oswal Financial Services. Please go ahead.

Teena Virmani: Hi. Thanks for taking my questions. I have two questions, one on export and one on domestic. So, on the export order booking, just wanted to

understand from you on what is actually delaying the customer decisions in terms of CapEx and ultimately placing the orders? And when can we actually start seeing this CapEx revival activity to start happening, both on the Product side as well as on the Aftermarket side? And how is Triveni positioned to capitali se on that? This is my first question.

Nikhil Sawhney: Okay. I'll answer a little bit , and then I'll ask Mr. S.N. Prasad to update you as well. In the domestic market, like I 've said during my opening remarks, we see growth coming on the Product side from the steel, cement , and utility power drive turbine market.

We've had some good successes, and we believe that there is enough impetus for these segments to grow in the coming quarters and coming years as well.

There is steady growth in the base infrastructure segments in India, and we see that continuing in a sustainable manner. At the same time, given the large power requirements and energy requirements in the country, there's a very rapid growth in the utility turbine space , while we do not provide turbine for utility power generation, the auxiliary power requirements are met through our turbines as well. And that's on the domestic side, which gives us confidence on the Product growth.

On the Aftermarket side for the domestic market, we have a large installed base, and we 've seen that growing quite rapidly. Our refurbishment solutions here also are able to provide solutions to customers. We think in the coming quarters that will also reflect good growth.

On the export side, while you did allude to the fact that there's been deferment and delay of order placement . One of the larger markets, which has disappointed on the product ordering has been the United States, which we believe given some of the trade uncertainties going away would lead to finali sation. We have finali sed orders, but we have not taken them into our order book given the fact that we have currently not received advances o f those, given uncertainty around the exact tariff structure.

Having said that, we are quite confident that the margins exist for us to work well with our customers , to ensure that both parties are happy given the uncertainty around the tariffs. But at this point in time, this quarter and the last quarter has led to a little bit of uncertainty in the U.S. market.

Having said that, the enquiry base remains quite resilient and robust. We think in other markets in Europe and the energy transition market is actually performing well. Even in this current quarter, we've had very good order wins. And I think that, that will continue.

Southeast Asia as a market seems to have been underperforming for us. The Middle East seems to have done well. And we think that both from an aftermarket as well as product basis, the export market will continue to be the mainstay driver of the growth of the business. The domestic market growth in this current quarter is something that has happened after several quarters and is happening with a lag. FY 2025 was a low point in terms of order booking on the domestic market and we anticipate that these orders coming through in H1 of this current year, but we believe that, that will continue into H2 as well.

While domestic margins are slightly lower, I think that the company's robust product mix and the fact that we have done intensive work in value engineering means that we do not foresee any pressure on margins.

Prasad, do you want to add anything , because I'm sure this is a question that many investors will have. I'll ask Prasad to comment before I take your second question, if that's fine, Teena.

Teena Virmani: Yes, sure.

S.N. Prasad: So as our VCMD mentioned rightly so , one thing, international market we are seeing a traction, and we are quite happy the way how enquiry pipeline is getting built up in international markets. But there is a finali sation getting delayed because of the tariff issues and people still not very clear how these opportunities get into the finali sation mode. Otherwise, enquiry pipeline wise, a strong enquiry pipeline built up compared to the previous year around the same time and now where we are seeing. So, across the regions there's enquiry pipeline. It is not getting focused in one region. Across the international regions, it is there.

So, by seeing the current finali sation pattern, we are hopeful that H2 is going to be interesting half year for us. As our VCMD mentioned, some of the jobs where we concluded and we could not able

to take those
advances because customers want to wait and see how the se tariff structures finally emerges. That is the thing.

As a domestic market, yes, we are bullish. Market is going good. And our traction is good in the areas where both the steel as well as cement and some of utility power drive turbine market business.

Teena Virmani: So, the run rate that we saw in the domestic market on order inflow side, can that kind of run rate be sustained in the coming quarters or that can improve in the coming quarters?

Nikhil Sawhney: No, no. Like I said, the domestic market ordering happened because of a low base in the previous year. I would encourage everyone to look at our growth on an annual basis or a trailing 12 -months basis. And given that we see steady growth, but I think to anticipate 50% growth quarter -on-quarter continuing, you know yourself that the domestic market is not growing that rapidly. But to say if it would grow by 20 -plus percent or 25%, yes, I think we could anticipate that to be a reasonable growth rate annualised for the next couple of years.

Teena Virmani: Okay. So, this domestic at least can take some burden off from the slowdown that we are seeing on the U.S. side or on the international side on ordering front this year it is for FY 2026?

Nikhil Sawhney: I think if you look at our entire order book growth of about 22 -odd percent, it gives you an indication because ultimately, all our orders have to come from our order booking. It gives you an idea as to what growth we have seen as a business and as a company. And so, we see growth in all the segments.

We see Product growth internationally, domestically. We see our Aftermarket growth also in both areas. And we see our new products also increasingly and new technology introductions increasingly also gaining some traction. Of course, they will not be a large driver to the turnover because they're still entering the market, but it provides us a good runway for stable revenue in the quarters and years to come.

Teena Virmani: Understood. One thing you've already highlighted that higher domestic execution will not have too much impact on the margins. So, would that be right to assume that even if domestic execution increases because order inflows are better on domestic side right now, our margins would broadly remain in the range of 20%, 21% or can go down a little bit?

Nikhil Sawhney: No, I think the fact that if you look at it on an annualised basis, we have no problems in our margins. This is, of course, a reflection of execution in terms of product mix and product categories. But every order is unique, and we remain quite upbeat about the fact that margins will not be impacted.

You have certain benefits of increased turnover in terms of overhead absorption, which should also cover the fact of high domestic sales. But you are right to point out that domestic sales do carry a lower profit margin. We have certain orders that we are executing with NTPC as well, which are of lower margin because it's a larger package size for our energy storage project. But having said that, we think overall as a company, these will not have a material impact.

Moderator: Thank you. Ladies and gentlemen in order to ensure that the management will be able to address questions from all the participants in the conference, kindly limit your questions to two per participant. Should you have a follow -up question, please rejoin the queue. The next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Thank you very much for the opportunity. Firstly, as you mentioned on that NTPC large ESS order, could you give us an update on the execution progress? And also, are the margins in line with our earlier expectations? Has any clarity emerged in terms of where we will end up in terms of margins while executi

ng?

Nikhil Sawhney: No, I think the margins, this project is currently under execution, and it is stated to be commissioned in the first quarter as per plan, as per our commitment as well in first quarter of FY 2027. Having said that, this as a project will follow a cost of completion revenue recognition, and so a lot of the costs will be recognised in this current year. As far as margins go, there's been no surprises or pretty much all the purchase orders that have to be placed have been placed, and so the costing is quite accurate. Prasad, do you have any update to add on that?

S.N. Prasad: You're right. It's progressing quite well. More or less, we'll be meeting the committed schedules. And even cost -wise everything under control. We are not seeing any surprises.

Harshit Patel: Understood. Secondly, as you mentioned, we have seen the substantial growth coming back in the domestic orders in the last two quarters. Could you highlight whether is this because of market share gains for us, more penetration into the API market or whether this is mainly driven by the general uptick in the market? Also, have we witnessed any change in the intensity for smaller peers? Are there any peers who might have exited the domestic market?

Nikhil Sawhney: No. Actually, so the majority of the domestic market is catered to by Siemens and us in the industrial space. And so, people coming and going,

you're talking about a few turbines here and there. It's not significant in the market as large as India. So, for the current quarter, yes, there has been some market share gains, especially in segments which require high -specification API turbines such as for drive applications, for boiler feed water pumps, for utility turbines, which are sporadic and lumpy in nature. As you know, utility turbines come about infrequently.

But at the same time, there has been a growth in the market as well. The entire market has grown to the extent that there's larger capacities, which customers want. There's momentum in the commodity sectors of steel, cement, paper. Even but actually, even in areas like sugar and distilleries, we're seeing some orders still. So, I think that is the comment that I have right now.

Moderator: Thank you. The next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Thank you so much for the opportunity. First question is on the inspection, which delayed the dispatches. So, as we speak today, what is the situation on that front? And second, we can see eve n in H1, the domestic revenue has declined by almost 20%. So, is there anything on the domestic side, which is kind of constraint? And I think even the run rate per quarter has been around ■200 crores versus ■250 crores last of whole year. So, clarity on t his. Thanks.

Nikhil Sawhney: Amit, so there are a couple of questions there. Firstly, our execution is dependent on the order booking. So, our order booking in the domestic market was weak in FY 2025, and that is what is getting executed now. The fact that we have a higher order intake from the domestic market in these current quarters would mean that in subsequent quarters, maybe a year down the road, you would have higher domestic as a percentage. But having said that, we still have 51% of our entire order book from the export market. So actually, the mix won't change that much. It just means that the domestic has shown a greater growth. Sorry, your second question was?

Amit Anwani: The dispatches?

Nikhil Sawhney: Yes, dispatches, we sell over 200 turbines a year and pretty much all turbines have some degree of inspection that is required, especially with more sophisticated customers. So, this is a routine issue that happens continuously. There were some extraordinary situations that happened in Q1, which deferred inspection because of a lot of hostility in our region.

So those have not happened. And so very frankly, we see the inspections continuing.

The fact that we have to catch up on some of the deferred revenue with the revenue that was meant to happen in Q1, which will happen by Q3, Q4 is something that we're quite confident on. But Sachin, would you like to comment on any aspect of inspection deferring revenue for Q3 and Q4?

Sachin Parab: No, I think those initial hiccups we've been able to overcome, and all the inspections are happening as per plan. And our EPC customers and the end customers are both cooperating. And based on our past learnings, we are able to schedule them adequately in advance and give them enough notice so that there are no surprises as we proceed further. So, I do not expect any hiccups due to the inspection delays. Thank you.

Nikhil Sawhney: In fact, to answer your question in a different way, given our learnings from Q1, the team has not only put in contingency measures and redundancy measures for if things go wrong for one but has at least three or four different options, given everywhere from inspection to transportation to loading and other aspects which may defer and delay the dispatch our revenue recognition.

Amit Anwani: Sure, second question on the U.S. where we did invest . So, you did highlight that are still a challenge. Just want to understand, are we seeing a prolonged challenge in U.S. market? We were expecting that there would be some revenue at the end of this FY or maybe early next year. So just wanted to have more colour on the U.S. business. And you did also highlight , we are focusing on non -turbine business for Aftermarket , so are we going to look for exports, especially U.S. also? So, some colour on these two aspects.

Nikhil Sawhney: Yes. Well, to answer your second question first, and then I'll ask Sachin to answer the question on the U.S. market growth and revenue for this current year and going forward. The focus has been on the refurbishment market for the U.S. because we do not have a large installed base there, so our direct selling of spares and service is obviously considerably smaller as a business for the U.S. market.

The refurbishment space is quite encouraging. We have good enquiries. And most of the growth in revenue that will come about in the short term within this year as well as the next couple of quarters of FY 2027 will be from the refurbishment space. And we have good orders coming in that category, which will get executed from our plant in Houston itself. Sachin,

would you like to talk a little bit about revenue in FY 2026, 2027 from America?

Sachin Parab: So, because of the reasons stated earlier, there have been some delays on the product order finalisations. Although, the orders are very much in the pipeline, it's just a matter of finalisations and getting the advances. But on the refurbishment business part, this has absolutely not affected us or whatever the tariff issues that the economy is facing. So we've been able to execute orders that we have been getting. The enquiry generation for refurbishment business is also good.

In fact, with now the track record of more than a year in the U.S. market for our workshop, we've been able to successfully execute a couple of orders and the references that they have generated are very encouraging. Besides, we have some very solid satisfaction comments from the orders that we have executed, and those are helping us make inroads into new customer segments for the refurbishment business.

So primarily this financial year and beginning of the next, refurbishment will be driving the revenues as per the plans. But because of the little bit of a slowdown on the Product business, our overall business plans in terms of revenues might take a little bit of a pushback. But otherwise, on the refurbishment front, it is very, very buoyant, and we are very confident as we enter i

nto the second half of this financial year. Thank you.

Amit Anwani: Sure. Finally, you said back -ended growth. So, are we targeting at least double -digit growth for FY 2026 versus F Y 2025?

Nikhil Sawhney: I think it's better we don't really give guidance as such. But I think you have an idea of where our order book sits and you could interpret that in whichever manner. I think I'm happy to say that it would be growth. A single -digit growth number is very little, and I won't be particularly satisfied with that. Let the next quarter finish and then you'll get a better idea as to what our potential will be.

Moderator: Thank you. The next question is from the line of Mohit Surana from Monarch Networth Capital Limited. Please go ahead.

Mohit Surana: Thank you for the opportunity. A couple of questions. One, with respect to the inspection schedule. So, I believe these inspection schedules are done once the product is ready for verification. So just for my understanding, if the product is ready and if the inspection schedule has been on track in this quarter, any reason why it would take another three

to six months for us to deliver and book the revenue? That is my first question, and then I'll ask the second one.

Nikhil Sawhney: I didn't fully follow the question, but the point is inspection is based on customers' readiness to accept the turbine also. So the uncertainties that led to deferment of revenue in Q1 are not due to product readiness, but because of the fact that when the customer is willing to accept the order. So, the deferment of inspections can happen at any point in time. In fact, if you look at our balance sheet on a six -month basis, you'll see that inventory is significantly higher also, which is what will give you the confidence into the revenue in the coming quarters.

Receivable is also higher, but that is something driven by the nature of the orders that we have from API as well as export customers, which is a difference between the revenue recognition norm that we have and the billing that the customer would have. But net -net, at the end of the day cash flow for the company doesn't seem to be a problem. We think that these will all get normalised in the coming quarters.

Mohit Surana: Understood. On that point, how much is the lead time for us to make the product from the time we get the orders and supply? And one another is, how much is the advance in terms of the total cost of product that we take from the customers?

Nikhil Sawhney: Our product s are customi sed. 2 MW turbine is customi sed, 100 MW turbine is customi sed. And each customer is different and distinct, and they operate in different environments and different commercial terms. So, the type of advances, we always get advances from customers, but it will depend from customer -to-customer and industry -to-industry in terms of what are the standards there. But I would say that these are common across the capital goods industry to get significant advances. It's difficult for me to put a range, but it would be anywhere between 10% to 30%. Now it will depend from customer -to-customer.

Moderator: The next question is from the line of Ravi Swaminathan from Avendus Spark. Please go ahead.

Ravi Swaminathan: Hi. Thanks for taking my question. My questions are related to the domestic market. In terms of pipeline, earlier we used to give in gigawatt terms through the size of the pipeline for the domestic market. If you can give what it is currently and how it would have grown compared to last year, that will be great.

And in the domestic market, sub question is, would we have gained market share in the domestic market given some large orders which were there. And you had mentioned about good traction in steel, cement and sugar. Can you give commentary on the other sectors also where is the overall order book wise?

Ni

khil Sawhney: Yes. Thank you. There are many questions in there. Firstly, on the enquiry levels, we've seen a robust growth in the domestic enquiry levels . I'm hesitant to give numbers because the fact is that we don't tend to give numbers on a quarterly basis. And I think that we should try to give these numbers of actual enquiry levels on an annual basis. The reason is that, very frankly, an enquiry can last for multiple quarters on the book. And so, when it changes quarter -to-quarter, I think it doesn't give a correct impression as to where the company stands.

But having said that, I'll ask Prasad to tell you a little bit about where he sees the demand coming from the domestic market. Prasad, if you could just share some updates .

S.N. Prasad: Yes, Ravi. So domestic marketwise , even though numbers, we could not able to share them exactly, as our VCMD mentioned that on the pipeline. Pipeline is quite robust because we are seeing enquiries coming from steel, cement, we are seeing. And we are also seeing process cogeneration segment; we are quite bullish. So, this compared to FY 2025, which is quite a muted year for the reasons known to all of us, we are seeing all that markets getting opened up on that. So, the pipeline is good.

And second thing, even whatever order finali sations we have seen from all segments what we have noticed in current quarter, especially in the domestic market. Now even there, when we are talking of the market share, yes, we are maintaining the market leadership position compared to previous year. So, a couple of points increase there on the market share in a growing market. That's why I can say, because this we are expecting even Q3 stronger domestic market will continue by seeing the enquiry pipeline.

Ravi Swaminathan: And second question is with respect to the API turbine market, if you can give directional trajectory commentary on both domestic and international markets, how it is panning out this year vis -a-vis the previous years?

Nikhil Sawhney: Prasad, why don't you give your opinion.

S.N. Prasad: Yes. So, API market, as in the previous quarters also what we have shared, yes, we have been registered with various oil and gas companies and EPCs that is continuing, strong enquiry pipeline there. And we got some repeat orders from some of the globally prestigious refineries that is adding into our reference list.

And the second thing, enquiry pipeline, both domestic and international, API enquiry pipeline is quite strong , since we are there in the API drives as well as the power generation turbines. So, I think this segment is going to be a strong segment for us, continue to lead the growth. Thank you.

Ravi Swaminathan: Great. And my last question, with respect to the export mix, if it is possible if you can give the geographical breakup Southeast Asia, Europe, Middle East, Africa?

Nikhil Sawhney: On the export side, Middle East and Europe continue to lead as markets for us. The U.S. has been slow. Southeast Asia has also been slow. But on the refurbishment side, actually, Asia is a good market and so is Central South America. And actually, refurbishment is coming from everywhere.

Even in India, the demand recovery is coming from all sectors. We don't see any particular sector, including distilleries and sugar, which may have other reasons for it to be muted. We see the demand coming from all sectors. So, it's sort of broad -based. No one sector is really shining out more than others apart from maybe the utility power turbines, which for us the drive turbines for boiler feed water, which is very lumpy and has come up after many, many quarters.

Moderator: Thank you. T he next question is from the line of Chirag Muchhala from

Centrum Broking. Please go ahead.

Chirag Muchhala: Thank you. Two questions. So first is on the drive turbines for utility power. As you mentioned,

the auxiliary requirement is healthy. So, can you just elaborate a bit more on the size of this market in domestic market? And I mean, other prequalification criteria s, competition, et c.

And second question is, like you mentioned, we in last year quarter -end gotten into heat pump and related products foray. So how is the experience and our products acceptability? These two things, if you can elaborate on?

Nikhil Sawhney: Yeah. Prasad, would you like to take the first question on the size of the boiler feed water pump drive turbine market and growth?

S.N. Prasad: Yeah. I'll take this. So, this utility segment, large utilities, yes, they need boiler feed water pumps. And this is falling within our range. This is something like around 15 to 20, 22 MW sort of a range will be there. But each utility project, whatever you are reading in the newspaper, normally will have two turbines sort of a thing. What we are seeing based on the current trend, this market will be something like around 50, 55 turbines market there.

And we are approved vendor with all these major developers as well as like NTPC and all these sorts of things . So that is the size of the market roughly around maybe closer to 8 GW size of the market will be there. But that will spread into now couple of years sort of a thing because by seeing how this utility is 800 MW or 600 MW gets into that. That is the thing. We are approved by all EPCs as well as NTPC and all. Thank you.

Nikhil Sawhney: On the heat pump side, actually from the point of the last conference call that we had, we've had good success. More than that, the enquiry pipeline has built up quite considerably for our product range. In fact, we've also had good success in another product range, which is called MVR, which is a mechanical vapor recompression compressor, it's like a steam compressor, which when coupled along with the heat pumps is providing very good solutions to our customers.

Prasad, do you want to give a little bit of idea as to how these new products are faring in the market?

S.N. Prasad: Yes. So, coming to the heat pump, one demo unit we established at our Peenya facility. This is the world's first when it comes to the temperature wise. We are giving a hot water at 126 degrees, CO_2 -based heat pump. So, these have given a very good traction. The enquiry pipeline is building up. A lot of visitors are coming and seeing here this being the world's first. So, we are very bullish on that the customers who are looking for that high temperature, that will be the market on that.

So, coming to this new technology products, one is the MVR, what previous calls, what we mentioned that. We picked up some orders from this MVR segment. This is basically mechanical vapor compression that is a low -pressure steam compression. We picked up commercial order s and we'll be delivering first MVR sometime quarter one of the next financial year. That enquiry pipeline is also building up.

Now since these orders around eight to nine compressors we have to supply as per the first purchase order. So, we are confident that will give access to us to more customers from this. So, these are the two areas where we are seeing things are going good for us. Thank you.

Chirag Muchhala: Okay. Thanks for it. J ust one clarification. This 50 to 55 turbines market that you mentioned for the 15 to 22 MW utility range. So has this market always existed, and we are new entrant in that? Or this is something which has recently come up because of change of technology, et c?

S.N. Prasad: So, this is like a new market for us

Nikhil Sawhney: The utility turbine spacing always existed. It was largely catered to by people like BHEL and imports. It's newer for us as a company to cater to.

Chirag Muchhala: Okay. Thanks.

Nikhil Sawhney: But this gigawatt order of turbines will get sold over the

next two, three years.

Chirag Muchhala: Sure.

Moderator: Thank you. W e'll take the next question from the line of Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu: Yeah. Hi, team. T wo questions from my end. One is just from a capacity standpoint, right? And I'm talking about whatever happened in Q1, right? From a capacity standpoint, because there were delays in inspection, they did by any chance, hinder our sales that we did in Q2? What I wanted to understand was that from, again, space or capacity standpoint, what could be the loss right in this year of sales? Or how should at least we think about it? I'm not asking for a number, but on the ground, on the factory side, are there any constraints because of which some part of the sales you might not be able to recover this year?

Nikhil Sawhney: It's not because of capacity. We are not a capacity -constrained firm, but orders can get deferred due to customer acceptance.

Prolin Nandu: No, Nikhil, I'm sorry. I get your point. What I'm saying is that because of that customer acceptance, turbines are lying in your factory. Could it hinder you r sales?

Nikhil Sawhney: No, no, it doesn't fully l ying in the factory. The point is it's at different stages of manufacturing. So, you don't necessarily have to keep it at that stage or fully ready. You do it as to the timeline that the customer has. So whatever was lost in Q1 will try and get deferred. But you are right to one extent that the revenue that we have to catch up on in Q3, Q4 will put some pressure on the team. Capacity is not the constraint. It is actually one of the capacities of our vendors and our subcontractors, which becomes a coordination problem for us. And I think that the team is seized of the issue. But very frankly, if we have to continue to grow and to generate revenue on a quarterly basis, which is high, then these are matters that we'll have to deal with on a routine basis.

Sachin, do you want to give some more confidence around the capacity issue?

Sachin Parab: So, see, we have been expanding our capacity for production in our mother factories. Also, there has been a constant effort throughout the last couple of quarters to gear up for meeting the volume growth in business. Therefore, the supplier base, both in terms of our supply chain vendors as well as our subcontractors, the base has been increasing. We are going beyond the existing geographies of vendor base, and we are expanding the vendor base so that we equip ourselves to ramp up the volumes as the market requires.

So, we are today in a position to take up shorter lead time orders. We are able to take up orders which have longer gestation period because we have broad -based our vendor base. So, both in terms of physical infrastructure in the mother factories as well as our ecosystem of suppliers, we have geared up in terms of expanding to meet the ramp -up in the market. Thank you.

Prolin Nandu: Thank you, Prasad, and thank you, Nikhil for that. S econd question would be, again, whatever happened in Q1 because of issues at the domestic end, which is geopolitical and beyond our control. And what right now we are facing in U.S. in terms of tariff or some slowdown in Southeast Asian market as well. Do you foresee any permanent or I mean, some lasting slightly medium -term damage on our capability to cater to the market, whatever our original plans were, right? Has it created any sort of doubts over those plans? Or has it also opened up any opportunities, right, because tariff is something which maybe other countries also face.

So, anything that you want to touch upon as to, let's say, whatever happened locally because of geopolitical issues in Q1, this tariff issue in

U.S. as well as slowdown in Southeast Asian countries, anything that will lead to any permanent damage for us or any gai

ns also which might not be immediately visible to the larger audience?

Nikhil Sawhney: No. I think the fact that our strategy stays the same, which is to be asset - light and be nimble and dynamic. I think the uncertainty only reinforces our strategy to be the correct one. Our expansion into local markets, yes, the U.S. experience has shown us that there can be uncertainty, which can lead to deferment of business plans. That's all that happened that the business plan has got a little deferred, but it's been compensated by growth in other areas.

The good thing about our business model is that we're very diversified, not only in terms of the geographies that we cater to, but the products and the application of those products in different industries. So, demand comes up in different areas. We can't really generate the demand. This is something that has to be generated by the market. And so, to the extent that certain enquiries are taking longer to convert in certain places, doesn't take away from the fact that there is latent demand in that, and it will eventually come into the market.

So I don't think anything has changed. What has happened is for FY 2026 is that some of the revenue has gotten deferred. And so from a growth perspective on a year -on-year basis, that would get reflected. But it doesn't take away from our longer -term aspirations and strategy.

Moderator: Thank you. The next question is from the line of Rehan Syed from Trinetra Asset Management. Please go ahead.

Rehan Syed: Good afternoon to the team. And thank you for taking my questions. As my most of my questions are answered, so first, I want just a bit understanding on the R&D side. So could you provide me just Triveni has consistently mentioned new product and technology introductions. So could you provide specific for any efficiency upgrades, higher capacity designs for module or turbine platform developed through in -house R&D and collaboration, just an understanding would be nice.

Nikhil Sawhney: I don't particularly understand your question, but this is a routine process within the company. We just emphasise the amount of resources that we have in our R&D team to produce the outcomes. There's a continuous process that to upgrade the efficiencies, upgrade speeds and reduce costs and ultimately deliver better customer satisfaction. That lies at the core of the KRAs within the R&D team.

Rehan Syed: Continuing with this thing, let's say exploring if there's an opportunity with the small hydro , geothermal or green hydrogen wind turbines. So, where your existing design and manufacturing capabilities can be leveraged?

Nikhil Sawhney: It is small hydro is a completely different segment. This is not, we manufacture high -speed turbines and expanders, which use steam as a fluid and now we use certain other fluids like carbon dioxide also. We are specialised in those areas for fluid dynamics and structural analysis and would stick to those type of areas where our capabilities match.

So, for example, geothermal is an area that you talked about right now that is very much in our focus. We have products and solutions for that. We have customers in that segment, and that is a growing segment globally. It's not only for new products, but also for refurbishment and other solutions. So, depending on application to application, of course, R&D does come up with new products, which can cater to our capabilities.

Moderator: The next question is from the line of Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian A: Good afternoon. Thank you so much for the opportunity. You have mentioned about the allocation in enquiry to order conversion cycles on the global levels. What are the current average conversion times for domestic versus international orders? And secondly, on the API side, international enquiry pipeline for

API, oil and gas turbines have been increased more than 200% on the enquiry side. What is the typical deal size and margin profile for these projects compared to your standard power generation turbines? And given the long gestation periods in oil and gas, what is the realistic timeline for this robust enquiry pipeline to translate into material business?

Nikhil Sawhney: So firstly, I don't think we said the enquiry level has increased 200%, but it has been robust for APIs. APIs continues to be a market which will drive the nearer term growth for the company. And so, it will continue to be a focus. The enquiry to order conversion time is, you are right, it is different in the domestic market and international market. In the international market, it's a little bit longer. In the domestic market is a little bit shorter.

Now these will all depend not only in terms of the industries in which you are getting orders from, but also the size and the applications. If it's a brownfield project, you would imagine that you would understand that it

would be quicker enquiry to order conversion. The greenfield projects have longer gestation periods in terms of ordering. So, it is very difficult to be precise on it. Some enquiries can last on the enquiry book for, I don't know, 1.5 years, two years. Some could be as low as three months.

Balasubramanian A: Okay. And secondly, market share side, you're maintaining around 55% kind of market share in domestic less than 100 MW market. And this growth is majorly coming from taking share from main European MNC competitor or from the exit of smaller unorganised players?

Nikhil Sawhney: It's more of the latter and also the fact that the market is growing also. So, we're benefiting from growth, a growing market as well as incremental growth in market share. This is happening both in the domestic as well as international market.

Moderator: Thank you. The next question is from the line of Bimal Sampat, an Individual Investor. Please go ahead.

Bimal Sampat : Yeah, good afternoon. Now this is just a broad question. One is, now America, you are saying that there is uncertainty, but is there uncertainty on the refurbishment also or that is growing well?

Nikhil Sawhney: No, no. The refurbishment is fine. Actually, in the U.S. provides us, we have good LOIs in place already. They're just pending some certainty as to where the tariff lies. No one wants it to be that, yes, currently, our tariff is somewhere in the region of about 56 -odd percent for our product range. And that's quite large, as you would imagine. So given the fact that every day someone is saying that tariff will be brought down and not brought down, and that uncertainty people are fine waiting a little bit. We think that that will get sorted out in the next couple of quarters.

As you would understand, from our perspective, refurbishment is one of the reasons why we set up the entity there. So that will drive growth. It's just taken us a little bit longer to get the orders on the refurbishment side. But we're quite confident that given the large capital base in the U.S. and given the fact that we have good success in the order that we've already supplied that we're building good customer acceptability to our value proposition and our capabilities. So, we're quite confident that, that will work.

Bimal Sampat : And our CapEx, any deferment of our CapEx because of these uncertainties? And what will be the CapEx for the new products like your heat pump and MVR?

Nikhil Sawhney: When we said that we had a CapEx in the beginning of the year, it will all fit within that. The CapEx is in this current quarter was somewhere in the region of about ■30 -odd crores, but that included setting up a heat pump and setting up new offices, etc. Net -net, at the end of the day, I think CapEx is going to be, is to the extent that we need

to balance certain capacity we will always have routine CapEx in the plant from a perspective of tooling. But we have no plans right now of setting up new factories or new workshops.

We already have an expansion underway in our Sompura facility, which will get capitalised by a majority of it by the end of this year which will be ready by June, July, which will add further capability. But what we have already commissioned within this current quarter is a test bed for testing our turbines and rotating equipment at real life definitions with dynamometer power production.

Bimal Sampat : That is the fifth one, sorry to interrupt. That is the fifth one in the plant. We had four and this is the fifth one, correct?

Nikhil Sawhney: No, we had three. This will be fourth.

Bimal Sampat : Fourth, okay. And so how much place is there, so how much more we can put at the same location?

Nikhil Sawhney: I think after this fourth plant, we will still have about half the land available, or maybe 40% of the land available.

Moderator: Thank you. Ladies and gentlemen, this will be the last question for today from the line of Vinod Chari from PhillipCapital. Please go ahead.

Vinod Chari: Yes, thank you for this opportunity. You mentioned in one of your comments that you are looking at the utility -sized turbines. So, what is the range of steam turbines that we are looking at?

Nikhil Sawhney: No, no, no. We said we're looking at the market for utility steam turbines, which require our range of turbines for auxiliary power. So, we're not planning to make utility steam turbines.

Vinod Chari: Okay. The second question I had is you mentioned a 7GW steam turbine market globally. What is the dollar value for this market?

Nikhil Sawhney: Very difficult to say, because it all depends from customer to customer. But you could take something in the range of $200,000 - $250,000 per megawatt.

Vinod Chari: Okay. And globally, I think gas turbines are making a comeback, and I think most of it is combined cycle plants. So, what would be our opportunity in the WHR is? What kind of a TAM we are looking at globally?

Nikhil Sawhney: No, it is a market. The only point is that to get in say, in the United States, the majority of the turbines are coming up on simple cycle with possibly a combined cycle add -on later. Because the availability of regulatory approval for water and other environmental concerns, I think takes a little bit more time. We do have very good enquiries in this space for combined cycle with our partners. But we do also have it in distinct operations for data centres, be it from novel or new renewable -based applications like small modular reactors and micro reactors and geothermal, etc.

But currently, at this point in time, we are quoting into the combined cycle market for data centres. And let's see where it comes to, but I think the market is quite large. I would imagine that maybe about 20% of the gas turbine setup will come in a combined cycle form, of which I would say 80% would go to OEMs that have steam turbines with them. And so our total addressable market would be constrained to that extent.

Moderator: Thank you. Ladies and gentlemen, as that was the last question for today, I would now like to hand the conference back to the management for closing comments. Thank you, and over to you.

Nikhil Sawhney: Thank you very much. Ladies and gentlemen, thank you for joining this call. We look forward to hosting you on our third quarter nine months results in February. In the meantime, do reach out to Amit Shah, his numbers are on the con call invite. And we look forward to engaging with you next quarter. Thank you.

Moderator: Thank you, members of the management. On behalf of Triveni Turbine Limited, that concludes this conference. We thank you for joining us, and you may now disconnect your lines. Thank you.

Call: Feb 2026

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By E- filing

REF: TTL: SE: 02/0 6 Date: February 10, 202 6
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Dear Sir/Ma'am,

Subject : Transcript of Investors' / Analysts ' Conference call held on February 4, 202 6

Pursuant to Regulation 30 read with read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on February 4, 2026 for investors/analysts in respect of the standalone and consolidated unaudited financial results of the Company for the 3 rd quarter and nine mo nths ended on Dece mber 31, 2025.
The transcript is also available on the Company's website at www.triveniturbines.com .
You are requested to take this information on record. Thanking you,
Yours' faithfully
For Triveni Turbine Limited

Pulkit Bhasin
Company Secretary
M. No. A27686

Encl: A/a

Triveni Turbine Limited
Q3 & 9M FY26 Earnings Conference Call Transcript
February 04, 2026

Moderator: Ladies and gentlemen, good day and welcome to the Triveni Turbine

Limited Q3 FY 2026 Earnings Conference Call.

As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the call, please signal an operator by pressing * then 0 on your touchtone phone.

I now hand the conference over to Mr. Rishab Barar from CDR. Thank you, and over to you.

Rishab Barar: Good day, everyone, and a warm welcome to all of you participating in the Q3 and nine months FY 2026 earnings conference call of Triveni Turbine Limited.

We have with us today on the call, Mr. Nikhil Sawhney, Vice Chairman and Managing Director; Mr. S.N. Prasad, Chief Executive Officer; Mr. Sachin Parab, Chief Operating Officer; Mr. Lalit Agarwal, Chief Financial Officer; Mr. Manikantan Rajendran, Chief Marketing Officer; Ms. Shreya Sharma, Head of Investor Relations and Value Creation and Mr. Amit Shah from the Investor Relations team.

Before we begin, I would like to mention that some statements made in today's discussion may be forward-looking in nature, and a statement to this effect has been included in the invite, which was mailed to everybody earlier.

I would now like to emphasize that while this call is open to all invitees, it may not be broadcasted or reproduced in any form or manner. We will start this call with opening remarks from the management, following which we will have an interactive question-and-answer session.

I now request Mr. Nikhil Sawhney to share some perspectives with you with regard to the operations and outlook for the business. Over to you, Mr. Sawhney.

Nikhil Sawhney: Thank you, Rishab. Firstly, I don't know if you're very audible. Possibly you're taking this on your mobile, so I'll repe

at it for all the other audience that we have, Mr. S. N. Prasad, our CEO, Mr. Sachin Parab, our COO, Mr. Lalit Agarwal, our CFO, Mr. Manikantan, who is our Chief Marketing Officer, Ms. Shreya Sharma, who I'll introduce later, who's joined us recently as our Investor Relations and Value Creation Head, as well as Mr. Amit Shah, who is part of the Investor Relations team and was assisting in this role in the interim.

So firstly, a very warm welcome to you, ladies and gentlemen. We're very pleased to report the fact that we have the highest ever revenue and EBITDA in this third quarter of FY 2026, where revenue stood at ■6.24 billion and EBITDA at ■1.54 billion. Turnover was higher by 24% year-over-year on the quarter, and EBITDA was higher by 16.9% year-over-year. The profit before tax and before exceptional items was higher by 15.3%, and after taking an impact, which is non-recurring in nature for the wage code-related exceptional charge of ■15.7 crores, we had a PAT of ■917 million, which is 1% lower than at the same quarter of the previous year.

As we've spoken about in previous quarters, we had anticipated a growth in turnover in Q3, and this is something that, as we had said, would reflect in the nine-month results as a catch-up and exceeding results would happen by Q4. In the nine months results, as you would see, we have a largely flattish or maybe 2.3% increase in turnover in the nine-month period, while EBITDA and PBT, before exceptional items, are largely flat.

This gives you an indication of where the company stands in its growth for the current financial year and the optimism that we have in terms of the growth for the current financial year, which will be impacted by a slower Q1 and Q2, by a slower order booking and book and bill that we'll have for the current year. At the same point in time, this current quarter was impacted by a lower dispatch in the Aftermarket, which, as you can see has impacted the overall margin for the company. But we're confident that we will revert to our usual status in the quarters to come. The current quarter also did have a significant amount of billing from our NTPC project, which is a slightly lower margin.

But having said that, the company is quite consistent and confident on not only the margin profile and the growth for this coming year, but the growth in the coming year as well. Growth in the coming year, as you would imagine, would be driven by order booking, and our order booking for the current quarter was down by about 26% on a year-on-year basis. This was severely impacted by certain orders that we had on hand, which would have allowed our order booking for the quarter to be commensurate with previous quarters. But unfortunately, those advances were not taken at the quarter end, and so therefore could not be accounted in our policy by which we record orders.

Having said that, we are confident in the current quarter that we would be able to exceed our previous quarter's order booking. And this is despite the spillover of the order booking that I just talked about. Having said that, the orders continue to come from a variety of different sectors. The domestic market as well as the export market present both opportunities as well as certain uncertainties in terms of order finalisation. We find that both within the aftermarket of refurbishment as well as spares.

But having said that, certain uncertainties seem to have been lifted with the reduction in the duty structure for the United States for our products, which will now revert to an 18% duty. And so, we'll give some more colour around how we see the buildup of our enquiry book, as well as the order book, as we get into the question and answers. The company continues to focus on expansion of its capabilities in research and development, as well as in terms of focusing on commercialisation of its newer products and technologies. Our heat pumps

now have an enquiry book well in
excess of 100, and we're quite confident of hitting that market in a manner with great focus. We've already received our first order for this, and we'll be happy to share some more details about that. But our other products of MVRs, etc continue to do well.

Our confidence in the Refurbishment space continues to remain very consistent, given our engineering capabilities, which stretch not only from the steam turbine line, but to other rotating equipment. And we feel that the coming quarters will give us confidence in terms of being able to secure more orders in both larger scale utility turbines, as well as in other rotating equipments, including both gas and other geothermal applications.

Our HR continues to perform exceedingly well, and we are confident in not only our intake of fresh GTs, but also in terms of the retention that we have of our high calibre workforce. The quality system that we have in place are well regarded by our customer, and we feel that the recently concluded Net Promoter Score study seems to indicate that our customer satisfaction is at an all-time high.

So, with that, I would be happy to take some questions. I wanted to introduce Shreya Sharma, who has joined as our Head of Investor Relations and Value Creation. And she brings an extensive experience of investor engagement and capital markets and will lead the interaction with the investor community. Shreya, maybe you can introduce yourself and tell people how they can contact you.

Shreya Sharma: Sure. Yeah, hello and good afternoon, everyone, and thank you for joining the call. Thank you, Nikhil, for the warm introduction. As I joined Triveni Group, I'm truly excited about collaborating with all of you. With my

background in investment engagement and capital markets, I look
forward to fostering a transparent and continuous partnership. Together,

we will work towards unlocking the value and drive meaningful growth. I'm
thrilled to be in board and, I'm eager to get started.

For any further connections and discussions, please feel free to reach out
to me at ir@triveniturbines.com or shreya.sharma@triveniturbines.com.
Thanks. With that, I hand over the call to the moderator for the Q&A
session.

Moderator: Sure, thank you very much. We will now begin the question-and-answer
session. The first question is from Harshit Patel, from Equirus Securities.
Please go ahead.

Harshit Patel: Hi, thank you very much for the opportunity. Firstly, based on the market
conditions in your end-use industry domestically, namely steel, cement,
sugar, pharma, chemicals, etc and based on your current enquiry book
level, what kind of orders growth you expect to register in fourth quarter,
as well as for the full year, FY 2027 from the domestic market?

Nikhil Sawhney: Well, Q1 and Q2 of this current financial year from the domestic market
was, did have very good growth. From overall perspective, we are
forecasting the company having a growth in order booking in FY 2026
compared to FY 2025. I'll ask Mani to provide a little bit more colour. Or
maybe I'll ask Prasad first to talk about the first nine months order
booking, and then Mani can provide some more clarity around order
booking for Q4 and going forward. So, Prasad, first, if you could provide
some colour on the domestic and export market?

S.N. Prasad: Yes. So domestic market-wise,what we have seen is that all the industry
segments starting from food processing industry, chemical, sugar,
distilleries, steel and cement are contributing in almost equal
proportions there. Even first nine months when we see, these are the
things in addition to that. In addition to that, we have also seen some
orders for drive turbines for feed ■water pumps. So that's the way how we
noticed in domestic market. And based on the current enquiry pipeline
what we feel is our domestic market going to grow further in

Q4. So, with a
year-on-year growth of something like a double-digit growth, what we are
expecting. We have to wait and see how the Q4 inquiries getting converted
into that.

Coming to the international markets, yes, there is a little dip in
international markets, even though enquiry pipeline is strong, it is taking
time for converting those enquiries into orders. So, wherever we
converted, those are all, municipal solid waste-based, power projects
and some of these, again, process industry, process cogeneration
industry enquiries are also piling up. So based on that, what we believe is,
overall, definitely there is a sizable increase in the market size, what we
are expecting. Mani, you would like to add?

Manikantan Rajendran: Yeah. This is Mani. So, in terms of sector-wise, we find steel, cement are
propelling very well, and also with our main product lines like sugar,
distilleries, those are also picking. We see a lot of amount of
opportunities. And in terms of enquiry pipeline, we have quite a bit robust
pipeline going forward. We are waiting for these enquiries to be translated
into orders in Q4. So, we expect healthy number, as reported by Nikhil and
Prasad to close the year with a healthy number from domestic market.

Harshit Patel: Understood. Secondly, can you share an update on the orders received
and the outlook for the new solution that we have introduced this year,
mainly CO2-based heat pump, as well as Mechanical Vapor
Recompression (MVR) compressors?

Nikhil Sawhney: Yeah, I talked about this in our introductory remarks. The enquiries for both of these segments are very positive, and we have actually expanded. I mean, we have got orders in these new product segments. These new products allow us to really bring to market our technical capabilities and our engineering capabilities. They will not be meaningful from a perspective of turnover for the company, I think, for a couple of years. But having said that, they will provide us greater opportunity to access customers, be closer to our customers, and to build greater technical relationships with them. Prasad, do you want to talk about the heat pump solutions that we have and how they did?

S.N. Prasad: Yes. Heat pumps wise, there's a good traction, right now we mentioned that. There's a good enquiry pipeline is getting built up. We got the first of its kind order, which will be executed in FY 2027. By seeing the traction and, since the demo unit also we established here, so a lot of customers visiting and enquiry pipeline is building up, we are confident FY 2027, we'll be able to get a good traction on that.

Coming to MVR, initial orders we picked up, are sizable around seven, eight orders, which are under execution. That also we expect to commission those things in FY 2027. And MVR being a very, very adjacent product line, the customer is showing a lot of interest on that. These two, we believe FY 2027 will be a good year.

Harshit Patel: Understood. Then lastly, a bookkeeping one. What is the loss posted by the U.S. subsidiary in the nine-month FY 2026? And also, if you can share the performance of South African subsidiary as well, that will be helpful.

Nikhil Sawhney: The loss of the U.S. subsidiary was, I believe, ■21.7 crores in the nine months period. Lalit, can you confirm that?

Lalit Agarwal: So, the loss for nine months is around ■21 crores. It is right, that's the right number.

Nikhil Sawhney: Yeah. Now, having said that, obviously, you bring up a point that our standalone profitability of the business is significantly higher on a margin

perspective. And we are, again, for the second year in a row, absorbing both overhead and other costs from the U.S. subsidiary. I'll ask Mani to talk a little bit about the outlook for the U.S. subsidiary, and the enquiry base that we have there. And then we'll look at South Africa separately.

So, Mani, can you f

irst talk about the U.S. subsidiary in terms of how you're looking at both the Refurbishment and Aftermarket, as well as the new product enquiry base?

Manikantan Rajendran: Yeah. In case of enquiries for the new product, there has been a substantial increase in the number of enquiries, mainly from the data centres, SMRs, and we are also getting enquiries on our key products like steel, cement, and paper and pulp. With the tariffs now coming down, we should be well placed to convert these enquiries. While they were there, because of the tariffs, there has been a delay in the decision-making, but with the now tariffs coming down, things could be materialising in the coming quarters.

With respect to Refurbishments, there has been proposals and enquiries from the geothermal plants as well as the IPPs. We not only for the steam turbine, but also for other rotating equipment. So, we are focusing on those with our shops. We are seeing traction when customers are visiting our factories, and we see good traction going forward.

Nikhil Sawhney: Thank you. On the South Africa subsidiary question, as you know and as we've reported, we've taken complete 100% control of TSE Engineering, which has been reported to the exchanges. And we would look at unifying our operations in the South African market. Of course, with this unified approach, we would be expanding the scope from the SADC region to Sub-Saharan Africa and see a great scope of growth of both new product as well as Aftermarket business in the African market. Again, Prasad, can you provide some visibility on both the Aftermarket scope through the South African subsidiary?

S.N. Prasad: Yeah. South African subsidiary, as we are increasing the scope to Sub-Saharan Africa. So, there's a good refurbishment opportunities pipeline there with the experience from Eskom that we'll be taking to other African countries. So, with this unified approach, so both refurb and the service opportunity pipeline is building up. So, FY 2027 will be interesting year for that with the focused efforts. Africa, we are quite bullish on that, especially on the utility segment of Refurbishment.

Moderator: Thank you. The next question is from Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, thank you for the opportunity. First question on the delayed dispatches which started at the beginning of the year, and I assume that, there has been a good recovery this quarter on that. Wanted to understand what

portion has already been dispatched and what is the status on delays in dispatches?

Nikhil Sawhney: Yeah, so first, let me finish your first question, which is on delays. Some of the delays will not be able to be caught up. But as you see from the nine-month performance, we're about flat from a nine-month basis, and as we've suggested that the growth would really come back ended, and so it will come in Q4. So, while we've had a record turnover and profitability in Q3, we expect Q4 to be another record and a much more significant record.

But as you would imagine, it's difficult to catch up all the growth and to exhibit that in Q4 itself. There are pressures in terms of ensuring that we don't compromise our balance sheet and payment terms just to dispatch orders, as well as the availability of raw materials, which is required for final assembly, and the availability of customers for inspections. But keeping all of that in mind, the team is quite alive to these risks and is quite confident that we will end the year on the high that we are forecasting. This will be not only from a revenue perspective and profitability perspective, but also for order booking. We believe that these deferments of orders, which we didn't receive advances for, will come in into this Q4. And the normal order booking that we were expecting from Q4 would only allow us to exceed any previous quarter in terms of order booking.

Having said

that, what you would recognise in this current financial year is the lumpiness of the way that orders come in and the lumpiness by which revenue is both accounted for and billed. This is happening because as we approach newer market segments and larger turbine orders, this will make the business a little bit more lumpy until our turnover reaches a higher level where these orders become more routine. We believe that this lumpiness will continue into a bit of FY '27, though on a year-on-year basis, the growth will be fine.

Amit Anwani: Sure. So, second question on this EU FTA, which has been done. So, first, any colour, what was kind of tariff, if at all you were paying for your products? And does it change the scope for you in terms of any new geographies, which are probably because of tariffs, you were not able to go? So just wanted to understand what could be the positive, negative impact of EU tariffs and any scope change with respect to markets or geography there, yeah.

Nikhil Sawhney: Thank you. You bring up an interesting question because Europe has always been a large market for Triveni Turbine. We've had our technical solutions there in a variety of different sectors, the largest being municipal solid waste incineration, as well as other biomass-based applications, which is very much in the fixed capital formation that Europe is pushing, which is towards a more renewable future. So, we've always had a good market share. Europe has always constituted a good part of our order

booking as well as enquiry book. So, with this FTA, what we hope is that it reinvigorates fixed capital formation. But from a direct trade with Triveni Turbine, we were not prohibited earlier, and we don't see any distinct advantages from a tariff perspective.

What we do believe is that possibly signing with this, some labour mobility in terms of servicing will improve, as well as certain orders from a Refurbishment perspective. But having said that, while Europe has had a very strong role in our enquiry book, what we're very enthused by which Mani also did point out, was that the U.S. also is exhibiting a very large enquiry book for us. Now, this has not translated into order finalisations in the U.S., but we're hopeful in the coming months and quarters that this will lead to quite substantial business, where the U.S. can take a mainstay in both our order booking as well as order execution.

Amit Anwani: Sure. Just a follow-up. So, is it fair to assume that the export still will be better growth than the domestic business for next two, three years? Probably maybe between 15%, 20% for exports growth. Is it something we are eyeing, since now U.S. probably is better off after the tariff reduction, and Europe also, we saw dispatches and lot of challenges three, four quarters. So, are things normalising, let's say in next two, three quarters, and then we are back to decent growth in exports?

Nikhil Sawhney: Well, so exports is always going to be a focus for us, both from new products as well as from the Aftermarket side. And we have some very good orders in newer application areas, such as geothermal, etc., which will come through in Q4, which will be quite landmark for the company, both as well as aftermarket orders and refurbishment orders in the export side.

Now, you bring up a difficult question because we believe that the domestic market presents very good growth opportunities as well. One will be in our historic business of steam turbines for applications in industries of process cogeneration as well as steel and cement, as well as some renewable energy-based applications. But also, in terms of newer applications that we had, as you know, our domestic order booking in FY '25 included an order from NTPC for a carbon dioxide-based power plant.

Now, we have, while that plant is still to be commissioned and that will happen in FY '27, the confidence on the exec

ution of that could possibly lead to more orders, which will then present a different market opportunity for the domestic market. But we're quite hopeful that that or similar schemes will come about in FY '27 as well. So that, coupled with the fact that we are seeing growth in the export market, maybe the differential will not change from this 55% export, 45% domestic. That is my feeling from an order booking perspective.

Prasad, do you want to add any colour on this percentage?

S.N. Prasad: I agree. More or less, both the domestic and export market also expanding. I agree, more or less we'll be at around that, 55%-45% level.

Amit Anwani: Understood. So, kind of parallel growth you might be looking for export and domestic.

Nikhil Sawhney: Yeah. It will be lumpy quarter-to-quarter.

Amit Anwani: Yeah.

Nikhil Sawhney: But that is to be expected.

Amit Anwani: Yeah, but at least a double-digit plus, just in understanding with a two, three years perspective, not the next year.

Nikhil Sawhney: No, two, three year perspective, we expect the exports to meaningfully grow. We think that the export, the global market is obviously significantly larger than the Indian market by itself, and our penetration from a market share perspective is obviously lower. So, we have much more to grow and gain there, both in terms of a greater market reach, greater product fit and profile with our customers, as well as greater credibility as we commission more and more projects and get closer to our customers. So of course, the export market always presents us with greater opportunities. It's also a market that is of keen focus to us, because not only does it allow us to validate our competitiveness of the product from a cost and technology viewpoint, but also it is more lucrative from a margin perspective.

Moderator: Thank you. The next question is from Chirag Muchhala from Centrum Broking. Please go ahead.

Chirag Muchhala: Yeah, thank you. Just to continue on the conversation on exports, so we understand that the opportunity is very large, but just in terms of regional flavour, so last two, three quarters, there's some softness in order inflow, which is due to tariff-related uncertainties and delay in finalisation. So, is it restricted to one or two specific geographies, or are you seeing this trend, I mean, broad-based?

Nikhil Sawhney: It's very difficult to say, but I'll let Mani comment on this also. But what we're finding is things that were hot and on the table that are getting deferred from finalisation, and those which were cold are suddenly coming up and getting finalised very quickly also. So, there's no consistency in the market, actually. That is what is the real reading. I find that overall, there is greater push into it.

Moderator: Participants, please stay connected. We seem to have lost the line for the management. Please stay connected while we reconnect the management. Ladies and gentlemen, please stay connected. Ladies and

gentlemen, thank you for patiently holding your lines. We have the line for the management reconnected. Over to you.

Nikhil Sawhney: I apologise for that. I hope that you got the understanding. If you could carry on with your question?

Chirag Muchhala: Yeah. So, I was just clarifying that whether this exports softness in inflow over the past two, three quarters is because of any specific region where order finalisations are getting delayed, or is it a broad-based trend that you are seeing?

Nikhil Sawhney: What I said to you is that I think that there is definitely uncertainty in finalising orders. I think broadly speaking, you see we have three product lines that we cater to in the export market. One is obviously the products, and there they're split between both applications as well as geographies. Then we'd have our Refurbishment solutions, which are based on capabilities that we

have, as well as proximity to customers. And then you have the spares business, which is based on installed base.

Now, the spares business is somewhat more consistent in terms of demand, but it would present, I would say, a lower aspirational growth trajectory, because you can't push excess sales there. The Refurbishment side has providing us very good enquiries, and it will be lumpy in terms of the way the orders come in, because they are larger in scope.

On the product side itself, it depends from geography-to-geography. We've traditionally been. For example, we saw softness in Southeast Asia, but in newer applications such as geothermal, we're finding very good reception from that market. Now, depends on how demand is coming up.

Mani, do you want to add a little bit more colour into what I just said?

Manikantan Rajendran: Yeah, apart from tariff, what we see is also the geopolitical issues, which is holding back the decision making. So that is what is getting into the order finalisation. Now, with one-by-one getting released, more or less going forward, we think the order finalisation time, which is now taking more time would reduce. This is what we say.

And with respect to your market, as Nikhil said, Southeast Asian market, in terms of the existing product, yes, there has been a delay in decision making. However, with newer products, we find there have been good traction. And in the Middle East and Europe, it is mainly on the geopolitical. On the America, it's on the tariff. So, these are the things which is holding back the customers.

Chirag Muchhala: Okay. Thanks. And secondly, since in FY '27, a large part of NTPC order would get commissioned, and also currently our order book mix has shifted in favour of domestic, since the domestic inflow have been better over the last three, four quarters. So, do you see any risk in our existing

EBITDA margin for FY '27 specifically, since it will be NTPC and domestic market heavy?

Nikhil Sawhney: So, you see for the nine months, we've already had about ■70 odd crores of billing NTPC in the current quarter. We'll have 50% of the revenue recognition of NTPC within this financial year, 50% in the next financial year. What you find in the nine-month period is that our EBITDA margin is quite consistent between FY '26 and '25, from a nine-month perspective.

We always think that our margins are quite comfortable. It will change quarter-to-quarter and the amounts that we may bill from an order like NTPC, but it will not have any significant movement on our margins. It will move around. Traditionally, yeah, we've always said that it will be above 20% on a PBT basis, and we continue to maintain that.

Moderator: Thank you. The next question is from Saif Sohrab Gujar from ICICI Prudential Asset Management. Please go ahead.

Saif Sohrab Gujar: Thank you for the opportunity. First question is, maybe I missed it, could you just repeat 4Q order inflow expectation on both export and domestic scale?

Nikhil Sawhney: Can you repeat that question again? Export and domestic for which period?

Saif Sohrab Gujar: For 4Q, I think you mentioned about the order inflows, right? After having 3Q, which was lower. What sort of order inflows on domestic and export do we see?

Nikhil Sawhney: So, we had an order booking in Q3 of ■391 billion, which I want to say is about ■200 plus crores short of what our average has been in the previous quarters. And that is exactly the quantum of orders that were sort of deferred because of non-receipt of advance. We expect that in coming Q4, we would be able to sort of make that up, as well as revert to our sort of normal average order booking.

So, when we look at Q4, both from a domestic and export perspective, we expect Q4 to be much more export oriented in terms of the orders that we would get, which would revert then our order booking position to our historic, go to our recent averages, which is more skewed towards export.

Saif Sohrab Gujar: And second thing, on the one of your earlier remarks on U.S. markets, there was a mention of enquiries and products, which include even the data centre part. So, can you highlight, are these part of the combined cycle plans for the steam turbines or something else?

Nikhil Sawhney: So, yes, you bring up an interesting point, and I'll let Mani speak about this. There are a very, very large number of enquiries. What we found is that, given the fact that gas turbine manufacturers are booked out for five

years, there is a tendency of players or developers to look for combined cycle applications where, because of the non-availability of capital infrastructure from the gas turbine side. Now, to what extent will this fructify into orders? We're also waiting for that. There is permitting issues which take more time on steam turbines than with gas. But having said that, there is some traction in the market because there is a very large appetite from the U.S. market for energy.

Mani, do you want to add on anything as to how you're seeing the data centre business in the U.S.?

Manikantan Rajendran: Yeah, I think you addressed it, entirely. Yes, so long it has been always a simple cycle. Customer is now looking at combined cycles and as an avenue because most of the gas turbine manufacturers are fully loaded, so that is where the enquiries are coming in. How far it is going to get translated is a question which we are also looking, and we are discussing with customers.

Saif Sohrab Gujar: Just to understand the quantum, how large can be each of these?

Nikhil Sawhney: I'm sorry, what do you mean how large will each of these be, like in terms of value of megawatts?

Saif Sohrab Gujar: Yeah.

Nikhil Sawhney: Our enquiry book is extremely large. Even if all of these orders fructify, I think from a conservative viewpoint, we wouldn't see the U.S. at its maximum potential exceed 20% of our order book. So, if that's a roundabout way of giving you an answer, it is significant, but it's not. At this point in time, the way that we look at it from the short term, which is FY '27 and Q4 of FY '26, it cannot be that material. I think these orders will take longer to finalise than just this short one quarter, one year.

Moderator: Thank you. The next question is from Deepesh Agarwal from UTI Asset Management. Please go ahead.

Deepesh Agarwal: Yeah. Hi, Nikhil, just one clarification. You mentioned that FY '26 will see an order inflow growth. But if, even if I take a flat number for a full year, that implies a 25% growth for 4Q, despite a large NTPC order in 4Q base. Is that understanding correct? Even on that base, you will be growing at 25%?

Nikhil Sawhney: I just said 20%. There will be growth on order booking in FY '26 over FY '25. I didn't fully follow your point about 20%.

Deepesh Agarwal: Yeah, I think last year 4Q had a NTPC order in the base also, so that's a large order inflow.

Nikhil Sawhney: Yes, I mean, the fact is that may be in a one-off order, but when we say lumpiness just means that they come in different quarters than the way that they get executed. I think it's, we don't look at NTPC as a one-off because we think that we do have a product within that application line, which is for energy storage, and we look forward to more orders from that space. So, despite that, we look at the order booking in FY '25 of ■2,300 plus crores as being the base for us to grow off in FY '26.

Deepesh Agarwal: Sure. The other thing is, I think last four years you were growing at 20% plus kind of a run rate, and in some of the calls you also mentioned that potentially we may continue such growth rates for a couple of years, given strong demand. I understand this is a year where we are seeing a lot of difference. Should we emphasise Triveni going back

to these kinds of growth rates from next year, given the demand is still strong as per your commentary?

Nikhil Sawhney: Well, to be frank, we can only execute what orders we have in hand. So, since you asked a very plain question, let me answer it in as, without giving guidance, as plain in a way that I can, explain it. This current year, we should see a double-digit growth in top line. Margins will get impacted a little bit because of NTPC, also because of the fact that we took this exceptional one-time write-off. But having said that, in general, the growth will be commensurate with the fact that we had uncertainty, in order booking as well and deferment in terms of execution.

For FY 2027, as we come into that year with a strong order book, we should look at, commensurate if not slightly higher growth than we had in FY 2026. But our order booking projections for FY 2027, lead us to believe that we should be reverting to a normalised growth rates of what we spoke about, starting FY 2028 onwards.

Deepesh Agarwal: Sure, sure. And lastly, if you can add some more colour on the U.S. plants and now with the trade deal being signed, how you think the U.S. subsidy panning out over the next, two to three years?

Nikhil Sawhney: As you've seen that we've incurred over ■20 crore losses in both FY 2025 and FY 2026 for our U.S. subsidiary. And so, our overhead absorption there has been based on the fact that we have confidence in that market, and it's exhibited by a very strong enquiry book that we have from that market. It's multi-hundred million dollars that we have in that market from enquiry base, and so we're quite confident that those will translate into orders. As uncertainty dies with trade as to how we would actually supply from India, both for product as well as for the Aftermarket, including Refurbishment, I think the U.S. will add incrementally more to our order book.

Given the fact that the tariff has come down, it's a little premature for us to see how quickly this will translate into orders, but what we can say is that it will translate quicker than what we were assuming a quarter or two

ago. So, if I look two, three years down the line, I feel that the U.S. market should contribute meaningfully to Triveni's both top line and bottom line. Of course, we already have Turbines and Refurbishment business that's happening here. Do you want to add anything to this, Prasad or Sachin?

S.N. Prasad: As you rightly mentioned, yes, enquiry pipeline is strong, and market acceptability is picking up in that, based on the enquiry pipeline and what customers visit our facility and all. So that is, as you mentioned, that, yes, this is going to be a good opportunity market for us, going forward, but it is taking a little longer time than anticipated. Sachin, you want to add?

Sachin Parab: Yeah, just adding on to what Prasad and the CMD has said, although the order finalisations have taken longer, but whatever few orders have been executed by our U.S. facility, it has found good acceptance, and the satisfaction level of our customers are really very encouraging. And that is resulting in repeat orders from the customers and therefore creating the opportunity for good references for new enquiries to be generated. So, while on the short term, the performance is not something to write home about, but in the short term to medium term, I think the outlook is very bright. Thank you.

Moderator: Thank you. The next question is from Amit Mahawar from UBS. Please go ahead.

Amit Mahawar: Yeah. Hi, Nikhil. I just have quick two, three questions. First is, if I heard it right, even if I exclude NTPC broadly, I think you meant 10% growth on the ex of NTPC orders for this year. That was right?

Nikhil Sawhney: Yeah, we're projecting growth in order booking for this current financial year. I couldn't, I'm sorry, I'm just taking this on my mobile. I couldn't hear th

at fully.

Amit Mahawar: Yeah, no problem. So even if I exclude the ■2.9 billion, this is more excluding ■2.9 billion in Q4 last year order?

Nikhil Sawhney: No, I'm trying to say that as you should not exclude it, because it's not. We are not looking at that as a one-time order. We would aim to get more orders on the same application as well from the same customer, given the performance of the plant. And all indications are that the plant will perform to its best.

Amit Mahawar: That is okay. That is very clear, Nikhil. That is very clear. Thank you. Second question is maybe if Prasad and Sachin can chip in. In U.S., 2025-2026 are investment years. 2027-2028, do you think, what kind of size in business base is the enquiry and the transmission rates? Because you have particular belts in U.S. where you're targeting the energy belts in U.S. 2027 and 2028, broadly, you think we can have ■200 crores to ■300 crores revenue base in U.S., or it's too early? Some colour on the kinds of references in U.S. we're targeting, and I'm sure when you compare and get

the reference from India businesses, the transition can be faster. For example, if you showcase a WSR working in India that you've supplied, a similar customer in the U.S. will transit faster. So, any colour there by the team?

Nikhil Sawhney: I think you see, because orders don't start currently on the product side, currently don't sit in our order book, to expect a large jump in turnover in FY 2027 from the U.S. subsidiary would be then based only on the aftermarket side, which is difficult for it to achieve ■200 crores to ■300 crores revenue benchmark from what its current status is. There will be a significant growth, don't get me wrong, and our anticipation is that FY 2027 should be more than a break-even year for the U.S. subsidiary, but will be a launch platform for us to take on from FY 2028 onwards, where we should be at a minimum achieving those targets that you are setting.

Amit Mahawar: That is very clear. Thank you. And the last question is, broadly, if I size up the opportunity for, Triveni, we're very clear about up to 30 MW, but as we move larger especially in the API drive, and power generation turbine, the market size is not very, very clear, and it can look optically very large, but the translation and penetration can be very difficult. So, any colour on again, I'm sorry for the timeline, but 12-24 months, what size can we move, on the larger turbines? Thank you.

Nikhil Sawhney: No, I'd like Prasad to talk a little bit about this, but as you know, we have the capacity to produce turbines already up to 125 MW, and we have orders in the 100 MW range also. The point is, you're right, that these will be lumpy, and to actually see what the size of the market is and where they're coming from, always becomes a little bit tricky to forecast. It's more difficult from the execution side as well, from a perspective of inventory planning as well as manufacturing capacity is not the constraint. Inventory planning is a little bit more of a constraint for larger-sized turbines.

I feel that API market for this current year has actually, even though there's a lot of expenditure happening in the oil and gas space and fertiliser space, specifically, API from the Middle East has actually, for us, has been a flattish market and has not grown in FY 2026, and that has translated into a little bit of this lumpiness in order booking. We see that from the enquiry side, it's still quite strong, and when enquiries in the API exist, they do translate into orders. It just takes some time based on order booking. So, we think that that will come back in FY 2027 and that will provide us a good inroad to continue to grow in the larger megawatt space.

Larger megawatts are always going to be little bit more lumpy, Amit and we still haven't got enough large enough orders under our belt for it to smoothen out bo

th order booking as well as revenue.

Moderator: Thank you. The next question is from Balasubramanian from Arihant Capital. Please go ahead.

Balasubramanian A: Good afternoon. Thank you so much for the opportunity. We are entering into geothermal applications and BFW drives. Just want to understand which are the specific applications we are targeting, and what kind of contributions we can expect over the next three to five years timeframe? Those are my questions.

Nikhil Sawhney: So, you bring up an interesting question. Both of these are growth markets for us because they are. Our technology solutions are very appropriate for it, but also, we've had historically a lower market share in these segments. Geothermal is really about getting – we've had great successes in the Refurbishment side in this space, and the product orders have also now picked up, and so therefore this will represent a good growth opportunity for clean, renewable firm power that is required by customers.

On the boiler feed water pump drive market, as the energy mix is moving more towards having thermal power plants as well, this is a market that I think will present a good short-term opportunity for us for the next three to five years.

Balasubramanian A: Okay, so my second question is, utility auxiliary drive turbines, the potential market size is around [indiscernible] [0:48:42] turbines, so in the next two to three years' timeframe. So, like, what kind of market share we are targeting? And is there any qualification or certifications are required, specific for specialised turbines? And what is the average realisation in the industry right now?

Nikhil Sawhney: Okay. So actually, we don't give most of the data that you asked for, but you can get an indication of that from the conference calls that we have, or you could take some of it offline and ask Shreya. But specifically, we don't give value-based indication, partly driven by the fact that it's a customised order. I mean, a turbine is a customised order, and very frankly, each customer has a different pricing range than the next. Some are more lucrative, and in general, the way that we see it is, the higher the specifications of a market in terms of end use, the higher the margins will be and the higher the price per megawatt will be. And so therefore, you would always expect markets like geothermal, boiler feed pump drive, or API, to have higher turnover and value per megawatt than a process co-generation plant at a sugar factory. So, that is the general feed that you would have for it.

Moderator: Thank you. Next question is from Harsh Tewaney from Ashmore Investment Management. Please go ahead.

Harsh Tewaney: Hi, Nikhil. Thanks for the opportunity. Just wanted to check on your South Africa, basically, we've had a presence in SADC for the better part of three

years through a Refurbishment order. Has that actually helped us make inroads on the product side as well in that geography?

Nikhil Sawhney: Yes. We have success on it, except the point is, as you would understand, the size of a market is sort of directly proportionate to the fixed capital base that the country has. South Africa is the most industrialised country in SADC. So, we have a good market penetration there, but the economy has its own set of issues in terms of industrial growth. But we are represented in the market. We have good market share in the market segments that are growing there. But it is unfortunately constrained by the fact that it is a smaller economy and a smaller. And therefore, it can only contribute a certain amount to our growth.

Harsh Tewaney: With the recent oil price fluctuation, given the geopolitical tensions across the globe, how big is that an impact on our API turbine business in the Middle East?

Nikhil Sawhney: Well, that's why I said, I mean, I don't know if it's directly related to oil prices, bec

ause very frankly, the planning cycle for oil and gas integrated majors is much longer than one-year price movements. As it is, what we found is the projects that were coming up are coming up in oil derivatives and in gas and methanol and downstream value addition-based projects, rather than pure petroleum refining. So, I think the oil majors are cognizant of what the situation is. They're continuing with their CapEx. That doesn't seem to have slowed down. It's just that FY 2026 represented a smaller number of orders that were finalised in this space.

Harsh Tewaney: Lastly, the way we have seen a lot of success on the municipal waste applications in Europe, are we actively in talks with, let's say, local government bodies in India to introduce such solutions? Any thoughts on that?

Nikhil Sawhney: No, you're very right. I mean, this is an area that India does need to spend an enormous amount of money on. Unfortunately, I think the regulation of waste is an urban local body matter. And so, this is more of a governance question than intent or money availability. Urban local bodies are not creditworthy on a counterparty risk assessment basis, and so there's no concession agreement that can be signed, which is credible, unless it's backed by the centre, because I don't think state guarantees also would matter here. But there are projects that are coming. There are progressive municipalities which have creditworthy paper, which are going with these projects. But we think that the potential is enormous. It requires a political will and a correct governance structure.

Moderator: Thank you. Next question is from Shrinidhi Karlekar from ASK Investment Managers. Please go ahead.

Shrinidhi Karlekar: Yeah, hi. Thank you for the opportunity. Again, on this USA opportunity, will it be possible to comment on sort of competition you have got in this opportunity?

Nikhil Sawhney: Of course, there's competition.

Shrinidhi Karlekar: As in, like, is it similar to what you have in India?

Nikhil Sawhney: It's similar to our competition in Europe. But there are no local turbine producers in the United States.

Shrinidhi Karlekar: Okay. Understood. And just correct me if I'm wrong, it appeared to me that the U.S. opportunity, at least the large part of U.S. opportunity, is it emerging from the supply constraint on the gas turbine, or even on its own, it's a large opportunity that will have?

Nikhil Sawhney: Yeah. Both are right. You see, the U.S. is a continent by itself, so like you know, demand that comes from the Southwest is very different from the Northeast and Northwest. Midwest, in fact. And the application are very different. For us to get known by customers, it takes a little bit of time. You have different issues that happen from the Refurbishment side, where because of the federal structure of the United States, for us to execute work on the servicing of plants, which are in different localities and jurisdictions, requires zoning and licenses. It's actually quite a learning for me also, but it's quite a bureaucratic country.

Shrinidhi Karlekar: Okay, yeah. And so just on the data centre, as this market evolve, will it largely be a simple single-cycle, gas turbine market? Or, as these companies try to reduce energy intensity, it will evolve into a combined cycle, gas-based application?

Nikhil Sawhney: So, on utility scale gas turbines, I think about 50% of the market there is simple cycle, 50% is combined cycle. That's from a planning perspective. When you get down from utility scale gas turbines to the less than 100 MW, I think about 70% are simple cycle or 80% are simple cycle. The reason is that either these plants are located where the availability of raw materials, such as water, is poor. And so therefore, it's not a viable option. Now, in power-hungry applications, and if water is available, it sort of makes sense for you to do it.

It's bet

ter for you to have planned a combined cycle from the beginning, as an add-on to a simple cycle, because there's certain configurations of the plant layout, etc which benefit from that adequate planning. And I believe that most data centre operators are planning for that, because if you have data centre in a particular locale, for you to move from a simple cycle to a combined cycle, is just lowering your cost of power. So, it's a logical move.

How much will happen will be based on availability of water in specific locations. And if it follows the same trend of about 20% to 30% being converted, then that's what we could expect as well which is then the non-utility side. Utility side is about 50%.

Shrinidhi Karlekar: Great. And last one, if I may. I wanted to understand, in the conventional, cogen kind of, industry end market in India, is the opportunity intensity reducing because these companies want to go more green, want to consume power, which is more renewable? Like, for example, what opportunity you see emerge from a 1 million ton typical steel plant five years back and what is now? Is the whole opportunity size changed, or reduced, or increasing for you?

Nikhil Sawhney: So, in steel, it's the same. Because you see, any continuous process that uses heat as part of the process or emits heat as part of the process would necessarily generate power on-site. So, our competition really isn't against grid power for majority of these applications. It's based on the concept of cost of capital. So, the higher the cost of capital, the more relevant our propositions become, actually. And the more worthwhile they are from a customer's perspective. We find that in areas like cement, which typically don't go for waste heat recovery as part of the conception of the plant, going more green has meant adding these installations, like what we provide is actually greening them more. Because still about 70% of like what we said, like in FY '25, 70% of our turbines had an application which is renewable. So, the feed source was renewable in nature, but 70% of our customers were industrial. So that means that a lot of our customers were actually buying our products from an energy efficiency perspective, which is using waste heat or other sources, which allows them to firstly be more green, but also lower their cost of energy.

Shrinidhi Karlekar: Understood. And similarly on oil and gas as well?

Nikhil Sawhney: No, oil and gas is fed through however the steam is produced. For them, it may be a mix of their own product. I think that looking at oil and gas, you can never look at it with a green eye. So, I think that has a distinct use. But if you need heat as part of the process, then you generate on-site. It's as simple as that. And the way that we've seen this is that over the last 15 years, the general market of below 100 MW has been quite consistent, if not growing a little bit.

Moderator: Thank you. The next question is from Prolin Nandu from Edelweiss Public Alternatives. Please go ahead.

Prolin Nandu: Yeah. Hi, Nikhil. Thank you so much for taking my question. Just one question, right, and this is relating to the answer that you gave to previous participants. A question on the growth rates, right? What we were clocking in till FY '25 and what we intend to clock in after, let's say, FY '27 or FY '28, or in FY '27 and FY '28. So, my question is that, see you mentioned that order book is something which you can execute, right?

But what is the quality of enquiry pipeline, let's say, which we had right now and which we had two years back? The conversion of this enquiry pipeline into order book, is it taking longer because we are venturing into newer geographies, higher megawatt projects, newer technologies? Is that the reason why reverting back to those kind of growth rates before FY '25 will take another year, and it will only be in FY '28

? Or is there anything else that is hampering or whatever it's taking a bit longer for the pipeline to convert?

Nikhil Sawhney: Let me ask Prasad to answer this question. He can provide a better insight.

S.N. Prasad: Yeah, the enquiry pipeline wise, quality of the enquiry pipeline is similar to what enquiry pipeline we used to have. Because enquiry pipeline there is budgetary form enquiries and all. But that enquiry, overall enquiry pipeline is growing. What we see is that means our traction is increasing. People are knowing Triveni more, so that way how we consider that. So, some of these certain percentage of enquiries budgetary in nature, where they'll be taking the inputs and probably it may take a longer time to get into the gestation story for that.

But what we are looking today is the enquiry pipeline in terms of number of enquiries and megawatt size is increasing, so that is giving a confidence to us going forward. Whatever Nikhil mentioned that, yes, we are quite confident in terms of order booking and maintaining some sustainability of growth going forward in the coming years.

Nikhil Sawhney: It is difficult to get a consistent answer for you. Yes, you're right, and our feeling is that enquiry finalisation is taking longer. Reasons differ from people-to-people, but the main underlying reason is that there's a lot of uncertainty out there. You have a clear push towards more energy intensive infrastructure, both from data centres as well as metals and mining, etc., that require it. So, there's a clear tailwind in that regard. So, our confidence is coming from the fact that our enquiry books and our conversation with customers is leading us to believe that demand exists.

How quickly will that translate into orders? Well, you just see the difference between Q3 and Q4 of this financial year, how one can move from one to the next and become extremely lumpy. And we'll have the same conversation at the end of Q4, and then you'll see how it's very uncertain for companies to be able to predict order booking.

Moderator: Thank you. The next question is from Jai Chauhan from Trinetra Asset Managers. Please go ahead.

Jai Chauhan: Good afternoon and thank you for the opportunity. I just had one question. Could you help us understand beyond customer relationships, what are the key in-house capabilities and system levels that differentiate

Triveni from precision engineering suppliers? And how does outsourcing fits into this model?

Nikhil Sawhney: Outsourcing is a cost structure question, so that's independent of that. It's ultimately, you're providing quality to the customer. So, the question isn't only about service and being able to get the customer, I guess, customer satisfied from a basis of provision of adequate service. But if your technology is not up to mark, both from a perspective of reliability and robustness of the product, that is both uptime and performance at efficiency parameters, that is ultimately where it lies. If the question is technology, service levels can only be backed up? Yeah, I have to back up that technology level.

Jai Chauhan: So, let me like reframe the question a bit. Like, for example, at a value chain level, which capabilities are considered core and retained in-house, versus outsourced? And like just beyond customer relationships, is there any key technical or system level differentiator that separate Triveni from precision component manufacturers?

Nikhil Sawhney: Well, I can't talk about others. I'll tell you what for us, we are like you said a precision technology company for rotating equipments. And our focus is, it starts with technology and our investments into rotating technology, both from fluid dynamics to structural analysis and finite analysis, and other aspects, because there are so many multiple touch points and variations and variabilities that exist in our product configuration. More

than that is the fact that we have to actually produce a quality product, and so we don't outsource. While on R&D basis, we work with institutions to help validate our technologies and platforms, we think that areas such as quality, assembly, testing can never be outsourced. Those have to be in-house, because not only does that allow for validation of your own technology, but you have to then be able to take the liability of that in front of your customer.

So ultimately, because you live with your customer for 30, 40 years, the more important thing is that what you have to do is to ensure that you're able to keep the customer satisfied from a technical viewpoint, through that life cycle. Now, there are multiple viewpoints, there are multiple things that come in between. Maybe we should take this offline, because it's not a question that we could answer in just two minutes.

Moderator: Thank you. Next question is from Salil Desai from Marcellus Investment Managers. Please go ahead.

Salil Desai: Hi, Nikhil. I want to just kind of make sure I understand this right. In the U.S., what you're saying is that credentials have been established, now it's just a matter of time before you build scale, and then things kind of start falling in place in terms of profitability and so on. Is that right?

Nikhil Sawhney: Well, the orders themselves need to come up for finalisation. So, the point is, it is a question of demand actually has to exist. Demand, meaning if the enquiries exist, meaning that there's an indication of demand, but demand finally has to come out, and there has to be a job for you to be done.

Salil Desai: Fair enough. But other than that, there's no constraint on what you can be in terms of competitive positioning there, right?

Nikhil Sawhney: Well, of course, our brand is, we need to make sure that we're in front of the customers. I don't know how many customers in the United States will be familiar with the Triveni brand. And the brand is not only a question of having supplied elsewhere in the world. Customers want to see a running reference point in their backyard, in their industry. So, to be able to convince customers of that is the next question. And so, we are practical in the constraints of the market and that we face.

Salil Desai: Well, but time should address most of these that you have a few suppliers, you build references and then it performs.

Nikhil Sawhney: Exactly. We think growth will be steady. It will not jump up all. I'll be very happy if it jumps up overnight.

Salil Desai: Right. And lastly, again, on this U.S. tariff reduction, right? Does that materially change your competitive positioning, or you think, again, all the issues that you spoke about will anyway play out?

Nikhil Sawhney: No. I think what it will allow is quicker finalisations from our end users, and we will benefit from that. The U.S. market is a rich market, so they could even have possibly still placed orders with the tariffs of the previous tariffs. This will just allow for a better return for both. Obviously, the tariff reductions will have to be passed on to customers.

Moderator: Thank you. The next question is from Mohit Surana from Monarch Networth Capital. Please go ahead.

Mohit Surana: Thank you for the opportunity. So, one question with respect to data centre. In terms of the enquiry pipelines, what kind of capacity turbines, in terms of range that we are getting the enquiries for? Is it less than 50, less than 100? What kind of enquiry pipelines are we getting the enquiry for?

Nikhil Sawhney: They both, they differ. There's nothing typical about it, because even in data centres, it all depends on the size of data centres, etc. So, we have both 70 MW operations and 20 MW operations as well. Typically, the way it is, is that for every 3 MW of gas turbine, you'd have 1 MW of the steam turbine.

Moh

it Surana: Right. Understood. In terms of refurbishment or for the services part of the business, are we taking orders for both steam and gas turbines, or are we limited only to the gas turbine services business?

Nikhil Sawhney: No, our typical OEM technology is in steam turbines. And so of course, depending on the refurbishment requirement that comes about from the value addition perspective, we can offer to a variety of different rotating equipment. So, capabilities would exist for running maintenance, overhaul, etc., for all rotating equipments. When you go on to the higher value addition, such as upgradation those will obviously be limited to more steam-based technologies. So, we do work for a lot of rotating equipments, and we provide more flesh around this in Q4, because we should have some good wins, which would explain this question a little bit better.

Mohit Surana: Understood. Last question with respect to the R&D that you have been doing over the last few years. We have already introduced MVR, as well as industrial heat pumps, which we are yet to see traction in our order bookings. But are there anything more in plan for us, going forward?

Nikhil Sawhney: Of course, we have over 7% of our workforce is on, is in R&D only. We have another 8% part in engineering. So, it gives you an indication as to where the manpower strength of Triveni is. So new products will come about. Majority of them will be product development, platform changes, and new product development within the steam turbine line itself. And then we'll have new technology development, which will happen along the lines of what you just mentioned, as well as newer products which are adjacent to those, which will be more in tune to where customer demand is.

We will also have a work that will happen at, which will be application specific, which will combine a variety of different products for newer applications. And one of the applications that we're very bullish about in the medium term is energy storage. We think that that presents a unique market for us, and we will be combining a lot of products together to come up with correct applications there.

Mohit Surana: Right. In terms of the energy storage present from NTPC, I think that was somewhere around ■270 crores, ■290 crores. Please correct me if I'm wrong. And any indication that you have got from any customers, be it NTPC or anywhere else apart from India, in terms of enquiry pipeline for these kind of orders, energy storage?

Nikhil Sawhney: Yeah. The team is constantly working on those. The enquiries are very hot and live for that application in specific and configuration, as well as others. So this is something that we're focusing on, and we're hopeful that we will show some traction in FY '27, both on the CO_2 side as well as non-CO_2 based thermal energy storage.

Moderator: Thank you. The next question is from Vimal Sampat, who's an individual investor. Please go ahead.

Vimal Sampat: Yeah, good afternoon. Now, most of the questions have been answered. Just one this thing, now seeing that we are facing a slowdown in our current product line, are we now thinking because we had developed some more in rotating equipment and new, so now are we looking, I mean, in future, will we have to add more products to come back to our growth of 25%, 30%? How are we looking?

Nikhil Sawhney: I think that our core will remain the core for the time being. We will change some of focus will change in terms of applications, like I said. So being product specific or selling a steam turbine as a steam turbine is one. But then when you sell it as an application for energy storage, it adds on different balance of plants and different calculation that we need to take to deliver it to the market. It's a little bit of a question as to how you're driving demand. Here, we're completely dependent on someone who wants a therma

l power scheme in a steam turbine manner.

If you move into energy storage, you have a larger market there at from an end-user perspective, and who you're selling to is different. So, what we try to do is expand the base by which who we sell to, how we sell. And this will mean, if we stick to our steam turbine product line, as well as the services and refurbishment around it, this will be the mainstay of the company for the medium term, for sure. We will add newer products in because they are somewhat aligned to our technical capabilities, as well as expanding on certain lines with our product, with our customer.

I think that you should still look at the Triveni Turbine as a single product company for the short term. Medium term, we'll become a multi-product company, which will allow us to basically be more application-centric and solution-centric to our customers.

Vimal Sampat: And more expanding, more geography like USA and South Africa, you are present. So, are you looking at being somewhere in Asia and Europe, putting up a plant?

Nikhil Sawhney: So, until the U.S. stabilises, I don't think we would look at expansion both from a perspective of bandwidth, as well as validating our track record. So that's it.

Nikhil Sawhney: Okay. Should we end now, chorus call?

Moderator: Yes. That was the last question in queue. If you'd like to, if you have any closing comments before we close?

Nikhil Sawhney: Okay. Thank you very much, ladies and gentlemen. I feel that we've said a lot on the call, and hopefully if you missed it, you'll be able to pick up on the nuances that I've said while on the transcript. But again, very happy to welcome Shreya here. Her details are at the end of the investor brief, so please do reach out if you have any questions.

Again, we look forward to speaking in May for our Q4 full-year results. Thank you very much again. Goodbye.

Moderator: Thank you very much. On behalf of Triveni Turbine Limited, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.

Call: May 2026

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By E- filing

REF: TTL: SE: 05/ 11 Date: May 22, 202 6
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Dear Sir/Ma'am,

Subject : Transcript of Investors' / Analysts ' Conference call held on May 19, 2026

Pursuant to Regulation 30 read with read with Para A of Part A of Schedule III of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015, please find enclosed the transcript of the earnings conference call held on May 19, 202 6 for investors/analysts in respect of the standalone and consolidated audited financial results of the Company for the fourth quarter and financial year ended on March 31, 2026.
The transcript is also available on the Company's website at www.triveniturbines.com .
You are requested to take this information on record. Thanking you,
Yours' faithfully
For Triveni Turbine Limited

Pulkit Bhasin
Company Secretary
M. No. A27686

Encl: A/a

Triveni Turbine Limited
Q4 & FY26 Earnings Conference Call Transcript
May 19 , 2026

Moderator : Ladies and gentlemen, good day, and welcome to the Triveni Turbine Q4 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this call, please signal an operator by pressing * then 0 on your touch -tone phone.

I now hand the conference over to Mr. Gavin Desa from CDR India. Thank you, and over to you.

Gavin Desa: Thank you. Good day, everyone, and a warm welcome to all of you participating in the Q4 and FY '26 earnings conference call of Triveni Turbine Limited.

We have with us today on this call Mr. Nikhil Sawhney, Vice Chairman and Managing Director; Mr. S.N. Prasad, Chief Executive Officer; Mr. Sachin Parab, Chief Operating Officer; Mr. Lalit Agarwal, Chief Financial Officer; Mr. Manikantan Rajendran, Chief Marketing Officer; and Ms. Shreya Sharma, Head of Investor Relations and Value Creation.

I would like to emphasi se everyone this call is open to all investors, it may not be broadcast or reproduced in any form or manner. We will start this call with opening remarks, following which the management will be available for an interactive Q&A session.

Before we commence, I'd like to hand over to Shreya Sharma, who heads Investor Relations and Value Creation. Over to you, Shreya.

Shreya Sharma: Thank you, Gavin. Good day, everyone, and thank you for joining us for the company's Q4 and FY '26 earnings call. I hope you all have a chance to

review the results and the accompanying presentation uploaded on the exchanges and on our website earlier. Our discussion on the call will follow that presentation. Before we begin, I would like to remind you all that some of the statements made today may be forward -looking in nature and

are covered by the disclaimer of the earnings presentation.

Joining me on the call today is the senior leadership team, who will take you through the key business developments and performance for this quarter and full year . After the remarks, we will open the floor for the questions.

With that, let me hand it over to our Vice Chairman and Managing Director, Mr. Nikhil Sawhney, to take you through the highlights. Over to you, Mr. Sawhney.

Nikhil Sawhney: Thank you, Shreya. Thank you, Gavin. A very good afternoon, ladies and gentlemen, and thank you for joining the Q4 FY '26 earnings call for Triveni Turbine Limited.

Against the backdrop of multiple challenges, including geopolitical disruptions, tariff -related uncertainties and a volatile global environment, we delivered a satisfactory performance for the financial year 2026. Q4 FY '26 contributed meaningfully to the full -year performance and helped offset the relatively softer first half of the year. As I've said in our previous conference calls, we started off the year with the conflict between India and Pakistan, which had an impact not only in terms of order booking, some very large orders which we were anticipating in the API segment, which could have been delivered during the year. And so, the order booking also impacted revenue in Q1. Subsequent quarters had issues in terms of tariff -related challenges with the United States in specific, which led to a more muted order booking. And the year ended with a conflict again in West Asia, which also has impacted both revenue as well as order booking. But despite all these challenges, I'm happy to report that the company did grow its top line by over 8% and its bottom line, we saw a contraction, but I'll go into some details on that a little bit later.

The demand conditions across certain markets remained uneven during the first half of the year, as I said, and the performance during FY '26 remained back ended with the second half witnessing significantly improved execution momentum across businesses. H2 delivered a healthy growth of over 125% on a year -on-year basis. However, supported by strong visibility from our healthy order backlog, robust enquiry pipeline

and a resilient business model, we maintained steady business momentum. Our diversified presence across sectors and geographies, strong execution capabilities enabled us to effectively navigate market uncertainties and ensured growth.

During FY '26, we achieved our highest ever annual turnover of ■21.81 billion, registering a growth of 9% over FY '25. Export revenue remained a key growth driver, increasing 30% year -on-year and contributing 58% of our overall revenue compared to 48% in the previous year. At the same time, Aftermarket as a percentage of sales did decline on a year -on-year basis, and we can cover that in the Q&A.

Operationally, we continue to maintain healthy profitability during the year. EBITDA stood at ■5.27 billion with margins of 24.2%, while profit before tax before exceptional items stood at ■4.9 billion, which remained broadly stable year -on-year with margins of 22.5%. Profit after tax registered a decline of 3%, primarily on account of an exceptional charge of ■157 million, which is recogni sed towards employee benefit obligations under the new wage code.

Coming to the quarterly performance, Q4 FY '26 was a strong quarter for the company with record revenue and robust order booking momentum across businesses. We delivered our highest ever quarterly revenue of ■6.8 billion, reflecting a growth of 26% year -on-year. And during the quarter, the share of exports in the overall revenue increased to 60%, registering a 46% growth year -on-year. While strong export performance supported overall revenue growth during the quarter, it was impacted by a segment mix of lower Aftermarket , particularly spares execution as well as the execution

of our strategic NTPC order during FY '26.

We also had a mark -to-market loss given the high volatility of rupee during the end of the quarter, which also led to a recognition of over ■8.5 crores as a loss on a M2M basis. This, of course, will be adjusted in subsequent quarters. But the margin compression was principally due to a change in segmental mix, which is driven by a greater share of what I would call our strategic project as well as this mark -to-market loss and a lower percentage of Aftermarket as a percentage of sales. But having said that, for the full year , as you can see, we are largely in line with what our margin expectations have been. And going forward, we anticipate that we will continue our long -term growth and long -term margin rates that you have seen in the previous quarters and years.

Moving to the balance sheet. We continue to take a disciplined approach to capital deployment and liquidity management, though receivables at the end of March 31, 2026, stood at ■6.39 billion, primarily reflecting the execution profile of certain large projects as well as the billing, which was skewed towards the end of March, which will be liquidated in the subsequent quarters. As we speak, a significant amount of that has already been liquidated, but I would be happy to go through that in the question -and -answers.

The average trade receivable days stood at 84 days versus 49 days as of the 31st of March 2025. While we see that this receivable level is high and as I have commented, we believe that this receivable level will significantly be diluted during the subsequent quarters, given our profile of order booking and therefore execution, which will mean that FY '27 will also be somewhat of a back -ended year, our receivable at the end of March 31, 2027 may be in a similar level just because of the execution profile of our order book. The company continues to maintain its negative working capital on non -balance sheet ending days, which is March 31 st and 30th of September, given the way that it is conducting its business.

On the order booking front, Q4 FY '26 recorded a 19% year -on-year growth with total order booking of ■7.54 billion, which is underpinned by traction across both the domestic and international markets and a favourable segment mix. Export orders booking touched a record high of ■5.16 billion during the quarter, registering a growth of 174% year -over -year and contributed 69% to total order booking, driven by demand across key markets, including Europe, Turkey and Southeast Asia. The Aftermarket business also witnessed strong momentum with order booking growing by 121% year -over -year and contributing to 50% to total order booking during the period.

Overall, the strong order booking momentum in Q4 FY '26 contributed to an improvement in the closing order book for FY '26 and our entry into the geothermal products segment is a key milestone for the company in a technically demanding segment and a segment which constitutes a growing part of our enquiry book. It foretells a good market segment and good entry for the company into an area which is growing.

The healthy order inflows across the key and high value segments during Q4 FY '26 resulted in our closing outstanding order book increasing by 8% year -on-year to ■20.54 billion. Our international expansion strategy, coupled with continued innovation and entry into new product segment

has yielded encouraging results with export orders contributing 51% to our closing order book.

The overall order book mix also witnessed a meaningful improvement, supported by a strong scale -up of the aftermarket business, which improved during the year. We're happy to talk about this subsequently in the question -and -answers.

The performance underlies the agility of the company despite the problems that were faced in the geopolitical and internationa

l arena over
the past year. While we anticipate certain conflicts to continue in our projections, we are confident of growth in the business, confident in growth in our bottom line as well as the fact of the visibility that we have in the enquiry pipeline , which has grown and nearly doubled over the past year, it allows us to have confidence and greater confidence in order booking going forward.

Besides this, our research and development continues to innovate and deliver new products to deliver new solutions to both our existing customers for steam turbine solutions as well as for newer rotating equipment solutions, which includes our carbon dioxide -based platform as well as the introduction of our organic Rankine cycle turbine, which will be able to capture waste heat at lower temperatures and allows us to offer a very technically demanding solution to sophisticated customers.

This, of course, is our enquiry book and growth of enquiry book is geographically spread globally. Our newer entry into the U.S. market, of course, has led to an increase in the enquiry book from the U.S. to be disproportionate from the rest of the world , because of our lower visibility in previous years. But despite that, we have an enormous increase in the enquiry book from the Indian market, which is driven by both the thermal power generating market segment as well as fixed capital formation demand from user industries across a wide ranging set of industries, including paper, pulp, cement, steel and a variety of process cogeneration applications. Southeast Asia and Europe continue to represent a growth in our enquiry book, both in renewable energy -based applications as well as in industrial CapEx.

With that, ladies and gentlemen, I'd like to turn it back to the moderator for question -and -answers.

Moderator: Thank you very much. We will now begin with the question -and -answer session. We will take the first question from the line of Ravi Swaminathan from Spark Capital. Please go ahead.

Ravi Swaminathan: Hi, thanks for taking my question. M y first question is with respect to, once again, the enquiry book that you have mentioned that has almost doubled over the past one year. You had given some details about it in the opening remarks, but can you give a bifurcation or possible broad bifurcation as to how much of it has been contributed by the existing products? How much of it has been contributed by the new products? And also, how much of it has been incrementally contributed by the foray into newer geographies like U.S., et c.?

Nikhil Sawhney: Okay. Ravi, actually, because our CO2 products are newer, we don't actually reflect that in any enquiry book. Because we still need to see the performance of the current installation before we actually determine what business model we will choose for that business segment. So actually, our growth in enquiry book is only for steam turbine -based applications, both for product as well as aftermarket. The Aftermarket market segment, both domestically and internationally has grown quite robust. To give you some numbers, we've see n, I would say, a near 1 ,000% increase in our enquiry book in North America, but this is driven by the fact that we had very low visibility. The enquiry generation in that market is somewhere in the range of about 3 GW odd, which is driven by not only investments into data centr es, the initial investments into data centr es, as you know was more gas turbine based, but now we see certain demand coming from not only combined cycle -based applications, but also certain renewable -based applications for geothermal, et c.

We also see a robust enquiry pipeline on the Aftermarket segment from the North American market. But this 3 GW is in light of about 18 GW odd enquiry book that we have now for the product segment. And that enquiry book for the product segment of 18 GW is, of cou

rse, nearly double of
what it was in FY '25. The Indian market itself has also increased in its enquiry book by about 100% odd over this past year to about 7 -odd GW for us. The rest of the markets have also exhibited growth. The only market for us, which has declined a little bit in terms of visibility is Turkey. But actually, every other market has shown a growth from not only fixed capital formation in industry, specifically in infrastructure -based industries from cement and steel, but also process cogeneration. While , and as well as thermal power generation has increased in markets like India and the developing economy, renewable -based applications have

an equally large investment appetite. So, what we're seeing is a cycle for investment into energy in general. Both on the power and heat side. So, it's both for power generation as well as for heat in industry.

Ravi Swaminathan: Understood. And within the Indian market, it will be, once again, the steel and cement and oil and gas, which will be driving the growth here? Or is there any other newer sectors which are also growing?

Nikhil Sawhney: No, it's fully broad -based , because the heat requirement in segments like steel and cement is larger, obviously, they will be disproportionate in the amount that they contribute. Also, the size of CapEx that is required is larger. But in general, it is everywhere, but I'll ask our CEO to comment on this and then he can ask our Chief Marketing Officer, Mani, to also comment on it.

S. Narayana Prasad: Good afternoon. So, coming to the Indian market, I think as Nikhil mentioned that across the segments, we are seeing the enquiry pipeline growth because in the process cogeneration, either steel or cement or oil and gas. So, there is a positive traction what we are seeing, more or less similar segments even in international markets. Probably Mani can add some more colo ur.

Manikantan Rajendran: Yes. Thank you, Nikhil and Prasad. This is Mani. Now in terms of the sector, as Nikhil said, steel and cement contribute the maximum in terms of the growth and the size of the enquiry base in these two sectors are the highest. But in terms of growth, as Prasad said, the growth has been across all the sectors, be it the process cogeneration, sugar, IPPs. So, the growth has been there across all sectors. However, the proportion of the enquiry base has been highest with respect to steel and cement.

Ravi Swaminathan: Got it. My second question is with respect to some of the new initiatives that we are taking, like Geothermal, drive turbine for boiler feed pumps, MVR compressors and the CO2 -based applications, et c. What would have been the contribution in FY '26 of all these new initiatives that we would have seen? And what is the near -term target market size for each of these that will be there? And how the contribution can increase over a two, three -year period on these?

Nikhil Sawhney: Very, very good questions and very difficult question. I have to confess that we don't have that breakup right now in terms of how much they contributed in the last year in growth of enquiries. Let me take each individual segment. Geothermal is a key market for us because not only is

it extremely demanding from a technical perspective of metallurgy as well as fluid dynamics, but also the reliability and robustness that has to be delivered to a client because it is IPP at the end of the day.

And of course, non -generation is just a pure loss for the developer. So, this is a market segment that we participated in both principally as aftermarket contributors to this, but we also have provided and sold products into this market segment. We are quite hopeful that this market segment will present us more opportunities in this current year coming from geographies, including Southeast Asia and the United States, both for the Aftermarket as well a

s new products. We also are hopeful for newer product introductions such as organic rankine cycle, which can take lower heat recovery, which will also contribute into the Geothermal market.

We'd like to target markets based on the industries that they're from rather than the products that fit into them because it's better to solve a customer solution problem. MVR, again is a similar product, which allows for distilleries and for others to generate to have a viable solution for them in their process.

This is a much smaller market segment. It does not really form a significant part of our enquiry book, nor does it form a significant part of our order booking. But having said that, what it does do is once we couple it with some of our other innovations, including our heat pumps, etc, it can provide a very viable solution in an integrated manner.

Going forward, we think the MVR and the heat pump market will remain small as a contribution to Triveni Turbine, but it will increasingly allow us to penetrate into the customer and allow us to display our technical prowess to our customers, especially internationally. The CO2 products, especially in the subcritical energy storage market is something that we're quite enthused about. Right now, we would like to finish our current project before we actually project out what our business plan will be for that. We will wait for the plant to stabilise. But we are quite optimistic that the company that is Triveni Turbine should come out with a solution around long -term energy storage given its products.

So, what that means, I think we'll have to articulate a little bit better once we have some findings from our current project. I think that covers most of your questions. In terms of how they've contributed to the enquiry

book, I would say none of them are very meaningful at this current point in time.

But when I look forward in terms of in the next couple of years or next three, four years, the Geothermal market will be a large market for us. It will contribute very meaningfully. I think the ORC market will also be large for us. We think that the CO2 market, it depends if we have a correct solution, it may be quite a large market for us. The MVR and heat pump market will be constant. It will be high profit, but it will remain smaller, right Prasad?

Ravi Swaminathan: And the drive turbine market?

Nikhil Sawhney: The drive turbine market is cyclical. To the extent that thermal power goes up and down, it will reflect that. Right now, we're in a market where thermal power generation is expanding. You have oil and gas expanding. You have everyone waiting to expand capacity. You've had a lot of disruption in the oil and gas, both upstream and downstream over the course of the last two months. And actually, already in Q1, we're seeing good demand from the API segment globally.

Moderator: Thank you. We will take the next question from the line of Nitin Arora from Axis Mutual Fund. Please go ahead.

Nitin Arora: Hi, Nikhil, just on this U.S. pipeline, where you're sounding very confident. Can you throw some light where are the actual enquiries because you articulated two things, power and heat. What will be our role specific? If I've heard it correctly, you said data centre, some bids are coming for the combined cycle plant. If you can articulate in a better way, just to understand where the direction is going in U.S.?

Nikhil Sawhney: Let me ask Prasad and Mani to answer that question. Though I have to give you a caution that the entire enquiry book is not something that gets converted and obviously, it will not all get converted to us. While we're very optimistic on the U.S. market in terms of incremental growth in our order book, it's not as if it's suddenly going to take on a very significant share of our order booking. Prasad, just say where the demand is coming from?

S. Narayana Pras

ad: Yes. So especially in U.S. demand is coming in addition to the combined cycle applications for the data centres, areas where we are seeing a good traction is biomass plants is one thing. Pulp and paper enquiries are

picking up and Geothermal. These are the four segments which today, what we are seeing from the enquiry pipeline, especially from U.S., what we are seeing. Mani, any additions from your time?

Manikantan Rajendran: Yeah, Nitin. Good afternoon. Now from the time what we were in FY '25, now there has been a good amount of traction, and we have been getting good number of enquiries in this FY '26. The enquiry bases have increased. Now as Mr. Prasad said, now many of these data centres are now converting from a gas turbine to a combined cycle. So, there have been quite a few enquiries for those combined cycle steam turbines up there. And we are also getting enquiries on the conventional items like IPPs as well as for the sugar , conventional ones, paper, pulp, which is our conventional kind of a business. The enquiries have started flowing in. Plus, we also see a good traction in geothermal and biomass space as well. A couple of enquiries from the small modular reactors. So that is also coming in.

Nitin Arora: Okay. Just one clarification here. When a data centre enquiry is coming for a combined cycle, barring only the gas turbine, the steam turbine, what data centre is ordering or doing this combined cycle to improve the efficiency part because we always thought that gas turbine itself is sufficient enough. So, this combined cycle is happening just to improve more efficiency on their angle.

Nikhil Sawhney: Yes. So typically, a gas turbine operates at about 30%, 35% efficiency. And when you take it to a combined cycle, it goes up about 50%. So, I mean, a combined cycle actually is just taking waste heat from the exhaust of a gas turbine. The ratio in which it works is for, I mean this is very rough for 3 MW of a gas turbine, you would have 1 MW steam turbine on the waste heat side.

And so, this improves the efficiency. And very frankly, it can either be put in at the time of installation or could be put in later. So simple cycle is being put up, a simple cycle means a gas turbine without combined cycle and without a steam turbine and combined cycle means a gas turbine with a steam turbine, and that can be put up later as well. Because you see the permitting that is required for water is different than what is required for air. And those are different regulations in the United States, and they take different time. So, with speed, obviously gas gets set up first. The permitting for water takes longer.

Nitin Arora: But do you see this as a bigger TAM opportunity for you? I mean, just to put it in the perspective of sizing and the potential market?

Nikhil Sawhney: It definitely expands the market quite significantly. I already gave you an indication that the U.S. presents I don't know what is it, nearly 15% plus number in our enquiry book. And that's come up from near 1% or 2%.

So that's a very large growth for us. To what extent will it be converted? We're being cautious on a couple of things because we know that permitting in the U.S. takes a long time and getting water permissions will take time. So we don't know how quickly these will convert into orders and whether they'll convert in this current year.

We don't know if all of it will convert in this year, but what it does present is a large enough market for us to be interested to say that it presents us a growth opportunity for us to continue with our growth of order booking. This past year, we had a growth in our closing order book of about 8% which gives you an idea in terms of the execution that we'll have in this current year from a revenue perspective. But going forward, we will be much more hopeful in growth of our order booking, and th

e U.S. will have
to play a role in that growth of order booking, which will be spread geographically for us.

Moderator: Thank you. We have the next question from the line of Ganesh ram Rajagopalan from Unifi Capital. Please go ahead.

Ganeshram Rajagopalan: Thank you for taking my question. The first question is a clarification to what Ravi was asking. So when we look at the near doubling in the enquiry book and you've gone into quite some detail about it. Just to be sure, this enquiry, are you only capturing the steam turbine opportunity? Or does it include enquiries from API, for example.

Nikhil Sawhney: API to the extent that it requires a steam turbine is, of course, included.

Ganeshram Rajagopalan: Okay. Understood. And the second question is on the long -duration energy storage itself. When we look at the commentary from your technology partner globally, they seem to have signed up a partnership with Google and with ENGIE for offtake, building in the U.S. with Alliant

Energy. So, the messaging to me suggests more that the technology is validated and scaling globally, but your messaging is a bit more cautious on this front. So, what is the caution about? Do you feel it's more about the adoption in the Indian market? Or is it about the technology itself?

Nikhil Sawhney: No. Well, we'd like to see everything. The project by itself has multiple different components. I wouldn't like to speak about for our technology partner, but I'll just speak for ourselves, which is to say that is the execution possible within the timelines and the cost estimated. As you would have seen from this current quarter, we had a significant amount of billing on that project, which has already had some cost increases.

But having absorbed those, the project is still marginally profitable. And so, we need to see the full cost to conversion for the project. And then we have to assess the project from a technical performance and round -trip efficiency perspective, given not only Indian conditions because actually temperature plays a very large role in terms of all of these cycles and the calculations. So, we have to see what Indian conditions, Indian operations mean for the project. We're very hopeful for us to deliver the results, by the way. So don't get me wrong. I'd just like comment on it once it's up and running.

Ganeshram Rajagopalan: Understood. And another clarification is just on the commodity environment. We're seeing prices spike up quite significantly. So generally, when you're pricing, do you have pass -throughs? Or do you have a certain portion that's fixed?

Nikhil Sawhney: Yeah, largely, each unique order when it's taken is taken either with inventory in stock or with back -to-back orders to be placed. And we have rate contracts for all our large components. And so there has been movement in material prices. You're very right. Everything from copper to aluminium to steel has actually increased in price. But we do not see that impacting both our supply chain procurement or therefore, our margins. But let me ask Sachin, can you comment a little bit more on the costing of how you're treating.

Sachin Parab: So, we have diversified our supplier base, and we are trying to mitigate those risks in terms of escalation of our cost. Also, as we have always maintained even in our previous calls, we have rate contracts which are long -term. They also insulate us with some of those escalations. Besides when we take particular orders, which are of a large magnitude, we are extra cautious in terms of negotiating very good supplier rates. So more or less, we do not foresee too much of escalation of cost, and we should be able to maintain our margins that we have been seeing now.

S. Narayana Prasad: Yeah, in addition to Sachin's points, a couple of points, see, wherever it is a must for us considering the current volatili

ty from the supply chain. So, some of those things we'll be able to pass to the customers also because customers are also equally sensitive to this data when it comes to commodity prices going up. So, there will be some sort of a small time lag will be there. But otherwise, with our extended supply chain network spread across the globe, plus some of the customers to whom we'll be able to pass it, we'll be able to maintain the bottom line.

Ganeshram Rajagopalan: Understood. So essentially, you're saying the margins are not as impacted by the raw materials. It's largely a function of the product mix in this quarter.

Nikhil Sawhney: Well, no, no, that's exactly right. Actually, we've always encouraged investors to look at our business on a year -on-year basis, where we are very lumpy on a quarterly basis. You will get the wrong impression if you look at one quarter by itself. You have to look at it on a longer basis and longer trend. We've had big challenges in the year, like I started off by saying, which led to both a lower order booking than we anticipated as well as lower revenue than we anticipated. And we think that there will be still disruptions in FY '27. But very frankly, we are optimistic that we've streamlined certain processes to allow for us to go through those uncertainties.

Moderator: Thank you. Next question is from the line of Harshit Patel from Equirus Securities. Please go ahead.

Harshit Patel: Hi, thank you very much for the opportunity. Firstly, on the Indian market, could you give us an idea on the size of FY '26 addressable market in megawatt terms, essentially the less than 100 MW market size in India? And how do you expect this market to grow in the FY '26?

Nikhil Sawhney: Like I said, the enquiry book is up 100%. Now what will get converted is a function of multiple different factors. It is a question of liquidity, balance sheet strength across those developers, etc. But having said that, there seems to be a very strong tailwind on the thermal power generation market. You have a huge amount of capacity addition, which has to come on stream.

You have a very strong tailwind also in the steel market. The cement market, I think is reasonably consolidated, but whatever gets announced from CapEx in the cement market does come back. It does actually get

executed. The steel is a little bit not as reliable from an enquiry to conversion perspective. You also have renewed enquiries coming from ethanol as well as from certain agro -based industries. At the same point in time, efficiency remains an important factor in waste heat recovery, both from municipal, solid waste incineration as well as from other applications within industry remain quite large.

But the market itself, I don't have the number on me. Maybe you'll be able to take it from Shreya later in terms of the growth of the domestic market overall. But we have seen a good growth in the market in this current year, and we anticipate next year as well for it to have a good growth. Prasad, do you have any comment on that?

S. Narayana Prasad: Yes. Marketwise , domestic market around 35%, it has grown. That is the one data point when it comes to domestic market.

Nikhil Sawhney: It's about 3,400 -odd MW . I think you take the number from Shreya. I think this is not a correct number right now.

Harshit Patel: Sure, I will take it offline from Shreya. Secondly, what is the size of API turbines in our revenues, orders and order backlog? Is this part of the business expected to grow faster than the overall business or it will be broadly in line? So, is this business become sizable enough to call out or it is still not that large?

Nikhil Sawhney: No, no, it is a key growth driver and a key profit driver for the business. We were anticipating certain large orders at the beginning of FY '26, which didn't materialise. And so therefore, API as a perce

ntage of both our order book as well as revenue is lower than our anticipation. But it is a key growth driver for the business, and it is an area where we're able to deliver very good products. So, from a revenue perspective, API has a larger component share than in our order book. But we believe in the coming quarters and years , it will revert to having a meaningful 10% plus number in our order booking as well as in revenue.

Moderator: Thank you. Next question is from the line of Amit Anwani from PL Capital. Please go ahead.

Amit Anwani: Hi, thank you for taking the question, again, on the U.S. business. So, you did allude in terms of very strong enquiry, which has built up. Just wanted to understand what are the expectations in terms of conversions for FY '27? And are we more confident on either the product side or the

Aftermarket side? Some colo ur there would help. And amid all the global MNCs probably we are competing with in that market, you can give some colo ur in terms of the competitiveness of Triveni Turbine vis-à-vis other players and some expectations in F Y '27 would help.

Nikhil Sawhney: Okay. First, I'm going to ask my colleague, Sachin, to come in and comment on the U.S. market also. But before that, let me give you my expectation, we expect both the Aftermarket because see Aftermarket is driven by the installed base. The installed base and as you can imagine, the fixed capital deployed in the U.S. economy, given it's a $27 trillion economy is massive. So that presents an enormous opportunity for us to both refurbish, repair, moderni se, upgrade current installations. But at the same time, there's a growth in the market from an energy production perspective. So, both present equally large opportunities.

Having said that, this Q4 was a profitable quarter for the U.S. subsidiary. Though the full year itself, as you will see from the annual report when it's out and the subsidiary accounts still had a loss of about ■8 odd crores in that subsidiary. In the coming year, we anticipate not only for that to reverse, but for it to be profitable, largely driven by greater execution. But the Aftermarket order booking, while it may get executed within next year itself, the order booking on the product side may get executed in FY '28. So, we're very optimistic in the short as well as medium term for the business.

Sachin, can you provide some clarity more around the U.S. operations?

Sachin Parab: Yeah. So, we have been able to turn around orders fairly rapidly for the Aftermarket business in the U.S. So, the enquiry generation has been really better for the product business. But the Aftermarket business because it's shorter turnaround, it reflects in the revenues much faster. So as Mr. Nikhil said, we are looking at Aftermarket contributing more to the revenue in FY '27. Some of the product orders might take some time to execute, but we are quite confident that the conversions will be good. It would not be possible to estimate any percentages as such. But as we are getting our brand more recogni sed in the U.S. market, that is reflecting in the enquiries going up. And with the execution that we have done so far, the confidence of our customers is enabling good references for us to take more enquiries. So overall, we are quite hopeful on the U.S. market, and we'd like to see how things pan out, and we are quite hopeful. Thank you.

Nikhil Sawhney: What was the second question, Amit?

Amit Anwani: Yes. So just a follow -up on this. So, are we expecting data centr e to be a good contributor? And even the current order backlog in U.S., is there any notable conversion on data centr e piece even in the enquiry?

Nikhil Sawhney: No. A lot of it is driven around data cent re requirement, which is both like Prasad had mentioned earlier on the combined cycle operations as well as on the renewable appl

ications. All the enquiries and orders that we may have even in the small modular reactor and microreactor segments and Geothermal is ultimately to feed the power requirement for data centr es. It's not for the grid. And then there's industrial CapEx as well.

Amit Anwani: Understood. M y second question was in terms of the current order book. So obviously, last year, we had a lot of lumpiness back -ended revenue. So, what should be the expectation this year in terms of growth? And how much of the current order book has lumpy orders currently? So just a sense on how the year will be in terms of the quarterly seasonality for F Y '27?

Nikhil Sawhney: So that's a good question. Last year was impacted by book and bill. So, we rely on book and bill, not only in the product but also the aftermarket side. The Aftermarket segment because of a lot of uncertainty led to lower order bookings, especially on the spares side. In this current year, we don't think that the same degree of uncertainty should exist. That's number one.

Number two is that these large project -based orders are not really in our order booking. Having said that, because the way that the way the orders have come into our order book means that, again, the revenue recognition and the way that the products will be dispatched will be backended . So, from FY '25 perspective, you'd see a quarter -on-quarter growth in quarters. But if you look at it historically, it will again be a back -ended H2 year for us.

Amit Anwani: Right. And can we expect double -digit this year?

Nikhil Sawhney: Well, we shy away from giving direct giving guidance, but what we do have is a growth in the enquiry closing order book by about 9%. And so that gives you an indication of the minimum growth that we would like to anticipate.

Amit Anwani: Right. Finally, on the overall export order inflows, which was about ■1,200 crores, and we've grown by almost three, four years from the base of ■450 -odd crores. This was the first year when the order inflow from export market was kind of flattish. So, we understand you explained U.S., but is there a challenge in terms of enquiry conversions in the other markets ?

Nikhil Sawhney: In general, during the whole year, there was constraints in terms of finali sation. But I'll let Mani take this question on because we're already in Q1 and so let him answer as to how we're seeing customer conversion in the export market.

Manikantan Rajendran: Yes. Yes, Amit. Now with respect to the inquiry conversion, like during the year, with respect to the geopolitical issues, which we faced, there has been delays in the order conversion, while the enquiries did, we did receive quite a number. But in terms of conversion, we did have challenges because the finali sations got delayed. That is one of the reasons why export you see flattish.

Going forward in FY '27, now there have been quite a number of tractions and discussions happening in converting into those enquiries which we have. Conversions, we are positive about it going forward. There have been good number of discussions having as we discussed. So, we are hopeful that this situation would change. And this year, we believe exports would be more than the domestic.

Moderator: Thank you. We will take the next question from the line of Kunal Sheth from 360 ONE Capital Market Private Limited.

Kunal Sheth: Yeah, Hi. Thank you for the opportunity. While m ost of my questions have been answered. Just two questions. First one on the Aftermarket export, we have seen a huge bump up there. So, I just wanted to check any bulky order that we have booked this quarter? And what could be the sustainable run rate given that we have increased our offering in the aftermarket significantly?

Nikhil Sawhney: Yes. So, our strategy in the Aftermarket is, well, there are three segments within Aftermarket , which is our spares

and second is service and third is refurbishment. Our spares and service is obviously driven around our own Triveni Turbine installed base. And that will grow based on an installed base of maybe two, three years prior because it will take that much time for these sort of orders to come through.

The real growth in the Aftermarket segment comes from refurbishment, which is based on our capabilities on the ground in certain geographies to be able to convince customers of that capability. And as we are getting more entrenched into the African continent, we see good orders coming from that market. These include both lower value -add and higher value addition -based projects, which not only have overhaul as part of the contract, but also repair parts manufacturing. And we'll provide more clarity around our African operations in the subsequent quarters, but it represents a sustainable growth because we've been able to show value to our customers. And the confidence that comes from it allows us to see a more sustainable revenue from these markets.

Kunal Sheth: And Nikhil, my second question is around the kind of focus on innovation that we have shown is showing up in the number of products that we are offered in terms of new products over the last few years. So, I just wanted to check at the Board level, is there a number that you guys work with in terms of share of revenue that has to come from new products? Is that how you think or it's on a best effort basis?

Nikhil Sawhney: Well, it's a difficult question because while we have long -term innovation program mes, when certain opportunities arise, there is a certain degree of priority that is placed within R&D towards quicker commerciali sation based on opportunistic requirement. So, there's not a straight requirement in that direction that is given from the Board. But what we do have is over 7.5% of our workforce, which is in R&D in specific. We have another 8 % plus in engineering. And so, we do have a very strong technical bench strength. That, coupled with over a 35% number of people that we have in servicing, which is more from a customer satisfaction perspective, gives you an idea as to the priorities of the business.

Innovation is important because not only are we developing new products within the steam turbine range for applications such as geothermal, et c., but we are also then have new technology innovation, and new technology introductions, which allow us to provide a longer -term growth path for the company. These newer innovations and new technology introductions is while we may get one order here and two orders here, these will present longer term growth opportunities once we're able to stabili se technologies and establish our name. But we're still pretty much a steam turbine company at this point in time. And especially when you look at us in the short term, you should evaluate us that way. In the

medium term and longer term, yes, we will be a multi -product and a solution -oriented company.

Moderator: Thank you. We will take the next question from the line of Chirag Muchhala from Centrum Broking. Please go ahead.

Chirag Muchhala: So first is on this NTPC battery energy storage order that you had mentioned in your opening remarks as a strategic order. So just wanted to get more update on how much part of that order has been executed and the margin profile on the same?

Nikhil Sawhney: Yeah. I think , whatever the increase in cost in this order we've already taken, this order is probably at a PBT level of about 3 -odd percent. And we've taken over two -thirds of the order already into revenue.

Chirag Muchhala: Okay. So, two -third of the order has already been booked as on FY '26 basically.

Nikhil Sawhney: Yes.

Chirag Muchhala: Okay. Also, in the light of this currency depreciation, I also wanted to have your views on th

e competitive position that we will have as far as bidding
against the global competitors are concerned since majority of our peers
are still in different economies.

Nikhil Sawhney: Yeah. It's a good question, but the fact is actually, we don't lose orders
based on price in the international market. So actually, margin and price
is not the question. In fact, if you win an order, all you could say that we
may have the luxury of a higher margin. But we don't lose orders based on
price, and it's not as we discount that way. So, I see this as only a margin
expansion for us. But at the same time, there has been commodity price
increases and different countries offer different margin structures. So, we
don't see the competitive intensity either increasing or declining based on
this. You do have the Japanese who've also had a currency decline. You
have some other countries which have faced the same situation, maybe
not as much as India.

But having said that, our competitiveness still remains very high. This is a
largely oligopolistic market globally. It is a question to be able to provide
the right value proposition to customers rather than be cheapest. You
have to be reliable and robust, technically be able to provide the service
where the customer needs it, be able to understand his requirement and

deliver it in time and in the performance that he requires. So those are
much more important than the pricing.

Chirag Muchhala: Okay. And lastly, considering this Middle East conflict, outlook on the API
Turbine Business, specifically from the Middle Eastern customers for FY
'27?

Nikhil Sawhney: Yeah. Right now, we 've not taken as part of any of our projections for API
because , well, obviously, if the war ends soon, there will be a lot of repair
and maintenance and refurbishment requirement and new orders from
that market. Right now, we're not taking anything in our projections. But
globally, because of higher oil prices, we've seen a resurgence in
enquiries as well as order finali sations in the API segment globally for both
upstream and downstream. We largely participate in the downstream
market.

Chirag Muchhala: Okay. And we are getting orders from multiple locations globally or it is
largely India and Middle East centric API inflows currently?

Nikhil Sawhney: No. Well, obviously, the Middle East had a larger part of our enquiry book
and order booking in the last two years. We believe this requirement is , at
this point in time, it's more global, including Africa and the United States
and India.

Moderator: Thank you. We will take the next question from the line of Mohit Surana
from Monarch Networth Capital Limited. Please go ahead.

Mohit Surana: Thank you for the opportunity. M y question is more with respect to
understanding the trajectory of the EBITDA margin. As I understand, for
the full year , we have achieved a level. And the project execution of the
project -based orders, I mean, as you mentioned, NTPC did not execute .
So, going forward, with more Aftermarket services component in our order
book, do you expect the margins to improve further from here? Have you
already bottomed out? Or we can see more stress because of the Middle
East crisis in the near term?

Nikhil Sawhney: So actually, for us, as a company, I think it's better to view us from a
turnover perspective because actually our margins are reasonably stable
on a year -on-year basis. They will change based on product mix. If you
have more export as a percentage of sales, your margins are a little bit
higher. More Aftermarket as a percentage of sales, your margins are
higher. More spares as a percentage of Aftermarket , your margins are

higher. And you'd understand that. So, for us, largely, we don't see any
change in margins. Our margins are not a problem, as I've been

suggesting.

I think what you should rather focus on is our or

der booking and the quality of our order booking and the revenue recognition of that. So, because our products are , because each order has a different margin structure. It's difficult to answer your question about have your margins bottomed out. I tried to give you an explanation as to what were the factors that impacted margins in this current year, which included an exceptional item, which we talked about, which included certain mark -to-market losses. But these mark -to-market losses may be a recurring thing which happen every year because of currency volatility and our hedging policy. We had a certain strategic order which had lower margins. But in general, we don't see margins as structure. Going forward, exports will be a larger percentage of our execution. So that's even less of a risk that we have on margins. You have large Aftermarket. So, I don't think what you're asking is really too much of an issue for the company.

Mohit Surana: Understood, and in terms of order intakes, is there a sustainable level of order intake we can expect every quarter? I mean I understand it could be lumpy .

Nikhil Sawhney: No, I think it will all depend on external situations. As we deliver larger and larger turbines and larger projects, the order booking will be lumpy. But the visibility that we have, as I've tried to provide you in our enquiry book is that we are quite confident of growth in our order booking. And I think Mani and Prasad alluded to the same that we believe this would come from a wide diverse geographic spread as well as different industries.

So as far as the number goes, like should it be higher than ■ 500 crores or ■700 crores. Obviously, we believe that it should be, the higher number is what we aspire towards. But we'll have to see that.

Moderator: Thank you. We'll take the next question from the line of Ganeshram Rajagopalan from Unifi Capital. Please go ahead.

Ganeshram Rajagopalan: Thank you. I just wanted to focus a bit more on the traction that you're seeing in the U.S. You've addressed it in detail. So, I just want to take it one step forward and understand the competitive landscape and how you're positioning the product. And in terms of approvals, they tend to

take some time. So exactly how are you placed in this market versus competition? What's your sales pitch generally?

Nikhil Sawhney: Well, the first thing is that the permits is not our problem. It's a developer's problem. We sell to an integrator, EPC or a developer. So, the permits is not our issue. The proposition is the same to be able to sell and it's consistent not only in the U.S., but it's consistent globally, is to be able to show a reliable, robust product and a value to the customer in terms of being able to provide uptime to him in a situations and backup of service.

So, the messaging is quite uniform regardless of where we sell. The difference is that we have on -ground capabilities in the U.S., which provide a greater degree of confidence especially in terms of repair and maintenance, which may be required by customers, the ability to have on - ground servicing personnel in the U.S. You do have a diffused responsibility in terms of the procurement. It's less entrepreneurially driven and more established supply chains. And so that presents a different value proposition that we have to sell where we don't have a brand. And well, we have a significantly weaker brand than our global competitors. And so as to overcome the bias that may exist, we have to make it up in terms of other attributes such as the broadness of our technical offering, how well it can deal with the different vagaries of operating conditions of our client, what is the speed by which we can execute and deliver the product, what are the guarantees that we take on reliability and robustness, but it's broadly the same. There's nothing too much different in the U.S. market than wha

t we try to sell in others.

Ganeshram Rajagopalan: That's very helpful. And generally, when it comes to converting this, what are the pushbacks you're receiving from end customers?

Nikhil Sawhney: No. You see the point is, like I said, specifically in combined cycle, water and permit takes longer. The pushback is when we're in front of a customer and the order is being closed, we have a very high percentage of winning. So, the issue is to be in front of the customer and for us to have visibility into those orders. So that's why the growth in the enquiry book is a very strong foreteller of what may be potential demand from that economy.

Ganeshram Rajagopalan: Understood. Understood. And just one more question is, I think this has been touched upon, but on the margins front, you had alluded that a good mix of exports and aftermarket generally supports margins. And your export mix in terms of revenue recognition has been amongst the highest

this quarter when I look at the past eight quarters. Aftermarket, not too much of a decline, but probably around 25%. So, the drag is coming from the strategic orders. Could you give us some clarity on what the nature of these orders are and what your thought process is in this segment?

Nikhil Sawhney: So, we had a line of technical development around subcritical carbon dioxide turbines and one of the applications for that was in energy storage. So, the project was taken as a strategic developmental project to validate our technology as well as our product. So that is something that, that is the reason why it was taken. We believe, like I already alluded to or actually said to a previous participant, this NTPC project was a low - margin order. Majority of it has already been billed in the current financial year and especially in the previous quarter. But in the quarter, you had three things. One is the aftermarket as a percentage of sales was actually at 25%, which is lower than about 33% for the previous year.

While exports were higher, the Aftermarket has a much higher profitability, as you would imagine, than export even. That, coupled with the fact that you have a large revenue that came from a low -margin order is what impacted the profitability in Q4. But again, I would encourage you to look at it on a year -on-year basis. And that degree of volatility will always exist around sort of a mean 25% EBITDA level. It will be higher in some quarters, it will be lower. I think we went up to 27%, 28% also in current year in some quarter.

Ganeshram Rajagopalan: Understood. We look at it from another point of view, it just helps to understand the movement.

Nikhil Sawhney: I think if you must view us in any given quarter, look at it to the trailing 12 months of that quarter.

Moderator: Thank you. We will take the next question from the line of Raj Shah from ENAM AMC. Please go ahead.

Raj Shah: Thank you. My question was relating to the U.S. operations. If you can highlight the update on any profitability, how confident we are of breaking even in F Y '27 and to what extent? And secondly, I think in the order pipeline, you mentioned that there is some order enquiry for small module reactors as well in the U.S. If you can also throw some light on that.

Nikhil Sawhney: Yeah. I mean, a small modular reactor like with any other heat producing, we operate as it's a normal steam turbine solution, which actually quite low specifications that come out from the nuclear space. We've been a provider to the nuclear space for quite a while now, actually. As far as the U.S. subsidiary itself, like I alluded to, we've had a profitable quarter, but if you look at the full -year FY '26, it was a loss in the U.S. subsidiary. And like I said, we believe that this current year should be positive, if not at worst breakeven. So, within those calculations, we are optimistic that when we get i

nto FY '28 onwards that we'll be able to deliver profitability from the U.S. operations because of both size and scale, absorption of overhead as well as profitability of the orders themselves.

Moderator: Thank you. We will take the next question from the line of Harshita from UBS. Please go ahead.

Harshita: Yeah, good afternoon. So, my question was on the combined cycle product that you mentioned. So, could you provide more clarity on the order visibility here? And is this also accompanied by the servicing or AMC contracts that we see in general?

Nikhil Sawhney: I'm missing your question. Can you say that again, servicing of EPC, what contracts?

Harshita: No, for the combined cycle products that you mentioned for data centres. So, are these also accompanied by servicing or AMC contracts here? And similar to the pricing tailwinds that we see for other hyperscaler or data centre linked product that are benefiting from strong pricing -led margin expansion. Is that also something we can expect from these kinds of product orders here?

Nikhil Sawhney: For us, I think what's more important is to get a sustainable entry into the space. So, we're not looking at margin expansion or pricing increase disproportionate to what is available. there is certain supply constraint in terms of energy solutions globally in all forms, in all rotating equipment.

For us, the data centre as an end market contributes a significant portion of our enquiry book. So, it will be well in excess of half of the enquiry book will be coming from that market segment. And as far as long -term service contracts go, we always offer that to clients as a solution. And when we do take it in our order book, we only take the near -term visibility of that servicing contract and not the whole duration of it. So, whatever can be executed in one year is what will be taken.

Moderator: Thank you. We will take the next question from the line of Praj Agarwal from C9 Family Office. Please go ahead.

Praj Agarwal: Hello, thanks very much for the opportunity. Again, I had a question on data centre. You previously highlighted that in CCGT and Geothermal through this organic rankine cycle, we have an opportunity. So, despite this economy, we have not been able to identify many projects in U.S. so far, which are basically using this solution. So, since this is an attractive solution, why is there a slow uptake in this globally in this industry?

Nikhil Sawhney: Slow uptake of combined cycle?

Praj Agarwal: No, no, basically steam turbine solution and this organic rankine cycle. Like why is this solution not being used extensively in this industry?

Nikhil Sawhney: Organic rankine is not for the data centres. It will be more for Geothermal and for low waste heat recovery, which will include industrial processes. So that's the wrong technology application there. This is a new product introduction for us. And so, this is something that it will add on and something that we're quite hopeful to get success on in this current year and will build on to a longer -term pipeline. I didn't understand your second question actually.

Praj Agarwal: In the CCGT, does the steam turbine go inside the CCGT or basically, it will be complemented by a different steam turbine with the CCGT solution? Last con call, you mentioned 3 MW plus 1 MW solution will be used.

Nikhil Sawhney: No, that's just the calculation of the number. The fact is that it is for the developer to decide if he wants a combined cycle or if he wants a simple cycle operation. We can't determine that. It is based on the customers' constraints, be it his permitting, his availability of funds, his speed of getting power online, whatever the other constraints are, we can't influence that.

Praj Agarwal: Got it. But these large CCGT players like Siemens and all, they would have their own steam turbine solution, righ

t, that they will offer to the customers.

Nikhil Sawhney: Of course.

Praj Agarwal: So basically, what basically space is open for Triveni to participate here because the CCGT players will have their own steam turbine solution to offer to the customer.

Nikhil Sawhney: Each customer or each client actually orders in a different manner. Sometimes they club the contracts and give it to the gas turbine lead only. Sometimes they break it up and give it to EPCs. Sometimes they order everything themselves. So, it all depends on the size and scale of the developer, the maturity of him, his technical availability and how he wishes to design the contract. So, there's no set format in this actually. Whatever visibility we see in the enquiries I've shown, whatever I presented is what is available for us to bid on.

Praj Agarwal: Got it. And last question. On margins, the mix is shifting on three fronts, domestic to exports, OEMs to aftermarket and then stand -alone turbines to now solutions. So how do we think of margin trajectory going forward since all these three will directionally benefit on the margin side, right?

Nikhil Sawhney: You see for us, what I'm more concerned with is actually growing our top line rather than margin expansion. So, the margin expansion, if it happens due to product mix change, etc is beneficial to us. It's not that there's a conscious strategy for us to discount and get market, but it's more important for us to actually look at top line growth. But I'm very comfortable with our margins of what is 25% plus EBITDA. And sometimes it will go higher, sometimes it will go a little lower. But the trajectory will be there. And in general, you're right, the trajectory should be higher, but that's just a consequence of our product mix and geographic mix.

Moderator: Thank you. We will take the last question from the line of Dolly Choudhary from Niveshaay. Please go ahead.

Dolly Choudhary: Hi, thank you for the opportunity. As most of my questions have been answered. I wanted to get a little your macro perspective on one thing that like this long -duration storage are clearly seeing strong momentum in India. But if we see BESS and pump storage remain the dominant solution. So, like according to, where does this CO2 battery technology fit in the landscape? Like are there any discussions going forward for this technology in India?

Nikhil Sawhney: No, there are many discussions happening and many different technology choices. Long -duration energy storage, where the CO2 comes in is

evaluated in the same form like pumped hydro because of the availability. And the costing of it is actually significantly higher than pumped hydro.

The question is how you can scale to get the pricing down because ultimately, we need to get the cost, which is appropriate to the market. the Indian cost appetite is extremely low. So we have to see what round -

trip efficiencies come to, to be able to actually see if this is a long -term solution. We have to be able to see what the final costing comes on a per kilowatt hour basis, a megawatt hour basis.

You have a variety of different solutions which are out there. You have different flow battery solutions, which are also available. We have different research that we are doing in terms of both kinetic thermal -based energy storage systems as well as flow -based storage systems. But this is an interesting area for us to provide a solution. And I think we'll take some time to figure out where our space is because we want to be a value -added player here rather than just an integrator of other people's technologies.

Dolly Choudhary: Got it, and like if we say like the thing goes well regarding the costing, and we know that this is a relatively new technology. So like if you can quantify how do customers typically validate the viability before placing a new order like for

NTPC?

Nikhil Sawhney: I don't know. Very frankly, we have not been marketing this at all. So, I don't know. You can tell us better. We have some discussions on in terms of what the parameters are. But as far as active discussions around RFP go, no.

Nikhil Sawhney: Thank you very much. So, thank you very much, ladies and gentlemen. Thank you for joining the Q4 FY '26 earnings call for Triveni Turbine. We look forward to speaking to you again with our Q1. We have a robust strategy in the company with continued focus on innovation and execution. Customer service and customer delight and satisfaction remain paramount in all the activities and endeavours that we do. We will be investing significantly more into the movement into AI. We think that we need to be technologically ready for any disruption that will occur both within industries, within companies as well as in the market in general. And we will provide these updates in the coming quarters as well as growth in our order book and enquiry books. So, thank you again and goodbye.

Moderator: Thank you, members of the management. On behalf of Triveni Turbines Limited, we conclude this conference. Thank you all for joining us, and you may now disconnect your lines. Thank you.